

Fedbank Financial (FEDFINA)

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Call: Dec 2023

Secretarial Department

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December 15, 2023

Ref. FEDFINA/ CS/ 15 / 2023 -24

To,

National Stock Exchange of India Ltd.,

Listing Department

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051 To,

BSE Limited,

The Corporate Relationship Dept.

Rotunda Building,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400 001

Re: Scrip Code: 544027, Symbol: FEDFINA

Sub: Transcript of Earnings Conference Call

Dear Sir/Madam,

Pursuant to applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the earnings conference call which was held on December 11, 2023.

The transcript of the earnings conference call shall be uploaded on the website of the Company at fedfina.com/investors-relations/overviews/concall-transcripts-and-recordings/ under the section 'Investor Relations in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully

For Fedbank Financial Services Limited

Rajaraman Sundaresan

Company Secretary & Compliance Officer

Membership No.: F3514

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"Fedbank Financial Services Q2 & H1 FY24
Conference Call"

December 11, 2023

MANAGEMENT : MR. ANIL KOTHURI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER, FEDBANK FINANCIAL SERVICES
LIMITED
MR. C. V. GANESH– CHIEF FINANCIAL OFFICER,
FEDBANK FINANCIAL SERVICES LIMITED
MR. KULDIP DESHMUKH – HEAD (INVESTOR
RELATIONS), FEDBANK FINANCIAL SERVICES LIMITED
MR. AMIT SINGH – FEDBANK FINANCIAL SERVICES
LIMITED
MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q2/H1 FY24 Conference Call of Fedbank Financial Services Hosted by Equirus Securities.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you and over to you, sir.

Shreepal Doshi : Thank you, Dorwin. Good afternoon, everyone. I welcome you all to the Earnings Conference Call of Fedbank Financial Services to discuss the Q2/H1 FY24 "Performance of the Company, Business Updates, and Industry Trends".

We have the Senior Management team with us represented by Mr. Anil Kothuri – MD and CEO, Mr. C.V. Ganesh - CFO, Mr. Kuldip Deshmukh - Head IR, and Mr. Amit Singh.

I would now like to hand over the call to Anil sir for his opening remarks, post which we can open the floor for question and answer. Over to you sir.

Anil Kothuri: Thank you, Shreepal. Good evening, everybody, and welcome. We got listed on the 30th of November, so this is our first analyst call after that. So, thank you all for attending. This is to discuss the results of the quarter ended September 30th.

The quarter has been a reasonable one for us. We crossed a landmark in terms of an AUM of Rs. 10,000 crores on the last day of the quarter. Our AUM is just about Rs. 10,000 crores. This represents a 38% growth over the same period a year ago. This is on the back of disbursements of Rs. 2,900 crores in the quarter. This Rs. 2,900 crores includes the disbursements for gold and non-gold. The non-gold loan businesses disbursed about Rs. 930 crores in Q2. So, this Rs. 930 crores is a 39% growth over the previous quarter. And all these disbursements happened at a weighted average origination rate of 15.9%. All this led to financials of as follows:

■ Our profit after tax for Q2 was Rs. 57.8 crores. This is a 25% growth on a year-on-year basis.

■ Our return on equity was 15.9% for the quarter and our ROA or return on assets was 2.4%. Our small ticket mortgage remains a key focus area for the company and we expect its mix as a percentage of AUM to keep improving year after year.

■ In line with pursuing this strategy, we opened 23 new branches focusing on small ticket mortgages this quarter. We forayed into the state of Uttarakhand, which is our 17th state in India that we are present in. So, our branch count is now up to 607.

■ We added over 200 employees in the quarter. So, our employee base at the end of the quarter has increased to 3,970 people.

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■ Our asset quality remains on track. Our gross Stage-2 is 2.3%. So, that's a worsening of 8 basis points quarter-on-quarter, while our net stage three stands at 1.8%.

■ Our (+30) for the non-gold portfolio has improved marginally to 4.5%.

■ In the quarter, a portion of secured loans continue to stay at 84% of the AUM, even though on an AUF or an on-book basis, that number is about 13.5%.

With this, I'll stop here and open up the call for any questions that you may have.

Moderator: Thank you very much. We will now begin the question and answer session. We have the first question from the line of Madhuchanda Dey from MC Pro. Please go ahead.

Madhuchanda Dey: Hi, gentlemen. Congratulations on the listing. I just have one question. This is a little broad-based question, not exactly pertaining to the Q2. This is like, you all are present in gold, small-ticket housing, business loans etc. with a significantly higher yields than what generally earned by your banking counterparts, including your parent. So, now with this expansion

in footprint,

riding on FinTechs, smaller NBFCs, etc. many of the banks, including your parent is pursuing a strategy of improving their low yields. So, in fact, to that extent, there is going to be significant competition from banks because banks now have a big fight with their low cost deposits and in general. So, everyone is eyeing this high yielding segment. So, how do you differentiate yourself? That is my first question. And secondly, what could you do differently to counter this competition? Thank you.

Anil Kothuri: Thank you. Our mission statement is that we are in business to empower emerging India with easy access to loans. That means we are very focused on these small self-employed customers. Now the demand in this segment is quite vast and it's estimated that only 20% of the demand is actually catered to. The remaining just goes a-begging. So, the first point is, regardless of how many NBFCs and banks there are, there's a market much larger than the appetite of the existing players to feed this segment. That is point number one. Point number two is that we use whatever information the customer has and whatever collateral he can provide and we fashion a loan to him on that basis. So, some customers have gold, we do a gold loan. Some customers have property, we do a loan against property. So, that's the way this thing works. Now the challenge is not just to, is that we don't have ready-made P&L balance sheets that we have access to, that we can put into a model and quickly make a decision. Our underwriting requires us to invest time with the customer, understand his business, estimate the size of his business, his income and then fashion a loan amount that's a comfortable debt burden for him. So, it's very intensive. So, the number of players doing this in the market is very small. The large banks most definitely don't do it because they prefer to have models which they can replicate over thousands of branches and they strive to achieve uniformity in their underwriting practices. That is the other point. Now, the difference in yields between what we get and what the banks get are quite vast. Since you mentioned our parent, our yield on the gold business, for instance, is upwards of 17.5%, whereas for our parent, it's about 10.1%. So, it's a different customer and a different value proposition that banks and NBFCs offer. Now, the way we are approaching this in future is to co-operate with banks, there are co-lending arrangements that we put in place, especially for our gold loan business. What these arrangements do is to help broad base our business so Fedbank Financial Services Limited

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that we are not anchored to customers only give us 17.5%, but we cater to customers at different price points while preserving our returns on equity. We can make our equity go further. We can cater to a wider base of customers. There's superior cost absorption that results as a consequence. So, that really is the way forward for us.

Madhuchanda Dey : So, if I just may ask you another question, who all have you partnered with for this co-lending?

Anil Kothuri : There is a large private bank and a foreign bank that we've already tied up with and have commenced co-lending with. So, those two arrangements are already up for it.

Madhuchanda Dey : So, I mean, just to understand from you correctly, you still believe that with the penetration of the FinTechs etc. the turf that you cater to is going to be exclusive and not going to be serviced by the banks in the near future. Is that a correct understanding?

Anil Kothuri : The banks and FinTechs are different. The banks cater to a more established self-employed customer base or a salaried customer base. What FinTechs in the lending space do is to cater to customers who meet three characteristics. Their loans have three characteristics. It is short-term, it is unsecured, and it is low ticket. That seems to be t

he preserve of FinTechs. So, that's a

segment that we are not present in. Short-term, small ticket, unsecured loans of Rs. 10,000, Rs. 15,000, Rs. 20,000, we are not present there at all.

Moderator : Thank you. The next question is from the line of Sneha from Star Union Daichi. Please go ahead.

Sneha: We have reached our landmark of AUM of Rs. 10,000 crores. How do you see going ahead practically? Any ballpark number you would like to share? Can we expect any mix changes?

And how the percentage sharing will be done? And what is the thought of the dispersal process more on the gold loan or more on the non-gold loans? And the second question is, there has been spike on the expenses on quarter-on-quarter, anything to look into that? And the third question is, there is a little bit spike on the asset quality, basically, across stage 2 as well as Stage-3 on quarter-on-quarter. So, just wanted to know your thoughts? And regarding the co-lending model, how do you see that net securitization volume going ahead? When during the meeting you had mentioned that you would be like to follow your peers in some of these segments, specifically on the co-lending model. So, what are the pieces and the workings? These are questions from

my side.

Anil Kothuri : You asked four questions. I missed the second one. So, let me just answer the remaining three, then we can get to the second. Your first question is on the mix and the AUM and what it may be in future. Now, our business is a business of two parts. There is the gold loan business and there is the non-gold business. In terms of the gold loan business, we are present in 437 branches. We started the year with an AUM per branch of something like ₹6.5 Cr. We crossed the ₹7.5 Cr mark by September, October and we are on track to increase our AUM per branch, especially with co-lending coming in. The other tailwind that we hope to get is an increase in gold prices. So, these are the two factors that will play out in building our AUM per branch for gold loans. Now as far as the non-gold loan business is concerned, we have capacity that's already there and

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our disbursements will keep increasing and the AUM will keep increasing as a consequence. Now the bias of the AUM will be towards small ticket mortgages. That's because as we keep originating, this is the longest tenure product that we have. It has a behavioral tenure of something like 7 to 8 years. So, while the other products run-off quicker, the portfolio will keep getting enriched by the presence of a greater proportion of small-ticket mortgage loans. So, that's the way the mix will trend. Now, you've seen our quarter-on-quarter or year-on-year trends in terms of AUM growth, and it will be our endeavor to try and preserve them. You had a question on the co-lending model, how does it work? We've commenced co-lending for gold loans. And let's say the other bank takes over the loan at 9%. And we do a loan at 12%. Thus far, we won't offer the customer a loan. But now what we do is that we offer the customer a loan and offload 80% to the other bank. So, we make 3% on 80% of the loan and on the remaining 20% we make let's say a little more than 3%, our cost of borrowing is let's say 8.6%, 8.7%. So, even if you round that off to 9, we end up making around 15% on the loan that takes up the ROE quite significantly that's how co-lending works for us and we are able to occupy the wide space that currently exists in our portfolio between let's say 17.5% all the way down to maybe even 10.5%. You know, that becomes ROE accretive for us. So, that's how co-lending will work.

The third question was with respect to asset quality. Asset quality has stayed largely flat over the previous quarter. There's been a worsening of 8 basis points. That's because there has been some increase in delinquency in the medium ticket mortgage business. So, this is as of S

eptember

30th. But post September 30th, that has come back under control and I'll have more to say in this probably in the next analyst call. So, that is the reason that Stage-3 has bloated by 8 basis points. Your second question I didn't get, Sneha, if you can just repeat.

Sneha: Yes, I was just speaking on the expenses side that has been rising on quarter-on-quarter, is it due to the IPO expenses or any further expenses. What would be the reason for the rise in the expenses basically?

Anil Kothuri : So, our expenses have broadly four components, okay, which have contributed to increase. One part of the expense increase has to do with the number of branches we open and the people we hire. Also in our existing branches we've hired more people. You know, it's not as if our growth only happens to new branches, even existing branches have room for adding 1 or 2 people, we've added people. So, some bit of that is capacity building, that is number one. The second thing is that we are in the midst of a transformative IT implementation in our installment loan businesses. So, that is the second thing that is happening. The third is some bit of our expenses has to do with the quantum of origination that we do. As origination increases, there are expense increases that we do, not everything can be amortized you know along. There is some bit that we have taken upfront. So, that is the other component of the expense that is there.

Sneha: And when we can expect that operating leverages to start bearing the fruit considering the implementation of the IT and whatever the branch expansions and the employee addition has

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been done, but still some of them has been pending on your end and what we can expect the core basically on the operating leverage that can play out?

Anil Kothuri : So, the investment phase is largely behind us whether it's in terms of the transformative change in our branch landscape or in terms of the IT implementation or hiring people. So, the platform now is reasonably in place and any expenses we incur will be largely at valorem linked with origination. So, the operating leverage should start and should start right now, if you ask me. Every quarter, we hope to demonstrate some bit of this happening.

Moderator : Thank you. We have the next question from the line of Harshvardhan Agrawal from Bandhan Asset Management. Please go ahead.

Harshvardhan Agrawal: Sir, two broad questions. One is around the AUM growth. I understand that the last participant asked about AUM growth. Is that fair to understand that the current growth of around 38% is that we would maintain for FY24-25?

Anil Kothuri: 38% is a large number. Our endeavor is to ensure that we grow at something between 25% and 30%. That's what I'm happy and comfortable guiding, even though we have several engines firing in terms of products and geographical presence.

Harshvardhan Agrawal: Sir, second, largely on the recent RBI norm changes which have happened. So, two parts here, one is any impact on our capital adequacy due to changes in the risk weights and secondly, because it's been almost a month obviously, we will have had some discussions with the banking partners. So, do you see any impact on our cost of funds?

Anil Kothuri: On the first part, we have separated which of our loans have to do with working capital and which of them have to do with consumption. And we have identified these loans and they amount to something like maybe Rs. 250 crore or so, I forget the exact number and the impact on our capital adequacy is something like 20 basis points. So, that is the data point. Given that we've just IPO'd and have capital far in excess of the regulatory minimum, we can take this in a stride. That is number one. The second question is in terms of the banks, a few banks have come back to us and said that they want to take up their rate. Conversations

are underway, but the impact is marginal. The impact is definitely there, but our efforts are to ensure that it's not significant. And my estimate is that it could be something like, God knows, between 25 and 50 basis points maybe.

Harshvardhan Agrawal: Sir, this 25-50 basis point broad impact, that could be there on the entire bank funding book, right? Because even the existing loan would be repriced.

Anil Kothuri: So, look, we need to see how this plays out. Currently, it's just about 3 banks who have written to us and we are parlaying and the increase doesn't seem to be substantial. So, it's just an estimate that I have at this point in time now. But yes, in terms of impact, the entire bank loan, bank funding should get impacted less what we borrowed specifically for PSL.

Moderator: Thank you. The next question is from the line of Gao Zhixuan from Schonfeld. Please go ahead.

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Gao Zhixuan: Just a follow-up on the previous participant's question on the borrowing cost. So, 75% of our borrowings are bank borrowings, right? And out of that, how many percent is PSL compliant and was excluded from the risk-weight increase on the banking side?

Anil Kothuri: So, virtually all the loans that we do are PSL, in that we lend to the small self-employed customer. However, there are some specific requirements of documentation that we need to collect to demonstrate that they qualify for priority sector lending. And so therefore, only those loans are earmarked for PSL borrowing. It's under 10% yes.

Gao Zhixuan: Under 10% of our bank borrowings are PSL.

Anil Kothuri: That's right.

Gao Zhixuan: So, 90% of our bank borrowings will be, our lenders were subject to the risk weight increase?

Anil Kothuri: That's right.

Gao Zhixuan: And just on the margins of the spread, right, this quarter we saw a pretty sharp jump in the yield and at the same time we saw a pretty big decline in the cost of funds. Is there any one-off there?

How should we look at the spread going forward excluding the potential impact of this RBI directory?

Anil Kothuri: So, in terms of the spread, I think a fair way of looking at it would be to average it across Q1 and Q2, our spreads are around the 8% mark. That would be a fair way to look at it. Across the two quarters, there have been one-offs. In Q1, we have repaid some loans in the end of the quarter. So, when you average it on an opening plus closing quarter by 2 basis points, your borrowing cost looks a little high. So, that was the impact in Q1. In Q2, we sold some portfolio down to securitize because we wanted to ensure that we had adequate capital in hand in case the IPO timelines get delayed. So, which is why we've had some larger gain in terms of securitization, which adds to the interest income.

Gao Zhixuan: I'm just wondering, because since we're doing more co-lending/securitization, right? So, I'm just wondering the spread that we earn on those off-book AUM and also the ROA that we earn on those off-book AUM, how is it comparing to, let's say, on-book AUM?

Anil Kothuri: Our cost of borrowing for the last quarter was 8.6%. The co-lending book we offload to other banks at say 9.5%. So, the spread then will be about what 1% lower. So, 17.5 minus say 8.5 would have been 9% on the gold loan book instead we will get 8%. So, that is roughly the way to understand it, but there will be no deployment of capital on this. So, therefore, the ROA on the off-book component of the portfolio will be much higher.

Gao Zhixuan: So, 1% is your spread basically on the off.

Anil Kothuri: So, if we look at it as we earn 1% less, we will deploy only 20% of the capital that we would have otherwise deployed on the book.

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Gao Zhixuan: And just my last question is on the overall ROA trajectories. We are looking at somewhere about 2.3-2.4 ki

nd of ROA. So, how should we think about ROA for this full year and also next year?

Any guidance that we should look forward to, sir?

Anil Kothuri: You look at us, we've been consistently at 2.3-2.4 for about 3 quarters. Now henceforth we will have the benefit of the IPO money, which is about Rs. 6 billion. So, that should take our ROA up in the short term. That coupled with some expense absorption should mean that we should touch or cross the 2.5 mark comfortably.

Gao Zhixuan: 2.5, exiting this year?

Anil Kothuri: Yes, that's a reasonable estimate.

Moderator: Thank you. The next question is from the line of Prateek from Citi Group. Please go ahead.

Prateek: Congratulations on the listing. I have a slightly technical question. So, I'm looking at your FY23 annual report. And under the disclosure of your asset quality, there is a certain proportion of loans which are classified under Stage-2, around roughly Rs. 7 billion or Rs. 708 crores, but they're also classified as substandard. So, I have two questions. So, first, why are they classified as substandard despite being a Stage-2? And secondly, if you can help us understand what is the proportion of such loans as of September 23. Thanks.

Anil Kothuri: So, those loans are gold loans which are completely standard, but they have been re-pledged. So, there is a technical reason. The Reserve Bank regulations say that any loan that has got restructured needs to be classified as substandard. Now we took a view and there are many views possible that these loans which have not got repaid but instead the borrower has repledged the loan which means he sought to renew it, is called a restructured loan. So, that bit is about Rs. 708 crore out of a total gold loan portfolio at that point in time I think Rs. 2,800 crores or so. So, we've just disclosed that these loans are good performing and completely regular, but there is an argument to call them substandard, which is why we have made that disclosure.

Prateek: So, if I'm understanding it correct, so these are the loans where borrowers have actually defaulted on their payments, right? And there is some kind of restructuring which has been done for such loans, right?

Anil Kothuri: No, it's not restructuring. What happens is the gold loan borrowers are habitual borrowers, they're perennial borrowers. So, the way they tend to treat this borrowing is that they come, they close this loan, they open another loan, okay? And that's the nature of the business, for all gold loan borrowers of NBFC. Now these borrowers what they have done is that they haven't come and repaid their loan entirely, but they've sought to renew their loan. So, that's what this is. And as of September 30, it is Rs. 129 crore. So, which number was 700 and something is now about Rs. 129 crores. You'll see this Stage-2 of gold loans.

Prateek: And they are still classified as Stage-2 and substandard?

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Anil Kothuri: Correct.

Moderator: Thank you. The next question is from the line of Bhavik Dave from Nippon Mutual Fund. Please go ahead.

Bhavik Dave: So, a couple of questions. One is on the previous participants mentioned, you answered only like 10% of our borrowings will be PSL compliant. Did I get that number right?

Anil Kothuri: It's a guesstimate, it's about 10% but the exact number I can get back to you, Bhavik.

Bhavik Dave: Yes, sure. But that number seems to be low considering we have a large part of our business in gold loans and small ticket home loans. Generally, most of them classify as PSL compliant. So, I'm just a little surprised with the 10% number. But we'll be happy to understand the exact number if at all later in the call if you can mention. The second question, sir, is on the operating cost and when we see our operating cost even this quarter, it's around 34% Y-o-Y. Just wanted to understand how we're thinking about operating leverage,

right? Because like you mentioned

25% to 30% kind of AUM growth, I'm assuming similar kind of an IA growth is what we pencil in. What will be the kind of operating cost growth that we'll be comfortable with and what is the kind of cost to income or cost to asset ratio, maybe one year out is what our aim would be?

Anil Kothuri: So, the first target is to ensure that we have our income growth ahead of our expense growth. So, that is the first milestone that we should cross in a quarter or 2. Now our expenses are largely discretionary in that we have people cost and premises cost, but everything else in terms of hiring new people or opening new branches or paying ad valorem for business that we originated discretionary and we will exercise that discretion. So, that is number one. The second thing is in

terms of cost to income from here on, it should moderate. Like I said, we have branches in different cohorts of vintage year one, year two, year three, greater than year three, and there's a cost to income for each cohort that we track. Obviously, our year one cohorts have the worst cost to income issue. So, that is what we will seek to moderate and improve our cost to income from here on. This year we should, we are at 60 for the quarter gone by, and I think this is as high as it can get, from here on it should keep getting better is my guidance. Regarding your first question, I have Ganesh – our CFO here, who will provide some color and clarification.

C V Ganesh: So, thanks for your question. I'll try to answer both, but first, see, so far, there was no visible cost advantage or prominent cost advantage for a PSL borrowing versus a non-PSL. So, we have been able to get equivalent rates on both. But we do see the opportunity given now the starker differentiation in risk weights to get a little more documentation because as you know, most of our lending, on-lending is MSME. So, with a little beefing up of documentation for the newer loans we take, we do see as the situation evolves, we see an opportunity to sort of evaluate a PSL kind of rate on this growth. I think the limited point Anil was trying to make so far, given that there was no rate differential or a major rate differential, we did not have that segregation. That being said, clearly right now with the rules being laid as they are, I think we are better placed than most other players to take advantage of the PSL rules and possibly mitigate some or most of the impact, which may occur on a sectoral level. Now the second question, I'll just maybe Fedbank Financial Services Limited
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give a minor clarification. See the OpEx increase you see has been to build muscle and not fat. We have stopped hiring. Or again, as I said, I think we are adequately staffed in all the mid and back office function. Most of the employee cost increases you would see would be towards increasing the tooth-to-tail ratio only. Now this quarter for example, we added 23 branches on the small ticket lab site to deepen our presence and penetration in geographies where we saw a larger opportunity from a risk reward ratio. Also, we have added 238 odd people on the ground, all front end sales and credit staff to avail of this opportunity. So, I think also as Anil mentioned, we are in the midst of a technology transformation exercise. So, all of these consciously we are aware that while we have been now put post listing into a quarter-by-quarter cycle, but there is an investment play which is also there. But that being said, I think much of the platform is built out. We see the drags on account of these coming down, material in a more pronounced way, and you will see the results of these in the forthcoming quarter.

Bhavik Dave: Perfect. That's helpful. And sir last question is on like what we are seeing in our books, like we have a reasonable amount of unsecured business that we've built over the last couple of years. Just wanted

to understand, and also the small ticket home loans and other products, just wanted to understand on the asset quality bit, are we seeing any signs of stress building up in terms of our unsecured business loans or anything that you are calling out, considering RBI has been talking about the consumption bit of unsecured? Any thoughts on how our book is spanning out? Any early warning indicators or anything that we're tightening just to be a little more conservative versus how the market is playing out? Just any thoughts on that?

Anil Kothuri: So, two questions you've asked, small mortgage and unsecured. Our small mortgage customers continue on an even keel. For them, the stressful event was COVID and they couldn't keep their businesses open and there was loss of demand, all that has bounced back. So, if anything, they're seeing better times than they did in the past few years. So, post-COVID, that has continued to get better quarter after quarter. The portfolio performance will continue to get better quarter after quarter. Now in terms of unsecured, the Reserve Bank's directions were regarding loans for consumption whereas the loans that we do are exclusively for working capital. Now this is colloquially called business installment loans or UBL, unsecured business loans in the market. And these have been in existence for about 25 years. So, it is a very established method of lending based on the borrower's documented income and followed by personal discussion and all that. So, we do this like any way else that is about 13% of our AUF and those loans again are performing better than they used to. There was a COVID related kind of shock, but after that they have been continuing to get better. We are not doing consumption. So, we are not.

Bhavik Dave: So, it's fair to assume that the bounce rates in this 30 DPD, 60 DPD are like broadly stable, right? Like what we are penciling in for. Is that a fair assumption?

Anil Kothuri: Yes, it is. In percentage terms, 30 plus is exactly what it was a year ago.

Moderator: Thank you. The next question is from the line of Sameer Bhise from JM Financial Limited. Please go ahead.

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Sameer Bhise: Thanks for giving me the opportunity and congrats on a steady set of numbers. Just wanted to

get product-wise yields on an incremental basis versus what were they 6 months or a year back.

Product-wise lending rates or yields?

Anil Kothuri: On gold loans, we are onboarding at 16 versus 15.75 a year ago. So, that has improved. Large ticket loan against property, we are onboarding at 12.52 versus 11.42 a year ago. Small loan against property, we are onboarding at 17.5 versus 17.1 a year ago. Business lending, 17.5 versus 16.9 a year ago.

Sameer Bhise: And secondly, the bump up on the yield this quarter is mainly due to some of the gains on co-lending?

Anil Kothuri: That's right. We sold down some bit of our portfolio, so there's a gain on sale, which adds to the interest income line.

Moderator: Thank you. We have the next question from the line of Prateek from Citi Group. Please go ahead.

Prateek: This is just a follow-up from my previous question with regards to the gold loans, which were classified as Stage-2 and substandard. Could you just tell me, are there any provisions created up here, source?

Anil Kothuri: There are provisions created in line with any Stage-2 gold loan that there is.

Prateek: Okay, so no additional provisions being created apart from as per the regulations?

Anil Kothuri: That's right, a Stage-2 gold loan, whatever provision is required is created.

Prateek: Just a follow up from the previous question. So, with regards to the business loans, you said what is the new yield for new originations?

Anil Kothuri: Yes, 17.5 I think is what I said.

Prateek: Versus 16.9 previously.

Anil Kothuri: That's right.

Moderator: Thank you. The next question is from the line

of Akash Jain from Vijit Global Securities Private Limited. Please go ahead.

Akash Jain: Congratulations on a good set of numbers. My question is regarding the guidance for ROA. As you said that operating leverage will kick in and cost to income ratio is likely to increase further, so what kind of guidance would you like to give us?

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Anil Kothuri: We discussed ROA in response to a previous question. I said that we are at a consistent 2.3, 2.4 over the past few quarters and with the addition of new capital and operating leverage kicking in, we should definitely cross the 2.5% mark and it should improve from here on.

Akash Jain: And sir my second question is considering the growth, then what kind of capital adequacy do you foresee say by FY25 and would you require additional capital?

Anil Kothuri: So, the landscape is changing quite rapidly. What we are doing is to try and make our capital last as long as possible. To this end, we are entering into co-lending arrangements and we also sell down bits of our portfolio every quarter. This is to ensure that our off-book portfolio comprises a reasonable part of our overall AUM so that the capital required is a smaller proportion of the AUM than otherwise. So, by doing all this, we hope to make the capital last as long as possible.

Akash Jain: And sir what is the expectation in terms of off-book AUM as a percentage of total AUM?

Anil Kothuri: For the quarter ended September, we were at about 14% in terms of off-book AUM and we have commenced co-lending only after the September quarter that coupled with our normal sell down program should take this number up rather than down is what I would guide.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi: I just have a couple of questions. So, firstly, since we've done a capital raise, would we still continue with our strategy to have a decent size of off-book in the overall scheme of things?

Anil Kothuri: Yes, we haven't raised an inordinately large amount of capital. When you look at the landscape, there are companies with a capital to AUM of 30%, 40%, 50% or even 60%. So, our tier one post the fund raise is about 21%, I think. So, our endeavor is to try and make this capital last as long as possible. So, you cannot start the off-book strategy and do it one shot when your capital is lower. So, we will attempt to do it consistently. That's how we will make the capital last as long as possible.

Shreepal Doshi: So, what percentage would we be trying to maintain as a strategy off-book loan book?

Anil Kothuri: So, we are at 14 right now and we will try and take it up from here on, okay, so maybe we will try and get to maybe 4% to 5% points higher than this.

Shreepal Doshi: So, one last question on the loan gold guidance. So, for FY24, FY25, what is the guidance that we are sort of having, or what is the target that we're keeping in mind?

Anil Kothuri: FY25. So, our endeavor will be to ensure an AUM growth of between 25% and 30%. 25% I'm comfortable guiding and like I said we have 4000 people coming to work every day and we have over 3 lakh customers who can be cross sold too, so there is a lot of work happening and we'll try and top that.

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Moderator: Thank you. Ladies and gentlemen, we have no further questions at this time. I would now like to hand the conference over to Mr. Shreepal Doshi for closing comments. Over to you, sir.

Shreepal Doshi: Thank you, Dorwin, once again. Thank you all for participating in the call, and we would like to thank the management of Fedbank Financial Services for giving us the opportunity to host this call. Thank you, everybody, and have a good evening.

Anil Kothuri: Thanks everybody for joining the call.

Moderator: Thank you. On

behalf of Equirus Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2024

Secretarial Department

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Ref. FEDFINA/ CS/ 36 / 2023 -24

To,

National Stock Exchange of India Ltd.,

Listing Department

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051 To,

BSE Limited,

The Corporate Relationship Dept.

Rotunda Building,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai- 400 001

Re: Scrip Code: 544027, Symbol: FEDFINA

Sub: Transcript of Earnings Conference Call held on Monday, January 15, 2024

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on January 15 , 2024 .

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.fedfina.com/> under the section ' Investor Relations ' in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully

For Fedbank Financial Services Limited

Rajaraman Sundaresan

Company Secretary & Compliance Officer

Membership No.: F3514

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"Fedbank Financial Services Limited

Q3 - 9M FY '2 4 Earnings Conference Call"

January 15, 202 4

MANAGEMENT : MR. ANIL KOTHURI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE DIRECTOR – FEDBANK FINANCIAL
SERVICES LIMITED

MR. C. V. GANESH – CHIEF FINANCIAL OFFICER –
FEDBANK FINANCIAL SERVICES LIMITED

MR. AMIT SINGH –INVEST OR RELATIONS – FEDBANK

FINANCIAL SERVICES LIMITED

MODERATOR : MR. ANUJ MOHATA – EQUITUS SECURITIES

Fedbank Financial Services Limited
January 15, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 / 9-month s FY24 Conference Call of Fedbank Financial Services hosted by Equitus Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Mohata from Equitus Securities. Thank you and over to you, Mr. Anuj.

Anuj Mohata: Thank you, Sir. Good afternoon everyone. I welcome you all to the Earnings Conference Call of Fedbank Financial Services to discuss the Q3 / 9-month s FY24 performance of the company. We have the senior management team with us, represented by Mr. Anil Kothuri, MD and CEO, Mr. C. V. Ganesh, CFO, Mr. Amit Singh, Head, Investor Relations.

I would now like to hand over the call to Anil sir for his opening remarks, post which we can open the floor for question and answer. Over to you, sir.

Anil Kothuri: Thank you, Anuj, and welcome to everyone on this call. We finished our board meeting a couple of hours ago and have declared our Q3 results. This was a profit after tax of INR654 million or INR65.4 crore s for the quarter. That's a 28% growth on a year-on-year basis.

Our return on assets was 2.5% and our return on equity was 14.3%. That was for the quarter gone by. Now, this was on the back of an AUM growth of 34% year-on-year. Our AUM in the quarter was INR107.1 billion. This AUM was because we had disbursements of INR33 billion for the quarter, which includes INR11.2 billion for non-gold and the remainder, which is about almost INR22 billion for gold. So, our disbursements have grown 24% year-on-year and 14% quarter-on-quarter.

So, we've seen some disbursement growth in the quarter gone by. As far as asset quality is concerned, our level of absolute GNPA's have actually declined by INR8.18 crore s and by 15 basis points quarter-on-quarter. So, our GNPA or gross stage 3 stand at 2.2%. The other important fact on asset quality is that we've taken up our LGDs on mortgage loans to 23% from the earlier 20%. So, we've taken up our provision by about 3% on mortgage loans. As a consequence of this, our overall PCR is now 24.5% and our net stage 3 is 1.7%.

During the quarter, we commenced co-lending on gold loans and the co-lending AUM stands at INR1.8 billion. We started this in December and in one month, we've covered about INR1.8 billion. We've also sold down our portfolios through direct assignment transactions. So, INR457 crore s was the total quantum of portfolios sold, the investor share of the portfolios sold.

The other positive development that has happened albeit after December 31st was the fact that our credit rating has got upgraded. We are now rated AA plus stable by CARE ratings. Now, this is a two-notch upgrade over the past 14 months.

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We used to be AA minus till December 22 and in December 22, we got upgraded to AA and January 24th, we got upgraded to AA plus. CRISIL has also rated us and we are rated AA positive. This happened in the first week of January.

So, the outlook for Q4 remains good and strong. Our disbursements have grown in Q3 and will continue to grow in Q4. And this is because we are now present in 17 states and union territories, 609 branches.

We added two branches in the quarter gone by. So, with that preamble, I'll open up for questions and Yes.

Moderator: Thank you very much. The first question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise: Yes, hi. Thanks for the opportunity and congrats on a good quarter. Anil

, I just wanted to

understand how do you see the ROA flow through for a co-lending model in gold? And also, what are the current rates of direct assignment that you guys are getting? These are my two questions. Thank you.

Anil Kothuri: The ROAs on gold will obviously be very high, Sameer. The reason for that is that it's two-fold.

The first is that our overall AUM goes up because we have access to a segment that we hitherto wouldn't cater to. Our yields on our gold loan are about 17.5% -17.75%. We've stayed anchored to that yield. Because we do co-lending, we are able to access customers at lower price points. Let's say we have somebody at 13.5%. The difference between 13.5% and 9.5% is 4%. 80% of the loan goes to the partner's book. 20% stays on our book. It is 4% into 5, which is 20% that you get on your own capital in terms of the spread alone.

That's in comparison with the normal 10% or 9% spread that you get on a regular home loan.

Obviously, it is ROA accretive, ROE accretive for the co-lending business. As far as our mortgage and unsecured DAs are concerned, the sell-down rate is approximately close to our cost of borrowing, which is why we pursued the sell-down strategy because it also releases capital, which we can re-deploy.

For unsecured loans, there's obviously a premium of 100 basis points over our current borrowing rates.

Sameer Bhise: Okay. How much of co-lending do we intend to scale this up to?

Anil Kothuri: We'll wait and watch the next quarter, but our intent is to take it up to as much as is possible because it is hugely capital-efficient for us. We will just see how the subsequent quarter goes and we will scale it up quite significantly.

Sameer Bhise: Okay. Great. That's all from my side. I'll come back in the Q&A space for other questions. Thank you and all the best.

Anil Kothuri: Thanks so much.

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Moderator: Thank you. Our next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan: Good evening and congratulations. My question is on the credit environment that you're seeing is it still robust, collection efficiency is holding up, and the provisions that you have made, you know, you've nudged up the loss-driven default. So, could you just explain the methodology around that? Those are my two questions. Thank you.

Anil Kothuri: Hi, Vivek. So, the first question first, the overall credit environment, I think, continues to be benign in that our collections are on track and we see our customers, you know, paying up. So, I have no additional point to make other than the fact that it continues to be robust.

Yes, the LGD, what happens is that we've had LGDs of about 20-ish percent thus far. So, what we've done this quarter is to take up the LGD on mortgage loans from 20% to 23%. We used to have a management overlay of 1%. Now, what we've done is to take the whole thing up to 23%. This is an annual, you know, refresh exercise that we do and we've done that and we've taken up to 23%, Yes.

Vivek Ramakrishnan: Thank you very much and wish you all the best.

Anil Kothuri: Yes, thanks.

Moderator: Thank you. Our next question is from the line of Madhuchanda Dey from MC Pro. Please go ahead.

Madhuchanda Dey: Hi, I have a question on your interest margin. Like, this quarter we saw a tad drop in interest margin, but as you mentioned that you have seen credit rating upgrades, it should have a positive impact on your borrowing cost. You are getting more aggressive through the co-lending in gold loan, which is also a high yielding segment. Given all these pieces and given that you have raised a lot of capital also, what is your take on interest margin going forward, maybe in FY25, if you could give us some color?

Anil Kothuri: There are three factors which will come into play in terms of

our interest margins on the coming

quarter or in the coming years. The first is the fact that our product mix will continually get enriched by higher yield products, okay, whether it is small mortgages or gold loans. So, that is point number one.

Point number two is that we will continue to do co-lending. So, therefore, there is lower capital and there is no interest cost to be paid on that. So, that is the second point. The third point is that we very recently got a rating upgrade. So, it will hopefully have a positive impact on our cost of borrowing. That is number three.

Against all of this, there is the fact that there has been an increase in risk weights over the past, what, month or so after the RBI circular. The effect of that is not yet played out. We also have money that we have raised in the IPO, okay, which, you know, we have seen the impact for only one month in the quarter gone by.

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So, we will see the entire full three -month impact in the subsequent quarter. So , that will also take up our margin. So, these are the different factors at play because of which I expect that we will reasonably maintain the current margins if not improve on them.

Madhuchanda Dey: Okay, I mean, as you rightly mentioned, this increase i n risk weight is going to increase your cost of bank borrowing, right? What kind of conversations are you having? What kind of increase in rates do you expect because of this?

C V Ganesh: So, can I come in here, Anil? Sorry.

Anil Kothuri: Yes, please go ah ead, Ganesh.

C V Ganesh: Yes, Madhu. So, we have had conversations with banks and we have reason to believe that we will come out relatively with a lower increase in rates than we had originally guided. And we also believe that we will come out with a lower increase in rates than the peer group.

Madhuchanda Dey: I mean, why is that? Because of your credit rating.

C V Ganesh: So, there are various factors, right? Please also note that currently, we are sitting as of 31st of December, we are sitting on ca sh and cash equivalents of about a little over INR1,500 crores.

Okay, we have the IPO money which has come in, plus we have our regular liquidity and investment.

Now, this amount would typically cover at least 5 to 6 months of disbursements in a normal year. So, we are sufficiently carrying liquidity. And I think it positions us well to have these conversations with the banks.

Also, the fact that our lending is non -consumer, it is to the MSMEs, that is also a strong point, which positions us well in thes e conversations. Yes, I am sorry, I cannot give you more guidance than this. But all of this will play out in Q4. And you will, I think when we come out with the full year results, you will get to see a little more data around this.

Madhuchanda Dey: Okay, I just one question, which is a little general question. Some of the other gold loan financing companies that we speak to, they have been saying that because of the increase in risk weightage on, you know, unsecured consumer loans, that could actually moti vate people to, you know, take gold loans, in case if they have surplus gold in their household. Do you see this factor playing out at all? Is there any kind of credibility to this kind of argument?

Anil Kothuri: Difficult to say, Madhuchanda. I'll tell yo u why. One hand, the kind of person who borrows against gold is completely different from the unsecured customer. So that is my intuitive understanding. The second thing is that once people begin to take on debt, they will need to, it becomes a lifestyle a nd they will need to substitute with other kinds of debt.

That is also a feature of the lending industry. So there could be some migration of unsecured to gold. But really, the kind of people who borrow small ticket unsecured is different from the kind of people who take gold loans. The customer

profile is different. So I think the impact may be there, but it'll be muted. That's my take.

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Madhuchanda Dey: At least you guys have not seen it so far?

Anil Kothuri: Yes, we haven't seen anything so far.

Madhuchan da Dey: Okay. Thank you. Thanks for all answering all my questions.

Anil Kothuri: All the best.

Moderator: Thank you. Our next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: Just a smal l question. How do you think about leverage, optimal leverage for the business? And what is the conversation with rating agencies on this?

C V Ganesh: So can I take this question?

Anil Kothuri: Yes.

C V Ganesh: Thank you. Yes. So Nischint, we are all said and done the subsidiary of a bank, right? And that means that from a financial leverage, while it is a hypothetical construct for most NBFCs, for us, it is a demonstrable lever. And our banking covenants permit us to go up to 6.5x to 7x over equity.

So tha t's the extent to which we can currently lever based on our partnerships with lending institutions. However, I think in the course of the, you know, the last few quarters, we have also embarked on a journey of, as we have put in our deck, delivery on stron g margins, strong ROAs, and strong ROEs. So what the whole securitization and co -lending program is to, help us allocate the equity we have to the higher yielding loans.

And at the same time, collaborate with partners who have access to lower cost of funds than us, to ensure that we do not vacate the other segments and are also making margins there without allocating equity. What that does is it permits us to travel far with a lesser amount of equity. So essentially, I think what we have demonstrated is wit h two things, one with the fresh equity rates,

as well as this monetization program of loans, we have like a solar charged battery, we have a borrowing substitute in the form of these two instruments, which should allow us to go much further with much less er gearing than what we had originally estimated.

And that is precisely why, and one of the bigger reasons why, all the rating agencies have taken a very positive or upgraded view on us, because they see us as being able to not only lower gearing over an e xtended period of time, but they also, at the same time, see us being able to generate stronger return metrics.

Nischint Chawathe: So I think that net, what we are saying is that maybe you can theoretically go up to 6x, 6.5x to 7x on balance sheet, and you can probably have another 20%, 25% outside of that. Is that a fair reading?

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C V Ganesh: That would be a fair statement, whether we choose to go there or not would be a choice on us.

But, I think we would have our own criterion from time to time. But yes, some of these levers are available to us.

Nischint Chawathe: So and the second question is on your coverage on Stage 2 and 3 loans, we're seeing a gradual inch up on a sequential basis. So is this sort of some revisit of estimated losses or is it to do wit h just the changing product mix?

Anil Kothuri: So, Stage 2 and Stage 3 have to do with product mix, yes, Nischint. Because as for each product, there is a certain model LGD that is required. So depending on the change in mix of by each stage, the ECL provi sion is an output variable.

Nischint Chawathe: And how many years of data have you considered for calculating LGDs? And then how frequently does this get revisited?

Anil Kothuri: So we refresh our LGDs every year. And we've been considering data since 2017. So how many years is that? That's about six years of data at this point in time.

Nischint Chawathe: So you'll consider data since 2017. And it's not like rolling six years, but, you know, keep on sort of,

you know, adding to the data. And you probabl y revisit it like, I mean, once a year, it's like typically fourth quarter, is it or like first quarter.

Anil Kothuri: So that's right. So this time, we've done it at the end of the third quarter. So 2017 to 2023 is six year data that we have. So on that b asis, we've worked our LGDs that you see on slide 37 of our Investor PPT.

Nischint Chawathe: Okay. So you have revisited something between the second and the third quarter. That's what my question was?

Anil Kothuri: That's right.

Nischint Chawathe: Okay. P erfect. Thank you very much and all the best.

C V Ganesh: Nischint, I'll just add one point, just to add a little more color to the optics around what you may see as the coverage on Stage 2 and Stage 3. Currently, 86% of our loan book is secured. Right.

And secured either by gold or property. And if you see the LTVs we have published, the LTVs on the properties in the range of 52% to 55%. And on the gold loans is 70%. So when you look and form a view on the coverage, please also consider the security covers we run with.

Nischint Chawathe: Yes, of course. No doubt. Thank you.

Moderator: Thank you. Our next question is from the line of Renish Bhuvra from ICICI Securities. Please go ahead.

Renish Bhuvra: Yes. Hi, sir. Just two questions from my side, one on the credit card side...

Moderator: Sorry to interrupt, sir. May we request you to use your answer, please? Your audio is not clear, sir.

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Renish Bhuvra: Am I audible now?

Moderator: Yes, sir. Please go ahead.

Renish Bhuvra: Okay. Yes, so just two questions from m y side. So one on the credit cost side. So if you look at the sequential movement in the ECL provision, so the net increase is hardly INR10 crores, INR11 crores, but our P&L provision is close to INR25 odd crores. So I'm assuming there will be some write -offs. So can you please throw some light on this write -off numbers, please?

Anil Kothuri: So, Yes, we have done a INR17 crores write -off in the quarter gone by. Yes. Okay.

Renish Bhuvra: Okay.

Anil Kothuri: Yes. So that includes mortgage loans, unsecured loa ns, as well as gold loans. So that's the number that we've done.

Renish Bhuvra: In Q3, you have done INR17 crores write -offs. Correct. What's the write -off in this quarter?

Anil Kothuri: Q3 is the quarter gone by. Yes.

Renish Bhuvu: Okay. Okay. Cool. And so going ahead, I mean, let's say the annualized credit cost, which stood at 0.9% or let's say 90 basis point in Q3, including these write-offs. So what should be the steady state credit cost? I mean, or if you can throw some light on the, let's say, write-off pool, which we might have as on Q3.

Anil Kothuri: Our sense is that the standard credit cost should be about 80 basis points. So that's what we will guide. Q3, we take these write-offs on a chunky episodic kind of a basis. So we chose to do some of it in Q3. So which is why the number is INR17 crores.

Renish Bhuvu: Got it. Okay. So should we assume this is a peak write-off, at least for this year?

C V Ganesh: So can I come in here, Rinesh?

Renish Bhuvu: Yes. Yes.

C V Ganesh: The fact that we have increased our PCR on the mortgage book, which constitutes over 55% of our total book, means that we have done a PCR increase on the entire stock in Q3. So it's like a one-time raising on the entire book. So in that sense, it's like not a frequent exercise. So like, for example, the same PCR in Q4 would be only on the incremental. So I think with that perspective, it should come back to a more normalized number towards the range which I indicated.

Renish Bhuvu: Got it, sir. And sir, my next question is on the, let's say, the AUM mix side. So clearly, when we look at PPT, incrementally, we are growing high lending book, which is your gold loan, the small ticket LAP. So what should be the id

le mix, let's say by FY'25 in terms of small ticket

LAP plus gold loan put together? And if that has to play out over the next four to five quarters, so where do you see the asset on yield settling and ultimately the NIMs? Because naturally, if we continue to grow our high lending book, that will have a positive impact on NIM. So how do you see this NIM profile internally?

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Anil Kothuri: Let's talk about the product mix first and the NIM separately.

Renish Bhuvu: Yes.

Anil Kothuri: Now we have three of our products which yield 17% plus, which is gold loans, small mortgage and unsecured loans. Now the proportion of medium ticket mortgage is lower and it is going to keep coming down.

Now, overlay on this, the fact that we are going to do co-lending, so therefore, your yields will be a little higher because you recognize only the spread on the book. Therefore, there is an upward bias to the yields for these two factors.

So I'm happy and comfortable guiding that our NIMs will be definitely there at the current levels and how much they will improve by we will be able to cost once we do the annual operating plan for the next year.

Renish Bhuvu: Got it. But so directionally, I mean, considering the recent rating upgrade, plus, considering the business model, wherein we don't have any sizable exposure to any unsecured PL, wherein the risk rate will come into picture when it comes to borrowing costs. So directionally NIM should improve, right? I mean, considering the yield mix change towards 17% yield book plus the rating upgrade?

Anil Kothuri: Yes, NIMs should definitely be at least at the current level, if not better. Yes.

Renish Bhuvu: Okay. That's it from my side, sir. Thank you.

Anil Kothuri: Thanks, Renish.

Moderator: Thank you. Next question is from the line of Bhavik Dave from Nippon India Mutual Funds.

Please go ahead.

Bhavik Dave: Hi. Good evening, sir. There are a few questions. One is just to have a little bit of the main point...

Moderator: Sorry to interrupt, sir. May we request you to use your handset, sir. The audio is slightly muffled, sir.

Bhavik Dave: Is it better now?

Moderator: Yes, sir. Please go ahead.

Bhavik Dave: Yes. Okay. Sorry. So just a little, just to dig a little deeper into the main argument, just wanted to understand what's our incremental cost of borrowing? After like, suppose we've got a rating upgrade, the incremental cost of borrowing, has it come down meaningfully for us?

Anil Kothuri: No. So the rating upgrade is only 10 days old, Bhavik, and we haven't done any borrowing since then. So there is no obviously impact as yet that is crystallized. But, give it a little time and I'm sure it will have the appropriate impact on our cost of borrowing.

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Bhavik Dave: Because when we look at the quarter-on-quarter cost of borrowing movement, it's like even if we've not borrowed quite a bit, the cost of funds increased from 8.5 to 8.7. That's a 20 basis point up move. Considering we had like capital benefit this time around, just trying to understand, are we like borrowing at a significantly higher cost today and that will come down post this upgrade? Like what was like maybe the incremental cost of borrowing before this upgrade? If I like ask that of it now.

C V Ganesh: So can I come in here, Anil, can I? Yes. So Bhavik, again, we cannot give out numbers which are not already in the public domain. But I'll tell you the argument for NIM expansion. Okay. Just before the equity rate, we were running at a leverage of 5.5.

Bhavik Dave: Correct.

C V Ganesh: September reported number was 5.45. By November, it had crossed 5.55 level.

Bhavik Dave: Correct.

C V Ganesh: As a result of the equity rate, the December, mentioned gearing is 3.69.

Bhavik Dave: Sure.

C V Ganesh: Okay. That is a significant drop in gearing.

Bhavik Dave: Correct.

C V Ganesh: Now from a NIM expansion, if you have more equity.

Bhavik Dave: Correct.

C V Ganesh: That also results in an expansion of net interest income. So that's point number one. Okay. Now on the borrowing side, the banks or our lending partners have always seen us as different from the peer group with the same rating.

Bhavik Dave: Okay.

C V Ganesh: Isn't it? So, you know, the impact of this would be in two ways. One, a AA plus gives us access to maybe funds which earlier had a threshold which would not permit them to invest in. So it gives us access to deeper pools of liquidity than what we earlier had. And per se on the market borrowing side, it opens up pools which were not earlier available to us or may have been available at a higher cost. Okay.

Now, when and how much this will play out is a little bit into the future. It will have to be seen.

As you know, right now, you know, RBI is tightening liquidity around bank lending to NBFCs.

And in line with our earlier guidance, you know, I think when the times are tough for NBFCs,

bank owned NBFCs like us come out with a better advantage than some of the other peers.

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I think that's the limited point we are making. And that should also help both from an availability and a cost of funding. On a relative basis we believe we will continue to enjoy those advantages, which will be further boosted by the upgrade.

Bhavik Dave: Understood. And second, sir, again, a question regarding your incremental growth, right? Like when we see our disbursement this quarter, the growth is significantly coming from small ticket and medium ticket LAP, right? Just wanted to understand from you, one is how is the yield or the competitive density in these segments because a lot of affordable housing companies are also getting a little competitive when it comes to LAP in the small and medium ticket. That's question number one. So yields on this product, how are they shaping up?

Second is on the business loans. When I see your last four or five quarters, the numbers that you've reported, the number is like hovering around this 300 -- sorry, 330 crores, 340 crores, 350 crores, 360 crores range. Any thoughts on this? Why are we not increasing the density or what's happening on this part of the loan book? That's question two.

Anil Kothuri: Sure. So, look, competition always exists, okay, but it is quite low in the small mortgage segment, okay? That's because we are present in several states, you know, 17 states, and there is nobody else who's present in so many states. There are regional players and there are players who go deeper into the market as opposed to wider like us.

So, therefore, there is less competition in the kind of ticket size that we cater to. The competition tends to be a little more concentrated and slightly smaller ticket sizes, INR8 lakh, you know, INR7 lakh, that kind of stuff. Our average ticket size is INR12 lakh, INR13 lakh.

Okay. So, the second point is that it's a reasonably virgin market and it's getting created as we speak, and my estimate is about 3% of the overall loan against property AUM is in this segment. And even this 3% has got created over the past maybe four, five years. That's my assessment. So, that's as far as competition is concerned.

Now, in terms of unsecured, we keep our originations calibrated to our risk appetite, okay? We want to keep less than 15% of our book as unsecured. The current number is 13% and directionally take this down.

Bhavik Dave: Okay.

Anil Kothuri: And our strategy is to originate and sell the bulk of this down. You'll notice on one of our slides,

Slide 25, that our percentage of book for unsecured has actually increased. It used to be 27% and now it's now 32%. A year ago, it was 13%. So, we have

these relationships and these pipes

in place now. So, we will take up our unsecured originations to feed the appetite of our buyers in future.

Bhavik Dave: Understood. And, sir, one more question is regarding the conversation around increasing our PCR or the ECS on Stage 2 and Stage 3. When I see your business mix increase is broadly more towards the LAP, the small and medium ticket LAP over the last nine months.

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So, in that context, what led to this increase? Because even after the increase, we're still a little lower than a lot of these affordable housing companies who do both housing and LAP in that 8 lakh to 10 lakh ticket size. You think this 24% -25% ECS we have on Stage 3 is good to go for now and we won't require any further change in this? Is that the way to think about it?

Anil Kothuri: So, what we have is the LGD on the entire stock and we do an annual refresh of the exercise of the entire stock. So, the most recent refresh was done using data ended November 30th. Okay.

On that basis, this is more than adequate. Okay.

Bhavik Dave: Sure.

Anil Kothuri: Now, obviously, we keep doing this every year and, you know, the number will either go up or down depending on how the portfolio and our collections have performed and stuff. Okay. So, that's the point about this. We've guided that we'd like to keep taking this up and we will keep taking the provisioning up with the passage of time.

Bhavik Dave: Understood. And, sir, last question is on your operating expenses. And like when I see your other operating expenses, X of employees, that remains flat quarter -on-quarter and we've seen like a healthy disbursement growth this quarter.

Just wanted to understand what's playing out here and what -- is this 56% cost to income that we've achieved, which is a big deal in terms of the quarter -on-quarter decline. Do you think that this is sustainable? Anything on the other operating expenses that we've been able to deliver this quarter?

How are you thinking about it? Like is 56% cost to income a reasonable number to work with?

Or do you think that maybe this was a one -off and it will like go back to that 58%, 60% odd level that we were at?

Anil Kothuri: So, I'll tell you the different moving parts here. Okay.

Bhavik Dave: Yes.

Anil Kothuri: So, last quarter, we had the IPO money for what, 20 days, 25 days or something. Okay.

Bhavik Dave: Correct.

Anil Kothuri: This quarter, we will have the IPO money for the entire quarter. Okay. So, obviously the income will go up to that extent. Okay. So, that is one moving part. The second thing is that normally your cost gets reset in the first quarter of the year and the impact of that increase happens in the first and second quarters. Okay.

Bhavik Dave: Right.

Anil Kothuri: That is now behind us. Okay.

Bhavik Dave: Right.

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Anil Kothuri: Q4 for everybody tends to be an extension of Q3 in terms of how the costs play out and stuff. Okay.

Bhavik Dave: Yes.

Anil Kothuri: For these reasons, I believe that the gains that we made will probably consolidate on those in the subsequent quarters.

Bhavik Dave: Okay.

C V Ganesh: Sorry. I'll just add one point to what Anil said. That is that we normally front end the branch expansion.

Bhavik Dave: Correct.

C V Ganesh: So, this is year, in the first half of the year, we added 34 branches to our small ticket LAP and affordable home loan network. So, in the last three years, you would have seen that we have grown from about 59 branches to about 172 at current count.

Bhavik Dave: Correct.

C V Ganesh: That's a significant increase in firepower for this high yielding product. Now, obviously there are new hires who have come in. We have done some reengineering of the construct in terms of

the credit and underwr

iting teams and so on. Now, this engine will slowly start firing with higher productivity. Right. And so that also will translate to an improvement in opex.

See, I think last time -- the last quarter when we guided, I think what we took pains to say is that we don't see this as a sprint, right? We see it as a marathon. We will not compromise on the build expense. We are in it for the long haul.

Bhavik Dave: Correct.

C V Ganesh: Right. We have to go far and we will build it surely but slowly, but very clearly. I think there is a commitment out there in terms of bringing down the cost to income in a gradual way. There are also economies of scale playing in, right? All of this will help us in the journey to optimizing opex to AUM and opex to AUF and consequently expansion of ROEs.

Bhavik Dave: Sure. But from a one-year or two-year perspective, this 5.5% that you have achieved this quarter, you think this will eventually trend down maybe in FY '25-'26. It will maybe improve by 10-20 basis point every year. Is that a fair assumption?

C V Ganesh: See, we don't want to put numbers out there. All we are guiding is gradual improvement in margin.

Bhavik Dave: Sure. Fair point. All right. Okay, sir. Thank you so much. Thank you.

Moderator: Thank you. Our next question is from the line of Shubhranshu Mishra from Phillip Capital.

Please go ahead.

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Shubhranshu Mishra: Hi, sir. Good evening. Thank you for the opportunity. Three or four questions. The first one is given the fact that we are focusing more on mortgages and we also have a substantial part of the gold loans. The 23% LGD is largely coming out of the mortgages because the LGD for gold loan would be lower. That's the first question. Second is...

Moderator: Sorry to interrupt, sir. May we request you to use your handset, sir? Your audio is not clear, sir.

Shubhranshu Mishra: Okay. One second. Hello. Is this clear?

Moderator: Yes, sir. Please go ahead.

Shubhranshu Mishra: Right. So, the first question is around the LGD. If you can spell out the LGD for each product because I think the 19%, 23% increase of the LGD my suspicion is that it's starting mostly because of mortgages.

The gold loans won't have such high LGDs. So, if we can spell out the LGDs also because we are taking six years of data for the LGD. So, when we roll it over the next few years, the COVID impact would also come off. So, should we see LGDs coming off in the next couple of years and we should see improvement in ECL coverage going forward?

And the third would be around opex. What sort of employee addition and branch addition are we going to look at in FY '25? We have had a sharp increase in the last three, four years. And if we can speak on the risk management in the unsecured as well as a small ticket LAP. Thanks.

Anil Kothuri: Thanks very much. I'll take your questions one after the other. The first up, you had a question on increase in branches. So, this year what we've done is to take up our small mortgage branches, whereas we focused on taking up the AUM in the existing gold loan branches. So, that's why our small mortgage branches have increased from 130 to 180 approximately. So, about 50-ish branches we've opened this year.

Now, every year when we make the annual operating plan, we firm up the expansion, whether it's for gold or mortgage, and that process is underway. So, specifically where we will add branches in the coming year, I will be able to talk about in the subsequent call. So, at this point in time, we are rationing out branches across these businesses, and we will firm that up by the end of the month.

The second thing is for gold, the LGD is 0.75%. So, that is what the model says. And obviously, there is nearly no loss to be had on the gold NPAs. That is transient, that gets created at 90 DPD and gets extinguished by 150 DPD. So, we

carry about 60 days of NPA on gold.

Now, in future, what will happen to the LGDs, well, it obviously depends on the collection performance in the current year, okay, and really what the translation of one bucket to the next is and how much we are able to collect and arrest. And most importantly, how much we are able to crystallize in terms of loss at the time of enforcement of collateral.

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But it's reasonably fair to say that there is a certain industry standard for mortgages, and we are

kind of there. Now, how much we will seek to provide against that is a matter of choice. The industry is at about 25% -ish, and we are at about 23%. So, there's not too much of a gap. Finally, in terms of risk management, I'll just encapsulate this in a nutshell. We choose our markets with some care and caution. We make use of data from the Bureau, as well as intelligence from the market and open up branches. We seek to populate our branches with people who have relevant experience in the same geography so that nuances of either property or business in a specific location are understood, and individual learning translates into organization learning.

We have a standard personal discussion template, okay, based on which there is -- there are decisions made. Essentially, what we do is to try and ascertain the individual's income for mortgage loans as accurately as we can. We seek to triangulate it using various data points, which is to say that if he has a certain surplus every month, we try and see what he's done with that surplus -- the past year or the year after and use that to validate our assessment. We have a salesperson, a credit person, and a collections person in each branch so that we are able to optimize our performance on all three vectors.

As far as unsecured lending is concerned, we lend only to customers who have declared income on their documents, okay. Typically, these customers are P&L, balance sheet, tax returns, audited financials, and about 30% of our customers are objective rejects, and the remainder are subjective rejects, and that's the way this works. So some data regarding the quality of the book is provided on slide 34 with regard to the kind of score bands of customers that we lend to. Yes, so this is a bird's-eye view of our risk management.

Shubhranshu Mishra: If you could just spell out one question that's unanswered, what's the LGD product-wise?

Anil Kothuri: Product-wise, LGD, mortgage is 23, gold is 0.75, and unsecured, we write off at 90 DPD, Yes.

Shubhranshu Mishra: Understood, sir. Thank you so much. I'll come back and declare.

Anil Kothuri: Yes, you're welcome.

Moderator: Thank you. A reminder to all participants, you may press star and one to ask a question.

C V Ganesh: Ladies and gentlemen, to ask a question, you may press star and one.

Moderator: Thank you. We have a question from the line of Sagar Doshi from Fintuit Investments. Please go ahead.

Sagar Doshi: Yes, so basically, just wanted to know, like, we are on a small page as of now, and looking at the leverage that we can pull off. What is the growth rate that could be expected, let's say, a year or a further two years period from now on?

Anil Kothuri: So you look at our past, we had a INR1000 crores of retail AUM in FY' 18, and as of right now, we are at just shy of INR11,000 crores. Okay, the opportunity is vast. We have all the resources, Fedbank Financial Services Limited
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branches, employees, as well as capital and the ability to raise debt. So from here on, I'm happy guiding a compounded growth rate of 25%, and we will try and top that.

Sagar Doshi: Okay, and any other new products that we may go in, apart from what we are doing?

Anil Kothuri: No, for the foreseeable future, we will optimize our performance in the products that we offer right

now, and we will refine our current operating model for superior results.

Sagar Doshi: Okay, thank you.

Moderator: Thank you. Our next question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Hi, sir. Thank you for taking my question again. Which part of the book are we going to do the Co-Lending in? And second question is, how do we differentiate our gold loan portfolio from our parents' gold loan portfolio? Thanks.

Anil Kothuri: Currently, we have Co-Lending arrangements for gold loans. Okay, and that has got tested through the month of December, and we're going to scale that up in the coming quarter, okay.

As far as our parent Federal Bank is concerned, they lend to a different segment of customers, their average ticket size is between three and four times our average ticket size, and their average yields on the portfolio are also significantly lower than ours.

Look at the previous quarter's investor deck, you'll see that their yields are, I think, about 10.15% or so, okay, our yields on the gold loan portfolio are upwards of 17.5%. So, we cater to a completely different customer base in different geographies. So, it's different.

Shubhranshu Mishra: Understood. Thank you so much, sir.

Anil Kothuri: You're welcome.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question and answer session.

As there are no further questions, I would like to hand the conference over to Mr. Anuj Mohata for closing comments.

Anuj Mohata: Yes, thank you, Zico. Once again, thank you all for participating in the call, and we would like to thank the management of Fedbank Financial Services for giving us the opportunity to host

this call. Thank you, everybody, and have a good evening.

Anil Kothuri: Thanks, guys. Have a good results season. Thank you, again.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Secretarial Department

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May 02, 2024

Ref. FEDFINA/ CS/ 1 03/ 2024- 25

To,

National Stock Exchange of India Ltd.,

Listing Department

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Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051 To,

BSE Limited,

The Corporate Relationship Dept.

Rotunda Building,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai- 400 001

R

e: Scrip Code: 544027, Symbol: FEDFINA

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ub: Transcript of Earnings Conference Call held on Monday, April 29 , 2024

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ear Sir/Madam,

P

ursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on April 29, 2024 .

T

he transcript of the earnings conference call shall be uploaded on the website of the Company at

<https://www.fedfina.com/> under the section ' Investor Relations ' in due course.

T

he above is submitted for your kind information and appropriate dissemination.

Thanking you,

Y

ours Faithfully

For Fedbank Financial Services Limited

R

ajaraman Sundaresan

Company Secretary & Compliance Officer

Membership No.: F3514

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"Fedbank Financial Services Limited Q4 FY 2024
Earnings Conference Call"

April 29, 2024

MANAGEMENT : MR. ANIL KOTHURI – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER, FEDBANK FINANCIAL SERVICES

LIMITED

MR. C.V. GANESH – CHIEF FINANCIAL OFFICER,

FEDBANK FINANCIAL SERVICES LIMITED

MR. AMIT SINGH – HEAD (INVESTOR RELATIONS),

FEDBANK FINANCIAL SERVICES LIMITED

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

Fedbank Financial Services Limited

April 29, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Fedbank Financial Services Limited Q4 FY'24 Earnings Conference Call, hosted by Equirus Securities.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal the operator by pressing the “*” then “0” on your touchtone phone. Please note that the conference is being recorded.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Steve. Good afternoon, everyone. I welcome you all to the 4Q FY'24 Earnings Conference Call of Fedbank Financial Services.

Today we have the management team of Fedbank Financial Services represented by Mr. Anil Kothuri – MD and CEO; Mr. C.V. Ganesh – CFO; and Mr. Amit Singh – the Investor Relations Team Head.

With this brief introduction, I will now hand over the call to Mr. Anil Kothuri and the management team for their opening remarks, post which we can open the floor for question-and-answer. Over to you, sir.

Anil Kothuri: Thanks, Shreepal. Good evening, everybody, and welcome. I hope you have had the opportunity to look at our Results and our Investor Deck, which were uploaded about an hour and half ago on our website as well as on the stock exchanges.

This is a busy time of the year and we have completed an active quarter in what has been a busy year. And I will just take you through the highlights of the quarter:

We saw a strong AUM growth in the quarter, 14% increase over the quarter gone by. Our AUM closed at Rs. 12,191 crores. This is up from Rs. 10,748 crores at the end of Q3.

Now, this happened on the back of disbursements of Rs. 4,337 crores. If these disbursements are split as gold loan disbursements of Rs. 2,849 crores and installment loan disbursements of Rs. 1,488 crores. So, this takes disbursements for the year to Rs. 13,579 crores, of which Rs. 4,202 crores are installment loan disbursements. So, this is the growth that we saw in Q4.

I must particularly call out what happened to our gold loan business. The AUM there registered a 17% quarter-on-quarter increase. So, we closed our gold AUM at Rs. 3,969 crores, so that's 17% quarter-on-quarter and 33% year-on-year. The tonnage of our gold or the weight of gold that we have in our vaults is about 9.5 tons at this point in time.

Now, on the back of all this, we recorded a net profit for the year of Rs. 244.7 crores. And for Q4 it is Rs. 67.7 crores. So, our profit for the year is up 36% over the previous financial year, and our profit for the quarter is up 73% year-on-year and 3% quarter-on-quarter.

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Our asset quality also improved during the quarter. We ended Q3 at about 2.2% GNPA and Q4 we closed at 1.66% GNPA. So, that's a reduction of 53 basis points over the quarter, or in absolute terms we reduced by about Rs. 29.3 crores. Now, this reduction of Rs. 29.3 crores was largely owing to the fact that we sold a large NPA account to an ARC that was worth Rs. 23.9 crores. So, Rs. 6 crores is the reduction that we have seen over and above the ARC sale that we have done. The sale that we have done has been at whatever price that we have been carrying the asset at on our books, so there has been no gain or loss owing to that sale, it just deflated our GNPA and released our capital.

Now the progress on our off-book strategy has continued, and our off-book AUM went up from 17.4% the previous quarter to 18.7%. Now, the kind of off-book that we did change in the quarter, this quarter's off-book was largely gold loan co-lending, and that went up from Rs. 176 crores at the end of Q3 to Rs. 522 crores at the end of Q4, so that's about Rs. 350-ish crores that we have

added to our co-lending book in the quarter.

We expanded our distribution further by adding 12 branches in the quarter, taking our total branch count to 621. And while I did mention in the last call, since it's a Q4 event I will mention it again, we have received a rating upgrade. We are rated AA+ by CARE and India Ratings, and

CRISIL has assigned us a long-term credit rating of AA with a positive outlook.

Finally, the ROA for FY'24 is 2.4%, ROE is 13.5%. The corresponding numbers for Q4 are 2.5% and 12.2%, respectively.

So, with that brief preamble I will open up for questions now, and we can discuss any aspect of the business you'd like me to address now.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sneha Ganatra from SNUD Life. Please go ahead.

Sneha Ganatra: I just wanted to know, first question is, how do you see the growth going ahead? And any internal target of the mix which we are focusing? And regarding the gold loan also, considering the continuous uptick on the prices, how is the momentum or the growth path we are seeing going ahead for the next fiscal year?

The second question is, what is the branch expansion strategy? And any internal target of the cost-to-income ratio which we are targeting? And any operating leverage benefit which we expect could be occurring in the upcoming years also? And I would like to know what your guidance on the impairment cost is going ahead?

Anil Kothuri: That's five different questions, and I will attempt to answer them in order. The impairment cost, we believe, on a sustainable basis will be something like 80 basis points. So, that's what we are comfortable guiding ahead. That is question one.

Question two is that we believe that from where we are, we should be able to comfortably grow at a rate of 25% plus. And we will take advantage of any tailwinds that the environment affords us from time to time. Like in the previous quarter we saw that the gold loan business had some

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advantages going for it, including an increase in gold loan prices. So, that is something that we are comfortable guiding.

Now, with regard to the mix, we are a lender to small businessmen, and we are seeing a far greater traction in our small mortgage business. That's also has the highest behavioral tenor of all our products, so which is why, with the passage of time, it will continue to dominate our balance sheet.

Now the other two installment loan products that we have, which is medium-ticket mortgage and unsecured, we have less than 250 people deployed to both these businesses put together. So, whatever we originate there, we will warehouse on our balance sheet for six months, which is the minimum period, and one or two months after that we will sell down. So, that is the strategy pertaining to the other two businesses.

You would have seen evidence of this in our Investor Deck, Slides #24 and #25. As a percentage of on-books, the small mortgage business is up from 24% to 29% in the current year, and that trajectory should continue in the foreseeable future. That's as far as the product mix is concerned.

So, I hope I've answered all your questions, Sneha.

Moderator: So, the current participant line has been disconnected. We will move on to the next question.

The next question is from the line of Renish from ICICI. Please go ahead.

Renish Bhuvra: Congrats on a good set of numbers. Just two questions from my side, one on the disbursement yield side. We have seen across the market; disbursement yield fell by almost 40 basis points to 50 basis points on a sequential basis. So, what is going on? I mean, since we are growing our AUM at 14-odd-percent, is this because of that? Or there is, let's say, increased competition is leading to the moderation in disbursement yield?

Anil Kothuri: So, the yields on a per

product basis continue to hold, Renish, okay, whether it is gold loans or small mortgage or medium ticket mortgage or unsecured, the yields on a per product basis continue to hold. Any changes that we see are owing to the changes in the mix that we would have seen in the quarter. That's basically it.

The second factor affecting yields, as calculated, would be the fact that we have embarked on co-lending for our gold loan business. So, that is where we recognize interest income as the spread, as opposed to the entire yield that we charge the customer. Or to give you an example, if the customer rate is 15% on the co-lend portion of the portfolio, we only recognize 15% minus, say, 9%, 6%. So, that is the only difference. But otherwise, I can confirm that on a per product basis the yields have held across the spectrum.

Renish Bhuvra: And second question, again, on the loss on the direct assignment portfolio. Now does it mean that the asset quality for the already assigned portfolio has deteriorated, and hence we have to compensate for that. Or how one should read the loss on the net gain on assigned portfolio versus Rs. 160 odd crores of net revenue last quarter?

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Anil Kothuri: It's Rs. 16 crores, actually, last quarter. This is a net gain. The way this works, and I'm sure you know this is that, on what you fell down in the current quarter, there's an upfront gain that you book. And if it is down in previous quarters, there's a negative to the portfolio, owing to the unwinding of the gain that you booked. Okay?

Now in quarters two and three, we had sold down a lot of our portfolio, especially because we were getting into an IPO, and the date of the IPO was far from certain. In the month of September '23, our debt/equity had actually touched 5.8%. Okay? So, we sold down quite aggressively in Q2 and Q3.

In Q4, our appetite for off-book was met through the co-lending route, okay, so which is we only sold Rs. 284 crores. Okay? So, as a consequence of that, the unwinding and the upfronting kind of cancelled each other out. We had a negative of about Rs. 15 lakh or so in that quarter. So, had we stuck to the same trajectory of sell-down as Q3, we would have made, let's say, Rs. 16 crores more in this quarter. But from a commercial standpoint it did not make sense doing it, especially because we were flushed with funds post-IPO and our co-lending arrangements had fructified.

Renish Bhuvra: And just a last question from my side on the cost of borrowing front. So, if you can throw some light on, let's say, the blended cost of borrowing for this quarter and the incremental cost of borrowing in current quarter?

Anil Kothuri: Sure. I will let Ganesh answer that, our CFO, he will answer that one.

C. V. Ganesh: Yes. Hi, Renish. Thank you for the question. So, see, on an overall basis, as you would know, in quarter three RBI had increased risk weights on bank lending to NBFCs. As a result of that, there has been a small increase in our cost of about 10 bps, 12 bps in terms of the blended cost of funds. But that being said, post our credit rating upgrade, we have been able to tie up incremental commitments at rates reasonably lower than the blended cost of funds, which gives us confidence that slowly but surely the cost of funds, we have seen the peak, and they should start coming down from here.

Renish Bhuvra: Would you like to give the numbers?

C. V. Ganesh: It's not in the deck. I would be a little hesitant to do that, Renish.

Moderator: Thank you. The next question is from the line of Mr. Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi: Sir, my question was pertaining to margins. So, as you highlighted to the earlier participant that yields are broadly sticking where they were, and COF is likely to have peaked out. So, is it fair to assume that we will be able to hold NIMs at current levels?

And if not, then what is the guidance that we have for FY'25 and FY'26?

Anil Kothuri: So, from where it looks right now, our customer yields should stay at the current levels. Okay? The wisdom that we have received on the trajectory of interest rates is that the rate cuts will be more back-ended than front-ended during the course of the year, which is why we believe that Fedbank Financial Services Limited

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our cost of borrowing will also stay sticky during the course of the year, which is why we believe that our spread will stay constant. The only thing that will increase the spread is that if we do more co-lending for gold, which is what we are in a quest for, our spreads might increase from here on. That really is the way this will work in the course of the current year. Of course, if interest rates correct sooner than we expect, then that's a benefit that we all have.

The second factor I would like to overlay is that we have a large gold loan book, and our AUM is positive based right from the first bucket itself. So, we have the inflows to borrow short-term. As of the end of March, we have zero commercial paper, zero short-term borrowing. So, I believe that before the long-term interest rates correct, there will be liquidity, and the short-term interest rates will ease. That will give us a chance to borrow at the shorter end, so then that could depress our cost of borrowings, resulting in higher spreads. So, that's how I think it will pan out.

C. V. Ganesh: In terms of new business originated, we have had a phenomenal Q4. In fact, we disbursed approximately Rs. 1,000 crores more than our best quarter till date. The only challenge was that much of that business was back-ended towards the end of the quarter, which is why when you arrive at a mathematical yield, there is an optical illusion there, which suggests a meaning which is not actually there. When you see the income coming out of that in Q1 of this year, it may lead to a positive surprise.

Also on the gold loan business, there are these twin tailwinds of the gold price rise as well as one of the peers possibly going slower, which also explains why we have had a phenomenal quarter for gold loans. I think the team is geared up to be much more aggressive in that product. So, all of this gives us a lot of confidence entering the new fiscal year.

Moderator: Thank you. The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise: I just wanted to understand or hear your thoughts, especially in context of the greater regulatory scrutiny with respect to the gold business, how are you positioned and your thoughts on the same

with respect to how tightening or how tighter have your processes been. Some details there would be helpful.

Anil Kothuri: So, Fedfina has been doing the gold loan business since 2011, okay? And we have been audited every year since then. It's also pertinent to note that we are audited by RBI Trivandrum as opposed to RBI Bombay, and the large gold loan companies are all audited by RBI Trivandrum, okay? So, in audits year-after-year our practices have got scrutinized, we have got feedback, and things have moved on.

And obviously, recently there has been a lot of regulatory action, and there has been information coming in about what the regulator has said and what practices exist and stuff. So, internally we have also gone and checked as to where we stand to all this. All these issues have got discussed, and from our standpoint, got addressed several years ago, mostly pre-COVID and stuff. So, all of what the regulator has said and which has been in the public domain in the months of Feb and March is really quite old hat for us, okay? And we are reasonably robust from that standpoint.

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So, our understanding of the regulations, our adherence to those regulations, as

well as our

execution of the gold loan business where absolutely everything gets run out of the system right from KYC to training people to auditing to managing the auctions, doing the auctions at taluka level, district level, the periodicity of those auctions, the fact that we auction on a per-customer basis, all of that is done and dusted for us. And I'm happy to confirm that, yes.

Sameer Bhise: Great. This is comforting. Also, just wanted to understand in terms of seasonality, how would the business look, say, given that we had a very strong Q4 in terms of growth, do you expect exceeding those in the near term in terms of disbursements? Or do you think that there could be a meaningful dip in the near term given the way the business is shaped?

Anil Kothuri: Our gold loan business has a few different variables which drive growth, one of which is the price of gold. And we saw the price of gold increase in the previous quarter. We believe that impact will last till the mid of May, given that we take the 30-day average of price of gold, that's regulatory how your lending rate is calculated. So, the previous growth will trickle in to the middle of May or so. So, we are in a good place there.

The second thing, obviously, is the progress of opening branches. And we did not open branches last year. And we intend opening up a few branches this year. So, this is the second thing that will take up our AUM. The third is obviously productivity. Now, last year our AUM per branch started at Rs. 6.3 crores per branch and we closed at Rs. 8.7 crores. So, we have had a ramp-up in productivity. We've also had a ramp-up in the amount of new gold that's coming to our vaults over the previous years. So, all of these factors contribute to the increase in gold AUM.

I believe that for the current quarter there seems to be an upward bias in the price of gold, so that should contribute. And that should counter away the fact that seasonally Q1 is a weak quarter.

The second factor is that one large player is still not disbursing loans. So, whether it's Fedfina or anybody else doing gold, they will see some overflow of demand coming there. So, Q1 will be a good quarter for gold based on all of this. But I don't think it will be comparable to Q4. In Q4, we saw an AUM increase of Rs. 556 crores, I think, for gold. We won't see that kind of increase this quarter. But it will be a reasonably good quarter is my estimation.

Moderator: Thank you. The next question is from Nirmal Bari from Nuvama Asset Management. Please go ahead.

Nirmal Bari: My first question is, if you can give the slippage and write-off numbers for the current quarter and the full year.

Anil Kothuri: We're just getting that. And while we get that, do you have a second question?

Nirmal Bari: Yes. Actually, I would like to understand a bit more on the net gains on direct assignments side. I understand that an earlier participant had asked the same question and you had said that unwinding of discount led to this. But an unwinding of discount should lead to a positive number being added, right, because we are discounting like till Q3 in this case, and then that unwinding should add a positive number. Shouldn't that be the case?

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Anil Kothuri: I will just explain giving you a numerical example, okay? Let's say in a certain quarter, Q1, you sell Rs. 100 crores and you book a Rs. 10 crores gain on sale, okay? That is essentially the discounted cash flow of the future receivables, assuming a certain prepayment rate and all of that. You discounted a certain rate. That is your gain on sale. At the end of Q1, you say that this is what it is, and that's the gain you book.

At the end of Q2 what will happen is there will be some repayments, prepayments and stuff.

Let's say your Rs. 100 crores portfolio comes down to Rs. 95 crores, okay? Then at the end of

Q2 you again estimate what

the present value of your discounted future cash flows is. That number will obviously be less than what you estimated at Q1, okay, because your portfolio is lower. Now that difference you charge off to P&L, and that is the unwinding that I was alluding to. So, while you have a gain on sale in the quarter that you book the transaction, in every subsequent quarter you have an unwinding of that gain on sale, so that when the transaction gets nullified you're done and dusted. So, that's basically how it works.

What happened in Q4 was that we did a lot of direct assignment transactions in Q2 and Q3 because, like I said, we did not have visibility to the IPO, and we wanted to secure our debt/equity ratio. And that unwinding is what hit us in Q4. And the gain on sale just about compensated for the unwinding that hit us, okay, which is why it was a negative Rs. 15 lakh as opposed to a positive Rs. 16 crores in the previous quarter.

Nirmal Bari: And what was the total quantum of direct assignment done in this quarter?

Anil Kothuri: There are Rs. 284 crores.

Nirmal Bari: And my final question is, again, a data-keeping question. On the credit cost, if you can give us a split of current quarters and full-year credit cost between standard asset provisioning, NPA-related provisioning and the write-offs.

Anil Kothuri: Sure. First, I will give it to you for the entire year then. For the entire year we have had an ECL impact of Rs. 6.5 crores, okay, write-offs of Rs. 73.6 crores, and a recovery of bad debts of Rs. 14.2 crores. So, the net of all these numbers is Rs. 65.9 crores, which is the total credit cost that we had over the course of the year. The corresponding numbers for Q4 are write-offs of Rs. 28.86 crores, recoveries of Rs. 3.3 crores, and an ECL of Rs. 7.83 crores, giving us a net of Rs. 17.73 crores.

Nirmal Bari: And this Rs. 28.86 crores would include the large account that we sold to ARC?

Anil Kothuri: That's right. It would include the large account that we sold to ARC, yes.

Nirmal Bari: And the first question on slippage, if you can give that number, I think.

Anil Kothuri: We will just get back here. We will go through the question, and we will just get back.

Moderator: Thank you. The next question is from the line of Pranav Gupta from Aionios Alpha Investment Advisor. Please go ahead.

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Pranav Gupta: Congratulations on a good set of numbers. A couple of questions on the cost side. So, we have seen overall OPEX remain steady for this quarter. I mean, flattish if you compare it on a Q-o-Q basis. Could you talk about two things? One, where we are in the journey of transitioning of the Salesforce? And secondly, is this an indication of some of the operating leverage coming in, or is it just a function of the back-ended growth? That's the first question.

Anil Kothuri: So, I will talk about Salesforce. Salesforce has gone live, and we did a pilot in 10 branches, to start with. We will take -- 20 branches, sorry, to start with. And we are observing how it works, and then we will expand it to the rest of the business. Okay? So, that's where we are on our Salesforce journey. And that has happened in the month of April. Okay? So, that's as far as Salesforce is concerned.

Now, otherwise, on our expense journey, we believe that our expenses will not increase significantly here on in proportion. Our expenses are directly linked, 90% of our expenses are anyway directly linked to originations and underwriting. And the platform costs are much, much smaller. So, whatever expenses we incur has to do with the origination. So, the trajectory of these will ebb and flow with how much we originate.

Now, for the year gone by, we were at a cost-to-income of about 58-ish-percent or a cost-to-AUM of 5.2%, okay? Now, that is down from, I think, 5.6% a year ago. So, we want to keep making progress on a cost as a proportion

of AUM, and improve that by maybe 30, 40 basis

points during the course of the year. That is where we are.

C. V. Ganesh: So, I will just add maybe a couple of numbers from a quarterly improvement in OPEX here on.

See, as of quarter three, okay, our OPEX as a percentage of average loan book has gone down in Q4 by 30 bps, Q4 over Q3. So, OPEX as a percentage of average AUF has improved 30 bps, okay, Q4 over Q3. Now as Anil articulated, given that we have a program of selling of some part of what we originate, this improvement would be a little more material when you look at the OPEX-to-AUM. So, there again, our OPEX to average AUM has shown an improvement of 40 bps quarter-on-quarter, Q4 over Q3, right? Now that being said, typically in Q1 you have employee-related costs, which is a step-up in salaries and all that which come in. But the way these metrics are moving, this gives confidence that we are on the right path and the trajectory is downwards.

Pranav Gupta: Just wanted to understand two things, mainly on the other expenses bit. That's sort of remained flattish for the last three quarters or so, if I look at it on an absolute basis. Is this an indication

that from here on we might see that that group might not sort of match up to the AUM bit? That's the first bit.

Second is, obviously, we understand that given the fact that we are transitioning from having a slightly lower share of AUM off-book to a higher share, cost-to-AUM will move down faster. But if you look at cost-to-assets as well, that's even an improvement. Should one expect that improvement to continue through FY'25 as well? That is what I was trying to figure out.

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Anil Kothuri: I did not get your first question, Pranav. The second bit I did, but I did not get your first question. Please repeat it.

Pranav Gupta: So, if you look at other expenses of the line item, the lines have sort of remained flattish over the last three quarters. From here on, should we expect that probably other expenses growth is in line with either expansion of branches or much lower than AUM growth? Or is this just something that has stayed here for a bit and then will start in line with AUM again?

Anil Kothuri: There are two large components of the other expense lines. One is what we invest on technology, and the second is the leases that we pay for our branches. Now, this year we have opened 50 small mortgage branches, so the expenses have gone up in line with that. And we have also done development of our new LOS, which is Salesforce-based. So, those are the two items of expense that we have incurred. So, next year we will open branches so, obviously, the lease expenses for those will happen. But otherwise, I think they will stay reasonably range-bound. There is no other head of expense that will increase. So, our other expenses are linked to, you can say, branch expansion. And that's the only thing that will impact this over the coming year.

Your second question was about cost as a percentage of assets. The trajectory of costs will not increase as quickly as the trajectory of assets. So, we should see this coming down also just the way cost as a proportion of AUM will come down.

Pranav Gupta: Just one last bit, could you give the break-up of other income?

Anil Kothuri: The break-up of other income. I will just tell you what this other income includes. Broadly, it is income that we get for distribution of Federal Bank products and marketing activities that we do, profit on sale of G-Secs, net gain on sale of fair value charges. So, all of that is what other income is composed of.

And I have the breakup of our credit cost. So, we started the year with a Stage-3 of Rs. 164.5 crores. We added Rs. 116.9 during the course of the year. We reduced Rs. 89 crores and wrote off Rs. 26 crores and giving us a closing balance of Rs. 165.28 crores during the course of

the

year. Okay? So, between last year and this year we have added less than Rs. 1 crores to our Stage-3.

Moderator: The next question is from the line of Kunal Khudania from DSP Asset Managers. Please go ahead.

Vivek Ramakrishnan: Hi, this is Vivek here. My question is on the cost-to-income. I joined the call a little late, so sorry if we had already answered it before. Is there a cost-to-income ratio or a cost-to-AUM ratio that you're guiding us to? And another tricky way of asking the same question is, for a mature branch what would be the cost-to-income or a cost-to-AUM?

Anil Kothuri: For the year gone by, we had a cost-to-AUM of 5.2%. We believe that in the coming year it should be better by between 30 basis points and 40 basis points. Okay? So, that is the answer to part one of your question.

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Part two of your question, we do have metrics depending on the kind of branch that we have, but the metrics are not cost-to-income. They are more about the absolute cost that we want to incur in each branch in relation to the AUM of that branch. And these are different for different kinds of branches, there are gold loan branches, non-gold-loan branches. There are historical branches in South India which were architected to be of a certain size, and rest of India branches are a little bigger because the AUM per branch in the rest of India is a lot bigger. So, there are different dynamics and particulars. But to abstract this at a slightly higher level, I think how you should look at us is that we were at 5.2% on a cost-to-AUM, and that should improve by 30 basis points, 40 basis points during the course of the year.

Moderator: Thank you. The next question is from the line of Harshvardhan Agrawal from Bandhan AMC. Please go ahead.

Harshvardhan Agarwal: Just wanted to understand the amount of sell-downs that you have done in Q2 and Q3, this is just to understand the negative BA income that you have got. So, just understand that flow, if you can help us with that.

Anil Kothuri: Harsh, you will find this on Slide 40 of our Investor Deck. In Q2 we sold down Rs. 527 crores.

In Q3 we sold down Rs. 457 crores. In Q4 we sold down Rs. 284 crores.

Harshvardhan Agarwal: So, basically this Rs. 1,000 crores roughly that we sold down was yielding us Rs. 15 crores income on a quarterly basis. Is that correct?

Anil Kothuri: Well, each quarter we disclose the net gain on sale that we get, which is upfront minus unwinding. For Q4, those numbers exactly cancel themselves out.

Harshvardhan Agarwal: So, sir, what I am trying to ask is, this Rs. 285 crores that we sold in Q4, would have yielded somewhere around Rs. 15 crores, Rs. 16 crores. And the unwinding of the Rs. 1,000 crores of the previous year were around Rs. 15 crores, Rs. 16 crores?

Anil Kothuri: Yes, the upfront during the fourth quarter was Rs. 16.5 crores, the unwinding was about Rs. 18 crores. So, that's how we got a negative Rs. 1.5 crores.

Moderator: Thank you. The next question is from the line of Mayank Mistry from JM Financial. Please go ahead.

Mayank Mistry: Sir, my question is on the average ticket size of medium ticket LAP, which we have mentioned on Slide #18 as Rs. 67 lakhs. So, basically last quarter it was at around Rs. 49 lakhs, which have increased significantly to Rs. 67 lakhs. So, what explains this significant growth? I mean, is there a major sell-down, or is it only on the fresh disbursements? Can you please explain this?

Anil Kothuri: So, what we did was we previously used to restrict this business up to a ticket size of about Rs. 1 crores, we now let them go up to Rs. 2 crores. So, that is what explains this inflation in ticket size between the last two quarters.

Mayank Mistry: So, this is the on-book average ticket size of medium ticket, right?

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Anil K

othuri: That's right.

C. V. Ganesh: So, Mayank, I will just come in here. See the point is, when you originate, it is always on-book, right? But typically, I think we have a stated policy or strategy that for we keep the higher yielding assets on books, and the lower yielding assets we originate higher ticket sizes where we see appetite for an onward sale, and we optimize on that. So, obviously, after a seasoning period, as required by the direct assignment rules, these would be available for sale. And which opportunities we would capitalize on based on the wide array of partnerships we have who have the appetite to buy these.

Moderator: Thank you. The next question is from the line of Aravind R from Sundaram Alternates. Please go ahead.

Aravind R: I hope you can hear me. Sir, like the ECL provision as a percentage of assets across Stage-1, Stage-2 and Stage-3, I can see that it has declined a bit. I just wanted to understand, are we comfortable with the current levels? Or do we want to fortify it to the FY'23 or above levels?

That's my first question.

And the second question is on like what would be a branch addition and employee addition plans for gold and non-gold businesses?

And the third question is on the other income, what are the potential opportunities you are seeing in terms of other income, like, say, cross-selling insurance products or any other third-party products? Is there anything in addition to whatever we are doing now, like do you see any significant opportunities in the coming years? Thank you.

Anil Kothuri: Hi, Aravind. Yes, we have applied for a corporate agency, we will get our license hopefully in the month of May or June. And at that point in time, we will use our distribution network of gold and non-gold branches to also sell insurance. We currently don't embed insurance with our gold loan customers. And health insurance and life insurance are products that we can cross-sell to these customers. So, that's an opportunity that's there.

Now, number two with regards to the ECL provision that we have. So, on Stage-1, Stage-2 and Stage-3, each of our products will continue to maintain the same provisions that we used to previously. So, any changes that you see is owing to the mix. It's also owing to the fact that our gold loan has had a stronger growth than the other products in terms of AUM and the ECL provision required on gold loan, especially for Stage-1 is negligible.

Also on Stage-3 what has happened is that we sold one large account to the ARC that was provided to the extent of 53% or so, okay? So, given that we sold it off, that provisioning also has corrected itself. On Stage-2 accounts, we used to have a restructured book at a point in time, okay, where we used to provide as per Stage-3 kind of levels. Now that book also has more or less gone, which is why the provisioning for Stage-2 has come down. So, these are the different variables that impact provisioning.

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But otherwise on a product-by-product basis, we continue to be provided as we used to be. And

you may recall that at the end of Q3 we actually took up our provisioning for mortgage loans from 19.5% to 23%. That's for Stage-3 loans. So, that's the migration in Stage-3.

Finally, you spoke about our plans to grow and expand. In the coming years we want to open about 50 gold loan branches and 30 small mortgage locations. So, that is the plan for the year, and we will execute it, try and front-end that during the course of the year. That's the intent.

Aravind R: Any color you can give on, like, which region it would be, like these branches, or is distributed throughout the country?

Anil Kothuri: So, the approach that we followed is to try and grow efficiently this year, which means that we are not opening any new regions, because a new region is overheads in terms of regional leadership and all that. So, the br

anches that we have identified will add up as four, five, six branches in each of our existing regions for gold loans and ditto for our non-gold businesses. We already have leadership built out for the branches. These are the only production-related expenses that we will incur in terms of people and premises. And that's a more efficient way of growing in the current year. That's our thinking.

Aravind R: And just one last question, if I can squeeze in. What would be the credit growth guidance, like, either segment-wise or the overall? Is there any guidance on that?

Anil Kothuri: Our cost of credit, you should assume, 80 basis points.

Aravind R: No, credit growth.

Anil Kothuri: Credit growth. Advances?

Aravind R: Yes, advances growth, yes.

Anil Kothuri: That I've already guided 25% growth. And we should try and top that if there are tailwinds, like there were in the previous quarter.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Shreepal Doshi for closing comments.

Shreepal Doshi: Thank you, Steve. I would like to thank the management of Fedbank Financial Services for giving us the opportunity to host the call. And thank you to all the participants for being part of the call. Thank you all and have a good day.

Moderator: Thank you. Ladies and gentlemen, on behalf of Equirus Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

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Q1 FY '25 Results Conference Call"
July 19, 2024

MANAGEMENT : MR. ANIL KOTHURI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE DIRECTOR – FEDBANK FINANCIAL
SERVICES LIMITED
M R. C.V. GANESH – CHIEF FINANCIAL OFFICER –
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M R. AMIT SINGH – INVESTOR RELATIONS – FEDBANK
FINANCIAL SERVICES LIMITED

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Fedbank Financial Services Limited Q1 FY '25 Results Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Siddhant. Good evening everyone. I welcome you all to the Earnings Conference Call of Fedbank Financial Services to discuss the Q1 FY '25 performance of the Company. We have the senior management team of Fedbank Financial Services represented by Mr. Anil Kothuri, MD and CEO; Mr. C.V. Ganesh, CFO; and Mr. Amit Singh, Head, IR.

I would now like to hand over the call to Mr. Anil for his opening comments, post which we can open the floor for question and answer. Over to you, Anil, sir.

Anil Kothuri: Thanks, Shreepal and welcome everybody to the Q1 Earnings Call of Fedbank Financial Services Limited. As you're probably aware, we are in business to empower emerging India with easy access to loans. We do this -- we cater to the small self-employed customer. And for this, we have a twin-engine strategy, which basically consists of loans against gold and mortgage loans. This strategy played out well and was validated during the quarter gone by.

In the quarter gone by, we've seen an AUM growth of INR996 crores. So that is an 8% growth quarter-on-quarter, and year-on-year, it is about 40%. Now the bulk of this AUM growth came from the gold loan business. The gold loan business grew by 15% quarter-on-quarter and 46% year-on-year. We benefited from an increase in gold prices and the productivity of our gold loan branches also shot up during the quarter. In fact on a year-on-year basis, our tonnage of gold actually increased about 26% while the AUM went up 46%. That's the gold loan business. We also made progress on our off-book strategy and increased our off-book AUM from 18.7% in the quarter gone by to 20.7%. So as a result, the non-gold -- the increase in our balance sheet was 500 and -- was about INR590 crores, of which INR560 crores or so was the gold loan business. So the quarter gone by has seen very strong growth, unlike a typical quarter one that is on the back of the gold loan business. Now, as a consequence, we -- our AUM grew by 8.2% quarter-on-quarter, INR996 crores.

We delivered a profit after tax of INR70.23 crores. That is up 30% year-on-year and 3.8% quarter-on-quarter. Our cost to income also improved from 57.3% in the previous quarter to 55.4% in the current quarter, and our ROA and ROE were 2.4% and 12.3%, respectively. So

these were the highlights of the quarter gone by in terms of growth and disbursements.

On -- our GNPA increased by 30 basis points in the quarter gone by. This is in line with what happened in quarter one last year where we also increased by about 30 basis points. It was a challenging collections environment in quarter one and we are hopeful of consolidating from hereon.

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The other update is that from a system standpoint, we implemented Salesforce across the 180 mortgage branches on our network. So all disbursements now -- all our throughput is on Salesforce right from the login stage to the disbursement stage.

From a regulatory standpoint, on the 8th of May, the Reserve Bank mandated disbursements only through electronic form beyond a threshold of INR20,000 for the gold loan business. We cut over to a 100% electronic disbursements regime the very next day. So all our disbursements on the gold loan busi-

ness are entirely through electronic form and we are now -- we are entirely in compliance with the RBI directive. That's the update on regulations there.

What I'll do now is to hand over to C. V. Ganesh, who will take us through the financials and the numbers on -- with a little more detail, and I'll come back to taking questions.

C. V. Ganesh: Yes. Thank you Anil, and thanks everyone for your participation on this call. This quarter in specific was a momentous one for us, and we crossed at least three milestones. The first one was that our gross disbursements crossed INR5,000 crores for the first time in our history. The second is that our AUM growth during the quarter came in a whisker under INR1,000 crores. And the third milestone was that our average gold loan AUM per branch has now crossed INR10 crores per branch. So across these three milestones, we have had a good quarter.

Coming on to disbursements. Our gold loan disbursements for quarter one stood at INR3,970 crores, which was up 39% quarter-on-quarter and 73% year-on-year. Mortgage loan disbursements at INR737.6 crores were also up 74% year-on-year and business loan disbursements grew 21% year-on-year.

On the AUM side, at the end of -- on the loan book side and on the total overall balance sheet side, as of June 30, our balance sheet is just shy of INR12,000 crores, an increase of 27% over Q1 FY '24. Our AUM as of 30th June stood at INR13,188 crores, which is an increase of 40% over the corresponding quarter of June '23 and an increase of 8% over the last quarter.

Of the total AUM growth we achieved in quarter one of INR996 crores, 59% of that AUM growth was contributed by gold loans alone. The fact that this happened after a transition to a fully digital disbursement mode in a cash-intensive industry vindicates the head start we had in this matter.

The gold loan AUM grew 46% year-on-year and 15% sequentially over last quarter and now stands at INR4,562 crores, constituting 35% of our AUM and 38% of our on-balance sheet loan book, which is up from 33% of AUM and 35% of loan book in the March '24 quarter. The mortgage AUM grew 40% year-on-year and 5.88% sequentially.

As Anil articulated, the financial sector and NBFCs, in particular had multiple regulatory headwinds in Q1 '25. Mentioning a few, there was the cap on gold loans in cash. Then on April 29th, RBI came out prescribing new guidelines on fair practices to be adopted by regulated entities in terms of when interest can be charged from, collection of advance installments, charging for interest -- modus of charging for interest in the month of disbursement, etc.

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The minutiae in the new guidelines may have some impact on revenue and asset quality for NBFC sector in the transition period, and our results also need to be seen in that context. I now come to the profit and loss account. Our net interest income at INR249.6 crores grew 19% sequentially quarter-on-quarter and 41% year-on-year, outpacing the loan book growth. This included a net gain from direct assignments of INR21.5 crores. Adjusted for the sales, the core net interest income has grown 7.5% sequentially and 28.5% year-on-year, which is again more than the loan book growth in the corresponding period.

As against this net interest income growth, operating expenses grew 9.7% quarter-on-quarter and 31.5% year-on-year, some of which is a wage-related quarter one impact. This resulted in pre-provisioning operating profit, PPOP, growing 18.6% quarter-on-quarter and 55.7% year-on-year to INR128.8 crores.

Credit costs came in higher at INR35.2 crores, up 98% quarter-on-quarter due to a one-off write-off of a trade receivable amounting to INR3.7 crores, technical write-offs of INR16.7 crores

during the quarter, and the overall increase in ECL provisions due to bucket delinquencies, especially in the mortgage book. Consequently, PAT was INR70.2 cro

res, up 30% year-on-year
and 4% quarter-on-quarter.

Due to our income expanding at a higher TAC than expenses, our cost-to-income ratio has improved to 55.4% from 57.4% in quarter four '24. We expect to continue to scale up our branch infrastructure over the next two quarters to aid a sustained AUM growth, and that investment may temper the cost-to-income in the short term, but will be medium and long-term accretive. The Company continued to move forward in its policy of deleveraging through co-lending and direct assignment of installment loans. As on June 30th, our off-balance sheet book stands at INR2,725 crores, up 168% year-on-year from INR1,039 crores in the previous year, and up 20% quarter-on-quarter.

Of this, gold loans held in partner books accounted for INR630 crores, while mortgage and unsecured business loans accounted for the rest. While this earns us a spread while needing to devote only limited capital, it has helped us manage a relatively lower debt/equity ratio at 4 and enhanced capital CRAR at 22.8% without needing to compromise on the exciting loan growth opportunities.

` On the NPA front, our Gross Stage 3 assets stood at 1.97% with Net Stage 3 assets being 1.60%. These are attributable to higher mortgage delinquencies, but our comparatively lower LTVs on the mortgage product, which is mentioned in our presentation, give us comfort on our collections ability.

On the treasury front, on a quarter-on-quarter basis, our average blended interest cost on overall borrowing has gone up 3 bps from 8.75% in the last quarter to 8.78%. The rise is attributable to a full quarter impact of rate resets on borrowings in the last quarter.

Our incremental cost of borrowing for quarter one '25 was 8.63%. Around 88.7% of our borrowings are on a floating rate benchmark, which should help us when rates start to moderate

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downwards. Also, roughly 30% of our borrowings are on external-linked benchmark, namely repo or T-bill, which should accelerate the downward journey from a benchmark perspective. In quarter one '25, 68% of the incremental borrowings in the quarter, or INR1,415 crores to be exact, were at external benchmarks, which were either repo or T-bill linked. Lastly, our net worth as of June 30, '24 was INR2,322 crores and our book value per share was INR62.60.

With that, I now hand over to the moderator for inviting questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Mr. Renish from ICICI. Please go ahead, sir.

Renish: Yes. Hi, sir. Just two, three questions from my side. One, on the asset quality. So we have seen some deterioration this quarter on most of the asset quality metrics, whether it is credit cost, GNPA, 1+ DPD, etcetera. Especially in the mortgage book, though I know there is a seasonality, right, I mean, last quarter, we sold something to RCM there was a sharp fall in the gross NPA ratios. But if you can throw some light on what is leading to this deterioration or this is purely because of the similarity?

Anil Kothuri: All right. So you look at Q1, typically we have the highest GNPA of the year in Q1. I'll just give you numbers that we had last year. In Q4 '23, our Stage 3 was 2%, which went up to 2.3% in Q1 '24. Correspondingly, in Q4 '24, we were 1.7%, and we've gone up to 2%. So a 0.3% increase is something that we've seen the past three years in Q1. Seasonally, I think this is a slightly tougher quarter to collect.

Also, the fact is, operationally, after a hectic March, people take their leaves in April and all that, and that does have an impact. So Q1 seasonally is that. So that's the way it is. Having said that, our understanding and the progress that we are seeing in June, July and all that says -- suggests that our annualized credit costs should be as envisaged. We've guided 0.8% and we should stick to that number is

my guidance.

Renish: Got it. So basically, the trend which we have seen this quarter is purely because of either due to some seasonality or due to some operational challenge, and that should reverse in rest of the three quarters. I mean, is that fair understanding, sir?

Anil Kothuri: Yes. From the field, people said things like it was very hot and there were elections and all of those kind of things, but that's...

Renish: Correct. Correct...

Anil Kothuri: But yes, that's where we are. But having said that, I should we fix this in the coming quarter.

Renish: Got it. Sir, my second question is on the asset yield. So this quarter, we have seen a pretty sharp increase in the asset yield of more than 90 basis points sequentially. Of course, some bit of it is

because of the high growth in gold loan, which is at almost 16% versus mortgage at 14%. So how do you see the asset yield settling over the next three quarters from this base?

Anil Kothuri: You're referring, I presume, to the numbers on slide 35. Is that right?

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Renish: Yes. Correct.

Anil Kothuri: Yes. So Q3 shows 17.4%, Q4 shows 16%, and Q1 again shows 17.4%. So our daily average portfolio yield is reasonably constant or has been over the past three quarters. So the undulations that you see which is 17.4% going to 16% and going to 17.4%, is actually a Q4 quirk where we had a blowout March. So the 2 point average the interest income divided by 2 point average actually comes to 16% where a lot of the business was back ended.

It's just a statistical quirk which shows the yields at 16% there, but otherwise if you look at it on a daily average basis it has been rock solid. Our yields were 16.11% in Q3, 16.21% in Q4 and 16.1% in Q1 FY '25. So there has been no change as you would expect in an actuarial business.

Renish Bhuvu: Got it. So it's just a mathematical abbreviation. Otherwise trends are pretty much solid. Okay. And my last question is on the cost of borrowing. So again we have seen a pretty sharp increase to 9.3% and I'm assuming maybe some part of the borrowing might have come for a reprice at a higher rate. And if that is the case then it is fair to assume that the bulk of repricing is behind and now the cost of fund should stabilize at around 9% in Q1.

Anil Kothuri: Actually this is again, 2 point average. You look at Slide 45 we've given the daily average cost of borrowing, and Ganesh also articulated this. In Q4, our daily average cost of borrowing was 8.75%. And in Q1 that is 8.78%. So that 9.3% at a 2 point average, what happens is that on the last day of the month you end up taking bank disbursements. So that just distorts the 2 point average.

Renish Bhuvu: Got it. And sorry just last question on the branch expansion part what Ganesh, sir was highlighting/ I mean so sir has also mentioned that the cost in the interim will go up. I mean would you like to put any numbers around it? I mean at what level you see the cost inching up once we start the branch expansion plan?

Anil Kothuri: I think our branch opening agenda for the year we haven't embarked on in Q1. We envisage opening 50 gold loan branches and 30 small mortgage branches. Now while those have got identified and work is underway the costs haven't hit us yet. So obviously the new branches will be a drag on cost to income. So that was the point that he was making.

My sense is that the impact should be at about 1 percentage points, 1.5 percentage points in terms of cost to income when we open those branches. So in our 2Q or Q3 depending on how we execute and open up that should be the kind of impact is what I would think.

Renish Bhuvu: Got it. Sorry sir just last thing. On this one-off write-off which Ganesh sir was mentioning about the trade receivable, can you just throw some light on, I mean, what kind of a exposure this was?

Anil Kothuri: So this was INR3.5 crores. It was a trade receivable from a

counterparty and it was due for a reasonably long while. The amount was a little larger. So we had provisioned some bit of it in the past. So this quarter we took a decision to write it off entirely. And the accounting demands that that comes on the credit cost line because that was a receivable.

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The objective of Ganesh articulating it is to say that it has nothing to do with the portfolio performance. That INR3.5 crores has nothing to do with the portfolio performance. That's all. Yes.

C. V. Ganesh: So that was a legacy item Renish. It was a one-off. So the idea of pointing it out or calling it out was that if you exclude the effect of that item the credit cost would be lower by about 16 bps.

Renish Bhuvu: Got it sir. Okay.

C. V. Ganesh: So that has to be seen in that perspective and not to be confused with any loan quality in that regard.

Renish Bhuvu: Got it. Thank you sir and best of luck, sir.

Anil Kothuri: Thanks so much.

C. V. Ganesh: Thank you.

Moderator: Thank you. The next question is from the line of Pranav Gupta from Aionios Alpha Investment Advisors. Go ahead, sir.

Pranav Gupta: Yes. Hi. Good afternoon and thanks for the opportunity. Congratulations on a decent set of numbers. Just a few questions. One just touching up on the asset quality bit like you mentioned there was some seasonality that we saw in this quarter mainly coming in from the mortgages book. Just to sort of crosscheck that have you seen any geographical SKU or whether it's coming

more from the mid -- the small ticket mortgages or the medium ticket mortgages? Any deeper understanding on that bit, that will be really helpful?

Anil Kothuri: The -- what we've seen in quarter 1 is an impact across the board Pranav. It's not that anyone geography has blown out or something. What we've seen is an increase across the board and this is basically due to the collection effort or the intensity or the difficulty of realizing money on Q1 whichever it is.

There is nothing to call out from a geography standpoint. It is not that one geography is -- has done significantly worse than the other. And what we've seen is in the small mortgage business because the number of tickets in the larger business tend to be lower. So therefore the efforts are a little more concentrated there.

Pranav Gupta: Okay. Just to understand this a bit better is it fair to assume that we should -- while we see improvements in stage 3 through the year as we've seen last year because of the seasonality sort of going away, is it fair to assume that we should start seeing pullbacks in one-plus and 30-plus buckets as well going forward?

Anil Kothuri: Yes, most definitely.

Pranav Gupta: Okay. The second bit is on the branch openings. You mentioned that we'll be opening 50 gold loan branches and 30 mortgage branches like we have guided. Are we still sticking to our

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reduction of 40 basis points reduction in cost to average AUM guidance for '25 or is there any change there?

Anil Kothuri: No, we're sticking to that. In fact the branch openings were part of our long-term planning process and whatever guidance we have in terms of our cost to AUM or our cost to income includes these initiatives. It is just that they haven't played out in Q1 and they will play out in Q2 and Q3.

Pranav Gupta: Understood. Sir just one last question on the Salesforce bit. So you mentioned that now Salesforce is life on -- live on all the mortgage branches. When do we see this sort of being implemented fully on the gold loan bit and also is there any additional cost that is sort of planned for Salesforce implementation in the year going ahead?

Anil Kothuri: So the gold loan business is on a different system. It's called Prosper by -- Prosper [inaudible 28:22]. This is something that we implemented in the year 2021 and absolutely

everything we

do in the gold loan business is on this system. It's probably the industry standard or industry-leading gold loan system implementation that we have so which is why we are now a cashless, paperless gold loan business.

Now the implementation is for the small mortgage business which is the -- which is where the bulk of the tickets reside. Now that one we've digested in the previous quarter all our 180 branches are live. So that is behind us. Whatever costs relate to Salesforce implementation are there in the numbers that you see and they will continue for the rest of the year.

Pranav Gupta: Understood. Thank you so much and good luck for the future quarters.

Anil Kothuri: Thank you so much, Pranav. Thank you.

Moderator: Thank you. Our next question is from the line of Deepak Mandhana from Avighna Investments.

Please go ahead, sir.

Deepak Mandhana: Hello. Hi sir. Congratulations for the good set of numbers. My basic two, three queries were one that the -- what is the average tenure of the loans in each of the segment, business loans, mortgage loan and the gold loan?

Anil Kothuri: So the gold loan business has an average tenure of between four months and five months. Having said that, about 70% of the customers renew their loans, okay? So they do a re-pledge or they simply renew their loans using the Fedfina app. So that's the second loan or a third loan they take. For the unsecured loan business, the door-to-door tenure is three years. So therefore the average tenure is just shy of two years, let's say, about 19 months, 20 months or something like that.

Deepak Mandhana: Okay.

Anil Kothuri: The mortgage business -- the larger mortgage business, the medium ticket mortgage business tends to have a behavioral tenure of 4, 4.5 years, whereas the small mortgage business has a tenure of about 7, 7.5 years.

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Deepak Mandhana: Okay.

Anil Kothuri: So those are the tenure dynamics.

Deepak Mandhana: Okay.

Anil Kothuri: So if we just continue to originate just the way we are doing, the portfolio will continue -- will continually get biased towards small mortgages, simply because it has the longest tenure of all products.

Deepak Mandhana: Correct. So is this a prime reason that obviously when I see during the quarter, the disbursements have been of INR50 crores and your AUM size have only increased by INR10 crores. Your AUM has gone to INR131 crores as compared to last quarter when it was -- I mean, INR10 billion. Your AUM -- current AUM is INR131 billion and last quarter was INR121 billion.

Anil Kothuri: Correct.

Deepak Mandhana: And if I see the disbursements is INR50 billion during the quarter. So the net impact of roughly INR40 billion is the amount that you guys would have received back in terms of the people who would have prepaid or their loan tenure would have ended. Is that a correct thinking?

Anil Kothuri: That's correct. I'll just split this a bit for you, Deepak. So of the INR5,000 crores disbursements, about INR3,700 crores is gold loans, okay? Now, the 3,700 -- INR3,970 crores, beg your pardon, so say INR4,000 crores out of the INR5,000 crores is gold loans, okay? Now the INR5,000 crores disbursement for gold loan results in a roughly INR600 crores balance sheet increase.

The way to look at gold loan is how a bank would look at, let's say, a savings account or current account. There are deposits and there are withdrawals, okay, both of which will be large numbers, but the net growth in balances is what's material for the bank. So there's a lot of volume in the gold loan business when it comes to disbursements and repayments, including automatic renewals, which count as both disbursement and repayment, for instance, okay? So INR4,000 crores results in about INR600 crores of balance sheet growth.

On the non-gold business, the installment loan business, we have about INR1,000 crores of disbursements, okay, which r

esult in balance sheet growth of something like -- AUM growth of about INR450 crores.

Deepak Mandhana: Okay. I get that. And the last question was, in the terms of borrowing -- on the side of borrowing, how much is your borrowing assigned from Federal Bank in terms of percentage to overall?

C. V. Ganesh: See, we have about 28 lenders at the current date and roughly 13%...

Deepak Mandhana: Okay.

C. V. Ganesh: Okay? A little over 13% is from Federal Bank.

Deepak Mandhana: Okay. Thank you.

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Anil Kothuri: Thanks so much, Deepak.

Deepak Mandhana: Yes.

Moderator: Thank you. The next question is from the line of Mayank Mistry from JM Financial. Please go ahead.

Mayank Mistry: Thanks for the opportunity. Sir, I had three questions. First is on the asset quality again. So we had this high credit cost as per -- we understand due to some seasonality, there was also a one-off and so, but our PCR has dropped since last two quarters. So what is the comfortable level of PCR that we are planning to achieve? Because you still continue to maintain the credit cost guidance at 0.8%. So isn't it the PCR at a slightly lower level?

Anil Kothuri: So when we look at our overall PCR first up is 1.2%, which is the same as the previous quarter, okay? And you can see this on Slide 43, the total ECL provision as a percentage of -- ECL provision as a percentage of total assets is 1.2%, which is the same that has been in the previous quarter, okay?

Now, what happens quarter-on-quarter is that the mix changes, okay? The gold loan business, for instance, did extremely well in the previous quarter. And because of the nature of security and the extreme liquid nature of the security, we are required to provision a far lower amount on, let's say, gross stage 3 or stage 2 for that, okay? So what I can confirm is that on a product-wise basis, our PCR has not changed. It is only the variance in mix that changes the PCR.

Mayank Mistry: Okay. So basically, our gold loan mix is increasing and because of that, denominator is -- but the provision on this book is lower. So that's why the blended PCR is lower. Am I right?

Anil Kothuri: That's right. So if you look at it at a product-wise level, it has not changed and the mix -- product-wise mix contributes to any changes in this.

C. V. Ganesh: So Mayank, I'll just maybe add a little more light to this. Roughly, on the gold loans NPAs, we carry a PCR of about a little under 8%, okay, which is much higher than what is needed, but traditionally, in the last many quarters, we have never had any principal loss or interest loss in any auctioning of gold. But in spite of that, we have, as I said, a little under 8% of PCR on gold loan. On mortgages, we have around 20% of PCR. And that, based on empirical data, is based on our -- the way our LTV works, our recoverability data and so on, right?

And lastly, on the business loans, we have a policy of writing off once it crosses 90 days to 120

days and whatever residual, we have a PCR of at least 58% to 60%. So that's roughly the split. Now between this, as we articulated early in the call, there have been two things which have happened. I did mention that some of the higher provisioned loans, we conservatively took a technical write-off for it, which means we have provided 100%, right? So that -- what that -- what happens when such a thing happens is, optically, since it goes off the loan book, the loan provision also goes off. So the PCR seems to optically drop. And the second thing which I want to highlight is as -- based on the tremendous growth we have seen in the gold Fedbank Financial Services Limited
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loan book in the last two quarters, that also -- given that that comes at a lower PCR, optically that also, at an entity level, it does not do justice when you look at a number in absolute.
Mayank Mistry: Okay. Got it. Sir, my

second question is on the branch. So the number of branches have declined for gold. So which geography has this occurred? So basically, what can be the reason to -- for this decline?

Anil Kothuri: So these are two branches we've -- which we've consolidated with neighboring branches in Tamil Nadu, okay? So it's just two branches because our density of branches was high and it seemed more optimal to consolidate these two branches.

Mayank Mistry: Okay. And sir, my last question is on -- again, on the borrowings, the floating mix of the assets and borrowings that you mentioned. So, on the assets side, if I've heard correctly, it's -- 88.7% is floating rate loans. And on the borrowings side, 30% is EBLR linked. So are -- on the borrowings side, only 30% is floating or what is the exact mix?

C. V. Ganesh: No. So -- Yes. So maybe -- thank you for that question. It helps me clarify the matter. Around a little under 89%, 88.7% to be exact, of our loans are linked to floating rate benchmarks. Now, these floating rate benchmarks are either linked to three-month, six-month or one-year MCLR of the respective lending institutions or linked to external benchmarks. Out of the floating rate loans linked to external benchmarks, we said 30% is lent -- is on external benchmarks like repo rate or T-bill rate, where your transmission is on a much more accelerated basis. On the MCLR front, we might see a slower transmission. So that was the limited point of providing that clarification.

Mayank Mistry: Okay. So these all on the -- totally on the liabilities side, right?

C. V. Ganesh: That is correct.

Mayank Mistry: Yes. Okay. Got it. Thanks.

Moderator: Thank you. The next question is from the line of Harshit from Premji Investment. Please go ahead.

Harshit: Yes. Sir, just one data keeping question. So if you look at the breakup of asset under finance in the total, there is a slight mismatch, if you can -- on the presentation.

Anil Kothuri: Yes.

Harshit: Yes. So if you can just help clarify that mismatch as to what exactly the balance is? Is it within the mortgage, gold loan or business loan?

Anil Kothuri: You're talking about the balance 2%?

Harshit: Around INR1,500 million. Yes, that INR150 crores balance.

C. V. Ganesh: Can you just help with the slide number for our benefit?

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Harshit: Yes, I'll just help you. It's on Slide 31.

Anil Kothuri: So these are basically some Ind AS adjustments, okay, which is EIS, OCI gain and all that, which adds up to INR154 crores.

Harshit: Sorry, sir. Can you again repeat that part? What are these?

C. V. Ganesh: Yes. So basically, see, what we do is, while you have the principal outstanding which flows from an Indian GAAP basis, okay? Now the Ind AS accounting standard has certain accounting adjustments to the loans, right? Now what we have done is we have aggregated that and held it separately at a bucket level. While that is attributed to the loans, but it's coming separately as a line item...

Harshit: That I understand. Got it, sir. Okay, sir.

C. V. Ganesh: So there's nothing else in the balance sheet other than what you see. I think...

Harshit: Understood. Okay.

Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: Hi. Yes, good evening. So just firstly, what is the outlook or guidance when it comes to AUM

growth and return on assets for FY '25?

Anil Kothuri: We've consistently guided an AUM growth of 25%, Rahil, okay? And we said that we will take advantage of any episodic opportunities to better that. In Q1, we saw the advantage growing -- owing to rising gold prices and the absence of some competition, our gold book -- and gold business has had a good run. We don't know how long this will last, but otherwise, we should be able to grow at 25% on a Y-o-Y basis from hereon. So that is growth. In terms of ROA, I think we should

look at an ROA of between 2.7% and 2.75% for the entire year.

Rahil Shah: Okay. And in the beginning of the call, somewhere you mentioned once we start opening the new branches -- you have a branch opening agenda. So once you start doing that, you will see an impact of a certain percentage on cost to income. But then in the middle again, you mentioned you stick to your guidance of cost to income reduction gradually. So just clarify my confusion and can you please also suggest a certain outlook for cost to income for the whole year? What can one expect?

Anil Kothuri: Okay. So in Q4 '24, we were at 57.4%, okay? We should see a bettering of that and come in at 56% at least across the year. Now in Q1, we are better than that, okay, because we haven't opened branches as envisaged. What Ganesh pointed out is that the quarter that we open the branches, we will have the cost, but not the revenues from there, so that could be Q2 or Q3. So that impact will be there. But if you look at our annual financials, we should be able to come in at 56%.

Rahil Shah: Okay. So annually you'll be able to reduce over FY '24 but once we open there will be a certain

Anil Kothuri: [Inaudible 44:52]

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Rahil Shah: Yes. Got it. Perfect. Okay. Thank you and all the best.

Anil Kothuri: Thank you so much.

Moderator: Thank you. The next question is from the line of Aravind R from Sundaram Alternates. Please go ahead.

Aravind R: Good evening, sir. Like, you were talking about EBLR borrowings and MCLR borrowings.

Similarly, on the asset side, I mean, like, do we reset the rates for the products every year or something like that? Or is it always a fixed yield given to the customers?

Anil Kothuri: So we have different kinds of asset products, and I'll lay them out for you. The gold loan is a short-tenor product. So -- and there is a jumping interest rate regime in [46:18 woke/Vogue] where the customer can either service the interest on a monthly basis or service interest at a higher rate on a lump sum basis. So that is gold loan.

The unsecured lending business is entirely fixed rate business. And given that the maturity of the loan or the weighted average tenure of the loan is under two years, so that's the characteristic of the business. Our medium ticket mortgage business is entirely a variable rate business, and it is repriced depending on our reference rate. We have done, I think, four or five rounds of repricing between 2018 and now, so that the repricability of the portfolio is established.

The small mortgage portfolio has some loans which are variable rate, some loans which are fixed rate. Most recently, we've migrated to a regime where we have a three-year fixed rate and it is repriced thereafter. So that's what -- the certainty in the short term is what the borrower seems to like. So it's a three-year fixed rate followed by the ability to reprice. So that's as far as small mortgage is concerned.

Aravind R: Okay. When we talk about repricing like either in medium ticket or small ticket loans, is it like an MCLR for a bank? We have an internal rate, internal reference rate, based on that, we give a rate to them after that -- after that fixed-rate period?

Anil Kothuri: Correct. We have an internal reference rate, and -- which we change in line with our borrowing. And the most recent change that we did was, I think, in July last -- April, this year, sorry. So -- and the repricing then follows depending on the movement in that rate.

Aravind R: Understood, sir. And I don't -- last time, I remember like asking you like what could be the, like, other source of other income, like fee income. You also mentioned about brokerages for insurance. I mean, like, have we got that? And have we started the operations on that?

Anil Kothuri: Yes. We've got our insurance agency license in June, and we are in the process -- we've tied up with insur

ance companies and the income for insurance should start trickling in this quarter onwards.

Aravind R: Sure, sir.

C. V. Ganesh: We are in the process of formalizing agreements, Aravind.

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Aravind R: Okay, sir.

C. V. Ganesh: It may have some lead time...

Aravind R: Sure. Sure.

C. V. Ganesh: After this partnerships will begin but it is a slow but sure process.

Aravind R: Understood, sir. Yes, but it will be like structural income for us. Yes.

C. V. Ganesh: Yes.

Aravind R: So it will be -- the focus would be on general insurance or would be -- you would be also interested in like life insurance?

Anil Kothuri: So there are different opportunities here. First is that a lot of our customer base is underinsured, okay? So there is life insurance that most definitely is an opportunity. COVID has brought to the fore the need for health insurance. So that is an opportunity. And plus, there is some credit protect kind of insurance products that we can do. So, all these opportunities exist.

Aravind R: Understood, sir. Yes. Thanks. Thank you. Thank you so much.

Moderator: Thank you. The next question is from the line of Sanjeev Agarwal from Avighna Investments. Please go ahead.

Sanjeev Agarwal: I have two specific questions for you. Please confirm if I'm audible.

Anil Kothuri: Yes, you are. You're a little blurred. I don't know whether you can get close to your instrument. It could be better.

Sanjeev Agarwal: Sure. I think my system is having some problem. I'm so sorry for that. The first question goes like this. Could you please throw some light on the competitive landscape on the gold loan business for your company?

Moderator: Sorry to interrupt, sir. Can you please use a handset before speaking?

Sanjeev Agarwal: Sure.

Anil Kothuri: Okay. I'll paraphrase the question. He's asked me to throw light on the competitive landscape in the gold loan industry. So basically, there are banks and NBFCs which operate in this segment. NBFCs offer the promise of convenience and turnaround, whereas banks offer lower rates and they typically cater to their existing customers. If you look at the structure of the industry, approximately INR5 crores AUM is with banks and about INR1.3 crores, INR1.4 crores -- INR1.4 lakh crores is with NBFCs, okay? So that's the structure of the industry.

Now we compete within the NBFC space. So therefore, the other -- there are two large listed players, NBFC players, and another third multi-product company which offers gold loans. These tend to be competition for us. South India is relatively over-penetrated in gold loans. The rest of Fedbank Financial Services Limited

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India, less so. So the opportunities for growth are in rest of India. Now, so this is the competitive landscape.

The gold loan borrower typically tends to be a habitual gold loan borrower. He seeks to maximize not just the emotional value of the gold that he has, but also the financial value, so which means he pledges it and takes money for working capital. When there's a festival, he releases it and uses the ornament. The women folk in the family use that. So that is basically what it is. The opportunities include widening the base of gold loan borrowers, and that typically is happening non-South India. So that constitutes the landscape.

Sanjeev Agarwal: And sir, going forward on the second question, sir, as you rightly pointed out, in this market, when the gold loan prices have gone up, this happens to be a favorable scenario for the company since the underlying assets put on mortgage by the clients are basically adding value or getting value added as such.

So in a kind of a downturn, how does the company -- I understand that the gold loans are for a shorter period, but still in such a shorter period, how is the company coping up with such a downturn in the gold prices? Because somehow the LTV w

ould get impacted in such a short period of time.

Anil Kothuri: You're right. So we have a robust risk management process, which tracks the price of gold on a daily basis, and we take portfolio actions accordingly. The price of gold that we give is the average of the past 45 days. But however, if the price of gold declines, then we will use the latest price of gold.

Now we run it like a margin finance product. Anybody whose LTV approaches, let's say, 88%, he gets a margin call notice. He has 15 days to top up either cash or collateral. Otherwise, we auction the gold. So this is a process that's been in place quite for over a decade now, and it has also got stress tested.

I remember during, when was it, '22, between the 15th of February and the close of March, the price of gold actually declined by about 17%, I think, in those 45 days. So that's a scenario that

we've handled and we have some experience with that.

Sanjeev Agarwal: Thank you, sir. Thank you for your time.

Anil Kothuri: You're welcome.

Moderator: Thank you. The next question is from the line of Harshad Bhagwan from Visolitech Investment Advisors. Please go ahead.

Harshad Bhagwan: Yes. So I wanted to ask regarding the gross stage III assets, like they have increased from 2.2% to 3% on the mortgage side in this quarter. So could you just throw some light on this?

Anil Kothuri: Yes. So like I mentioned early on the call, it was a challenging collection environment in Q1.

And typically, in Q1, we see an increase in GNPA. So we've seen that in Q1 last year and Q1 the previous year, which has also happened now.

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This year, the percentages have been aggravated by the fact that we've also sold down a lot of mortgage loans. So the net increase in our mortgage portfolio is only about 50 -- Yes, is about what, INR70 crores or something for the -- I'll give you the exact number, but it's about INR70-ish crores for the quarter.

So there has been a numerator increase and a denominator stagnation, which has caused the percentage to increase. But having said that, we are committed to resolving this in the coming quarter.

Harshad Bhagwan: Okay. And my next question is regarding the -- like, are we targeting any numbers for the ROAs and ROEs in upcoming years? Like, is there any target set ahead for targeted return on assets that we shall achieve in upcoming years?

Anil Kothuri: Yes. The ROA target, and I mentioned this [inaudible 56:23], is between 2.7% and 2.75%, and the ROE for the year should be upwards of 14%. That's what we're targeting.

Harshad Bhagwan: For the next year or there is a timeframe for that?

Anil Kothuri: Sorry.

Harshad Bhagwan: For the next year, upcoming year or specific timeframe...

Anil Kothuri: The current year, FY '25.

Harshad Bhagwan: For the current year.

Anil Kothuri: That's right.

Harshad Bhagwan: Okay. That's it from my side. Thank you.

Anil Kothuri: You're welcome.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Shreepal Doshi for closing comments.

Shreepal Doshi: I would like to thank the management of Fedbank Financial for giving us the opportunity to host the call and would like to thank all the participants for being part of the call. Thank you all and have a good evening and a good weekend.

Anil Kothuri: Thanks, everybody.

Moderator: On behalf of Equirus Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

Secretarial Department

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October 28 , 2024

Ref. FEDFINA/ CS/ 186/ 2024- 25

The Manager

Listing Department

The National Stock Exchange of India Limited

Exchange Plaza, Bandra- Kurla Complex,

Bandra (E), Mumbai – 400 051

SYMBOL : FEDFINA The Manager

Department of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Floor 25, Dalal Street, Mumbai – 400 001

Scrip code: 544027

Sub: Transcript of Earnings Conference Call held on Wednesday , October 23 , 2024

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on October 23 , 2024 .

The transcript of the earnings conference call shall be uploaded on the website of the Company at

<https://fedfina.com/> under the section ' Investor Relations ' in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully

For Fedbank Financial Services Limited

Rajaraman Sundaresan

Company Secretary & Compliance Officer

Membership No.: F3514

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"Fedbank Financial Services Limited

Q2 FY '25 Conference Call"

October 23, 2024

MANAGEMENT : MR. ANIL KOTHURI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – FEDBANK FINANCIAL
SERVICES LIMITED

M R. C.V. GANESH – CHIEF FINANCIAL OFFICER –
FEDBANK FINANCIAL SERVICES LIMITED

M R. AMIT SINGH –INVESTOR RELATIONS – FEDBANK
FINANCIAL SERVICES LIMITED

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Fedbank Financial Services Limited Q2 FY25 conference call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinion and expectation of the company as on date of this call. These statements are not the guarantee of future performance and involve risk and uncertainty that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi. Thank you and over to you, sir.

Shreepal Doshi: Thank you, Nivedita. Good evening, everyone. We have the management of Fedbank Financial Services to discuss the Q2 FY25 quarterly results. The management is represented by Mr. Anil Kothuri, MD and CEO, Mr. CV Ganesh, CFO and Mr. Amit Singh, IR.

I would not take much time and hand over the call to Mr. Anil Kothuri for his opening remarks, post which we can open the floor for question and answer. Over to you, sir.

Anil Kothuri: Thanks, Shreepal. Good evening, everybody and welcome. Thank you for joining the Q2 call to discuss the earnings of FEDFINA. Over a year ago, NBFCs were in a Goldilocks kind of situation. This was based on the trifecta of circumstances. One was growth. The second was what was expected to be a declining interest rate environment. And the third was the benign end of the credit cycle.

Of the three assumptions, one has played out, which is that growth is there and the other two haven't played out the way we thought we would. Rates haven't come off over the past year, even though they still hold the promise over the next six to nine months. And the credit environment seems to have materially changed for now.

In FEDFINA, it was a very busy quarter for us. First up, we've made steady progress on our twin-engine strategy. We've seen growth in the quarter. Our AUM grew to INR14,218 crores at the end of Q2. This is a growth of 7.8% quarter on quarter. Both our businesses, mortgage as well as gold loans, registered smart growth growing 9% and 8.2% respectively. So growth is there for us.

We also invested significantly in our future. We added 46 branches in the quarter gone by. Our presence now is in 665 branches across 18 states and union territories in the country. We've also added about 400 people in the quarter, and we now have 4,743 people at the end of Q2.

Finally, we continue to improve our technology, and we fully implemented Salesforce in our small mortgage business, and this is across over 200 branches, all our throughput now is on Salesforce, which we use as a front-end system. We also made progress in terms of improving our asset quality. This is across buckets. Our 1+, 30+, and GNPA numbers are better quarter on quarter. Our gross stage 3 is now 1.9%.

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However, reflecting our view of the environment and feedback from what we see on the ground, we have taken an additional ECL provision of about INR22 crores during the quarter. So our ECL and there on the slide in the deck is up from INR122 crores to INR151 crores. This reflects our view of the environment over the next few months.

Finally, there have been several regulatory kind of vicissitudes over the past six months. At FEDFINA, we have carefully analysed whatever we've seen in terms of either circular, or informal feedback that we get and continue to benchmark our practices and our policies in light of whatever inputs we receive. So adhering to regulations and ensuring that you

stay on top of

them is now more than a full-time job and we confirm that, we are entirely in compliance with whatever regulations and informal feedback that we receive from the market.

Finally, in Q2, we received a rating upgrade from CRISIL. We are now rated AA+. It's across CRISIL, India Ratings, and CARE. All the three rating agencies, we have a AA+ rating. We are amongst the dozen or so NBFCs which have a rating of similar or better.

Our profit for the quarter was INR64.55 crores. To take us through to the numbers behind this number and other details of our financials, I'll hand over to CV Ganesh, our CFO. Over to you,

Ganesh.

C.V. Ganesh: Thank you, Anil. Thank you, everyone, for your participation on the call. The past quarter has been equally momentous for us as was Q1 and we continue to cross new milestones. Our disbursements continue to be elevated at INR38 billion, and year-on-year, this represents a 30% growth. For the first time ever, we crossed AUM growth in a quarter of INR1,000 crores. Last quarter, it had come a tad under INR1,000 crores. In Q2, our AUM grew by INR1,030 crores, which is our highest ever till date.

We closed the quarter with a gold loan tonnage of a little under 11 tons, which again is a growth of 2.4 tons year-on-year. Another milestone we had is that from an average AUM per gold loan branch of >INR10 crores, we ended the quarter with an average AUM per branch of about 11.0. These were the milestones. As Anil articulated, we now also have a AA+ from CRISIL, from a long-term rating.

It positions us well from long-term borrowings, because typically for long-term borrowings and bond offerings, people take the lowest of the long-term ratings, and we were a little handicapped there, so this positions us well, given that all the three rating agencies now have us at AA+.

On the new origination side, we originated INR3,810 crores of loans, of which INR1,200 crores was MSME originations across the mortgage and unsecured business loans and INR2,610 crores were gold loan originations.

In terms of the P&L, our interest income grew 6% quarter-on-quarter at INR479 crores versus INR452 crores in the previous quarter. This also represents a 28% growth year-on-year. Our net interest income also correspondingly grew 6% quarter-on-quarter and 28% year-on-year.

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Our fee and other income came off a tad higher, so gross income also grew 6% quarter-on-quarter, but 32% year-on-year. On the expense side, in quarter one, we had guided that we are here for the long-term and we will continue to invest in growth. We did that in the current quarter. We commissioned 46 new branches across gold loans and our small-ticket mortgage and added incrementally about 400 staff on our roles. Now these branches take about 12 to 15 months to breakeven, so there will be a drag in the initial quarters. Because of that and the higher originations, our expenses went up by about INR18 crores quarter-on-quarter and consequently, our cost-to-income has also moved up from 55.4 in Q1 to 58.6.

From our guidance, we believe that some expenses are good expenses. This is an expense which is in the nature of an investment in growth infrastructure. So we do believe that the revenue benefit from this over the coming quarter will offset and bring the cost-to-income over a period of time to the level we started off in Q1.

That being said, on the P&L side, our credit costs moved up 13% quarter-on-quarter. As Anil articulated, as you would have seen in the sector, especially on the smaller-ticket mortgages, we see some stress building up. And we have conservatively taken a ECL overlay on that provided we have hiked up our PCR. If you see our SEBI financials which we have uploaded on the exchange, you will see that we have increased the PCR coverage by 250 basis points quarter-on-quarter.

Our PAT came in at INR64.5 crores. Th

is compares with a INR70.2 crores in Q1 and represents

an 8% degrowth. However, on a year-on-year basis, this represents a 12% growth over the INR57.8 crores we did in Q2 of 2024.

Now that being said, I just also want to highlight that our twin-engine strategy is working well.

Where we have had some headwinds in the MSME business, our gold loans have performed handsomely in both Q1 and Q2 and across the first half of the year, we have crossed in terms of AUM growth more than what we did in the whole of FY24.

On the treasury side, on a quarter-on-quarter basis, our average blended interest cost, we have been able to bring down by 5 bps from 8.78% to 8.73%. On the incremental cost of borrowing, while you would have seen all banks raise their MCLR, we have actually been able to reduce our incremental cost of borrowing by 5-7 bps quarter-on-quarter.

Our current incremental cost of borrowing is a TAD under 8.60%. Moreover, about 85% of our borrowings are on the floating rate benchmark, which should aid us when interest rates start going south. Roughly 40% of our borrowings are on external-linked benchmarks. Incrementally, in Q2, 32% of our borrowings were linked to external benchmarks, and another 21% were short-term borrowings and resettable on maturity in terms of price.

So this positions us well. So this combined with the fact that in Q1 we had guided that 68% of all incremental borrowings were linked to external benchmarks like Repo rate, table rate, etc. I think this puts us at the forefront as and when interest rates would go south. Our net worth, as on September 30, crossed INR2,400 crores. We came in at INR2,402 crores. This was up from INR2,322 crores in June 24. Our book value per share as of 30th September stands at 64.6.

With that, I hand over to the moderator for questions from the audience. Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Renish from ICICI. Please go ahead, sir.

Renish: Hi, sir. Two quick questions from my side. So first on this comment which you made on the small-ticket LAP, I mean stress in small-ticket LAP and HL, and hence we have accelerated the provision under ECL. But when I look at the 1 plus DPD and 30 plus DPD, which fell sequentially, so which lead indicators are you looking at, you know, which suggests that there is a stress building up in this sector?

Anil Kothuri: So, I will tell you how we see it. You look at our provisioning. One of our core tenets is to take up the provisioning on the portfolio. We used to be at 1.4% at a point in time, and at the end of the last quarter, we fell to 1.2%. And we decided that we need to take it back up again, and it needs to happen, you know, piecemeal. So that is one point.

The second is that we did achieve good outcomes in the quarter gone by. But that's the result of intensive activity on the field and the signals that we get is that people are finding it a little difficult to come up with their monthly EMLs as opposed to before. So that's the second data point.

You know, while one option could have been to just go ahead in light of the fact that the; 1 plus and 30 plus numbers have improved, we've chosen to just take up our provisioning and get to about 1.3% as overall. That impact is a INR22 crores impact. We've gone from INR128.5 crores to INR150.5 crores.

Renish: Yes, Anil, I just, you know, just to follow up on that. So, of course the provision has to be driven by the ECL model, right? So now when the indicators are improving, what parameters are we modifying? I mean, are we increasing PD or are we increasing LGDs to create overlay?

Anil Kothuri: So this is a discretionary management overlay. And as you can see on Slide 43, it is across the buckets, across Stage 1, Stage 2 and Stage 3, okay? Now we do an annual ECL refresh exercise, ty

pically either in Q3 or Q4 every year. Last year we did it in Q3, the year before that we did it in Q4.

And what that exercise will do is to reset the PDs and LGDs in light of our experience over the -- in light of our added experience over the previous 12 months. So that input is not yet baked into what we've done.

Renish: All right. Okay, so last quarter, we sort of highlighted that for the full year our credit cost will remain, I think, around 80 basis point or so. Now when I look at the cost of credit cost, it is actually more than 1%. So how do you see, that line item trending going ahead?

Anil Kothuri: So it's a fair point. Last quarter I did say that our cost of credit through the year will be about 80 basis points, up from 60 basis points in the year gone by. At this point in time, it looks like we may -- it may be a little higher than 80 basis points, okay, given what we are seeing.

Now as a step towards that, we've done a discretionary provisioning this quarter and maybe we could see 90 basis points or even 100 basis points in the -- for the year entirely. But it actually depends on, how the environment plays out and we are calling the environment as we see it right now.

C.V. Ganesh: So I'll just add there, Renish, also our stated intent is to take up our PCR gradually. And from that extent -- to that extent, I think conservatively you should read it as being at least 100 basis points or a little more.

Renish: Okay, okay. So, I mean, then let's say if that is the case, if there is an intent to increase PCR, and I'm assuming it will be more into mortgage businesses where we are at 22, and maybe peer set would be around 30%-odd. So how one should look at it, I mean -- then over the next few quarters we will continue to make this overlay to take PCR to 30% or how one should look at it?

C.V. Ganesh: So see basically, I think at least for Q3, there is visibility. You know, we, as Anil articulated, we do this annual PD, LGD refresh exercise. And as of now, I think we should go with a three-digit bps number, maybe 100, 110 bps number for Q3, Q4. So we are watchful. The idea is not to commit to a number, Renish.

Renish: Yes, no, no, that is fine, sir. I'm not asking for any numbers. But directionally -- then the intent will be to improve coverage?

C.V. Ganesh: That is correct. And given the sectoral commentary, right, we cannot claim to have better data

than everybody else, which is why, we will have to acknowledge and take learnings from that data and part of that is driving our strategy around the credit costs as well.

Renish: Got it. Got it. And, sir, my second question is on the disbursement side, especially in the small ticket LAP and HL, wherein we saw the sequential dip. Is this the reflection of our cautious stance? I mean, since we are seeing the increasing stress in that segment, or how one should look at it?

Anil Kothuri: You're right. It is reflective of our stance. And what we've done is to prioritize portfolio management and collections in some branches over disbursements and -- which is the reason we've got the outcomes that we did. So that's the reason for that.

Renish: Okay. And would you like to share some more details? I mean, when we say we are seeing the increasing stress is this, let's say, specific to any pockets, customer segment, or how is it?

Anil Kothuri: So this is reasonably across the board, yes. Okay. We are a self-employed customer provider; a small loan provider and all our customers are in informal businesses. Now, post-COVID, there was a pullback in terms of cash flows and businesses coming back and all that. Now what we see is that, the growth seems to have tapered off for these customers, and their real incomes aren't increasing.

The second thing that I hear is that, there has been expense inflation across the board. Informally, some price of oil has gone up from X

to Y, the price of vegetables has gone up, all of those

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things. So regular, you know, daily kind of expenses seem to have increased. That is the second kind of feedback that I'm picking up. Okay. So this is the way it is.

Renish: And maybe if we can just speak one last question on the RBI circular dated October 4th, wherein, RBI is sort of setting up on carry-out lending activities under a single entity. Do you foresee any impact on us due to that? Of course, it's out for comment. Of course, it's not being notified, etcetera. But any initial feedback would you like to give?

Anil Kothuri: Yes. So you're right, Renish. This is a draft circular, and a similar draft circular came out in November 2020, you may recall. And about NBFC subsidiaries of private banks at that point in time, we had written back to the RBI, as I'm sure some other market participants have done, and the circular wasn't -- these provisions of that circular weren't implemented.

Once again, I'm sure our parent bank as will other banks, write to the RBI and represent our case. The cut and thrust of what we will see is the fact that NBFCs and banks cater to different target markets. So therefore, a mortgage loan done by a bank and a mortgage loan done by an NBFC are two different products, really.

So, you cannot cover them under one umbrella of mortgage loans. So that will be, what we will -- or what our parent bank actually will try and represent. And we will then see what the RBI has to say. So that's our take on it right now.

Renish: And same is the case for gold loan as well?

Anil Kothuri: Now, on gold loan, look, whatever the circular has said, we benchmarked our practices, okay? And we are reasonably in compliance with what is there. On that, there seems to be a limited kind of variability.

Renish: Right. Okay. That's it for my side. Thank you and best of luck.

Moderator: Thank you for that question, sir. The next question is from the line of Pranav Gupta from Aionios Alpha Investor Advisor. Please go ahead, sir.

Pranav Gupta: Hello.

Anil Kothuri: Hi, Pranav.

Pranav Gupta: Yes, hi. Good afternoon and thanks for the opportunity. A couple of questions. First is in terms of the costs that we incurred this quarter. Obviously, we understand that we have been investing in the distribution and we opened about 46 branches this quarter. If you look at our overall guidance for the year, which you mentioned in last quarter, 50 branches on gold and 30 branches on market side, a large part of that has already been done over this year.

Is it fair to assume that incrementally we can see a big dip in costs in the second half? And do we still hold on to our guidance of 30 to 40 basis points reduction and cost to average assets through this year? That's the first question.

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Anil Kothuri: Okay. Yes. In fact, you look at it, your costs get reset in the first quarter when you have pay hikes and pay hikes for everybody who works in the organization. And then there is some small increase across the year for any hiring that you may do. Now, the bulk of the increase has

happened in Q2 because most of our hiring has happened. We opened 46 of our projected 80 branches.

In Q3, there will be a marginal increase in terms of people cost for the remaining branches that we will open. And the intent is to get done with the branch opening agenda by the end of Q3. So that is what it is.

In terms of cost as a percentage of AUM, it is reasonable that we may get to a 30 basis points kind of improvement across the year. It actually depends on how we see -- how we pursue growth over the next two quarters. The first two quarters have been good. We have grown at 40% year-on-year kind of number. And while that's ahead of what we intended for the course of the year, if we don't dramatically slowdown, we s

ould be able to get to those numbers.

Pranav Gupta: Just a follow-up question on the previous question on asset quality. If you look at, like you mentioned, there is some pain on the mortgage side. And you mentioned that the reduction that we have seen in other indicators, which is 1 DPD, 30 DPD, is mainly due to the efforts that we have put in terms of collections.

But I mean, if you look at gold, asset quality has remained stable there. Not just for us, but probably at an industry level with gold prices going up, LTVs getting better. Is it fair to assume that maybe we are being a little too conservative on the varied cost guidance of 100 basis points? And maybe third quarter sort of surprises us positively, or at least not third quarter, but the year itself?

Anil Kothuri: So the short answer is, I hope you're right. But ours is a business of two halves. There's a gold loan business, there's a non-gold loan business. The gold loan business has zero to negligible credit cost. And to the extent that gold loan forms an increasing portion of our on-book or AUF or balance sheet, we are well served. We will not have credit cost on that.

Now on the non-gold loan side, look, there are two components to credit cost. One is what you crystallize, and the second is what you estimate and pursue through ECL. On the latter, it's a function of what your view of the environment is and what the feedback on your portfolio is in terms of PDs and LGDs.

Now, for now, I think we should continue to believe we'll be at about 1%. And if there's an upside at some point in time, so be it. There's no need to think about it just now is what I would say.

C.V. Ganesh: Right. I'll just add that, Pranav, that see there is internal data and there are external data as well, right? So we have to be cognizant of the external data telling us a story as well. And that's where, that's why the commentary.

Pranav Gupta: The reason I'm asking this is because while on one side, we are talking about some stress being built up, or at least what data we are seeing. But our growth hasn't really eased off in that

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segment, right? So it's sort of sounding either counterintuitive or us being too cautious. That's the reason I'm asking this question, because our growth has been pretty strong in the mortgage piece as well.

Anil Kothuri: You're right. I think what you should take away is that the management expects 1%. And there have been better one-plus 30 plus outcomes in the previous quarter. But however, those have been hard one. And I don't think that will change in at least Q3. And we'll wait for Q4 to happen before we comment on what could happen on Q4.

Pranav Gupta: And in that case, do we envisage some slowdown on the smaller ticket or medium ticket lap side in terms of growth as we sort of either tighten standards or take it a little slow in the second half?

Anil Kothuri: In Q3, definitely. Because as any organization would, we continually review our practices, see what kind of borrowers are stressed and all that. And we calibrate our approach. So I can say that since we are already almost a month into Q3, there will be a marginal slowing down in this quarter. And in Q4, depending on what it looks like while we enter Q4, we will be able to guide you.

C.V. Ganesh: So I'll just maybe supplement what Anil is saying there. See, I think one thing a little different about us is that we are not a single product company. We have four products. So if you see the medium ticket, while there has been a slowdown in the small ticket portfolio, if you see our originations in the medium ticket lap, it has gone up 50% quarter-on-quarter. And the year-on-year growth in that book is 130%.

So we have multiple levers. And if we go slow on something, we have the opportunity to go fast on something else. So that gives us confidence in terms of the resilience of the p

roduct suite.

Pranav Gupta: Yes, absolutely. Just one last question on the gold loan bid. So we've seen the investments come off on a quarter-on-quarter basis. Obviously, last quarter was probably an aberration on the

upside. And if you see the off-book proportion, that has also come off on a quarter-on-quarter basis. Are we seeing any teething issues on the gold lending partnerships? Or is it just a blip in the quarter and then you normalize from here?

Anil Kothuri: So the growth of gold loan is not a concern here. And you should not look at disbursals. You should look at the growth in the balance sheet. Because the borrowers tend to borrow multiple times. And repay. So from that standpoint, we are well served. We had a blowout Q1 because of a dramatic increase in the price of gold at that point in time. That is point number one.

Point number two is you look at our co-lending volume. It has stayed roughly more or less static over the past, quarter or so. That's because our partner banks are also processing all the regulations that the RBI is issuing. As we speak, we are talking to three new providers. And we are inking in the midst of going live, in the process of going live with three new partners. And that should happen over the next couple of weeks.

So the hiatus that we have seen over the past quarter is because people are trying to come to grips with the -- with the altered reality, if any, for them. And otherwise, structurally, I don't see Fedbank Financial Services Limited

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a slowing down of co-lending for gold loan because the banks are hungry to get as much gold loan as possible because it's a zero-risk weight product for them.

So, it's an arrangement that works very well for the bank as well as for the NBFC that partners it.

C.V. Ganesh: I'll just add a little bit more to that commentary. See, in the regulatory context, RBI has been very stubble'd in terms of their approach, and they have been soliciting a lot of data points from various providers. So normally, in such an environment, when, all regulated entities are a little unsure. And typically when you're unsure, you go slow. You remove your leg off the accelerator. I think that's -- only that much to it for Q2.

Pranav Gupta: And could we just get the amount of tonnage on an absolute basis, if possible?

C.V. Ganesh: We were a little under 11 tons. So we were a little under 11 tons, yes. 10.7 is the number.

Pranav Gupta: And maybe a Q2-Y-o-Y comparison, if possible?

C.V. Ganesh: So 10.2 June, and 8.3 in September '23.

Moderator: The next question is from the line of Ganesh Nagarsekar from Bharat Bet Research.

Ganesh Nagarsekar: So my question is regarding the business loan book. So if you look at the average ticket size here, it's gone up quite substantially from, 2.25 million to 2.86 million or so. And I just broadly wanted to understand the reason for this drastic jump, given that broadly we are a bit cautious on the credit environment. So broadly, how are we looking at this case and incremental lending in this subsector as well?

Anil Kothuri: So the business loan -- our business loans are catered to a segment which is, the prime segment, which means these are customers who have a P&L, balance sheet, tax return, and everything else. So that is the segment that we cater to. That is point number one. Point number two is that we see that this is a risk grind by ticket size. So that is the second thing that we see.

In terms of ticket size, our average ticket size for the quarter gone by was INR23.4 lakh, which has been constant at least over the past six quarters. Q4'23 was 23, 23.1, 24, 24.4, 24.3, 23.2, 23.4. So I'm just reading out data in Q4'23. We are in Q2'25. So for the past seven quarters, it's been constant. So it's not a change in target segment or something.

Ganesh Nagarsekar: So the number on the presentation is 2.86 million. I just wanted to make sense of that number.

Anil Kothuri: Which information, which data slide are you using?

Ganesh Nagarsekar: On slide 41.

Anil Kothuri: Average ticket size for retail instalment loans. This includes medium ticket loan against property, small ticket loan against property, as well as business loans, which means it includes all our non-gold businesses. So there is a medium ticket loan against property business that we have where the average ticket size is about, I think, INR60 lakh. -- So now I get your question...

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Ganesh Nagarsekar: The bulk of the growth is -- the ticket sizes come in the medium ticket lap, is it?

C.V. Ganesh: That's right. See, as I articulated, that has gone up 50%. The originations have gone up 50% quarter-on-quarter. That's taken up the average, at an instalment loan level, it's taken up the average ticket size of the book, per se. But on the unsecured business loan side, we continue to keep it steady or maybe a little lower than it used to be on a quarter-on-quarter basis. And if you see, even the off-book arrangements on that has gone up to 33% in September from 30% in June.

Moderator: The next question is from the line of Manav, Individual Investor.

Manav: Sir, can you give your guidance for the ROA and the ROE numbers because it is continuously decreasing from last two, three quarters?

C.V. Ganesh: So, I'll try to answer that. See, essentially -- as you would have seen the sectoral commentary, while all of us would have liked interest rates to go down, interest rates continue to remain at elevated levels. Plus, there is a funding squeeze in terms of bank lending to NBFCs, which is making liabilities costly, right?

So the environment that combined with the commentary in terms of the increase in collection intensity on the ground and subsequent costs incidental there too, right, lead us to believe that we may need to downward revise our guidance from what we had given in Q1. As of now, you know, so we had delivered a 2.4% ROE in FY '24. I think conservatively, you know, we will at least try to be steady on that for this financial year.

Again, every quarter we will revise this. But as of now, looking at how Q1 and Q2 have trended and some of the other indicators, while we have had a robust asset growth, looking at some of the other indicators, it requires us to be a little more conservative in terms of this.

Manav: So ROE in the Q1 you had given that it will be between 2.7 to 2.75. So now you are telling that it will be around 2.5, right?

C.V. Ganesh: So we are saying we will try to maintain it at the FY '24 level. FY '24 it was 2.4.

Moderator: The next question is from the line of Sandeep Joshi from Unifi Capital. Please go ahead, sir.

Sandeep Joshi: So I am just trying to understand our credit cost guidance. So I guess for the first half, we are somewhere about 1.4 to 1.5 level. And I guess for the full financial year, we have guided between 90 basis points to 100 basis points. Is that correct?

C.V. Ganesh: That's right, yes.

Sandeep Joshi: Yes, so which means that for second half, we are building a very, very minimal credit cost for the second half. So that will be led by resolutions, or can you just speak a little bit on this?

C.V. Ganesh: Yes. So, Sandeep, I will maybe just clarify. So when Anil guided about 100 bps, he meant on the ROA tree basis, not on the AUF basis. If you see on the ROA tree, right, on ROA basis, I think our credit cost is coming off a little under 1.3. I think you should look at that number in terms of that indicator.

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Sandeep Joshi: Sure, understood.

C.V. Ganesh: We believe that we are being -- as one of our colleagues on the call said, maybe we are being a little more conservative is what we believe. We would like to be hopeful. So that's where it is.

Moderator: The next question is from the line of

Renish from ICICI. Please go ahead, sir.

Renish: Just one question from my side on the growth. Even the situation is that maybe we are also of the opinion that there is some stress building up in some of the product segments, be it unsecured loan or small ticket LAP segment. So what is the guidance for growth maybe for FY '25 and if you would like to share for '26 as well?

Anil Kothuri: So, we have four businesses, Renish, and let's look at them, try and build this growth up elementally business by business. Now, as far as gold loan is concerned, it's in a good place.

And the growth will be determined by two things over the next six months. One, obviously, is the price of gold, which seems to have an upward bias. That is one.

And the second is the fact that we will have 50 additional branches. Okay. Those branches, you know, did not exist or did not deliver in the first half of the year. So the second half of the year, they will be productive. Okay. So that is one. So the gold loan business is in a good place. It is robust. And as soon as the new co-lending arrangements kick in, we will have the ability to press the pedal on originations, even in the slightly lower yield segment. Okay. So that is as far as gold loan is concerned.

Now, as far as medium ticket loan against property is concerned, our originations have been increasing quarter-on-quarter. And we seem to have settled in on a sweet spot, which optimizes yield, risk, and growth for us. We are able to get all three, you know, in the cities that we do business in with the product that we sell. So that business has no issues. It should continue to grow. And the trajectory of origination and growth is there on a slide in the deck.

Now, as far as unsecured is concerned, the feedback from our portfolio has been similar to the previous year, if not marginally better. Now, in contrast to whatever the environment is articulating on unsecured performance, our unsecured portfolio has largely held. We are also seeing a lot of interest from banks to purchase our unsecured portfolio. In the first half of the year, we sold down as much as we originated, roughly. So that business is good.

And the origination on that and the growth on that is calibrated by how much we want to keep unsecured as part of our overall AUF. So that's what determines this. So, these three businesses, there are no issues at all. Now, the small mortgage business because of the share, number of tickets and the spread that this business has 18 states that we are present in, we are saying that

there is no need to double down on growth the way we did last year. Last year, we had a near 80% increase in terms of AUM growth. That is not what we are shooting for in the current year. We are saying that we will be a little more measured and ensure that we get better portfolio outcomes than we did in the past. Evidence of that is the 1 plus and 30 plus that you are seeing in the deck. We should try and better that in the coming quarter and that will be a good place to

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be in. A couple of INR100 crores of growth this way or that, we are reasonably sanguine as far as the unsecured lending business is concerned.

Now, equally we are continuing to invest in the business. We are building 30 new branches in the unsecured loan business because that is not for today. That is for the years to come. That's how we see growth here. Also, we started this year with INR12,000 crores, INR12,100, we are at INR14,200. So, that's already a 40% kind of annualized growth that we are seeing now. Our guidance always has been that we will strive to do 25% and anything over and above that will be opportunistic.

We have been opportunistic because gold has worked well for us for environmental kind of reasons. And that is the upside and the advantage of our twin-engine model, and which will use to compensate maybe some lower

origination in the small mortgage business, but overall 30-35% I think is reasonably there for the taking in the current financial year.

Renish: Okay, got it. This is very helpful, sir.

Anil Kothuri: Given that we have already finished the first two quarters, and we have done INR2,100 crores of growth.

Renish: Correct.

Anil Kothuri: Sorry apparently I said 30 branches in unsecured, 30 branches in small mortgage. So, I should clarify. Sorry.

Renish: Okay, so another 30 branches in second half.

Anil Kothuri: No, apparently when I spoke in my commentary, I said 30 branches in unsecured. I misspoke. I said we are opening 30 branches in the small mortgage business.

Renish: Got it. So, this is over and above 40 plus branches what we added this quarter, right?

Anil Kothuri: Yes we added 46 in the quarter gone by. Okay. Our total, our target for the year is 80. So, 80 minus 46 is 34.

Renish: Okay, got it. Thank you, sir and best of luck.

Moderator: Thank you for that question, sir. The next question is from the line of Sneha Ganatra from Star Union. Please go ahead, ma'am.

Sneha Ganatra: Hello. Regarding this, just wanted to know your thoughts on this, basically on the margin and the cost of funds. I just want to understand that are we seeing that the cost of funds are expected to be peaked out from here on? How do you see the second half of the cost of funds and basically on the margin? Can you guide us?

And second question is what are the opex that we are planning for additional 40 branches and additional overall 80 branches and additional 40 branches are expected to come? So, what are

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the core benefits? When we expect that the cost to income benefit that could be, that we can incur?

Moderator: Ms. Sneha, we can't hear you. Can you please?

Sneha Ganatra: Yes, first question is just wanted to know your thoughts. How is the cost of funds to be planning out? Are we seeing the peak in the cost of funds considering the rating agency has upgraded us?

And second question is how do we see overall opex to be planning out and when we expect that operating leverage benefit that will occur in the upcoming quarter?

Anil Kothuri: So, I will request Ganesh to answer question one on our cost of funds and what we anticipate will happen in H2.

C.V. Ganesh: Thank you, Sneha, for the question. I think it is fair to say that I don't have a good answer for that because we have been hopeful that RBI will mirror what the Fed is doing, but it will happen when it happens. Till then the money market continues to be tight. Lending rates continue to be high. So, Q3 we have been I think, will the cost of funds be lower than Q2? I don't think so.

Okay, so Q4 is a different game.

So, based on what happens in the December policy, we may see a calibration. So, I think we should not prejudge RBI. We will watch it every two months depending on how the RBI policy pans out, but at least for now, it seems reasonably clear that in Q3, we may at best be steady or

maybe a little higher on the cost of funds than lower. Now, the second question was in terms of operating leverage. I will pass it on to Anil.

Anil Kothuri: So, yes your second like I said, we are opening 80 branches in the course of the year. We finished with opening 46 and the remainder we have either opened in October or should finish, by the end of November. Now, opening branches is a bit like going to the gym. You wish you had done it in the morning so that the rest of the day is good, but it's not fun when you do it.

In our gold loan trajectory this year, there was a huge tailwind in terms of the price of the gold.

And our AUM per branch increased quite dramatically last year from about INR7.5 crores to INR11 crores or so. Now, what we wish this year was that instead of, 400 branches, 430 branches, we should have had 600 branches or 700 branches. That was our wish. But then th

e

time for us to have opened this was 2 years ago when, it would have hit our P&L then. So, that's just how it is.

Now, we opened branches out of these 80 branches, 50 are for gold, 30 are for small mortgage.

The small mortgage branches between opening, staffing, and achieving some level of maturity is 15 to 18 months' time frame. Our thinking is that instead of tanking up on growth in specific years, it should be a gently calibrated branch opening kind of strategy.

Now, in terms of approach, what we are seeing is that we will try and do it in a way that it least impacts our cost to income, which means we are not adding any senior cost, any supervisory cost, but we are adding branches in regions that we are already present in, which is why our headline of 18 states and union territories hasn't changed for at least almost a year now. So, we are adding branches, the area manager and the, business head and the regional manager all exist.

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So, we will at least add only production staff and that should translate into origination very quickly and give us slightly better P&L outcomes.

Sneha Ganatra: Okay, and one more question, once you mentioned the stress, are we witnessing any geography specific stress, or it will be across the state?

Anil Kothuri: The stress is actually segment specific, yes. We are seeing people, who are paying mortgage loans at what was a 50% instalment to income ratio, over two years. Now, normally what happens is that the instalment to income ratio declines because the instalment stays the same and the income increases, let's say, nominally by 10% every year, which is your inflation.

Now, what is happening is that the inflation that is hitting the poor, this segment is far in excess of nominal inflation. So, therefore the 50% that they had, okay, to repay the loan is now, let's say, less than 50% of the overall income. Structurally, that is what is happening, and this is what I piece together from, interactions with our field force and all that. Okay, so that's the way I see it.

Sneha Ganatra: Okay, because already we have achieved a strong set of the numbers. We would be continuing guidance of a 25%. We won't like to revise our guidance afterwards.

Anil Kothuri: Sorry, if I can ask you to repeat the question and, from a bit further away from the phone, yes.

Sneha Ganatra: Yes, just wanted to know, already they have achieved a strong set of numbers on the growth fund, and we won't be planning to revise our growth guidance about 25% plus for the next fiscal also?

Anil Kothuri: No, the next fiscal is 6 months away. So, I think when I say 25%, that is, on a medium-term basis. We've had a good 6 months, and we have overshot that guidance. That is correct. But equally, we should be conscious that not every quarter will be like this. The price of gold can come down sometimes or, there may be some competitive intensity somewhere. Lots of things can happen.

So, I just think when you are guiding for the medium term, we should take 25% plus and, we'll try and stay ahead of the asking rate quarter-on-quarter and maybe better outcomes will result like we've seen. Now, as far as the next fiscal is concerned, it is 6 months away. So, maybe the right time to discuss this would be either the next earnings call, where we can guide for 6 months ahead from there and so on. But for now, I think we have visibility to the current financial area.

Sneha Ganatra: Okay, thank you and all the best and hope to continue to deliver the stimulus to campus.

Anil Kothuri: Thank you so much, Sneha. Thank you.

Moderator: Thank you for that question, ma'am. The next question is from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya: So, I had a question on your medium-ticket LAP segment. So, who would be some of the players we will be competing against in this segment? And so, he

re we are catering to, higher quality

customers where the credit assessment is more income based rather than cash flow based. So, if

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you could just help us understand, do we have any advantage over smaller banks or small finance banks who are also in this segment? Who would have a cost of fund advantage over us?

Anil Kothuri: So, I don't know what the cost of funds of individual small finance banks is. But leaving that aside, the loan against property business is largely done by the private banks. And they have, let's say, thousands of branches across the country. The way they seek to manage, this large network of branches is by having some kind of a uniformity of approach. So, there is a standard product that you offer, any deviations to that are approved.

And their degree of standardization is far higher because, that is the scale at which they need to manage. Now, where organizations like Fedfina, why Fedfina does business is because the segment that we cater to is, does not fit into the standardized norms that various banks have. So, which is why it's a slightly more intensive or diligent kind of underwriting that we need to do.

You cannot just take somebody's numbers, put it in a spreadsheet, send it up the chain for approval and go on. The upshot of this is that we get better yields from our customers, okay, for roughly the same level of risk. That is roughly what it is. So, that's the reason we do business. And like I mentioned, we are able, we've been in this business since 2011. We've disbursed about, I think, some between INR10,000 crores and INR12,000 crores at this point in time, till now.

And this segment has worked very well for us from a risk as well as revenue standpoint. The other thing is that the PSU Bank system would like to do business but does not have the commensurate ability to originate loans. That's why they like to buy our portfolios and our DA transactions every quarter are testimony to this.

We have, I think, how much, almost 27% or so, which is off scope, which is what we've sold down to, 20.8% of our portfolio, which we've sold down. And on an incremental basis, broadly, whatever we originate, we manage to sell down to our counterparty. 24.2% is what we have on the market business overall, yes.

Aditya: Sir. Some of the smaller banks have started offering OD products, to these smaller customers. So, we being a BSC, we won't be able to provide this overdraft facility. So, do you think this could hamper our growth in the future segment because some of these, this seems to be an attractive option for a borrower to have an OD facility instead of a term loan?

Anil Kothuri: Correct. There is, broadly, I'll tell you why people end up taking a term loan. It is to finance expansion of business. In a nutshell, that's what they do. Okay? If somebody's got a shop, he wants to buy stock, he does that. Somebody's got two outlets, selling Namkeen and Ahmedabad, he wants to put up a third outlet. That kind of expansion people take these loans for and they're quite happy paying instalments.

Now, it's a, what, INR6.5 lakh crores, INR7 lakh crores kind of AUM, industry-wide. Sure, some part of it is OD, okay. And I have no numbers on how much is OD. But, judgmentally, I don't think the fact that we don't offer OD will impact us. Thus far, it hasn't. But the future is not ours to see.

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Aditya: Last question on this median ticket LAP. So, what kind of ROEs we would be making in this segment?

Anil Kothuri: So, this business is an extremely profitable one for us. And the ROEs that we get are above-entity ROEs, yes. So, it makes sense for us.

Aditya: Instead of the yields being 3% to 4% lower, we are making better ROEs than the company level?

Anil Kothuri: Correct.

Aditya: Okay. Sure, sir. Thank you for answering my ques

tions.

Anil Kothuri: Thank you.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Shreepal Doshi for closing comment.

Shreepal Doshi: Thank you to all participants for being part of the call. And thank you to the management of Fedbank for giving us the opportunity to host this call. Thank you, sir. And thanks to everyone for being part of the call.

Moderator: On behalf of Fedbank Financial Service Limited, I conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

Secretarial Department

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January 30, 2025

Ref. FEDFINA/ CS/ 226/ 2024- 25

To,

National Stock Exchange of India Ltd.,

Listing Department

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051 To,

BSE Limited,

The Corporate Relationship Dept.

Rotunda Building,

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai- 400 001

Re: Scrip Code: 544027, Symbol: FEDFINA

Sub: Transcript of Earnings Conference Call held on Friday , January 24, 202 5

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on January 24, 2025.

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.fedfina.com/> under the section ' Investor Relations ' in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully

For Fedbank Financial Services Limited

Rajaraman Sundaresan

Company Secretary & Compliance Officer

Membership No.: F3514

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"Fedbank Financial Services Limited

Q3 FY '25 Investor Conference Call "

January 24, 202 5

Management: Mr. Parvez Mulla – Managing Director & Chief Executive Director,

Mr. C.V. Ganesh – Chief Financial Officer,

Mr. – Jagadeesh Rao – Chief Business Officer (Gold),

Mr. Shardul Kadam – Chief Business Officer (Small Mortgage),

Mr. Amit Singh – Investor Relations .

Moderator: Mr. Shreepal Doshi – Equirus Securities .

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Moderator: Ladies and gentlemen, good day, and welcome to Fedbank Financial Q3 FY '25 Investor Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you and over to you sir.

Shreepal Doshi : Thank you, Nivedita. Good evening, everyone. Welcome to the earnings conference call of Fedbank Financial to discuss the Q3 performance of the company and the business update. We have with us the senior management of the company represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh, CFO; Mr. Jagadeesh Rao, CBO for Gold Business; and Mr. Amit Singh, Investor Relations.

I would now like to hand over the call to Mr. Parvez for his opening comments, post which we can open the forum for question and answer. Over to you, sir.

Parvez Mulla : Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q3 FY '25 post results earnings call. My name is Parvez Mulla, and I have recently assumed the role of MD and CEO of Fedbank Financial Services. I have been in the BFSI industry for over 30 years with my longest tenure being ICICI Bank. It is a privilege to talk to you today and share the update for the company. I joined Fedbank Financial Services in mid-November this year. And during the last few weeks, I have actively engaged with the key stakeholders.

These interactions included discussions with employees across various levels, Board members, investors, analysts and the regulator. Additionally, I had the opportunity to visit branches, meet customers, allowing me to understand our operations and on-ground realities. These experiences have provided me first impression insight into the strengths and areas to work on. FEDFINA, is an organization with a strong foundation built and majorly owned by Federal Bank backed by a strong and committed Board, a diversified investor base and a robust business model.

FEDFINA has a compelling mix of secured play with a wide geographical presence and a diversified product portfolio. I believe this organization has a lot of untapped potential, which represents an exciting opportunity. FEDFINA is predominantly focused on mortgages and gold loans, with a small portion of unsecured business loans. Our Gold loans, which constitute 38% of our AUM business continues to perform well, both on growth and profitability, aided by Fedbank Financial Services Limited

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increase in tonnage and rising gold prices. Our productivity ranks as one of the highest in the industry.

In our Medium Ticket LAP business, which constitutes about 24% of our AUM, we have built a stable business catering to customers with prime and near prime profiles, who require a loan against property. It is a scalable and profitable business and runs with a strong focus on execution and through direct assignment allows us income with low capital allocation.

On the Small Mortgages business side, However, there are a few short-term challenges that the company has faced and these have required our immediate attention. Our small mortgages business is experiencing an elevated level of delinquencies. We have seen a delay and drop in realization for deeper bucket NPA

pool. However, we have identified the areas to focus on and are taking proactive steps to address them.

First, we have appointed our seasoned leader, Mr. Shardul Kadam as the new Chief Business Officer. Shardul has been handling various functions in our organization since 2011, including setting up and growing this business in its initial stages.

Second, we have reviewed and refined our policies, tightened lending norms and migrated to a robust new business rule engine supported by Salesforce as our loan origination system providing objectivity in decision-making at scale.

Third, in certain locations, our collection infrastructure has not kept pace with business growth, and we are strengthening our team from grounds up. Fourth, we are implementing product-specific collection structures and have onboarded a dedicated senior collection head for this business.

Fifth, towards enhancing resilience of our balance sheet as a one-time exercise, (a), we have

shored up our provisions on NPAs in the Mortgage portfolio; (b), undertaken a management overlay to factor for the increased delinquencies to take care of the delayed resolutions. We have also done our annual ECL refresh exercise in Q3 and taken additional provisions on that account. These conservative measures, we believe, will strengthen our balance sheet.

Our Unsecured business, around 12% of our loans has been sourced on an originate to sell construct. We have consciously slowed disbursements in this product. And from a strategic perspective at an entity level, we would be pivoting to a more secured construct, more than 90% to 95% and reduce emphasis on this product. We have taken additional overlays on unsecured book as a conservative measure.

These measures are crucial to addressing current challenges while fortifying our operational and risk management framework. I am confident that these decisive initiatives will not only resolve immediate issues but also position us for long-term growth, sustainability and value creation for all our stakeholders. With a clear focus, empowered team, a drive for excellence and tough

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decisions, and we are confident in our ability to navigate this phase of rebuild and revive successfully. And bring in a period of predictable and consistent outcomes across the metrics of quality ROA and fostering sustainable growth.

Some of the business numbers are as follows: our AUM touched INR14,922 crores, seeing an accretion of INR704 crores in Q3, translating to a growth of 5% Q-o-Q, 39% Y-o-Y.

Mortgage AUM reached INR7,581 crores and AUM growth of 5.6% Q-on-Q, 38.6% Y-o-Y.

Gold reached INR5,203 crores, and AUM growth of 5.4% Q-on-Q, 52.9% Y-o-Y.

Disbursements have clocked to INR4,395 crores in Q3 FY '25, up 31.4% Y-o-Y.

On the profitability side, our operating profit has grown 30.9% Y-o-Y to INR144.6 crores.

However, our net profit stands at INR18.8 crores in Q3 FY '25, down 71.3% Y-o-Y. This profitability impact is on account of a one-time elevated provision of INR75.5 crores. Mortgage gross Stage 3 stands at 3.3% versus 3.2% Q-on-Q, and gross Stage 3 is largely stable at 1.9% at an entity level, the net NPA stands at 1%.

I will now hand over to Mr. C.V. Ganesh to take you through the business numbers and the provisioning details.

C.V. Ganesh: Thank you, Parvez. Thanks, everyone, for your participation on the call. While Q3 was a challenging quarter for us, sharing a few highlights. We commissioned 28 new branches in the quarter, including 21 in Gold Loans and 7 for Small Mortgages. This takes our branch strength to 693 branches.

Overall, AUM was INR14,922 crores as on December 31. This is up from INR12,200 crores as of April 1. In the 9 months ending December 31, our AUM has grown 22% in the first 9 months of this fiscal. Of this, Gold Loans and Medium Ticket LAP have grown 53% and 45% year-on-

year, respectively. While Small Mortgages grew 32% year-on-year.

The Unsecured business loans AUM has grown 15% year-on-year. Currently, in terms of split, 51% of our AUM is in Mortgages, of which INR3,979 crores is Medium Ticket LAP and about INR3,602 crores is Small Mortgage. Another 35% of the AUM is Gold Loans, which crossed INR5,000 crores in the quarter and ended December 31 at INR5,203 crores.

Our Gold Loan AUM per branch increased from INR10.7 crores per branch to INR10.8 crores per branch, in spite of the addition of new branches. And overall tonnage at an entity level was 10.7 tons.

Now to new loan origination. Our Medium Ticket LAP continued to clock high growth with disbursements of INR562 crores in the quarter, up 65% year-on-year. However, there was a minor decline sequentially partly due to a slowdown in Bangalore due to the government mandating e-khatas of our property records and some challenges with respect to the same.

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We have been tightening the policy and process around our small mortgage product. And this has resulted in a slowdown in new origination. New originations for the quarter came in at INR171 crores, a degrowth of 26% quarter-on-quarter. Quarter 3 is historically a weak quarter for gold. In spite of the above, our Gold Loan AUM grew by INR269 crores, which is 5.4% sequentially quarter-on-quarter and 53% year-on-year.

As Parvez mentioned, strategically, as we pivot to a more secured construct, we have gone slow on the unsecured business loans and have decelerated originations by 39% Q-o-Q to INR220 crores. On the P&L, our yields have increased by 20 bps, and we have been able to hold and

even improve cost of borrowings in the quarter. As a result, our spreads have correspondingly grown 20 bps sequentially quarter -on-quarter.

Our net interest income is up at INR284 crores, which is a 7% sequential quarter -on-quarter growth and the 31% year -on-year growth. Our net total income is up 6% sequentially and 27% year-on-year. We were able to hold opex flat quarter -on-quarter at INR177 crores. We had a steady operating performance. Our pre -provisioning operating profit came off better at INR145 crores, which is up 14.5% quarter -on-quarter and up 31% year -on-year. For the 9 months of this fiscal our pre -provisioning operating profit crossed INR400 crores, which is 40% up over the corresponding period of last year.

Now on credit cost. Our credit cost for the quarter stood at INR119.6 crores, which is about 4.2% of our average AUF. With this, the credit cost for the first 9 months of this fiscal stands at 2.4% of the average AUF.

Let me deconstruct this for you. We had elevated delinquencies in Q1, which persisted in Q2. We have seen a continuation of the stress in some parts of the small mortgage book in Q3 also. Also, on the NPA pool, where we had seen a dry up of cash realization, we saw further de-risk in Q3, which has necessitated a re-evaluation of provisioning on the pool.

Out of this INR119.6 crores, our core credit cost is only INR25 crores, which is 88 bps annualized. As we guided last quarter, we have our annual ECL refresh in Q3 of every year. So when we did this exercise, we got a P&L charge of INR19 crores, which is incremental provisioning on the entire stock of the loan book.

This, which happens annually, accounts for another 67 bps. We did a thorough evaluation of the NPA book and with a view to strengthening the balance sheet, have decided to do a onetime additional provisioning of INR75.5 crores which is another 270 bps. It is primarily made up of 2 parts.

There is a onetime additional provision on the NPA pool of INR57 crores. This is across our mortgage book and the residual book on construction finance. With this, we believe our NPA book is adequately provided for. We have also taken additional management

ent overlays of INR18

crores, primarily on Stage 1 and Stage 2 loans in the Small Mortgage book.

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On the GNPA, we have been able to hold our GNPA flat at 1.9% as a result of the additional provisioning on the NPA bucket, our net NPA stands at 1%, down from 1.5% in the last quarter. Consequently, our PCR on Stage 3 has moved up from 21.9% to 45.2% as of December 31. The provisioning on Stage 2 has also gone up from 11.6% to 12.8%.

On the treasury side, I'll break it up into 2 parts. One is on total borrowings and the second is on incremental borrowings. On a quarter -on-quarter basis, our weighted average interest cost has gone down by 4 bps from 8.73% to 8.69%. This is the third quarter of consistent decline in weighted average cost of borrowing and has been facilitated by resets on our external benchmark linked borrowing book.

About 88% of our total borrowings are floating rate in nature. Of these 41% of our borrowings are external -linked benchmarks and another 47% are linked to MCLR. We added one new PSB lender to the relationship, and our total partners now stand at 41. On the incremental borrowing, our incremental cost of borrowing for the quarter was 8.69%, 79% of the incremental borrowings raised, during the current fiscal are on floating rate benchmark, which should help us as rates start going down.

On the balance, which are fixed rate in nature also another 17% are of short term in nature and hence resettable on maturities. Consequently, our debt -equity ratio has also improved to 3.98% from 4.09% in September 30. During the quarter, the company continued to move forward in its policy of deleveraging through co-lending and direct assignment of instalment loans. We added one new bank partner for Gold Loan CLM during the quarter.

Our AUM grew by INR704 crores. On the securitization side, we did INR302 crores of co-lending, and securitized another INR486 crores across the mortgage book and the unsecured loans. Through this, we have been able to improve capital adequacy and improve our leverage position.

Currently our off -balance sheet book stands at INR3,471 crores, up from -- up 86% from INR1,864 crores in the previous year. Of this, Gold Loans held in partner books account for INR875 crores. Unsecured business loans securitized stand at INR554 crores and Mortgage Loans securitized accounts for INR2,042 crores. Our CRAR stands at 21.6%, up from 21.4% in September.

Lastly, our shareholders' equity as of December 31 was INR2,464 crores, and our book value per share stands at INR66.1. With that, I hand it over to the operator for any questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Renish from ICICI Securities.

Renish : Sir, my first question is on the strategy side. So you did highlight about re-looking at some of the processes in the way business is structured currently. So just wanted to know what is your sort of initial assessment in what areas we have to sort of restructure the process, etcetera? And does that require additional investment? And if yes, where do you see cost ratios settling down in near term?

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Parvez Mulla : As far as my strategic thoughts are concerned, one is we want to look at capital allocation to high ROA -ROE businesses. So -- and clinically look at it. So if business loans is not giving us the ROE that we want and if the appetite for sell-down is not there for business loans. We want to take a tough decision on it. And so be it, then we want to pivot on secured business construct. If the environment is not helping us make money on it. It doesn't make strategic sense for us to continue. That's why we're slowing down that business. Second is if you look even in the secured business co

nstruct, we want to double down on our

LAP and gold business. LAP includes our Medium Ticket LAP business and our Small Ticket LAP business. We would like to be known as a company which is doing LAP. First, there are many players who are doing home loans and also doing LAP. We want to be known as a company which is doing LAP first.

And our Gold business is doing well, and it is a twin-engine strategy, which we have communicated earlier also and it helps us to hedge constructively. Even in the Secured business side, we want to look at a mix of high yield and low yield. That is why we feel Medium Ticket LAP and a Small Ticket LAP, both go hand-in-hand, where one is a high yield, one is a moderate yield business. One is a moderate risk and the other is a low-risk business. So that gives us an adequate diversified hedge.

We also want to be deep invested in collections, and that is where we were lacking. I personally believe we should have invested into collections. We want to be spending more money in terms of hiring people at the right strategic level as well as at the ground level. Collections in lower bucket is very different from collection in a deeper bucket, especially when you are doing the affordable segment. We want to be deep invested, and there are models which have done well there.

At our opex side, we want to solve it by -- with the aid of tech. Obviously, you might not see it in the immediate. But directionally, we want to go there. We want to look at a frugal opex structure and which will encourage collaboration. So you will see by the next quarter, we telling you about our synergies between our gold branches and our Small Ticket LAP branches.

Today, our Small Ticket LAP branches do business separately and our gold branches do separately. By next quarter or FY '26, you will see us not putting so much investment on the ST LAP branches, but trying to do business through the gold branches. And we will pilot some successful models through the gold branches.

So more core business, less DA, overall, trying to focus on the quality of business followed by profitability and growth and trying to take these provisions so that we can make credit costs more predictable putting processes which will allow us to scale making processes as lean as possible. So the standard stuff, but focusing more on execution and getting the collaboration right.

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Renish : Got it. So just a follow-up on that is that once we go through this part, there will be a lot of AUM mix sort of will change, where in Small Ticket LAP, Medium Ticket LAP or incremental will go at a faster pace, unsecured business will go at a slower pace. And of course, as you rightly mentioned, there will be investment towards collection infrastructure, etcetera.

So I mean, where do you see you want to achieve a steady state ROA after sort of restructuring everything? Or is there any thought behind that?

Parvez Mulla : No, definitely, there is a thought. See, if you look at our 3 businesses that I spoke about, our Medium Ticket LAP business, our Small Ticket LAP business or our Gold business. Our Gold business is a good profitable business, very execution focused. We've invested well in it. It is operationally run very, very efficiently. And we have a definite ROA glide path to that. And we are very happy with the kind of glide path that we are getting on our Gold business.

And that mix of Gold business will always remain between 30% to 40%. So we will be between 30% and 35%, and sometimes it might go to 40% when we are trying to slow down on our BL

business. Our BL business in the next 1 year, you will see us reducing our contribution from 12% to 5%. And then slowly, it might slow down. So that is where the piece will be. Our Small Ticket business, which is the Small Ticket LAP business, you will see us allocating more of o

ur resources and our some of our best people that side. You will see us foc using more on this business, putting in processes tech on this business so that we can scale this business. This business will grow at a much, much faster pace than all other businesses. But it will be grown with quality.

And that is why you have a seasone d leader who has handled risk as well as growth and Shardul who's coming in there comes with a risk mindset as well as a growth mindset. So the idea is to scale it. Today, initially, you will see higher growth in that business, which we are trying to be, but it will pivot to a decent growth rate once we put the processes in place once we put the tech in place.

And that is my only injured business. See one of the advantages of being in a diversified setup is you have 3, 4 businesses, then one business gets i njured, you have the other businesses taking care. But once this business picks up, this will be our pivot business.

And I personally think , if our business loans slow down, it might go down to 5%.

But in that ratio, you will see us putting our portfolio forward. Basically looking at quality then profitable sustainable growth.

Renish : Got it. Sir, just last question to Ganesh. So where do you want to keep the PCR? I mean, in this quarter, with accelerated provision, we've been able to improve our PCR to 40 %-odd. Now of course, this is a one -time exercise. But going ahead on incremental flows, you guys want to keep Fedbank Financial Services Limited

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PCR at 40% or let's say, typically, injuries in mortgage business is lower, maybe at around 25% , 30%. Gold literally is 0% or maybe 5%, 10%. So how does one see the PCR going ahead?

C.V. Ganesh: So thanks for that question, Renish. See our current PCR rises incidental to the provisions we have taken. Our ECL model has shown a rate of the impact of the ECL refresh exercise is INR19 crores. Now on top of that, we have taken a management overlay of another INR19 crores. Now that is based on the current empirical data, which we see with respect to our delinquencies. If the delinquencies improve based on the investments we are putting on the ground, then there is a case for a revaluation of these provisions. Now on the PCR, it's not that we will stay here. But what I can tell you is it will not be as low as it was in the past, but it will also not be as h igh it is as we are reporting for December 31.

Renish : Got it. would you like to guide us for a credit cost for next year?

Parvez Mulla : On the credit cost, Renish, I can assure you that in the Q4, we will keep it sub -1%. So this provision that we are taki ng is a one -time provision for this particular time. And Q4, we should normalize. And the idea of taking this one time is to get a predictability to the credit cost. There, you have to also understand that I am slowing down BL. And that credit cost BL is a part of my credit cost.

Almost -- I mean, if I have to give you some number about 20% to 30% of my credit cost comes from BL. So that is the piece. Once it goes slow down, you will see a far more predictable credit cost.

Moderator: The next question is fr om the line of Vivek from DSP Mutual Fund.

Vivek : Ganesh, thank you very much for giving the split between the various provision numbers, it was very useful. So I wanted to ask about the economic situation, especially in the s mall mortgage business , and yo u said there's elevated delinquencies in select pockets and delayed realization in deeper buckets NPAs. So my questions are , is there an income shock or are there specific geographies or specific clients who are facing this problem? And how is the situation on the soft bucket collection efficiencies in the same areas?

Parvez Mulla : See, Vivek, typically, I don't want to attribute it to the environment. We are in a secured environme

nt. The environment for unsecured is very different and secured is different. There could be inflationary pressures there. But our issue is our own operational issue. The provision that we are taking is because we were under invested in co llections. We personally believe the segment that we are operating in requires a constant touch with the customer, consistent engagement and proactive falloffs.

It is a collection intensive business . And that so I don't want to attribute it too much to the environment. There could be some factors of the environment definitely. And Shardul, do you want to add about the environment?

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Shardul Kadam : Yes. So the way we've seen it in particular, the stress build-up has been in certain select pockets for a few states. See, the customer segment, which we deal with is typically an assessed income program. And these are relatively underbanked customers. So it's very important that we need to have the last mile collection reach in place, which, as Parvez mentioned, in some pockets, we are falling short of that because of which we've seen some flows.

And typically, after this kind of a customer has some 2 or 3 EMI spending, then obviously, the resolution, the rollback becomes that much difficult. So in anticipation of that basis, our ground team feedback is where we prudently believe that we should shore up the provisions. Having said that, 96% of our borrowers are having self-occupied properties, I mean the properties which are mortgaged with us are self-occupied residential properties. And more often than not, these are the primary assets of these families.

So the way we look at it is, while there has been a shore-up in the provisions we will see resolutions subsequently coming in here, but it may possibly get delayed as compared to what we've seen in the past. Hence, this particular shore-up.

Vivek : And now I can see the confidence that you all say about keeping the credit cost lower going forward because it's your own effort. The second is a more trickier question on this for Ganesh, with the bank-owned NBFC guidelines out there, are there any thoughts on the management of either yourself or your parent that you want to convey to us? That's the last question.

C.V. Ganesh : So thank you for that question, Vivek. So we have that deal in correspondence with RBI as have many of the other impacted parties as well. So broadly, the way we see it, the October 4 guidelines add 4 stipulations, okay? One is that the upper layer restrictions will apply. The second is that you have to be listed. The third is that there will be no regulatory arbitrage in the NBFC. And the fourth is that you will follow rules and regulations applicable to loans and advances, that's applicable to banks.

Now we take most of those boxes, right? And for us, so what we have, again, I think the RBI letter is confidential. I can't speak much. But I think at the end, we already seem to be at much of the end state there, which is why the -- if the destination is where we are, then we have possibly a reason that maybe there is an opportunity to relook in terms of the differential niche, the priority sector segment we lend to.

And we are confident RBI will apply in mind. As of now, they are interacting in a constructive manner. So we'll keep our fingers crossed.

Parvez Mulla : Yes, Vivek, but just to add there, see, this is a space where the regulator will take the final call. And we are cognizant of that. And as a regulated entity, we have represented our side of the story, and we are hopeful that the regulator will look at it because we are a listed entity. And there are certain challenges of a listed entity going through those things. So it is a representation, a representation both from our parent as well as from us and we are seeking the regulators' exception for this.

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al Services Limited

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And we believe that we have a case for representation. We strongly believe we have a case for representation.

Moderator: The next question is from the line of Shubhranshu from PhillipCapital.

Shubhranshu : I just have 2 questions. The first one is around this change in the mix that we spoke of just a bit earlier that was not very clear to me? Second is that is there a regulatory pressure to change Gold Loans from a bullet repayment product to an EMI product, which could be yield mitigating?

Parvez Mulla : So the mix that we have today is in our mortgages business, mortgage occupies about 50% of our AUM. So 25% is Medium Ticket LAP, Small Ticket LAP is about 25%. And about 35% to 38% is gold and about 12% to 15% is our Business Loans piece. The only piece which we are changing there is business loans, we are slowing down.

So you will see the percentage contribution of business loans going down from 15% to 10% then slowly to 5%. And that additional increase will, for the short term might go towards gold, but eventually, it will go towards a small-ticket LAP business. So you will slowly see small-ticket LAP business occupying more percentages and business loans occupying lesser percentage. That's the mix change. As far as gold is concerned...

C.V. Ganesh: Is there a regulatory pressure to move to a non-bullet was the question.

Parvez Mulla : No, there is no regulatory pressure to do that, although the regulator has issued guidelines in terms of how Gold Loan companies as well as NBFC is doing gold, have to follow those regulations. And we also have had a Gold Loan audit, and we have successfully complied with most of them. Wherever we had certain concerns, we engaged with the regulator and the

regulator clarified to us, and we complied with it.

So we are on complete sync with what the regulator wants and we have complied with most of the pieces on the Gold Loan side, including the LTV piece, which the industry was interpreting it differently. But as of 1st January, we have complied with the regulator has said that we should maintain it completely at a sourcing level, we have reduced our LTV.

Shubhranshu: So Gold Loan won't become an EMI product in the future. Is that a fair understanding?

C.V. Ganesh: So basically, we do a mix, Shubhranshu. It's not that we don't have the EMI product. I think the limited answer was that there is no regulatory pressure. In fact, we had an annual RBI inspection for the last 2 years, which happened for us about 2 months ago. And we have had a very satisfactory outcome.

So I think RBI pretty much is giving us the freedom to choose. And we are very clear of what RBI wants us to do, and we will adhere but there's no product construct level stipulation being guided by the regulator.

Moderator: Thank you. The next question is from the line of Chirag from Fast Water . Please go ahead.

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Chirag: So I just wanted to ask regarding, let's say, in the next 2 years, where do you see the cost to income, ROA and ROE, just wanted to know your guidance on that?

Parvez Mulla : Chirag, I would like to jump on that question, but if you could give me Q4 to give you those numbers , because I'm right now guiding on the credit cost for Q4. Directionally, I can tell you that FY '26, you will see us driving cost to income. There is a definite number in our head where we want to chase an ROA, ROE for FY '26, but it will be too early for me to give you that number right now.

C.V. Ganesh: So Chirag. I think the point being made here that we will be agile and nimble and calibrate our strategy according to the environment. I think that's what we are saying. We have very clear large numbers in our minds but we will go one quarter to another in terms of that number.

Moderator: The next question is from the

line of Pranav from Aionios Alpha Investment Manager. Please go ahead.

Pranav : Just a couple of questions. One clarification for Ganesh, sir. So you mentioned the breakup of credit costs were INR75 crores is -- about INR75 crores is onetime and or INR19 crores is for the management overlay. But the math is sort of not adding up, maybe you can clarify or maybe I misunderstood it? So that's the first bit.

C.V. Ganesh: Yes. And I'll just maybe -- just I'll make sure that I clarify appropriately. So our total credit cost was INR119.6 crores. Of that, the core credit cost was INR25 crores, which will be normalized credit cost for the quarter. The annual refresh exercise we did, the ECL refresh exercise which we do once a year, right? Now in light of the elevated delinquencies, we had, it led to an increase -- and that we do on the entire stock. So that led to an additional charge of INR19 crores.

Now that leaves INR75 crores. Now that INR75 crores, so both of these are normal. So I wouldn't call the ECL refresh also as a onetime because that anyway we are supposed to do annually.

Now apart from this, what we did, that INR75 crores is the onetime element. Out of the INR75 crores, the INR57 crores was towards the NPA pool where we have taken up provisioning and there is another INR18 crores has been on account of management overlays across the small mortgage and the unsecured business loan book.

Pranav : Understood. Now that's clear. So the second question is on the opex, while obviously the guidance that you would want to give us probably next quarter. But just qualitatively, Parvez sir, you mentioned that you want to take -- you want to get more synergies out of the gold branches wherein more LAP business can happen through those?

Could you just give us a qualitative sense of a few of the things that you think are low -hanging fruits where you can reap benefits on the cost side probably through '26, not asking for any numbers , but just qualitative guidance?

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Parvez Mulla : See, qualitative wise, you can look first is the BL construct. There will be an opex, which will change there. Second, as I told you, we will look at gold branches and not putting the MSME branches or very few MSME branches is the second construct, which we look. Third is we will look at manpower wherever we can use, I mean there is an industry which is using the apprentice model, and we want to explore that model in certain functions, and that is where we personally believe there could be a cost saving.

Technology, there is an investment of technology, which we have done on the MSME side, and there is a digital flow, which is happening and which will give us certain process efficiencies once we start scaling our Small ticket LAP business. Next quarter, we should implement sales force on the LAP business. We will also reevaluate certain branches, which are not giving us the revenue, or if the cost to income is not correct in certain branches.

So we will look at that. We want to look at frugal construct when we are constructing the ST LAP business and when I told you that Shardul is coming in, Shardul is also looking at the kind of construct that is there in the ST LAP business and the kind of cost to income that we are incurring on the ST LAP business, he's looking at everything there, including incentives, including the tenure yields where we can get the better cost to income.

So you will also see -- One is, obviously, the back office lift, but a productivity lift on the individual businesses also will give us certain pieces there. We will also explore some synergies, which we can get with certain partners, which should give us another upside. So these are broad level thoughts, but I will be able to articulate it to you in a more constructive manner. But there are opportunities for us to take it direc

tionally with the number that we have in mind.

Pranav: Fair enough. That's pretty useful. The last question, sir, on credit costs. But obviously, again, you mentioned that maybe guidance is something that you will look at in the fourth quarter for FY '26. But a gain, looking at all of the changes in terms of tightening of underwriting standards and imposing correction infrastructure in the Small Ticket LAP business?

On a more longer term basis, where do you want this business to settle? Because if you look at what was guided to us earlier, we were looking at about 75 to 80 basis points. But with this improved construct, is it fair to assume that the steady state credit costs for this business once the dust settles, could be a lower number than that?

Parvez Mulla: See, as I told you, even with my business loan construct, I'm telling you that by Q4, we will try and do our sub -1%. And then in that sub -1%, I'm telling you that my BL is there. And my BL as a construct will slowdown. And that is almost 20%, 30% of my credit cost today. So it will come to the number that you have in mind.

Moderator: The next question is from the line of Aditya from Bandhan Mutual Fund. Please go ahead.

Aditya: I had a question. So in last quarter, you had mentioned that there is some stress in our Small Ticket LAP book. This quarter, we have built a contingent provision to manage that stress. So I

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just wanted to understand what are the possible reasons for this stress? And like are these the same as the reasons for the microfinance players?

And what time could it take for this to normalize? Because this is a secured product and the level of stress that I'm expecting should not be as high as other unsecured products. So what is your outlook on this loan book right now?

Shardul Kadam: Yes, Aditya. I'm Shardul, I'll want to take this call. So first of all, the customer segment, which we deal into does not have so much overlap with the micro finance segment, because my average ticket size is ranging at about, say, INR13, INR14 lakhs. So we're talking about the collateral, which is mortgage is roughly in the range of about INR25 lakhs to INR30 lakhs of a property

And we've done our checks also through the bureau scrubs. So we are really not seeing too much of an overlap in the MFI segment. We do have our borrowers who have taken unsecured loans elsewhere. But then again, a large portion of them continue to remain current with us or less than 30 DPD, though there may be deeper buckets with unsecured loans.

And we remain watchful on those accounts from a potential stress build. But because, as I said earlier, that 96% of our collaterals offered are self-occupied residential properties. To that extent, we believe that while we may see delays in our EMIs, but ultimately, we should be able to get our monies back.

Now to address as to what has been the reason for the stress. So clearly, this is a relatively underbanked customer segment. So it's important that your last mile collection reach also needs to be in place because the price of our mortgages roughly in the range of about 17%, 17.5% kind of yields.

That is where, in some pockets, we found that we were not adequately capacitated on collections, which resulted into certain flows, and we're taking corrective actions in terms of strengthening our collection infrastructure grounds up.

Aditya: So if there's no like issue with the borrower capacity. So this should normalize within next how many quarters?

Shardul Kadam: So the way we are looking at it is, see, there has not been any systemic risk as such, which you're seeing. I mean there have been delays on the borrower side, yes. The sense what we get from the ground is wherever we felt that there was a reason to shore up of provisions, I

think we've
done that.

The way we are looking at it is with the collection infrastructure falling in place, we already got a dedicated collection head onboarded and we're putting a structure under him. So by Q1 is where we should start seeing a good pull back.

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Moderator: Thank you. That was the last question. I will now hand the conference over to Mr. Shreepal Doshi.

Shreepal Doshi : Thank you, everyone, for attending the call, and thanks to Fedbank Financial Services Management for giving us the opportunity to host this call. Thank you, everyone, and have a good weekend. Thank you.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

Secretarial Department

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May 06 , 2025

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Sub: Transcript of Earnings Conference Call held on Tuesday , April 29 , 2025

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on April 29 , 2025 .

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.fedfina.com/> under the section ' Investor Relations ' in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully

For Fedbank Financial Services Limited

Rajaraman Sundaresan

Company Secretary & Compliance Officer

Membership No.: F3514

Encl : As above

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Fedbank Financial Services Limited
Q4 FY'25 Earnings Conference Call "

April 29, 2025

Management : Mr. Parvez Mulla – Managing Director & Chief Executive Officer ,
Mr. C.V. Ganesh – Chief Financial Officer ,
Mr. Shardul Kadam - Chief Business Officer (Small Ticket Mortgage) ,
Mr. Jagadeesh Rao - Chief Business Officer (Gold Business) & CMO,
Mr. Suresh Kumar - Chief Business Officer (Medium Ticket LAP & Business Loans)

Moderators: Mr. Shreepal Doshi - Equirus Securities

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Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to Fed bank Financial Services Limited Q4 F Y'25 Earnings Conference Call hosted by Equi rus Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the Company , which are based on beliefs, opinions, and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Manav. Good evening, everyone. We welcome you all to the earnings conference call of Fed bank Financial to discuss the Q4 Performance of the Company and the Business Update .

We have with us Mr. Parvez Mulla , MD & CEO of the Company , along with other senior managem ent. I would now like to hand over the call to Mr. Parvez for his opening remarks, post which we can open the forum for question -and-answer. Over to you, sir.

Parvez Mulla: Thank you, Shreepal . Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q4 FY'25 and the full year FY '25 Post Results Earning Call .

I am joined by our CFO – Mr. C.V. Ganesh ; our Chief Business Officer for Small Ticket Mortgage Business – Mr. Shardul Kadam ; our CBO for Gold Business and CMO – Mr. Jagadeesh Rao ; our CBO for Medium Ticket LAP and Business Loans – Mr. Suresh Kumar.

When we connected during our last quarter earnings discussion, I had briefed about our performance and highlighted certain challenges that required our immediate attention.

Elevated delinquencies in the small mortgage portfolio, collection infrastructure lagging behind business growth.

Furthermore, in the interactions, we had listed down our priorities ,

We will allocate capital to high RO A/ROE business , and

Slow down the BL business and move to a more secured construct ,

We will double down on our twin engine strategy of gold and LAP business es,

Within LA P, we will focus on mix of high yield and lo w risk businesses,

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Page 3 of 17 To address the delinquencies, we would be investing in strengthening our collection infrastructure,

We had then appointed new leadership to rebuild our ST LAP business,

We will scale our MT LAP business with a focus on on-book and direc t assignment,

Try and keep the credit costs up 1 % in Q4 FY '25,

We will get more core income and less er DA income .

With respect to these priorities, we have t he following updates in Q4 FY25,

Senior leadership has been put in place in collections.

We have verticalized the collection structure to bring focus at product level. The

middle layer and field level hiring is in progress and we expect to complete it by Q1.

We have added resources in call center to optimize the early bucket collections and pre-delinq uency management and added resources in litigation team.

On the small ticket LAP business side, as announced, we have a CBO in place. We are in the process of strengthening the middle management as well as the frontline team. We expect to complete substan tial part of the exercise by Q1.

As mentioned in Q3, the business has fully migrated to Salesforce and the new origination is happening through evolved BRE, requisite changes have been carried

out in the policies and operating guidelines. With

the new processes in BRE, our small ticket LAP disbursements for Q4 touched Rs. 270 crores, a growth of about 58 % quarter -on-quarter. We still have to reach our full potential here.

We are in the rebuild phase in both ST LAP and collections and you will find us updating you over the next few quarters. In these two verticals, you will see stability in the numbers post the rebuild phase.

In the gold business, we had a fantastic year and quarter with our AUM growing 48 % YOY aided by tonnage growth 18 % YOY. Our LTVs on AUM stand at 66%. Our doorstep gold loan initiative has paid off really well. We have more than doubled our doorstep gold AUM in FY '25 and touched 15 % of the total gold AUM.

The MT LAP business, the medium ticket LAP business, scaled up handsomely while maintaining stable yields.

Our credit cost for Q4 is at 1%.

While we have taken focused corrective actions, we do expect some flows to come in in the near term, but normalized by the year end. With the continuous strengthening of collection and

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Page 4 of 17 focused execution, we believe we are well positioned to manage these risks effectively. We expect normalization to set in by the year end paving the way for more stable and predictable credit performance going forward. While we are focusing on rebuilding our ST LAP business in collection, our Gold business and LAP business have scaled up on the back of productivity improvements and give us confidence as we enter the year. Some of the key business numbers for the quarter are as follows.

Our AUM touched Rs. 15,812 crores and accretion of Rs. 889 crores in Q4 translating to a growth of 6 % quarter -on-quarter and 29.7 % year-on-year.

Gold reached an AUM of Rs. 5,880 crores , a growth of 13 % quarter -on-quarter, 48.1 % YOY.

Tonnage growth for the year came in at 18 % YOY reaching 11.3 tons. We have added 35,000 new customers in Gold loans during the quarter.

Mortgage AUM reached Rs. 8,062 crores , an AUM growth of 6.5 % quarter -on-quarter , 29.7 % YOY. Disbursements of Rs. 5,578 crores in Q4 FY '25 up 26.9 % Q-on-Q and 28.6 % YOY.

On the profitability and asset quality side, our net interest income grew 34.6 % YOY to Rs.283.4 crores. Our operating profit grew by 20.9 % YOY to Rs.131.2 crores .

Our gross stage 3 stands at 2 % versus 1.8 quarter -on-quarter . A credit cost for the quarter stood at 1% versus 0.7% last year. Our net profit stood at Rs. 71.7 crores in Q4 FY '25 up 5.9 % YOY .

I will now hand over to Mr. C.V. Ganesh to take you through the detailed numbers.

C.V. Ganesh: Thank you, Parvez. Thanks everyone for your participation on the call. While Parvez covered the quarterly metrics, let me share some highlights on the year gone by.

Overall AUM was Rs. 15,812 crores as of March 31, 2025. This is up from Rs. 12,191 crores as of April 1. So AUM has grown 30 % in this fiscal. And this is in spite of the discontinuation of new originations in our unsecured business loans. Out of this growth in AUM, gold loans have grown 48 % year-on-year from Rs. 3,969 crores as of March 24 to Rs. 5,881 crores.

With this, gold now constitutes 37 % of our AUM. Our medium ticket LAP grew 44 % year-on-year from Rs. 3,045 crores as of March 24 to Rs. 4,394 crores as of March 25. Medium ticket LAP now constitutes 28 % of our AUM.

Our small mortgage businesses had challenges during the year. However, it grew 16 % year-on-year in spite of those challenges, up from Rs. 3,173 crores in March 24 to Rs. 3,668 crore in March 25. This business now constitutes 23 % of our AUM. Our unsecured business loan AUM de-grew 9% year-on-year from Rs. 1,826 crores as of March 24 to Rs. 1,656 crores as of March 25 and now constitutes under 10 % of our AUM.

On the gold side, the gold AUM per branch increased from Rs. 9.1 crore per branch at the beginning of the year to Rs. 12.1 crore per branch at the end o

f March 25 . This is a growth of

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Page 5 of 17 34% year-on-year. Also, overall tonnage grew 18 % year-on-year from 9.5 tons as of March 24 to 11.3 tons as of March 25.

We continue to realign our policy and processes around our ST LAP product. New originations gathered pace in Q4 and have grown to Rs. 270 crore, about Rs. 100 crore more than what we originated in Q3.

We had mentioned in Q3 that as we pivot to an even more secured construct of the balance sheet, we are going slow on the unsecured business loans and have decelerated originations.

Consequently, in Q4, we have not originated any material new business in unsecured loans. This

compares to Rs. 220 crore in Q3.

On the NIM and spread, on a daily average basis, our yields have increased by 43 bps over the fiscal. While on an average, our cost of borrowings have gone up by 30 bps. Consequently, we have seen a pure spread expansion during the year of 13 bps.

Our net interest income for the full year FY '25 was Rs. 1,071 crores and grew 32 % year-on-year.

Our net total income at Rs. 1,226 crore is up 30 % year-on-year.

OPEX grew 28 % year-on-year. Consequently, our pre-provisioning operating profit for the year grew 32 % year-on-year to Rs. 520 crores.

Credit costs for the full year came to Rs. 216 crores at 1.8 % of average total assets compared to 0.7% in the previous year.

Consequently, our ROA has come in lower for the full year at 1.8 % compared to 2.4 % in the previous year.

On the treasury side, we continue to have ample access to funds. On a quarter-on-quarter basis, our weighted average cost of borrowings has marginally gone up by three basis points from 8.69% to 8.72%. And this is primarily due to MCLR linked interest resets on existing borrowings. Our incremental borrowing cost continues to be less than this. About 89 % of our total borrowings are on floating rate. Of these, about 47 % are linked to MCLR and the rest are external benchmark linked. During the quarter, we added one foreign lender to the relationship. This takes our total relationships to 42%.

Our debt equity ratio has marginally increased from 3.98 in December to 4.03 as of March. On the capital conservation strategy, the Company continues to move forward in its policy of deleveraging the balance sheet through co-lending and direct assignment of installment loans. And we have multiple partners for the same.

During the quarter, our AUM grew by Rs. 900 crores. We moved Rs. 787 crores of loans off book which constituted a DA of Rs. 531 crore across the mortgage book and a CLM of Rs. 256 crores on the gold loan book. Through this, in spite of growing AUM at a rapid pace, we were able to improve capital adequacy levels by 30 bps from 21.6% to 21.9%.

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Page 6 of 17 Our off balance sheet book as of March 31, 25 stands at Rs. 3,973 crores, up 75 % year-on-year from Rs. 2,276 crores in the previous year. Of this, gold loans held in partner books accounted for Rs. 1,131 crore, unsecured business loans securitized stood at Rs. 440 crores and mortgage loans accounted for Rs. 2,408 crores.

Our shareholders' equity as of March 31, 25 was Rs. 2,547 crores up from Rs. 2,464 crores in December 24. Our book value per share rose to Rs. 68.31 as of March 31, 25 up from Rs. 66.1 in December 31, 24.

With that, I hand it over to the operator.

Moderator: Thank you very much sir. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press '*' and '1' on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press '*' and '2'. Participants are requested to use handsets only while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have our first question from the line of Renish from ICICI. Please

se go ahead.

Renish: Hi, sir. Congratulations on a good set of numbers. Sir, just two things, one on this strategy front. We have always been sort of highlighting that the small ticket LAP Gold loan will be a road driver. And the rest of the products will be used as a cross-sell or enabler for customer acquisition. But when we look at 4Q, MT LAP has actually outpaced small ticket LAP growth. We just wanted to understand, is there any sort of change in strategy or this may be to offset, the kind of we are going through a rebuilding phase in ST LAP and hence we are just grabbing the opportunity wherever it is possible. How one should look at this?

Parvez Mulla: Hi, Renish. Thank you so much for that question. Renish, the strategy remains same. The strategy is to focus on the ST LAP business and the gold business together. We have always articulated our twin-engine strategy. And last time also, I reiterated that we will be focusing on our ST LAP business and gold business and our gold business growth has come in on tonnage growth as well as price growth and it is healthily growing. There is an opportunistic growth there. But our ST LAP business, if you see, we had mentioned that we are going through an injury there and in Q3 I had mentioned about the challenges which we went through in disbursements and from there the disbursements have picked up. We are augmenting in terms of our resources also there. So you would have seen over the last quarter the disbursements have picked up. Our objective is to keep on picking up the disbursements on ST LAP side so the focus is completely there. In fact, I had also mentioned to you about synergizing between the ST LAP business and Gold business. We worked out a plan there too where in the next year you will see us using both these branches or co-locating these branches and sourcing these businesses together from the same branch. So the strategy remains same. You will see us seeing the growth in the ST LAP business will be

substantial there. Right now, while we are going through the rebuild phase, you are seeing those mixes going slightly differently, but overall at the year end and next year you will see all these numbers falling in place.

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Page 7 of 17 Renish: Got it. It is very clear sir. And secondly, again on the asset quality front, of course, sort of in line with our expectation given the flows has largely come from this small ticket LAP. Now when we look at 1 % credit cost in sort of Q4, F Y'25, how do you see this credit cost settling in F Y'26.

I mean, given again the rebuilding phase in small ticket LAP, do you expect those to increase or sort of it will remain where it is currently and then maybe even in second half of '26 that will come down? I mean, how one should look at this 1 % credit cost moving in F Y'26?

Parvez Mulla : Yes, Renish, again, last time I had given you a broad idea about how I looked at that business.

And that time had seen it through a shorter duration. I have had a longer duration to look at that business. And the way we see that business, we are very, very bullish on it. There is that elevated level of delinquency in one plus, which you have seen last time. The Stage 2 also you will see elevated this time. So there are likely to be flows in the quarters coming and we see those flows coming in the next two quarters. And thereafter I am seeing a plateau and then by year end we will normalize. But as far as the credit cost is concerned, I am expecting it to stay around 1 % plus or minus 10 bps. So I am seeing the credit cost hovering around that range.

Renish: It is very helpful, sir. Thank you and best of luck, sir.

Parvez Mulla : Thank you so much, Renish.

Moderator: Thank you. We have our next question from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramak

rishnan: Thank you and congratulations on a very strong comeback. Sir, my questions are as follows. I will just ask them in sequence. First, you said that you are going to look at lower risk but higher yielding assets. It almost seems too good to be true. So where is the big change that is happening in terms of those kind of products? And in business loans, would you face any challenges in collections given the fact that they have slowed down the business? That's question number one. Question number two is there has been a positive opening up of operating income being greater than operating expenses growth. And that is a very positive trend. So do you expect that to continue given the fact that you have to make investments in the next year also? Lastly, Ganesh, sorry to annoy you with the same question, but is there any clarification on the RBI guidelines for bank on investing? Those are my three questions. Thank you.

Parvez Mulla: Thank you so much, Vivek. Vivek, I will just rephrase or in my opening statement I said that within LAP, we will focus on a mix of high yield and low risk businesses. Our small ticket LAP business is a high yield business and our medium ticket LAP business which we do at a lower yield is the low risk business. Both these businesses for us are important as a bouquet for LAP, loan against property. We are one of the few companies which does loan against property as a first proposition. There are many other players who do home loans as a first proposition and also do loan against property. So that is why we double down on inside LAP. We do both these businesses. And our small ticket LAP business, we are picking up and the growth there is going to be substantially higher coming from where we were in Q3. We are picking that up, but in the next year and year after that, you will see growth there. Our medium ticket LAP business has

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Page 8 of 17 seen many cycles, and it has gone through multiple weathers, and we believe that it has weathered those storms for the yield and the kind of underwriting practices that we do there.

As far as the BL business is concerned, it is, we mentioned that we are slowing it down and we factored in the apprehension that you said and considering all that, we are still saying that we are expecting the credit cost to stay around 1%, plus or minus 10 bps. There is an expected rundown of the book that we have and there are certain focused collection efforts that we are doing on the BL side. The reason why we did the BL decision was to move to a 100% secured construct. If you remember, we said that our BL business was not giving us the ROE that we were expecting. It was a DSA run business. It was not fitting with our strategy. And we felt it was a strategic decision for us and the board supported us. And we believe that is the right way to do it and we will manage the credit cost within that range while doing this BL slowdown.

Your third question was on the RBI guidelines. We had apprised regarding our stance on this.

There is no change between Q3 and Q4. Our representation which we had sent in Q3 still remains the same and we are hoping that the regulator looks at it with a different eye because we are a listed entity. There has been a representation both from our parent and from our side. There are a few other companies which are in a similar board like ours because we are a listed entity. And we are expecting the regulator to look at our representation and then come out with the draft guidelines further or finalize those guidelines. So we stand at status quo.

Third piece, CVG, you want to pick that up? Operating income. I lost the question.

C. V. Ganesh: Vivek, again, thank you for the question. See, on the OPEX side, we are confident that we will be able to keep the core OPEX stable to reducing. And again, this intertwines with another question

of yours. On the gold loan side, where we see opportunities and fantastic tailwinds to grow a 19 % plus yield business with negligible credit costs. I think all hands are on the table there. So we are seizing every opportunity we can get. And it may mean lesser distractions in terms of something else we were doing, but that it makes sense there. So to add to that question in terms of OPEX, if we see opportunities there to expand our coverage, we will not hesitate. The idea is to be agile and not choose any particular metric.

Vivek Ramakrishnan: Thank you very much and wish you all the best.

C. V. Ganesh: Thank you, Vivek.

Moderator: Thank you. We have our next question from the line of Ajit Kavi from BNP Paribas. Please go ahead.

Ajit Kavi : Hi. Thank you for taking my question. I just want to ask you a few questions of provisioning expenses which are reported in P&L. The number is around Rs. 32.5 crore, out of which standard stage 3 ECL provision write back has happened around Rs. 11 crore. So in this you know that pro forma calculation I can find that there was around Rs. 40 crore of write-off was made, can you explain about it and what the Rs. 40 crore write-offs have done also?

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Page 9 of 17 Parvez Mulla: Ajit, I am sorry I cannot relate to the numbers you are mentioning.

Ajit Kavi : I am telling you. See, the total credit cost was around Rs. 32 crore where in stage 1 and stage 2 ECL provision, there was something provision built up of around Rs. 4 crore and in ECL 3 I can find, you know there was provision write back has happened of around Rs. 11.4 crore because earlier the ECL stage 3 provision was around Rs. 106.9 crore which came to Rs. 95.5 crore. Did you get it in Q4, so there was around Rs. 11.4 crore of write back has happened in ECL stage 3.

Parvez Mulla: Ajit, I am sorry, I am still unable to relate to the numbers. Why do not we, on this particular question.

Ajit Kavi : Can you tell me about the write-off numbers of this quarter?

Parvez Mulla: We have not done any write-off in Q4. If at all you have any questions on this particular point, please connect offline. We will happy to provide you.

Ajit Kavi : My second question is how you are seeing the net interest margin going forward?

Parvez Mulla: Ajit, we expect the net interest margin to be stable. As I said, so in the last call, we had highlighted that we will reduce the amount of DA income proportion in our earnings and focus more on core earnings growth. We will continue on that path. As I articulated, we have a large proportion of our borrowings which are on floating rate, which gives us confidence to maintain stability in margins on a continued basis.

Ajit Kavi : Thank you. These were the questions from my side.

Moderator: Thank you. We have our next question from the line of Sneha Ganatra from Star Union. Please go ahead.

Sneha Ganatra: Hello, just wanted to know what is your plan for the branch expansions and the employee total count on the employees decline on quarter-on-quarter basis. And if you would like to share any ballpark number on the growth you are planning to achieve for the next 2 to 3, any just rough cut numbers also on the growth side? And what are the expectations on the cost of funds considering we are into the declining interest rate scenarios? These are four questions from my side.

Parvez Mulla: So Sneha, just to rephrase, you asked on cost of funds, employee count, and the first was on branch expansion, right?

Sneha Ganatra: Branch expansion and the loan growth, if any numbers you would like to share with us. Just ballpark number.

Parvez Mulla: Yes. So Sneha, thank you. On the branch expansion side, we will look at the opportunities going in quarter one, and we should be able to update by quarter one. And as far as the AUM growth is concerned, see, we already have business

loans in our base. So if you take that in the base,

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Page 10 of 17 then you will see around 12 % to 15 % growth. If you remove that from the base, you will see about 25 % to 30 % AUM growth is what we are targeting. On the employee count side, yes, there has been reduction. And we are working over the next year on the OPEX side. There are some things which I had articulated last time in my last call. There will be work which we will be doing on the manpower side, on the technology side, and on the premises side, trying to optimize and see what is the trajectory we can take there and specific initiatives which we want to do. But

as CVG said, we will be investing for growth, investing in for collections and we will be opportunistically looking at branches. But if we do look at branches, you will see us trying to synergize between the MSE branches and our gold branches. So there will be an effort to synergize these two not only in terms of cross-sell but trying to co-locate them. So by quarter one I should be able to give you some specific updates in terms of what we are doing there and how we want to scale that up. And your question, CVG, on the cost of funds?

C.V. Ganesh: Yes. So Sneha, on the cost of funds, as I said, we intend to reduce the proportion of DA income contribution to the net interest income gradually. I think the reduction in cost of funds should help us cushion that journey and which is why we are guided on a constant spread. That's where I leave it.

Sneha Ganatra: One more question regarding the mention of the Doorstep Initiative, which has been forming around 15% of the Gold AUM. Any internal target that you would like to achieve on that, or just maybe focusing more on this new initiative of the Doorstep initiative? Can you just highlight further on that front?

Parvez Mulla: Sneha, there is a disturbance, so I'll just rephrase the question you were asking about the Doorstep gold loan initiative, right?

Sneha Ganatra: Right.

Parvez Mulla: Yes, so this Doorstep gold initiative for us is a very, important initiative. We have scaled it up this year and over last year. It's a very, very targeted scale up. Today it has touched about 15%.

We want to, our branch led gold business has grown handsomely and the doorstep gold business has grown more handsomely than the branch business. That is why you've seen the percentage increase. In the next one year to two years, we want to take it up by 3% or 4% points. That means you will see that 15% number going to about 18% to 22% in the next one year to two years. So you will see that business growing much faster than our branch business, and our branch business will equally grow faster. But as I'm saying, the percentage composition of doorstep will increase. So it's a focused effort from our side.

C.V. Ganesh: So I'll add to that, Sneha. See, the Doorstep gold loan business in absolute grew by 500 basis points in terms of share, from about 9.6% to about a little under 15% now. Now, what we are also cognizant of is the increasing amount of RBI circulars and draft circulars coming around gold loans in particular which is why we will watch how this evolves and then we will be able to give a better guidance.

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Page 11 of 17 Sneha Ganatra: Okay, got it. Thank you and all the best.

C.V. Ganesh: Thank you.

Moderator: Thank you. We have our next question from the line of Mayank Mistry from JM Financial. Please go ahead.

Mayank Mistry: Yes, hi sir. My question is on the gold loan book. So you just highlighted that the gold loan growth is now currently driven by the rising prices of gold. But even then our LTV is so high at 72% like we are running on the edge at 75% regulatory requirement. So I mean how are you evaluating the LTV against such a high LTV again?

Isn't the gold loans? That is my question, sir.

Parvez Mulla: Yes, so Mayank, slight correction. Our gold loan growth has seen tonnage growth as well as price growth. Our tonnage growth is almost 18% growth YOY. And so if you see the 48% AUM growth, out of that almost 18% has come from tonnage and then the rest has come from price. So that is a very, very healthy growth on tonnage. We have also added 35,000 new customers. So that growth is coming from new customers. On the LTV side, see our average LTV on the book is about 66%. In fact, when the new draft guidelines had come in, we had corrected all our processes and our sourcing LTV had dropped and most of the growth in Q4 has come with the reduced instructions on LTV and complying with the guidelines. So we have seen growth in Q4 complying with the guidelines. And I will ask my Chief Business Officer, Jagadeesh to add further on what I said. So Jagadeesh, you want to add?

Jagadeesh Rao: Yes, hi. So just to add with this, on the LTV front, as Parvez articulated, our overall LTV at the top level is at 66%. It is not 71.7%, 71.7% is our origination LTV. So just to add, we also have periodic stress test done. We have a robust test done here. Plus we have put in place a proper margin called mechanism at a LTV level which is regulated by RBI at 75%. So there is no risk that we see because of this process.

Mayank Mistry: Yes sir, but can you just, I mean differentiate what is the difference between the average LTV that you are seeing at 66% versus the origination. So is this a daily average, mean how is this calculated?

Jagadeesh Rao: Average LTV means as on 31st March 2025, the overall outstanding gold loan book, the tonnage of the outstanding gold loan book and its market value against the total outstanding of gold loan which includes principal plus interest.

Mayank Mistry: This is for origination?

Jagadeesh Rao: No, no. This is on the outstanding book.

Mayank Mistry: On book, okay.
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Page 12 of 17 Jagadeesh Rao: Origination means for the quarter Q4 we have originated X amount of Gold loan and 72 % is the average origination LTV . So if you go to slide 22 of the investor deck you will be able to see the trajectory , we have brought it out in slide 2 2.

Mayank Mistry: Okay, sir.

Moderator: Thank you. We have our next question from the line of Abhishek Agarwal from Lalit Agarwal and Co. Please go ahead.

Abhishek Agarwal: My first question is on the gold loan origination yield. So I was going through the quarter three investor presentation as well, and there the origination yield is at 15% and this quarter the yield is at a 19. 7%. So just wanted to understand are these two numbers comparable and why the big jump? And the second part to the question would be we have seen in gold loans a lot of competition coming in , so how confident are we that these origination yields are going to be maintained in th e future?

Jagadeesh Rao: So the first part is the correlation between the onboarding yield which we have shown in the last quarter, right? T hat's basically an origination yield of the quarter. So we onboard a customer at a particular rate and this is the w eighted average rate of that rate. When we say 19.7, that is the weighted average rate of the portfolio. So these are the two differences.

C.V. Ganesh: So just to add to what Jagadeesh said, yes, you are right. Those two numbers are not comparable, Abhishek. We were having a similar confusion like you had, where people were mistaking our often quoted origination yield on gold loans with the portfolio yield. So we wanted to clarify that, which is why only for gold loans in that slide, we have put a ma rk there, asterisk there and we have clarified that that is a portfolio yield .

Abhishek Agarwal: Understood and the second part was on how confident are w

e of maintaining these yields given
the competition in the gold loan business ?

Jagadeesh Rao: So we co ncentrate on the retail book and we do not see much of a competition coming there from the customer's requirement or need. We are, are confident to maintain these yields.

Abhishek Agarwal: Understood. And just one more question on the cost to income ratio. So this quarter we have had only one branch added and we have seen a headcount decline as well, but the operating expenses have risen. Now, you have talked about how we are going to be investing in manpower in technology. So that is understandable. But I just wanted to get a sense of the cost to income ratio, which is now above 59 after a few quarters. what directionally, what do you think in the next one, two years? Do you think this is the highest level of cost to income that we have seen and so we are going to taper from here? Or do you think this is going to continue for the next 2-3 quarters until our branches ramp up?

Parvez Mulla: See Abhishek, when we are looking at this business strategically, as I said, the priority is to allocate capital to highe r ROE businesses and look at businesses which are not doing well on the ROE metric to slow down. So that is priority number one. Revive the ST LAP business is priority
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Page 13 of 17 number two. Then scale up our LAP business and gold business opportunistically is priori ty number three. And collections revival is priority number four. And giving you guidance on the credit cost is priority number 5 or 6. And so , if you look at the number of priorities that we are looking at and to get decent guidance on the ROA , these are the priorities that we have listed, and this is how we believe that step by step we will be able to give impetus to the businesses that we want to focus on. In that metrics, these are the metrics which will change. On the cost to income side, I will request you to look at us a year down the line, although there will be initiatives which we will be putting and cost to income typically for our organization has remained sticky over the past 4-5 years , there is a structural component which we are tryin g to change and I don't want to give you a guidance over the quarter because it will not be correct. But I definitely am telling you that directionally there are a lot of things which we are doing and also investing in the growth side for the branches as w ell as investing in collections. But if you look at the cost to average total assets, there could be a dip there. But on the cost to income side, because we are investing, it could be a number which you can ask us in quarter one or quarter two , but we will try and figure out how many reduction items we can do for the investment.

C.V. Ganesh: So I will just add to what Parve z said on that aspect. See, there is always going to be some amount of spend in the OPEX line, which is building muscle. And we will not shy away from that. What we are trying to tell on this call is that the part of the OPEX which is BAU, which is maybe flat or just a going on kind of cost, that consciously we are trying to put it on a downward trajectory. That being said, when we cite an opportunity, we will continue to have tactical investments in growth. This could be in terms of beefing up capacity, either in terms of people

or branches. We are in it for the long run. So we will not be driven by short-term tactical goals.

We will be driven by longer-term sustainable return enhancing objectives.

Abhishek Agarwal: Understood, that's really helpful. Thank you and wish you all the best.

Moderator: Thank you. We have our follow up question from the line of Renish from ICICI. Please go ahead.

Renish: Hi, sir. Thanks for the opportunity again. Just a few clarification. So you have said that our AUM growth will remain at 12 %-15

% including BL, which means our LAP and gold loans will grow at 25% ?

C.V. Ganesh: Yes, that's what I said. Without the BL base, they will grow at 25 % to 30 % on the AUM side.

Renish: Okay, so 25 to 30 , not 20 to 25. Okay. And again on this gold loan yields, right , so when you say it's a portfolio yield means including premium interest and charges, right? I mean, versus origination yield of 15. I mean, that's the difference?

Jagadeesh Rao: No, the structure of the loan is like you originate at a particular rate and the customer has the option to pay interest at different intervals like monthly, quarterly, half yearly. So it's up to the customer to serve the interest monthly and get an onboarding rate continued for the entire tenor or pay a higher rate if he's servicing quarterly or half yearly or monthly. So that's how the

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Page 14 of 17 structure of the loan is. And that's the major difference between the onboarding yield and the portfolio yield.

Parvez Mulla: Renish, just to specifically address the question, the penal charges does not come in the yield line. It comes in the fee line.

Renish: And penal interest?

Parvez Mulla: There is no penal interest. RBI has discontinued penal interest.

Renish: Got it. It is tenure premium , right?

Parvez Mulla: It's a kind of penal charges which comes separately.

Renish: Okay . Got it. So basically, these are tenure premium.

Parvez Mulla: Yes. So, see, there are two elements here. One is a tenure premium. Also, whenever we do a CLM, there is a yield enhancement on the existing book which happens, right? So, that also you need to factor. See, we are allocating capital very dynamically , right? So, it's basically helping in the yield enhancement on gold loans on what is on the balance sheet.

Renish: Got it. No, this is very helpful , sir. Thank you very much,

Parvez Mulla: Thank you.

Moderator: Thank you. We have our next question from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya: Hi sir. Thanks for the opportunity. Sir, my question is on credit cost. So, the flows into stage 2 and stage 3 have increased, but we expect the credit cost to be in the range of 1%. So should one expect the PCR to go down going forward?

Parvez Mulla: Hi Aditya, yes. The answer is yes because if you remember last time when we had done a discussion our PCR had jumped and the jump had happened because of a one-time provision that we had done and we had given a direction saying that our PCR would not go as low as what it was earlier but won't remain as high as it was then. So it will stabilize somewhere in between, depending because, see, the incremental flows will happen at a incremental different PCR, like whatever the model suggests. So this was a one-time PCR which we had done. And going forward, we will be looking at how our businesses and what cycle we have reached to stabilize at a particular PCR.

Aditya: Understood. Sir, the next question was on small ticket LAPs . So you mentioned that disbursement should keep on increasing from here. But if you look at your GNPA, that has increased, majorly because of small ticket LAPs . So I just wanted to understand what is ... and you also mentioned that you have to invest further in the collection infrastructure. So I wanted

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Page 15 of 17 to understand, what is giving us this confidence to increase the disbursement in small ticket LAP ?

Parvez Mulla: Again, if I will refer it to our previous quarter call, we had said that our assessment of our challenges were more in terms of investing manpower in collections. And this kind of a business, our affordable small ticket LAP business, requires collection efforts at a grassroot level. And these are deep, we are deeply invested there. And that

investment is what is required and if you

see our customer , he has an average income of about Rs. 5 lakh so you could sense he is about a Rs. 40,000 -Rs. 50,000 per month customer and you have a Rs. 20,000 EMI. So if there is a one EMI default from the second EMI to third EMI falling down to the NPA is slightly faster , that is why we require a collection infrastructure which needs to meet the customer at a pre-

delinquency stage or at a bounce stage or an ex bucket stage . And these are important timelines where the customer needs to be met by the collection infrastructure, which is the resources that we are putting in either through the call center or through our manpower. That's why we were ...our analysis told us that we have a localized problem, and that localized problem needs to be addressed with localized resources. We are seeing some encouraging signs there. And wherever we are seeing flows, we are guiding you accordingly that there could be flows there. But we know that if you put the resources there, and you also understand putting resources in Q4, people don't move organizations in Q4. It's typically joining happens in Q1. That's why , once we have the joining happening at a grassroots level , we have already put the leadership in place. The middle is 50 % done. And the grassroots level people also should join in. That is where we are saying it's a collection challenge which we need to address. And that's why we growing our book, because we believe we understand that business. We are going through its life cycle. We put leadership who understands that business in terms of competition as well as the market. And that's where the growth is and we see an opportunity there and we know how to run this business through the underwriting side and the growth side.

Aditya: Understood, sir. Just to clarify, the current issue is majorly due to lack of info in collection infrastructure and not in the underwriting process ?

Parvez Mulla: Majorly that. Obviously, it's not a very precise science to say that this is how it is. There will be some underwriting issues, there will be some sales issues, but the predominant issue is the collection side manpower.

Aditya: Understood. Next question was on medium ticket LAP . So, sir, if I am not mistaken, the customer profile segment is organized and would have valid documents like an IT return, GST return. So, I just wanted to understand what is the edge for FedFina in this business because there are small private banks and small finance banks also operating in this segment of such ticket size who might have lower cost of funds than us. So what is the edge for FedFina in this business?

Parvez Mulla: See, one is, as I said, we are looking at the small ticket LAP business and the gold business along and we are saying that we want to be a Company which is focused on LAP. It's a proposition for us that a customer at a various life cycle from a 5 lakh ticket size to a 30 lakh reaches out to us Fedbank Financial Services Limited

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Page 16 of 17 on the ST LAP side from a 30 lakh to 3 crores reaches us to a medium ticket LAP size. So that is one in terms of proposition . Two, in terms of the kind of yields that we are operating in and the kind of markets that we are operating in along with the underwriting guidelines and the kind of delinquencies that we are seeing , we believe we are managing the book better than many other players in this and that is why we have a healthy ROE here. Along with that, we have a good appetite when we start looking at DA income and when we look at the other organizations like NBFCs or banks who are interested in this kind of profile and we have a healthy ROE coming from here. So these are our primary reasons we believe we have a proposition. This particular book will remain in the range of 20% to 25 % of our AUM. It is a healthy book, it is a stable book for

us and that's why we believe it's a good asset in our composition. We have Suresh here who is our CBO in this business. Suresh, you want to add anything?

Suresh Kumar : Yes. The arbitrage that we have is, these customers, they understate their income. They inflate the expenses and all that. So what we do is we combine the declared and derived income and then make a fair assessment of the customer's requirement. So that is where we have a play. So that is niche for us .

Aditya: Understood. two questions here. What would be the share of DSAs for medium ticket LAP ?

Parvez Mulla: See, this will be run through DSA s or partners. This business across the industry runs in a similar fashion. There has been experimentation on a direct sales team model, but I don't think any organization has succeeded in building that model. We will also keep experimenting with it, but we today don't have any story there. It is run through a partner channel.

Aditya: Got it. And in terms of ROAs, would this be making Company level ROAs of around 1.7 %-1.8%?

Parvez Mulla: We are doing better than that.

Suresh Kumar : So we do not give out product specific ROAs, but it is making, I think, reasonably more than the numbers you mentioned. See, we do this product on a collaboration basis through a collaboration with other financial institutions, including banks, right? Which is why it is very light on the balance sheet.

Aditya: Understood sir, So those are my questions. Thank you for answering them.

Moderator: Thank you. We have our next question from the line of Patanjali from Chinta Govind Capital.

Please go ahead with the questions.

Patanjali : Two questions from my side. One is on guidance for ROA for FY'26. Any light on that? And the second question is on impact of these draft guidelines on gold loans. Any impact for FedFina and your view on growth or cost?

Parvez Mulla: So as far as the guidelines are concerned, in fact, in Q3 also, we had a similar environment where I had answered that question on whatever draft guidelines had come and how would it impact us
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Page 17 of 17 and you've seen the growth in Q4 that has happened. These particular guidelines, I think, are very, healthy in terms of the clarifying on the LTV side. Earlier there was a lot of confusion on the interpretation of LTV. Now these draft guidelines are clarifying it and making it a level playing field for everyone. And that's very healthy. The other guidelines too, I think if at all the guidelines come through, there will be a transition period which each organization will go through. But I think it will be a level playing field for everyone, especially for the gold side, it's just a transition period which each organization will go through. And I think it will be back to a new normal and I don't see a major effect over the years. It will be just a short-term blip for the transition period. I'm sorry, I missed your first question.

Patanjali : ROA guidance for FY'26?

Parvez Mulla: I think I've given credit cost guidance and I've given you the cost to income guidance and I have given you that the NIMs will hold. I think it's just a calculation.

Patanjali : I think that one aspect which is remaining is the cost of income.

Parvez Mulla: Yes, we guided on it in the sense of the rebuild phase and the investment in growth. So that's where and I said on the average assets basis, you can look at a 5 to 10 basis points there.

Patanjali : Understood.

Moderator: Thank you. Since there are no questions, I would now like to hand the conference over to Mr . Shreepal Doshi for closing comments. Over to you, sir.

Shreepal Doshi : Thank you, Manav. And special thanks to the management of the Company for giving us the opportunity to host the call and thanks to all participants for being there on the call. Thank you, and have

a good day. Thank you, sir.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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August 01, 2025

Ref. FEDFINA/ CS/ 57 / 2025-26

The Manager,
Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

SYMBOL – FEDFINA The Manager,
Department of Corporate Services,
BSE Limited,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400 001

Scrip code: 544027

Sub: Transcript of Earnings Conference Call held on Monday, July 28, 2025

Dear Sir/Madam,

Pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on July 28, 2025.

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.fedfina.com/> under the section 'Investor Relations' in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

Parthasarathy Iyengar
Company Secretary & Compliance Officer
Membership No.: A21472

Encl : As above
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"Fedbank Financial Services Limited
Q1 FY '26 Earnings Conference Call"
July 28, 2025

Management : Mr. Parvez Mulla, MD & CEO, Fedbank Financial Services
Limited

Mr. C.V. Ganesh – CFO – Fedbank Financial Services
Limited

Mr. Vikram Rath, CRO – Fedbank Financial Services Limited

Mr. Jagadeesh Rao – CBO, Gold Loans – Fedbank Financial Services Limited

Mr. Shardul Kadam – CBO, Small Ticket LAP – Fedbank Financial Services Limited

Mr. K. Sureshkumar – CBO, Medium Ticket LAP – Fedbank Financial Services Limited

Moderator : Mr. Shreepal Doshi – Equirus Securities

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Moderator: Ladies and gentlemen, good day, and welcome to the Fedbank Financial Services Q1 FY '26 Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinion, and expectation of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Viven. Good evening, everyone. I welcome you all to the Q1 FY '26 Earnings Call of Fedbank Financial Services Limited. Today, we have the senior management team of Fedbank Financial Services Limited represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh, CFO; Vikram Rath, Chief Risk Officer; Mr. Jagadeesh Rao, Chief Business Officer for Gold Loans; Mr. Shardul Kadam, Chief Business Officer for Small Ticket LAP; and Mr. K. Suresh, Chief Business Officer for Medium Ticket LAP.

I would now like to hand over the call to Mr. Parvez for his opening remarks, post which we can open the forum for question and answer. Over to you, sir.

Parvez Mulla: Thank you, Shreepal. Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q1 FY '26 post results earnings call. When we last connected during our Q4 FY '25 earnings discussion, I had addressed the direction in which we aim to rebuild the financial year FY '26.

Our priorities continue to be :

1. conserve and allocate capital to businesses with high ROA and ROE
2. to move towards a fully secured lending portfolio,
3. reinforce our twin strategy focusing on gold and LAP business
4. expand gold business through branch expansion and increased doorstep coverage. We expect to open gold loan branches in over 100 new markets this financial year.
5. continue to foster synergies between our gold and LAP operations.
6. Within LAP, we will concentrate on a combination of low-risk -- high-yield ST LAP business and low-risk MT LAP business;
7. persist in enhancing our collection infrastructure to effectively manage delinquencies;
8. establish leadership in ST LAP business and build team for growth and quality;
9. expand MT LAP with minimal capital allocation;
10. increase the core income while reducing reliance on DA income,

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11. use DA as a capital-Conservation strategy;
 12. move towards a frugal cost structure and
 13. ensure that our credit costs remain range bound within the 1% plus or minus 10 bps.
- With respect to these priorities, we have taken the following action in Q1 FY '26.

- a. Our senior leadership has been onboarded in collections and the field team is being strengthened with full completion expected by early Q2.
- b. We have verticalized the collection framework, adding additional resources to both the call center and legal team as well as the field teams.
- c. We have strengthened our leadership and field team in the ST LAP business. Consequently, we expect to see steady rise in business activity in the quarters ahead.
- d. Our ST LAP business has successfully transitioned to a system-driven file flow architecture powered by our BRE, leveraging API-driven workflows, thereby enhancing consistency of policy execution. This architecture also establishes the foundation for deploying credit scorecards, risk models targeted for roll

out by Q3 FY '26.

- e. A similar deployment is currently under evaluation for MT LAP segment with a pilot planned in the coming quarters.

In our collaborative initiative involving gold and ST LAP business, we have successfully merged and co-located 23 branches. That is 23 of our MSE LAP branches have moved into 23 gold branch premises and released/exited the MSE LAP premises. We will persist in our efforts to merge and co-locate more branches.

During this quarter, as promised, we have completed 100% assignment of our business loan portfolio of INR770 crores. It was executed and derecognized from our AUM. This capital release will be deployed in secured businesses. We have transferred INR25 crores of nonperforming assets during the quarter to an ARC via 85-15 SR structure. We have also completed the maiden issue of \$100 million in ECB.

On the gold business, we had a good quarter with the AUM growing 39% Y-o-Y and tonnage growing 10% Y-o-Y. Our LTV on AUM stands at 64%. Our initiatives on DSGI have paid off well, where we have grown 81% Y-o-Y. Our MT LAP business grew while maintaining stable yields. Our credit cost for Q1 is 0.8%.

As we implement corrective measures, we anticipate certain flows will persist in the short term, but are expected to stabilize by the year-end. We foresee a return to normalcy by the end of the year, which will contribute to a more stable and predictable performance in the future.

Some of the key business numbers are as follows:

1. AUM reached INR15,697 crores an accretion of INR2,509 crores in Q1 FY '26, translating to a growth of 19% Y-o-Y.
2. Gold reached INR6,332 crores and AUM growth of 39% Y-o-Y.
3. Tonnage growth for the year came in at 10% Y-o-Y to 11.2 tons.
4. Mortgage AUM reached INR8,539 crores and AUM growth of 29.7% Y-o-Y.
5. Disbursals of INR5,933 crores in Q1 FY '26, up 18.5% Y-o-Y.

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6. On the profitability side, our net interest income grew 7.4% Y-o-Y to INR268.2 crores.
7. Our operating profit experienced a decline of 0.5% Y-o-Y. Our operating profit stood at INR128.2 crores.
8. We made a choice to lessen reliance on DA income, which was INR 22 crores in Q1 FY '25 compared to a negative INR 5 crores in this quarter, which has reflected in our operating profit.
9. Our credit cost for the quarter stood at 0.8%. Our net profit stood at INR75 crores in Q1 FY '26, up 6.8% Y-o-Y.
10. Gross Stage 3 stands at 2% versus 2% in the previous quarter.

I will now hand over to C.V. Ganesh to take you through the numbers in a little more detail.

C.V. Ganesh: Yes. Thank you, Parvez. Thanks, everyone, for your participation on the call. Q1 has been a lower business quarter for us as the MSME loans reflect the seasonality. While Parvez covered the core performance, let me share some perspectives on the quarter to understand it better.

- a. The large unsecured business loan assignment of INR770 crores, which constituted roughly 75% to 77% of the existing book has been done with a full credit risk transfer of this portfolio and all servicing on this portfolio going forward will also be done by the purchasing counterparties, resulting in a mitigation of costs as well.

- b. With this, as of June 30, the changed loan book mix is as under :

Gold loans ~ 44% ; Secured mortgage : ~ 54%

& unsecured business loans of approximately 2%. The actual number is 2.3%, which is INR270 crores on a loan book of INR11,689 crores.

- c. This transaction facilitated the release of capital for the higher ROA businesses, which we want to scale. And as a result, the capital adequacy as of June 30 has gone up by about 49 bps from 21.9% to 22.4%.

- d. While this transaction was done at a small premium, we had to book certain one-off charges

with reference to the origination costs on these loans, which are amortized in the books over the life of the loan. These one-off write-off of

origination costs reflect in the interest income line and have impacted the yields optically by about 37 bps.

e. Since the above transaction has resulted in the loans being derecognized from our AUM, optically - you will see a flat to marginally negative AUM on a sequential comparison to March '25. Our overall AUM as of June 30 was INR15,697 crores and it reflects a Y-o-Y AUM growth of 19%. However, ex business loans, the year-on-year growth is 33%.

Now on the NIM and spread.

I explained the onetime impact of 37 bps on the yield because of the origination costs on unsecured loans, which we have taken a charge for.

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Adjusted for this, our normative yields would have been 16.6% and the spreads would also have been higher by this amount. We have continued our focus on core income growth and done a lesser direct assignment on the mortgage book. This has resulted in net gains from direct assignment coming at a negative number, which reflects the deceleration in direct assignment. While both of these numbers have resulted in a spread compression in the quarter, we expect the spreads to be more normative from next quarter onwards.

Now on the opex side.

The opex grew 9% year-on-year. The operating costs for the quarter reflect a lower origination cost due to overall lesser originations in Q1.

However, they also factored certain cost rationalization measures taken in this quarter, which were done to create room for an opex expansion from the new branch investments, which we plan to do in this fiscal. One example of the rationalization measures is the co-location of 23 branches and consolidation of 3 branches, which Parvez articulated.

As we continue on the branch expansion journey to capitalize on the opportunity before us, we expect the opex to go up to more normative levels, but driven by more capacity-driven spend.

On the treasury side, -

on a quarter-on-quarter basis, our weighted average interest cost on overall borrowings has gone down by 16 bps from 8.72% to 8.56%.

This decline has been facilitated by resets on the external benchmark-linked borrowings as well as a diversification of the resource mix by substituting local currency long-term debt by external commercial borrowings. We did our maiden external commercial borrowing this quarter. It is the first of a few, and it now constitutes 8.5% of our overall borrowing mix. Even on a fully hedged basis, this comes at approximately 70 to 80 bps lower than our local borrowing.

Currently, around 83% of our total borrowings are floating rate in nature. Of these, 45% of our borrowings are linked to external linked benchmarks and another 39% to MCR. As interest rates come down, we will see the benefit of this in our cost of funds and spreads.

Lastly, our incremental borrowing cost for quarter 1 was at an average of sub-8% compared to 8.5% in the quarter 4 '25. The deleverage from our BL assignment has resulted in our debt equity ratio decreasing from 4.03 in March '25 to 3.89 as of Q1 FY '26.

With that, I hand it over to the operator for any questions you have.

Moderator: We have first question from the line of Renish from ICICI Securities.

Renish: Just one feedback. I think we lost the first 15 minutes of opening remarks by Parvez. I don't know that is a problem with everyone, but I was there on the call since beginning, but I joined at maybe 6:45 or so, so I completely missed Parvez's opening remarks. But I will continue with my questions. I'm sorry if that's a repetition.

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So two, three things, one on the small ticket LAP business, right? I mean so where do we stand in terms of restructuring of S LAP vertical and sequential fall in disbursement is just due to seasonality or we turn cautious due to the current noise about increasing stress in this product? Parvez Mulla: Really so

rry about the technical glitch. I will ask the operator to check what -- but I will repeat my opening remarks at the end, if needed.

Renish: No, I think we'll discuss one-on-one. We don't want to sort of waste time for others. Yes, sir, please.

Parvez Mulla: Yes. As far as the ST LAP business is concerned, we had discussed during my Q3 as well as my

Q4 earnings call, we had highlighted that we are doing a leadership change. We have done that. We said that we will invest into people, we have done that. We were supposed to do the BRE change, we have done that. The grassroots level people, which I had said that -- it will take us Q1 plus some part of Q2 to the field level filling.

That's where we are. We have almost 80% of the recruitment there. So as far as manpower and change and systems and processes and the incentives are concerned, we've changed all that. The business growth for us has been -- we had dropped our business numbers in September level. From there on, we have been picking it up. And our pickup has been steady in that sense. So there is no extra additional tightening, which we have done in this quarter. So it's going in the same progress.

Whatever tightening was done, we had done it last quarter and previous quarter because some of the other players are seeing that stress. We had seen that stress earlier, but we had our own issues also to correct. So we had corrected on those parameters, both in terms of industry as well as BRE. So we have not done further tightening this month. The business growth will pick up as we -- as our people mature into their roles.

Renish: Got it. So drop in disbursement in this quarter is just because of seasonality, nothing else?

Parvez Mulla: Yes, it's the Q4, Q1 effect. Q4 was a new team. So it pushed in Q1. You will again see Q2 picking up over Q1.

Renish: Got it. Got it. And my second question is on the gold loan side. So in past 1 year, when we look at the quarterly disbursement run rate, it has actually doubled from INR2,600 crores odd in Q2 FY '25 to almost now crossing INR5,000-odd crores in Q1. Interestingly, when we look at the branch network, right? I mean, we have not added significant branches in last quarter as well as last 2, 3 years. So what is driving this sudden surge in gold loan disbursement? I mean is this purely by productivity gain? Or are we missing any structural changes which you might have done?

Parvez Mulla: So there are 2 parts to this. I will give you an initial answer, then I'll ask Jagadeesh to add it. One is in the last 2 years, if you've seen, there has been 10% to 15% tonnage growth. We might be one of the few companies which has shown consistent tonnage growth while there has been a price growth, but tonnage growth has been 10% to 15%, in fact, higher than 15% in one of the years.

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So there is that substantial growth which has happened. I agree with you, last 2 years, the number of branches growth hasn't been much. But this year, we plan to put upwards of 100 branches. And if you remember, we had said that first, we will do the experiment of co-locating the MSE branches with the gold, and we were focused on getting that correct in this quarter. We've identified premises for gold branches, but that execution did not materialize as much as we had thought.

But Q2, you will see substantial opening of gold loan branches, and we will continue to expand our network through gold branches. So those branches will be put in context of FY '26 and FY '27 growth. But our growth, which has come has come from productivity and tonnage.

Obviously, we've been aided by price, but price plus tonnage has been the growth.

Renish: Got it. Got it. And a marginal drop in LTV during this quarter, I mean, what is the reason?

Otherwise, we have thought it will go up because of the revised RBI guidelines, but...

Parvez Mulla: Yes. See, 2 things, Renish, there

. If you remember, when you had asked me this question in

December -- post December 2, we had complied with the draft guidelines of December. So those were pretty strict - and we have complied with those guidelines. The revised guidelines, which came in were a little more relaxed than the December guidelines.

We felt that at a portfolio level, even at a sourcing level, although the LTV benefit is there, we have not extracted the full benefit because there is a price effect which is playing. So just being -- we are satisfied with the growth which has come in. So we have not further done anything with the LTV.

Renish: But I mean, just a clarification. But in system, we have sort of factored the new guidelines, right? Or...

Parvez Mulla: Yes. No, no. Just to clarify, so we are now following the December guidelines, which we are following 75% LTV to be maintained at the overall tenure of the loans. Okay...

Renish: So we have not yet moved to 85% LTV.

Jagadeesh : Yes. The new guidelines has to be adopted in full. We cannot go just by adopting only LTV. There are multiple things moving items. So we are in development stage, and we expect to go live as soon as possible.

Renish: Okay. Got it. And lastly, on the profitability front, right? So since we are largely done with business restructuring at least in terms of secured versus unsecured. So how do you see some of

the ROA metrics moving in near term, let's say, NIM and more importantly, credit cost? And ultimately, where do you see ROE settling in near term, maybe exit quarter of FY '26.

Parvez Mulla: So Renish, that guidance I gave you in similar in Q3 as well as Q4 and the guidance remains same because we had factored in the BL when we mentioned in Q4 too. We have said that we will focus on a secured construct, and we have factored that. And if you remember, I had mentioned that we are going through a certain stress on the SP LAP side, and that could give us certain GNPA flows, but we will still manage the credit cost within the 1% range.

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Now the full financial year FY '26 will take into account the fact that I am restructuring the BL piece of which about INR770 crores has gone out, but the balance still remains with me. So I will have to manage the credit cost for that. Plus I have some of the flows, which I will have to manage. So the credit cost will remain range bound 1% plus or minus 10 bps. The GNPA, as I said, will move up and down, but that's where the credit cost will remain. The NIMs and spreads will be range bound. But net total income, again, the way you had constructed, it will remain in that range only, Renish.

Renish: Range you mean Q1, I mean, this quarter exit or...

Parvez Mulla: No. For FY '26, see, this quarter, there will be certain items which are one-off items. That is why you will see certain items which are depressed and certain items which are slightly appreciated. What I'm saying is, yes, for FY '26, I mean, if you look at our Q4 FY '25 numbers, the net total income could be in that range. And against that, the credit cost could be in the 1% range and the cost to income, which we had said would go down. But again, we are going to put branches, so it will remain stable in that range.

Renish: Got it. I do have one more question, but I don't know whether I have time or not. Maybe I will come back in the queue.

Moderator: The next question is from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: Firstly, congrats on the good performance, especially gold loan side. So my question is that earlier, like, let's say, a year back, gold used to be around, say, 35%, 40%. Now with the kind of construct we have and the macros are so favorable for gold loans, our gold loan exposure may even go up to, say, 55%, 60% if our small LAP and the mortgage business does not keep pace. And I think it's very difficult for mortgage business to ke

ep pace with gold loans this year. So any thoughts on this? Like are we going to restrict ourselves on gold loans or like we'll let the - - whatever our system allows that growth, we'll take it in, in the gold loan space?

Parvez Mulla: Yes. Thank you, Digant again, I will refer to my Q4 call where we had given a guidance in terms of the mix. And when the BL moves out of our portfolio, the mix for gold changes. So there is that a portfolio mix, which will change in the range of 43% to 45% for gold. And I had guided that it will remain between that 45% to 49% and mortgages will cover the balance. That is our medium ticket LAP business and small ticket LAP business. Our small ticket LAP business growth will pick up even if that growth might not catch up with the gold loan growth, the medium ticket LAP growth is still there. Furthermore, for our gold loan business, we have about 15% to 18% of CLM. Wherever this mix moves in a particular direction, we have that CLM percentage also there. So we will be in that range between 45% to 48%.

Digant Haria: Okay. Okay. My second question is that in this -- we sold down around INR770 crores of business loans. Like will there be any credit cost associated with that? And either remaining

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book or the guidance which you just gave to Renish in the previous question, that includes whatever good bad can happen in the business loan. Is that right assumption?

Parvez Mulla: Yes. So we are keeping that credit cost range bound, taking in those surprises. Say, for example, in Q1, we had expected BL to give the balance BL, which is on our books to give a particular credit cost, but it actually gave us a little more, but we still managed it. So when I'm saying it's 1% plus or minus, we've sort of projected what can BL do, and we factored that in.

Moderator: The next question is from the line of Yash Dantewadia from Dante Equity.

Yash Dantewadia: Congratulations on a decent set of numbers. My question is, again, a continuation of the previous question of somebody who asked, let's say, your gold loan goes up higher, which is clearly going up, the gold loan mix. What kind of exit ROA, ROEs are we going to see this financial year?

Parvez Mulla: See, Yash, the Q4 ROA that we had indicated, I had answered this question by giving an indication that the ROAs in FY '26 will be range bound. There is an upside which we will get

from the cost of funds, but we are also trying to reduce the DA income. So there is that plus and minus, which is happening there.

And that's where we believe that the net total income will be somewhere close to what we showed in -- plus or minus 10 bps, somewhere close to what we showed in Q4. Our cost to income will be in the range what it was in Q4 again. Our credit cost will be 1% plus or minus 10 bps. So that is how we are expecting our FY '26 to move around.

There are two, three investments which we are -- although there is some items on the cost side that we are working on, and we will reduce the operating cost, but there are certain investment on branches, 150 gold branches that we want to put across in FY '26.

That is why the cost to income will move -- will remain flat. There is a flow which is happening from the ST LAP business in the previous quarter, which we have guided. And that flow, we believe will be managed and the BL flow will be managed with a 1% credit cost. So that's the range that the ROA will be.

Yash Dantewadia: You are saying something about investments. You were saying something about some unrealized investments, right?

Parvez Mulla: I don't think so.

Yash Dantewadia: Investments in branches.

Parvez Mulla: I mentioned about investing in branches, gold branches.

Yash Dantewadia: Okay. Okay. Okay. And what gold finance market? Because I think Muthoot Finance and other larger players have kind of guided for a 20% growth or thereabouts. So what kind

of demand are

you seeing on ground growth '26?

Jagadeesh : So we have guided with a 25% year-on-year growth in gold with the current branches in place.

And whatever new branches are going to come in, that will give us the delta.

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Yash Dantewadia: And last question. Any new segments that we plan to enter something like portfolio, a lot of NBFCs are giving loans based on equity portfolio and those kind of things. Are we -- vehicle finance, for example, are we planning to enter new segments this year?

Parvez Mulla: Yash, we are focused on rebuilding our ST LAP business, growing our gold business, growing our MT LAP business. We believe we want to be one of the companies which is focused on LAP business. There are other companies which are also doing LAP.

We want to be focused on LAP and build a proposition here. We want to ensure that our management bandwidth is focused on these three products, and we bring them to a very decent healthy profitability. So we won't be looking at other products right now until we fix what we want to achieve.

Moderator: The next question is from the line of Mayank Mistry from JM Financial.

Mayank Mistry: I have three questions. First is mainly on the mortgage book. So our mortgage book Stage 3 has improved on a quarter-on-quarter basis?

Parvez Mulla: Yes, Mayank. I'm listening to you.

Mayank Mistry: Yes. So against what the markets right now and given the SME lenders, most of the lenders usually catering to these segments, they have shown some stress. So surprisingly, this has actually showed some improvement in our book. So what has driven this? And second also on this book, how is it doing in Karnataka? I mean are we seeing any stress coming in from there? That's one.

Secondly, you mentioned something about the additional charge, which has led to your yields of 16.6%. So we actually missed the opening commentary. So maybe that was the end of that part, which spoke about it. So I wanted to know what was that.

Parvez Mulla: Okay. So thank you, Mayank, for the question. See, we were one of the few companies which had talked about the stress in our ST LAP business, but it was more driven with the challenges that we were facing in Q3 and Q4. And we are trying to revive that business. So we had certain flows in Q3, Q4. We are dealing with those flows in Q1 also.

So we've had elevated flows. And those are reflecting in our Stage 2, Stage 3, but there will be certain actions that we have taken. We have taken a onetime hit. We've done an SR structure. So that is why you see certain way in which the GNPA is looking.

So there is that stress, but we are dealing with it, and we've tried to manage our credit cost within 1%, plus or minus 10 bps while we're dealing with the stress. We have done structural changes on the ST LAP side in Q3. This was what we had updated, and we have progressed well there, and our disbursements have been picking up.

We have tightened our BRE, and we have done certain industry-level mapping where we want to focus on. So we are pretty focused on growing this business very, very cautiously. On the yield side, I think you were talking about -- in my opening remarks, I mentioned that we had

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done assignment of business loan portfolio of about INR770 crores, which was executed and derecognized from our AUM.

That capital release, we will deploy in secured business. And I also mentioned that we had completed a maiden issue of \$100 million in ECB. So these two were mentioned. If there is anything else I missed out which you wanted to know?

Mayank Mistry: No, sir. But just on the -- continuing with that mortgage book. So can you give us a Stage 2 number particular to that segment? And maybe what was that in the previous quarter?

Parvez Mulla: Yes. CVG, we have that number here right now. N

o, we have it particular to that segment.

C.V. Ganesh: We have it at a mortgage level.

Parvez Mulla: Yes, we are disclosing at a mortgage level.

Mayank Mistry: What will that be?

Parvez Mulla: So at a mortgage level, see Q1 FY '26, our stage -- gross Stage 3 is 3.4%. Q4, it was 3.5%. And net Stage 3 will be Q1 FY '26 is 1.9% and Q4 FY '25 was 1.9%.

Mayank Mistry: No, on the Stage 2, sir.

C.V. Ganesh: So Stage 2, we don't disclose. We normally don't give that information. But that being said, it has not moved much in between the 2 quarters, right? But again, I would like to highlight, our mortgage is a mix of medium ticket and small ticket. So it attributes stability to the delinquency numbers. So that's where I leave it.

Mayank Mistry: Okay. Okay, sir. And secondly, on the branch mix, I am seeing, I think there is some -- I think the numbers on the branch mix on the geographical mix, I think the numbers are actually different than -- significantly different from last quarter. So if I'm correct...

Parvez Mulla: So what we have done, Mayank, is the branch -- and I think this was missed in my opening remarks. As a strategy, we had said that we will do a collaborative initiative between our gold business and our ST LAP business. So we have successfully merged and co-located 23 branches.

That is 23 branches of our ST LAP business have moved into 23 gold branch premises.

So we have co-located them and released the ST LAP premises. And we will continue this effort of co-locating these branches. So you will have these branches being double counted. That means they will serve gold customers also, and they will serve our ST LAP customers also.

Mayank Mistry: Yes, sir. Yes, I got. Actually, I was talking on the geographical mix of branches. I think that the 135 branches are in the North, right, not in the West. The mix is, I think, somewhat different from last quarter.

Parvez Mulla: Mayank, let me check that and get back if we've done some -- the mix has not changed between West and North, but if there is some error on our part, we'll correct it.

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Moderator: The next question is from the line of Aditya from Securities Investment Management.

Aditya: Sir, my question was on employee cost. So our employee count has increased Q-o-Q, but our employee costs have fallen. So what is the reason for the same?

C.V. Ganesh: So as I explained earlier, there is a certain part of origination costs, which are given as employee incentives, right? So we have changed the structure. And the employee costs reflect lower originations in the quarter. So that's the primary reason. Also, as Parvez mentioned much of the Unsecured business loan team has moved out.

Aditya: Understood. So how should we build this employee cost going forward? So INR90 crores should be the run rate?

C.V. Ganesh: So thank you for that question. See, as Parvez articulated in his opening remarks, we are building up for capacity expansion, and we are recruiting people for these new branches. We will not fall short of capitalizing on the gold loan opportunity. So many of the people will start coming on board from Q2. So you will see the muscle getting built up here.

And you will see -- consequently, you will see the employee cost coming back to a more normative number. Also as origination picks up, obviously, Q1 is not normative for the rest of the year. So you will see the employee cost coming back. So I would urge you not to read too much into the employee cost.

Aditya: Yes, sir how big was the business loan team for us? And what are we going to do with the employees in that department?

Parvez Mulla: So we had a 90-member sales and credit team. And the entire set of team, we have either moved them into other verticals where they were given a choice whether they wanted to move into other verticals or they have chosen where we waited them to find another assignment out

side the

organization. And we've given them a long period to do that. So we've given them both the options. And right now, we have about 5 employees remaining.

C.V. Ganesh: many of these employees were lateral. And I think what you also see an effect of -- see, we stopped new originations in unsecured business loans in December. Right? Now we are 6, 7 months away from that. Much of that cost has gone away.

Aditya: Understood. And sir, you mentioned that 83% of our borrowings are floating. So how are they paid on the advances side? How much is fixed, how much is floating?

C.V. Ganesh: See, the entire gold loans is fixed, but it gets reset because it's shorter tenure. Similarly, on the small ticket LAP, the small ticket LAP is almost entirely fixed in nature, right? So the medium ticket LAP is the one which is floating in nature right now. And that constitutes about 30%, 31% of the mix right now. So roughly the residual other than medium ticket LAP, everything else is fixed.

Aditya: And what is the frequency of repricing the medium ticket LAP loans? So is it based on repo only, does it get repriced next day? How is it getting repriced?

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C.V. Ganesh: We normally do it annually once we see a more stable pattern. So that's how -- where you are getting, I think we will be benefited from this mix, which we have. And that's what's giving us comfort in terms of establishing new floors on the ROA every quarter.

Aditya: Got it. Got it. And in your opening remarks also, I think you mentioned that your incremental borrowing costs are below 8%. Is that correct?

C.V. Ganesh: That is correct.

Moderator: The next question is from the line of Renish from ICICI Securities.

Renish: Again, I'm just going to your slide on this geographical mix. Now I don't know, as you already mentioned that there was error, but just wanted to double check that on the best zone, we are scaling gold loan business, but at the same time, we are scaling down mortgage. I mean is that the trend or there is an error in that side.

Parvez Mulla: Sorry, Renish, scaling down what?

C.V. Ganesh: Mortgage.

Renish: Mortgage business, and we are scaling the gold loan business. I mean I will just tell you which slide I'm referring to. I'm referring to your Page #23 of PDF. Now if you look at gold loan, the orange bar, the share of best branches has actually gone up from 30-odd percent in '23 to 47%, roughly 5% over the last 2 to 3 years.

Similarly, when you look at mortgage loan, the same has gone down by 5-odd percent. So essentially, it means that we are going slow in best in mortgage, but at the same time, we are going fast in gold loan?

Parvez Mulla: Yes. See Renish, you are talking about the geographical AUM mix. So the slide which you...

Renish: Yes, yes. AUM. Okay. Yes, I'm talking about geographical AUM mix, you're right.

Parvez Mulla: Yes. So the AUM could be -- yes, the AUM could be because -- see, in the Western markets, if I have grown faster in gold loan, that's how it will reflect. And if you heard us 2, 3 years ago, we had consciously said that the southern markets in gold, we will not expand as much.

We will expand in the gold in the northern markets and Western markets, and that's what we have done. And that's what is reflecting on the gold. Similarly, in the mortgage side, you will see us penetrating our AUM in those white spaces where others have not penetrated deep. So that's how that strategy over the years has been played.

Renish: Got it. Got it. So it's a well-thought strategy, right? I mean there is.

Parvez Mulla: Yes, yes, yes. And it is basically opportunistic in the sense of seeing that we have a proposition if you have southern states which are already invested by certain other players who have done well there, we might as well focus on Maharashtra and Gujarat, which will give us an expansion much better.

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And the Gujarat market behaves differently for gold and differently for our small ticket LAP. It might be a favored business for gold, but Maharashtra might be a favored business location for me in the ST LAP side. So that's how we would do it.

C.V. Ganesh: I'll just also add that Parvez in his opening remarks mentioned that we will chase profitable growth, not just growth ! So we will keep recalibrating the markets and the growth in those markets depending on how the credit behavior is panning out and how the profitability or the yield is playing out there.

Renish: Got it. Got it. Maybe just last question and this is more from a strategic and slightly medium- to long-term perspective. But let us say, assuming 45 gold, 55 mortgage and obviously 1% credit cost. Are we aspire to deliver more than 15% ROE or maybe in our mind, that's the path we are taking.

C.V. Ganesh: So can I answer that, Renish?

Renish: Yes.

C.V. Ganesh: Very clearly, our leverage is at an all-time low at 3.89. As we keep growing the book business, the leverage will keep going up. And that's your multiplier for on the ROA. On the ROA, we are establishing new floors. In Q4, we reported 2.2%. Q1 is 2.3% and our whole strategy has been to fortify the balance sheet and lend more certainty on our return metrics, right, and minimize cyclicity on the earnings.

I think if you consider the trajectory, you will be able to extrapolate how the leverage will grow, how the margin expansions will play out and how the ROAs will work. And I think that will lead you to a number like the one you seem to be indicating within a certain timeline. Moderator:

The next question is from the line of Avnish Tiwari from Vaikarya.

Avnish Tiwari: Around INR935 crores DPD and around INR596 crores DPD. How much of these would be from business loans, which is largely your residual book?

Parvez Mulla: Avnish, I couldn't hear your question properly. Can you repeat it, please?

Avnish Tiwari: Sure, sure. So for example, you give this 30-plus DPD and 1 plus DPD on a portfolio level. And looks like around INR596 crores, if I calculate on 30-plus DPD, around INR935 crores on 1 plus DPD ballpark numbers.

And you have around INR270 crores of business and then you have around INR600-plus crores AUM. So I just want to see how much of your book you have right now in business loans, how much of it is sitting in 30-plus DPD or 1 plus DPD ballpark? That's a book you would try to manage in terms of credit cost, right, effectively?

Parvez Mulla: Yes. So Avnish, I don't know the crore numbers, but I can give you an indication that in the 30-plus DPD, about 0.3% to 0.4% will be BL, which is coming. That is incremental which is coming there is because of that BL.

Avnish Tiwari: So this is percentage of overall AUM or percentage of this BL AUM? What is this 0.3% to 0.4%? Fedbank Financial Services Limited
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Parvez Mulla: You are seeing our portfolio quality indicators in our Investor Presentation where we've shown the 30-plus DPD.

Avnish Tiwari: Okay. So 30-plus DPD percentage number which we are seeing out of that 0.4% is because of BL. Is that what you're saying?

C.V. Ganesh: Yes, that is correct. And also, if you see somewhere in the sell-down slide, we are mentioning that the residual loan book on business loans is INR270 crores. And that runs down quite rapidly. So that's a decreasing number, right? So -- and they are -- many of them are of recent vintage.

Parvez Mulla: Yes. Just to correct, Avnish, I'm just doing the calculation on the fly as you are asking me. Of the 5.1% -- so around 35 to 40 bps is BL.

Avnish Tiwari: Got it. So 35 to 40 bps of overall portfolio is sitting in this particular 30 DPD?

Parvez Mulla: Yes.

Avnish Tiwari: Great. Second question I have is whatever you have, let's say, AUM number is INR618 crores and AUM is INR270 crores. So the difference betwe

en the 2, is there any risk on you if

something goes bad than those or that is the guy who has been assigned that loan to?

C.V. Ganesh: So all of what has been sold, we have a risk only to the extent of what is retained in our books, which is coming in the INR270 crores number. The balance is what is remaining of the assignment. There is a full transfer of credit risk and there is zero credit enhancement or FLDG in any of these assignments. So to answer your question, there is no credit risk on the difference over 270 Cr.

Avnish Tiwari: Great. And lastly, this INR270 crores, which is right now on your books, typically monthly or quarterly, how much is the rate you're receiving money at? Like how many quarters or it takes for you to run? Of course, you will see how much eventually close to the credit cost, but let's say, roughly what is the duration which this book will run down or itself?

Parvez Mulla: See, by March '26, you can visualize that this INR270 crores will go down to about INR120 crores. That INR120 crores will go down slowly. But this INR270 crores will go down to about INR120 crores.

Moderator: The next question is from the line of Patanjali from Nuvama.

Patanjali: I had one question on MT LAP side. Have we reduced the off book to sell down in MT LAP. I'm asking this because you have disbursed about INR450 crores in MT LAP, but AUM increased by about -- around INR420 crores. So wanted to understand, have you reduced off book in MT?

Parvez Mulla: Yes. I mean the off book on MT LAP will depend on what's available in the market and what's our strategy for that quarter. So in this quarter, we would have done a little bit lesser than the previous quarter.

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C.V. Ganesh: Yes. And also, as I explained, Patanjali, there was a capital release on the BL. I think one of our themes has been that we will use DA strictly as a capital conservation strategy. So since we anyway had the release on capital from Unsecured BL, we didn't need to do too much of MT LAP assignment.

Patanjali: Understood. It has nothing to do with asset quality, right? Asset quality is fine in terms of prepayment behavior.

C.V. Ganesh: Nothing at all. See, our loan book is entirely monetizable. It is a lever we have how much and when, and we will choose to exercise that option based on how we want to calibrate...

Moderator: The next question is from the line of Shreepal Doshi.

Shreepal Doshi: So my question was on MT LAP and ST LAP. So going ahead, how are we looking at growing these 2 segments, especially like when do we see the ST LAP revival coming in? Because this quarter, the MT LAP growth has been pretty healthy. So what has driven that? And the second part was on the ST LAP portfolio?

Parvez Mulla: See, the MT LAP healthy growth will continue. So whatever this quarter you are seeing, it will continue. It has a cyclicity. So Q1 will be different from Q4. But quarter -- year-on-year basis, you will see that growth. And MT LAP is a seasoned business. It has seen multiple years, and we have a very good portfolio book, which is building up there. So it will continue with that growth rate.

Our ST LAP business, as we mentioned, it is going through its own rebuild phase. And as I told you on a monthly basis, we were doing lesser number of disbursals in September. Since that time from that low, we've picked it up. We reached a peak in March, April. And then for Q1, again, it has its seasonality. It is picking up. We see our ST LAP business also doing the same growth rate like MT LAP going forward.

So these two businesses will have that growth rate. We are just being cautious a little bit because the market environment has been a little cautious on the ST LAP side, but we've built in the BRE engine and we have done away with certain industries which had given us those problems. So we see a decent growth rate ahead for our ST LAP business

Shreepal Doshi: Got it. Sir, just like to what you highlighted in your latter part of the comment. So when you talk about the environment at the industry level or, let's say, system level, how are you seeing -- what are some of the, let's say, industries or let's say, some of the geography or some of the customer profiles wherein you are seeing the rejection rates being elevated or -- yes, so just some color on that.

Parvez Mulla: Shreepal, I would not want to give you a color because see, what has happened is we are trying to rebuild our book. And our book has an issue about certain challenges that we faced in our collection infrastructure. So it has the mixture and paint of that, and that is predominant. So the market kind of a feedback -- so for example, the market might face certain challenges in particular state, we might face it in some other state.

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And that state -- the state that market is talking about for us could be a mixture of our own issue plus the market issue. So that's why it's very difficult for us to give you a market-related information in that distinctive manner. Once we settle down our flows by Q3, we should be able to give you that answer much more clearly.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Parvez Mulla: Operator, I understand there was some glitch. Is there anything I need to do? I need to repeat my opening comments or...

Shreepal Doshi: Sir, you might just want to give some color of it, and then truly we can conclude the call. I think that will be helpful.

Parvez Mulla: Yes. So since I understand there was a glitch and some of you didn't hear the opening comments, I will just highlight some that we continue on our priorities of conserving and allocating capital to businesses with high ROA, ROE. We have promised that we will move to a fully secured lending portfolio, and we've done that. We mentioned that we will focus on our twin engine strategy of doubling on gold and LAP businesses, the high-yield ST LAP business and low-risk

MT LAP business. We will expand our gold business through branch expansion. We have done that.

We have also guided that we'll be opening 100-150 branches. We will continue to foster synergies between our gold and LAP operations. We have given you an update that we've merged 23 branches. That means co-located 23 branches. Our ST LAP branches have now been -- the premises has been released, and those have been now co-located with gold premises. We are persisting in our -- enhancing our collection infrastructure to manage delinquency. We are continuing to expand our MT LAP business with minimum capital allocation.

We are reducing our reliance on DA income, using DA as a capital allocation strategy rather than a profit strategy. We had promised that we will ensure the credit cost remains 1% plus or minus 10 bps, and we've adhered to that in this quarter. We've said that we have done a 100% assignment of our business loan portfolio of INR770 crores, which was executed and derecognized from our AUM. This capital release was essential because we wanted to deploy it in our secured business. We have transferred INR25 crores of nonperforming assets during the quarter to an ARC via 85-15 SR structure.

We have completed a maiden issue of \$100 million in ECB. Our gold business had a very good quarter. AUM grew 39% and tonnage grew 10%. Our MT LAP business grew while maintaining stable yields. And overall, our net profit stood at about INR75 crores, which is up 6.8%. So all in all, we are trying to walk the talk, and we are trying to focus on the promises that we made to you in Q3 and Q4. We are trying to rebuild, and we are focusing on building a good high ROA franchise. Thank you.

Shreepal Doshi: Thank you, sir. Thank you, and thank you for giving us the opportun

ity to host the call. Thank

you to all participants for being there on the call. Thank you.

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C.V. Ganesh: Yes. Thank you, Shreepal. Thank you, everyone.

Moderator: On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

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Sub: Transcript of Earnings Conference Call held on Friday , October 17, 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on October 17, 2025 .

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.fedfina.com/> under the section ' Investor Relations ' in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

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"Fedbank Financial Services Limited
Q2 FY '26 Earnings Conference Call"
October 17 , 2025

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Services Limited

Mr. C.V . Ganesh – CFO – Fedbank Financial Services
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Mr. Vikram Rath i, CRO – Fedbank Financial Services
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Mr. Shardul Kadam – CBO, Small Ticket L AP –
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Mr. Jagadeesh Rao – CBO , Gold Loans – Fedbank
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Mr. K. Sureshkumar – CBO , Medium Ticket L AP –
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Moderator : Mr. Sh reepal Doshi – Equirus Securities

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Moderator: Ladies and gentlemen, good day, and welcome to the Fedbank Financial Services Q2 FY '26 Conference Call , hosted by Equirus Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.

This conference may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Swapnela. Good evening, everyone. We welcome you all to the earnings conference call of Fedbank Financial Services to discuss the Q2 performance of the company. Today, we have the management of the company represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh, CFO; Mr. Shardul Kadam , CBO for Small Ticket LAP business; and Mr. K. Suresh, CBO for Medium Ticket LAP.

I would now like to hand over the call to Mr. Parvez for his opening remarks, post which we can open the forum for question and answer. Over to you, sir.

Parvez Mulla: Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q2 FY '26 post results earnings call . I am joined by our CFO, Mr. C.V. Ganesh; our CBOs, Mr. Shardul Kadam; Mr. Jagadeesh Rao; Mr. Suresh Kumar; and our Chief Risk Officer, Mr. Vikram Rathi.

Continuing what we had articulated in our previous calls , I wish to emphasize priorities for your company :

1. Conserve and allocate capital to businesses with high ROA, ROE .
2. Focus on our twin-engine strategy of Gold and LAP businesses .
3. To move towards a fully secured lending portfolio.
4. Expand Gold business through branch expansion and increased doorstep coverage .
5. Continue to foster synerg ies between our Gold and LAP operations .
6. Within LAP, we will concentrate on a combination of high -yield ST LAP and low - risk MT LAP .
7. Expand MT LAP with minimal capital allocation .
8. Establish leadership in ST LAP team and build team for growth and quality .
9. Continues strengthening our collection infrastructure to effectively manage delinquencies .

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10. Aim for increased core income while reducing reliance on DA income, use DA as a capital allocation strategy .

11. Move towards a frugal cost structure .

12. Ensure that credit costs remain 1% plus or minus 10 bps.

With respect to these priorities and more, we have taken the following actions in Q2 FY '26 :-

1. Entering this quarter, the company has successfully sold a deep delinquent pool of gross non -performing assets of ST LAP and HL amounting to INR79.5 crores. This includes technically written off principal outstanding value of INR41 crores. We have sold this to an asset reconstruction company for an upfront cash payment of INR32.6 crores.

2. If you recollect, during Q1 FY '26, we have done a 100% assignment of business loan portfolio of INR770 crores, and it was derecognized -- it was executed and

derecognized from our AUM. Similarly, during this quarter, 100% assignment of business loan portfolio of further INR115.6 crores was executed and derecognized from AUM, reducing the total on -book exposure of unsecured lending to less than 1%. In addition to ring -fencing us from any deterioration in unsecured lending, this also enables us to reinvest the proceeds into products with higher returns on ROA.

3. On the gold business, we had a good quarter with the AUM growing 36% Y -o-Y and

6% Q -on-Q and the tonnage grew by 4% Y -o-Y. Our LTVs on AUM stand at 62%.

Our initiatives on DSGL has paid off well, where we have grown 71% Y -o-Y.

4. In this quarter, we have opened 57 new gold loan branches. In line with our guidance, we will continue to open new branches in the next 2 quarters.

5. In our collaborative initiative involving gold and ST LAP branches, we have successfully merged and co -located 49 branches till now, which includes 23 branches, which we had done in the first quarter. That means 49 branches of small ticket LAP business have released the premises and moved into 49 gold branch premises. We will persist in our efforts to merge and co -locate more branches while we open new branches.

6. Despite facing yield pressure, the MT LAP business has disbursed INR554 crores achieving a quarter -on-quarter growth of 23%, while maintaining the same yields.

7. In light of the environment , the ST LAP market and the increased credit cost faced by the company earlier, the company has fortified its credit policies and successfully transitioned to a system -driven BRE. This quarter, this business of ST LAP has disbursed INR206 crores.

8. The senior leadership team was successfully on -boarded in collections during Q1 and Q2, and we further strengthened the field team. We have verticalized the collection framework incorporating additional resources for both call centers and legal teams.

9. This quarter, we have secured ECBs totalling \$150 million to date.

10. Our credit cost for Q2 stands at 0.9%. This includes an impact of about 0.2% from an annual ECL refresh exercise.

11. Our dependence on DA income has diminished in this quarter too.

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We will continue to implement corrective measures, and we anticipate that certain flows will persist in the short term, but they are expected to stabilize by the year -end. We foresee a return to normalcy by the end of year, which will contribute to a further stable and predictable performance in the future.

Some of the key business numbers are as follows : -

1. Our AUM touched INR16,136 crores, translating to a growth of 13.5% Y -o-Y.

Without the base effect of business loans, this would be 28% Y -o-Y in the AUM growth.

2. Gold has reached an AUM of about INR6,731 crores and AUM growth of 36.4% Y -o-Y. Tonnage growth for the year came in at 4%.

3. Mortgage AUM reached INR8,796 crores and AUM growth of 22.6% Y -o-Y.

4. Disbursals of INR5,205 crores are up 36.5% Y -o-Y.

5. On the profitability side, net interest income grew 10.9% Y -o-Y.

6. Operating profit grew 10.1% Y -o-Y.

7. Our net profit stood at INR80.2 crores in this quarter, up 24.2% Y -o-Y.

8. On the asset quality side, credit cost stands at 0.9%. This was about 0.7% in Q1 and 1.3% in Q2 last year.

9. The gross stage 3 stands at 1.9% versus 2% Q -on-Q after the ARC sale.

I wish you all a very Happy Diwali, and I now hand over to Mr. C.V. Ganesh to take you through the detailed numbers.

C.V. Ganesh: Thank you. Parvez. Thanks, everyone, for your participation on the call. While Parvez covered the core performance, let me share some perspectives on the quarter to understand it better. Much of what I say will be an expansion of what has already got mentioned .

1. First is the way we are going around the branch infrastructure. We began the year with 694 branches. In Q1 '26, we had advised that we had co -located 23 small ticket LAP branches within gold loan branches and consolidated another 3, resulting in a reduction of branches from 694 to 668.

In Q2, we have commissioned 57 new gold loan branches and consolidated another 26 small ticket LAP branches within gold loan branches, resulting in a net addition of branches by 31, which takes the total branches to 699 .

So, if you see what we are do

ing, we are almost at the year beginning counts of physical branches. But with an expanded 57 new gold loan branches in new locations, and without diluting the small ticket LAP presence on the ground at all. Q3 will be a commissioning of a high number of gold loan branches as well, adding muscle to our ground presence for gold loans.

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2. We continue the de-risking exercise of our balance sheet. We started the quarter with a residual unsecured MSME loan book of INR270 crores. During the year with an unsecured business loan assignments of INR116 crores with a full credit risk transfer. With this and runoff, our residual unsecured MSME book is down INR104 crores, down from INR270 crores as of June 30. This means that we have scaled down our exposure to unsecured MSME to a little over 1/3 of the June exposure. Also, of the residual INR 104 crores of unsecured MSME, over 75% of this book is 0 DPD as on September 30. We are sufficiently provided for on this residual book. This transaction, coupled with the ARC sale of deep delinquent small-ticket mortgage NPAs, including the write-off book of INR41 crores, has facilitated the release of capital and helped improve asset quality of the portfolio.

3. The capital adequacy as of September 30 stands at 21.64%, down from 22.4% in the previous quarter, primarily due to additional discounting on our existing Tier 2 capital. We will take steps to supplement our Tier 2 during H2 FY '26.

4. With this, of the loan book of INR11,743 crores in the balance sheet as on September 30, the changed loan book mix is at under. The gold loan share has gone up to 46%, up from 40% at the beginning of the fiscal. The secured mortgage is at 53% and the unsecured MSME book has gone down to under 0.9%, down from 10% at the beginning of the fiscal.

5. Since the above two transactions, namely the unsecured business loan sale and the ARC sale have resulted in the loans we derecognized from our AUM, optically, you may see an anemic AUM growth of 2.8% sequentially compared to June. However, on an ex-DL basis, which we stopped originating last year, the year-on-year growth is 28%, and the sequential Q-o-Q growth is 4.5%.

6. Parvez mentioned that we will grow medium ticket LAP with minimal capital allocation. In the quarter, we have originated INR554 crores of medium ticket LAP and done direct assignments of INR462 crores of the same. Our AUM per gold loan branch shows an optical decline from INR13 crores per branch in Q1, to INR12.4 crores for branch in Q2.

7. However, this is due to the 57 new branches commissioned in the last 2 months of Q2, which will take 9 to 12 months to meaningfully contribute to book growth. However, our tonnage growth has been flat, and that's an area we hope to remedy when the new branches start contributing.

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On the NIMs and spread.

We had advised in the last quarter that our normative yields adjusted for the onetime impact on

the sold BL would have been 16.6%, and the spreads would have been higher by the amount. In quarter 2, with yields returning to the normative number, coupled with an additional 20 bps income coming from direct assignments on the medium ticket LAP book, our yields for the quarter have averaged 17%, up from 16.2% in the previous quarter. That, coupled with the improvement in the cost of borrowing has led to spread sequentially improving by 100 bps quarter -on-quarter to 8.7%.

On the Opex side.

We are seeing traction in our cost rationalization measures with opex growth contained at 2.6% Y-o-Y. However, the operating cost for the quarter reflects a back -ended nature of branch expansion.

On the Infrastructure side

The co -location/merger of 49 branches and consolidation of 3 branches has also aided in restricting the opex . Consequently, our cost to income has come off better at 56.9%, which is a sequential improvement of 136 bps. As we continue on the branch expansion journey, we expect the opex and cost to income to go up to more normative levels, but driven more by capacity - driven spend on new branch infrastructure.

On PCR side.

Our ARC transaction resulted in the sale of deeper bucket NPAs which had a higher provision than the average ECL. Hence, post -sale, there was a big drop in PCR through our ECL refresh exercise which we have done in September and the flowing back of the gains from the sale of the back book to shore up the NPA provision, our revised PCR stands at 32%.

On the Treasury side .

On a quarter -on-quarter basis, our weighted average interest cost on the overall borrowings has gone down by 37 bps from 8.56% in June, to 8. 19% for this quarter. This reflects a decline in cost of borrowing by 53 bps from the beginning of the fiscal.

This decline has been facilitated by reset on the external benchmarking borrowing and diversification of the resource mix by substituting local currency long -term debt with ECB. We have more ECBs and market borrowings lined up and timing will be a function of how the asset growth picks up.

Currently, around 83% of our total borrowings are floating rate in nature. And of these, 45% are on external linked benchmarks, while 39% are linked to MCA . Our incremental borrowing cost for quarter two continue to be comfortably below 8%.

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The de leverage from our BL and LAP assignments of INR578 crores and a marginal increase in the gold loan co -lending by INR147 crores has resulted in our debt equity ratio decreasing from 3.89% as of June to 3.78% as of September. That gives us sufficient headroom to expand our loan book without needing to raise equity in the medium term.

With that, I hand it over to the operator for any questions. Thank you all.

Moderator: The first question is from the line of Digant Haria from GreenEdge Wealth.

Digant Haria: Firstly, it is very encouraging to see that we have opened new branches for gold loans because Laxmi ji is shining on the whole world and even India, the gold prices are very strong. Even the regulator has been very benign in having relaxed regulations.

But sir, I just have one question here that 6% Q -o-Q growth, though it is in no way a bad number, it just seems that we have been holding back our growth in some way because like from whatever we hear from the markets, larger players would probably be doing double of that.

So just wanted to know that on the gold loan side, what is holding back? Why are we holding back? And probably it's time to go full throttle and we have not done that this quarter. So any thoughts here , Parvez sir or Ganesh, anyone?

Parvez Mulla: Yes, Digant, thank you so much for your question. If you remember, I was asked this question last quarter also. And we continue to maintain that we will be conscious of the price increase and the LTV. So, while the relaxation has happened on the LTV, we are still operating on the December guidelines. We have not taken the relaxation of the LTV yet into the effect. That's point number one.

Point number 2 is the branches that we have put up is just about in this quarter. In Q1, we were focused on moving some of our ST LAP branches because our infrastructure team was trying to do that model, and we were trying to experiment with that. So in Q2, we have pushed the throttle on putting new branches. That is where the new tonnage comes in and the new growth also comes in.

Thirdly, there is a seasonal factor. A

August and September, there have been certain withdrawals.

So all these 3 put together, we are very -- and if you look at our pattern too, we pick up our growth substantially differently in Q3 and Q4. Our tonnage growth as well as our AUM growth. So we are pretty confident about the kind of growth that we will get in the gold business and the kind of growth that we want in the Gold business. And it is almost in line with the guidance that we had given, while keeping the LTV and the price in mind.

Digant Haria: Perfect. One, just follow -up that -- see, new branches will contribute to growth. That is a very fair point. But in the existing branches, do you see like an increased inquiries or increased sales efforts from our side? Are we doing that? Because I see that our yields in Gold have gone -- it has actually gone better, like they have increased, at least that is what I could make out. So what strategy are we playing in the existing branches? If you can just highlight 2 lines...

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Parvez Mulla: So existing -- as I said, existing is a play of the LTV. Existing is a play of -- see, there will be withdrawals in festive seasons. We usually -- whenever the festive season are there, we -- the kind of incentives at the front end are very different. So the staff is encouraged to do more sales during the festive seasons to compensate for the withdrawals that happened during the festive seasons. So that kind of incentive structure, we have kept it in abeyance for Q3.

And for the existing branches, we were happy with the kind of growth or we were happy with the withdrawal that was happening in Q2 because we got the growth that we were wanting. And now one has to feel comfortable between, as I said, you have to be comfortable between the price growth and the LTV that you want to look at. So, you will see a very different Q3 number, both on the tonnage side as well as on the growth side.

Digant Haria: Perfect, perfect. That's really good to know. And then my last question is, we -- in the initial guiding comment, you said that we want to grow with in the most capital -efficient way and have our credit cost below 1%. But sir, I think this was -- this is an older guidance now we hardly have anything unsecured.

We also sold down our portfolio. The small LAP portfolios, which are really delinquent. So, I think going ahead, I think you should be improving this guidance because just with mortgages and gold loans, maybe 1% credit cost may also be very, very conservative guidance?

Parvez Mulla: So, Digant, you're right, because you're looking at it in an absolute term. But if you remember the guidance and the Q3, the kind of environment, we were one of the first companies to tell you that we had a problem on the small ticket LAP business. And we had a problem in terms of the collection infrastructure and all that. So, I have book, which I have to take care of and the flows that I have to take care of. And that is where we gave you a guidance for the entire year of 1%, keeping that in mind for FY '26.

Obviously, one would like to improve on those guidance, but we stick to the guidance because those flows and because of the kind of environment that is shifting, one would like to improve on it. And one would like to give you a pleasant surprise on that. But the fact remains that any correction that needs to happen to a lending book requires some time.

And there is no point in me giving you a revised guidance and then changing the piece. So, it stays in that bracket. We are still focused on -- in this entire year, we will be focused on getting our ST LAP piece right for the older book. So that's why that guidance remains.

And as far as the BL is concerned, we kept that in mind, and we've been taking some precautionary measures, and once you're trying to do these corrective measures as well as give a go

od ROA number and give a good credit cost numbers, one needs to figure out when you will correct the BL and when you will correct the ST LAP. All these are line level decision one has to take. So, it will remain in those lines. And one -- I mean, we would like to pleasantly surprise if the environment also improves.

Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.

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Shubhranshu Mishra: Two quick questions. The first one is when I compare the cost to income or maybe the cost to assets 5.6%, 5.7% on the cost of assets, or cost to income at around 56%, 57% ballpark seems a bit higher for the -- versus the peers and also for the AUM size that we are. So just wanted the split of opex that you have today. How do we look at opex, one, if we split it into the cost of collections? Second, what would be the cost of acquisition? And what would be business as usual opex there, if you can split it into these 3 parts.

The second question is around the 1 plus and the 30 -plus. We are largely running a secured business. But maybe some degree of banking nascent customers. However, when I look at the

cure rates from 1 plus to 30 -plus, 1 -plus is hovering anywhere between 7.5% to 8% and 30% -plus is around 4.5% to 5%. So, we are able to cure somewhere around 30%, which seems a lower number, given the fact that these are secured exposures. So, if you can clarify on these, it will be really helpful.

Parvez Mulla: Shubhranshu, these numbers have to be looked at in context. Context is, again, I will draw the attention to my call in Q3 as well as in Q4, where we mentioned that we were going through a difficult situation, and we had taken a onetime hit on the ST LAP book. And we were trying to rebuild that particular business. And that is where we had given guidance that in the entire FY '26, we will be focused on trying to get the credit cost 1% sub range.

Last year, we had a credit cost of about 1.8% in FY '25, and we wanted to guide in FY '26 for a 1% credit cost. So the entire year was a credit cost -focused year, and that is what we wanted to guide. We also mentioned that time that the cost to income and the cost to average assets, although were very high compared to other peers, that was not the metric which we will focus on in FY '26. We will focus on in FY '27 for two reasons.

Even though we will do a lot of initiatives to reduce the cost, there is other capacity expansion, as Ganesh mentioned, in terms of putting new branches as well as adding collection infrastructure to take care of the small ticket LAP business. And while you are doing all this in FY '26, the numbers are usually not indicative of an ideal state.

So FY '26 is a rebuild year. That is why breaking -up that 5.7% right now might not be correct and comparing us might not be correct because we are moving in a context of Q3 FY '25. So that opex, you will see a substantially different opex in FY '27.

Right now, what you're seeing is our initiatives on the cost, which are coming in, but there is also capacity addition, and we will continue to add branches in Q3 and Q4, and that is why you will see cost -to-income and average assets might be 10 or 20 bps here and there in this year. And on cost to income side, it might remain flat over FY '25.

As far as the 1 -plus and 30 -plus is concerned, again, these numbers will have to be compared in context of Q3 and Q4. And we said it will take us a year to correct this. The kind of resolution rate that you are comparing us with, the other companies have evolved themselves on the collection side. We had a very sparse collection team on the ST LAP side.

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We've built that in the last 2 quarters. The teams are coming in, and that is where we are seeing improvements. This year, you will

see those numbers going up or down. But by the year -end, we should stabilize those internal numbers as you compare between the 30 -plus and 1 -plus. I agree ideal state, it should be that, but we are still a little far away from giving you those numbers.

Shubhranshu Mishra: If I can just squeeze in one last question. What would be our collection post -today? And how do we envisage the recruitment in the next 2 quarters? Or maybe next 3 to 4 quarters, what would be -- what would this look like in the next 3 to 4 quarters?

Parvez Mulla: Again, Shubhranshu, I will answer it in context of 9 months to a year ago, our collection team was not verticalized. We had the same collection team for our medium ticket LAP business as well as small ticket LAP business as well as BL business. One thing which we changed this year was we verticalized the collection team. We got separate leaders for this vertical structure of collection. Then we got the regional leaders. So, we overinvested in that collection infrastructure.

Plus, we improved the ACR, plus we ensure that the 12 MOB is assigned to the sales team, which was responsible for sourcing, and we had a KRA for that. Plus, we got a new leader as Chief Business Officer, Mr. Shardul Kadam, who is now ensuring that collection as well as business go hand in hand.

And we also, as far as the feet on street is concerned, whenever the collection team is parsed, most companies land up giving it to agencies. That was the scenario 1 year ago. We are -- over the last 6 months, we have been trying to reduce the agency percentage, and we've been successful in that.

So, all this work is happening in the background when I give the guidance of 1%, there is a lot of work which goes behind all this in trying to ensure and these are the infrastructure changes as well as the structure changes that we are doing in the ST LAP business to give us the output that we are wanting. We are still 6 months away from it becoming predictable.

Shubhranshu Mishra: Understood. The count of people or...

Parvez Mulla: Yes, I can -- for example, on the small ticket LAP business earlier, I had about -- only for the small ticket LAP business on the collection side, if I had people 200, I would have increased it to about 400 people now.

Moderator: The next question is from the line of Mayank Mistry from JM Financial.

Mayank Mistry: Yes, Sir, I have a question on the disbursement spend. So basically, you just explained that you

have been doing some co-locating branches, and there is a good amount of expansion going on in the gold loans. But your tonnage seems to be decreasing at the same time. And your disbursements have also been sequentially for this quarter, at least the sequential -- there was a sequential decline in disbursements.

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So, is there any competition -- competitive pressure that is building up because of which maybe we are going -- we may be going a little slower? Or can you throw some light on how -- why has the disbursement been a little slower compared to previous few quarters?

Parvez Mulla: Yes, Mayank, thank you for that question. I might be repeating myself because I answered that in the first question also. Our disbursements in gold, we also look at the net growth. If you see the AUM growth quarter-on-quarter, we have seen a 6% upside quarter-on-quarter. And year-on-year, we have seen a 36% upside on the AUM for gold. So there is an upside.

As far as tonnage is concerned, you are right, in the first 2 quarters, the tonnage is flat. But if you look at us in the past 2, 3 years also, the first 2 quarters, our tonnage has been flat in the first 2 quarters. It picks up in the third and fourth quarter. And that's how we have always guided that if you look at year-on-year tonnage growth over the last 5 years, you will see year-on-year tonnage growth. So our t

onage usually picks up in Q3 and Q4, and it's seasonal for us.

As far as competition is concerned, there is increase in competition, yes. But right now, the less -- I won't connect the less disbursement to competition. I think there is a little bit of withdrawal, which happens in Q2, which has happened, in terms of customers withdrawing their jewels because of festive seasons as well as because of the price rise.

And we think looking at the October numbers, we are very, very confident about Q3 being a definitive year -- a definitive quarter for us, which is comparable to our previous seasonal movements. So for us, it is normal, business as usual. I mean it's nothing unusual. And as far as you would have tracked us over the past 3 quarters, if there is anything unusual, we would have been the first people to tell you that there is something unusual for us. Our Gold business is doing decently in traction.

Mayank Mistri: Okay. And sir, the next question is as Ganesh sir said, that there was a net ECL refresh and which has led to sharp decline in PCR during the quarter. Earlier, we used to maintain a very lower number over here. And at that time, our gold mix was also around 35% levels, right? So now when the gold loans had increased and we had actually increased our PCR at that time. But now, again, the decline is happening. At the same time, our mix is also going down on the gold side.

So do you see these numbers going down further?

Parvez Mulla: So again, Mayank, I will give a first-line answer, and then I'll request C.V.G. to supplement it. First is, again, go back to our guidance, which we gave in Q3 and Q4 when we were asked when we had showed up the PCR. We had showed it up to about 38%, 40%. We had said that it is a onetime effect because we had taken a onetime effect. We were earlier at 22% PCR, and then it had gone up to 40%. At that time, when we were asked this question, we had said that in our guidance, we had said our going forward PCR will not be as high as 40% and will not be as low as 22%, 23%.

And if you see, it has played out in Q2, we are somewhere in between. Having said that, you will look -- you will have to look at us as a company which is doing gold loan business as well as LAP business, the mortgage PCR is very different from the Gold PCR. C.V.G., you want to add?

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C.V. Ganesh: Yes. So Mayank, what I will say is that the mortgage PCR, we have a mix of small ticket and large ticket mortgage. Now on the large ticket mortgage NPAs, our loss given default has rarely exceeded 15%, okay? So basically, it will be a little unfair comparison with overall PCR across the medium ticket and the small ticket is compared with other stand-alone companies is perhaps to only small ticket right?

So for us, we have a higher PCR on the small ticket. We have a little lesser PCR on the medium ticket. So the average optically may look on the lower side. I think I can assure you that we are adequately provided for the risks on the small ticket LAP and HL where we perceive a little higher degree of stress than the other parts of the portfolio, mainly gold and medium ticket.

What happens is a PCR is total provision upon total NPA. And when you have a combination of three products, it's sometimes skewed, and the number optically may not be very suggestive of a meaningful interpretation.

Mayank Mistry: Okay, sir. Okay. Just if you can just -- if you can throw some light on the scenario in the LAP, because it's been a couple of quarters since there has been issues in the mortgage space across the industry. I know we have cleaned up our move for the last whole year. But if you can just throw some light on the on-field, how -- on the field, how the trends are moving. And on the collection front, if you had any change over the last 1 year, in terms of customer behavior?

Parvez Mulla: As f

ar as -- see, on the small ticket LAP business, we had advised that we had certain challenges on the collection side when we advised on Q3 last year. So 9-months down the line, we are -- we have put the infrastructure and the -- we are addressing issues which the company faced in Q3 and last year Q2, and we will take the entire FY '26 to address it. When we're looking at the data, we have, as I had mentioned last time also, there are multiple geographies as well as multiple areas where we are addressing the collection manpower issue.

So when you have an internal problem that you are addressing, and the external environment is a component of that, firstly, we will try and solve the problem that we are having internally, which is what we are doing. And that is where you will see the numbers for the old book as well as new book improving. There have been last quarter and some companies have mentioned that there is some stress in certain markets.

But for us, it is contaminated by our own issues. That is why it is very difficult for us to do that segregation that this is the environment issue, and this is our own issue. We have classified it as all our issue, and we are trying to address it. And our collection manpower has started moving around in the field in the last quarter and trying to meet those customers and get certain responses.

See, if you look at the kind of income levels that have happened in rural India. If you look at what has happened in the micro-finance market, if you look at how the wage bills have been or how the crop pattern has been, it's a mixed bag for rural economy. And incomes have been stagnant in that area.

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So there definitely is that environment, which is playing in. While we are doing our own analysis and just ensuring that our book is analyzed for ourselves. So it won't be prudent for us to give you a market environment related field when we are trying to address our own book and trying to fix that.

Moderator: The next question is from the line of Renish from ICICI Bank.

Renish: Sir, just a couple of things. One, again, on the credit cost front, right. So this quarter, the absolute provisioning has gone up despite we getting INR4-5 crores, of benefits from sales to ARC. So I just wanted to understand whether this quarter, we have seen gross seepages going up or there is an elevated write-off this quarter?

Parvez Mulla: So, Renish, to broadly give you the -- there will be a 20 bps there of ECL refresh, which we have done in this quarter. So that 90 bps has a 20 bps there. And as far as the ARC sales release is concerned, that would get compensated with the PCR increase that we have done.

Renish: But sir, that is to route through P&L?

Parvez Mulla: Which one? Yes.

C.V. Ganesh: So Renish, can I come in here? I'll just answer the question, maybe I'll supplement what Parvez said. You are right. So that has to come through the P&L. I can tell you that no part of that gain on the ARC sale is flowing to the ROE. We have used it to flow back the provisioning.

I'm also confirming that our credit costs for this quarter are actually equal to or a little lesser than the credit cost for the last quarter. So whatever delta is there, is what we have used for the ECL refresh and shoring up NPAs book on the residual NPA book, to get the PCR above the 31%. So maybe that portion of the credit cost is a one-off for this year, and we will see a return to more normative credit cost in Q3 and Q4.

Renish: Okay. So when we say normalized credit cost, basically, you are saying 70 basis points should be a normalized credit cost, right?

Parvez Mulla: Renish, we have guided for our FY '26, 1%, plus or minus 10 bps, and that is what we have guided. But -- and as we -- as our teams start getting put in and as we see collections, we should see better improvements

on that.

C.V. Ganesh: So if I can comment, Renish, our commitment last time is that we will try to set flows on the ROE every quarter, right? So I think maybe that should give comfort that irrespective of the individual elements of the ROE is -- we will -- the idea is to have a company which has consistent, stable ROE with a minimal negative surprise.

Renish: Got it. Got it. So just to follow up on that. So what sort of ROA we target for FY '27 now? I mean is there any change in our expectation or...

Parvez Mulla: No, FY '27 remains same, Renish, what we had given earlier. The '26 and '27, our guidance has remained same over the last 3 quarters.
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Renish: Okay. Got it. And again, just the last thing on the sort of gold loan side. So I do understand we will be little calibrated when it comes to growing our gold loan piece beyond some threshold. But what has led to sequential decline in absolute disbursement number?
Jagadeesh Rao: So Renish, Jagadeesh here. So the sequential reduction in the disbursement is mainly because of the festivities. So we have seen this happening in the month of August and September, mainly because of the Navratra releases. And there is no new loans coming in. This is seasonal, and we are seeing that win back coming as we speak in October.
Renish: So basically, you are saying loss of business mix. I mean is that a fair assumption?
Jagadeesh Rao: Yes, yes. There are releases happening in the market because of the festivities.
Moderator: The next question is from the line of Raghav from AMBIT Capital.
Raghav: Just two questions from my side. One, I just wanted to confirm the write -off number for the quarter? Was it around INR50 crores, INR60 crores? Is that understanding correct?
Parvez Mulla: Raghav, where did you pick that number from?
Raghav: No, just from calculations...
Parvez Mulla: Our write -off number is about INR9 crores, INR10 crores.
Raghav: Okay. INR9-10 crores, understood. The second question is around this consolidated branches. You mentioned that it's going to be exercise that will continue in the second half as well. Can you give a number in terms of how many branches are you looking to consolidate between the gold loan business and the ST LAP? And then what are your plans on these lines for FY '27. I'm just trying to understand from a cost perspective, that's all.
Parvez Mulla: Yes. So we plan to open more than -- I mean we plan to open about 150 new gold branches in the entire year, of which you have seen almost 57 done now. So another approximately 90 -odd will come up in the next 2 quarters.
As far as the consolidated branches are concerned, that's a little tricky because we have to look at the leased premises. We have to look at the space, which is available, and we've made that list of -- as well as the business, catchment and everything else. So that number, we have pegged ourselves to about 75 to 80 for the year, which we will try and do.
We've reached 47 number. So there are another few in pipeline. If we -- so that is not constrained by our it is constrained by the fact that if there is any market compromise or if there is any space available compromised, then we might do lesser, but 75 is somewhere -- is what we will try and target.
C.V. Ganesh: What I would say , Raghav, is if you see the way we have been deleveraging and releasing capital. The idea is to have enough gunpowder to avail the gold loan opportunity, right? And the whole
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idea is to build capacity for a better FY '27 and FY '28, right? So that's the idea. There is enough gunpowder in our gun right now.
Moderator: The next question is the line of Pawan from Edelweiss.
Pawan: In terms of small ticket LAP, are we at a stage we can increase the disbursement beyond INR200 crore
s per quarter going into Q3, Q4?
Parvez Mulla: Thank you for your question. Shardul, do you want to take it?
Shardul Kadam: This is Shardul here. So yes, we have been working on that on a consistent basis. As we had guided, what we've seen, our assessment about the environment is that the borrower segment on which we focus. It is not completely come out of the woods yet. So we are continuing to monitor the environment, and we are also working on our own portfolio. What has happened in the last 3 to 5 months' time is we've completely firmed up our leadership teams at a state level, and that is in place.
Now with that happening, there is a decent degree of traction. We can confirm that is happening in terms of our distribution, in terms of also beginning to leverage our gold loan branches where we are using that as a pilot for new point of sales. So all of that is happening. We have -- in light of the environment, we have also tightened our credit policies.
We have showed up our CIBIL thresholds because of which we have seen some degree of reduction in our disbursement. So the teams are getting aligned with this new regime. And I think that's a transitional phase where we are right now. So yes, once that stabilizes, I think we should start seeing a pickup.

Pawan: Got it. Just one more question to you. The origination yields have come down from 16.1% to 15.5% quarter -on-quarter. And generally, the segment of customer is agnostic to rates, I mean, the conventional wisdom. Any reason for this drop?

Shardul Kadam: So that -- the way we are looking at it is a transitional phase for us. What has happened is, especially in the southern states, we have seen a slightly higher attrition and South typically gives us better yields. So obviously, on a proportionate basis, the certain disbursements have come down. So that's where the play is when then we see those teams stabilizing is where we should start seeing a take-off here.

Pawan: Got it. What is the BT out rate?

Shardul Kadam: Yes. BT out rate has been fairly stable for us. It's hovering in the range of about 1.2%, yes, that's it.

Pawan: Ganesh, sir, one question. Last year, I mean, in FY '25, you have done the ECL refresh at the end of December, if I remember correctly. Any reason why move to end of September this year?

That's one. Second part is, last year, the impact was INR19 crores and 67 basis points. This year, Fedbank Financial Services Limited

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the impact is much lower at a 19 basis points itself. So is this largely due to mix change being last year was having a lot more business loans, unsecured business loans?

C.V. Ganesh: Yes, thank you for the question, Pawan. Yes. So I think -- no, we took a decision to do the ECL refresh in September, because when we had our regulatory supervision, there were some observations around strengthening the documentation around the ECL exercise. So we took the opportunity to mitigate the observation as well as do the exercise and have it behind us. So that there is no negative surprise spending for Q3 and Q4, right?

And as you will appreciate, in spite of that, we have come out with a ROA better than Q1. So that at least would be overhang for Q3 and Q4. On the second question, you are right. I think the mix change has resulted in a lesser gain and fact that we had perhaps for the marginal increase in the model has not been consistent.

Pawan: Sir, then in corollary, like I think a couple of people have already kind of touched on this point, but still asking is that you are seeing the portfolio moving to completely secured, you're also seeing ECL, the numbers coming out, not just leading indicator or even as a lagging number, even after changing the ECL methodology or like whatever requirements that need to be done. The impact is quite low. So even at a time where you -- if you revised the credit cost guidance, at least for FY '2

7, FY '28 and then increase our ROA guidance?

Parvez Mulla: No, let's look at Q3, and we will come back to it. What you are saying about lead indicators. One not only look at these indicators, but one is also looking at what is happening at the field level, what is the kind of response that you are getting in your buckets? What is the kind of collection efficiency that you're getting in your pre buckets? All these are also factors which are -- one is looking at.

That is why we are not revising the guidance right now. We also want to be pleasantly working towards it. But I mean, we don't think the issue which we have identified can be fixed in 2 quarters. It requires certain time, and we are fixing it. And while we are fixing it, we are running a ship, and we believe that we are giving numbers which are in line with certain guidances that we have given. And we want to be giving a guidance, which is contextual to this corrective exercise that we are doing.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Shreepal Doshi for closing comments.

Shreepal Doshi: Thank you, Swapnela. Thank you to all participants for being there on the call. This was a late-evening call. Thanks all, again, once again. And I would like to thank the management of the company for giving us the opportunity to host this call. Thank you, and Happy Diwali to everyone.

Moderator: On behalf of Equirus Securities, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

Call: Jan 2026

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January 22, 2026
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Listing Department
National Stock Exchange of India Limited
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Bandra (E), Mumbai – 400 051

SYMBOL – FEDFINA The Manager,
Department of Corporate Services,
BSE Limited,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai- 400 001

Scrip code: 544027

Sub: Transcript of Earnings Conference Call held on Friday, January 16, 2026

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the earnings conference call which was held on January 16, 2026.

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.fedfina.com/> under the section 'Investor Relations' in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours Faithfully
For Fedbank Financial Services Limited

Parthasarathy Iyengar
Company Secretary & Compliance Officer
Membership No.: A21472

Encl : As above
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"Fedbank Financial Services Limited
Q3 FY '26 Earnings Conference Call"
January 16, 2026

MANAGEMENT : MR. PARVEZ MULLA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. C.V. GANESH – CHIEF FINANCIAL OFFICER
MR. SHARDUL KADAM – CHIEF BUSINESS OFFICER , SMALL
TICKET LAP BUSINESS
MR. VIKRAM RATHI – CHIEF RISK OFFICER
MR. JAGADEESH RAO – CHIEF BUSINESS OFFICER , GOLD

LOANS BUSINESS

MR. K. SURESHKUMAR – CHIEF BUSINESS OFFICER ,

MEDIUM TICKET LAP BUSINESS

MR. LOKESH PAREEK – HEAD OF INVESTOR RELATIONS

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Fedbank Financial Services Q3 FY '26 Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you and over to you, sir.

Shreepal Doshi: Thank you, Steve. Good morning, everyone. We welcome you all to the Earnings Conference Call of Fedbank Financial Services to discuss the Q3 FY '26 performance of the company.

Today, we have the management of the company represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh, CFO; Mr. Shardul Kadam, CBO for Small Ticket LAP business; Mr. K. Suresh, CBO for Medium Ticket LAP business; and Mr. Jagadeesh, CBO for Gold Loan business. We also have Mr. Lokesh, who recently joined as the Investor Relations Head.

I would now like to hand over the call to Mr. Parvez for his opening remarks. Post which, we can open the forum for question and answer. Over to you, sir.

Parvez Mulla: Thank you, Shreepal. Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q3 FY '26 Post Results Earnings Call. I'm joined by our CFO, Mr. C.V. Ganesh, our 3 CBOs, Mr. Shardul Kadam, Mr. Jagadeesh Rao, Mr. Suresh Kumar; our Chief Risk Officer, Mr. Vikram Rathi; and Mr. Lokesh Pareek, our new Head of Investor Relations. The priorities for your company remain the same, which we had articulated at the start of the year, namely,

- Conserve and allocate capital to businesses with high ROA and ROE focus on our twin-engine strategy of gold and LAP business to move towards a fully secured lending portfolio.
- Expand gold business through branch expansion and increased doorstep coverage, continue to foster synergies between our gold and LAP operations.
- Within LAP, we will concentrate on a combination of high-yield ST LAP and low-risk MT LAP.
- Expand MT LAP with minimum capital allocation.
- We had faced challenges in our ST LAP business. We were rebuilding it over the year, rebuild ST LAP and established leadership and build team for growth and quality.
- We continue strengthening our collection infrastructure to effectively manage delinquencies.
- We aim for increased core income while reducing reliance on DA income, use DA as a capital allocation strategy.

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- Move towards a frugal cost structure.
 - And, ensure that credit costs remain 1% plus or minus 10 bps.
- With respect to these priorities and more, we have taken the following actions in Q3 FY '26.
- On the gold business, we have recorded a remarkable quarter with the AUM growing 52% Y-o-Y and tonnage growing 5.1%. Our LTVs on AUM stand at 59.3%.
 - Last quarter, we got a lot of questions, and we had spoken about our seasonality in this particular business. This quarter, we have disbursed INR7,853 crores in gold loans, marking the highest amount ever achieved by the company in a single quarter. Consequently, this has led to a net AUM growth of INR1,174 crores.

- We have opened 54 new gold branches this quarter, bringing our total new branches to 113 for the year. In accordance with our guidance, we will keep opening new branches in the upcoming quarters.
- Despite opening 54

new branches, our AUM per branch has reached INR13.3 crores, reflecting an increase of INR0.91 crores per branch during this quarter.

- In our collaborative initiative involving gold and ST LAP, we have successfully merged an additional 14 branches. This means we have co-located 63 branches this year. That is 63 branches of ST LAP have moved into 63 gold branch premises and release the ST LAP premises. We will persist in our efforts to merge and co-locate more branches.
- Despite facing yield pressure, the MT LAP business continues to perform consistently, disbursing INR545 crores this quarter, while maintaining its yields.
- In light of the pressures within the ST LAP market and the increased rate costs faced by the company previously, the company has fortified its credit policies and successfully transitioned to the system-driven BRE. This quarter, ST LAP division has disbursed INR208 crores.
- As promised, our unsecured lending portfolio continues to diminish, now constituting nearly 0.6% of our on-book assets.
- The senior leadership has been successfully on-boarded in collections during Q1 and Q2. We have further strengthened the field team now. We have verticalized the collection framework incorporating additional resources for both call center as well as the legal and recovery teams.
- Our credit cost, as promised, stays below 1%. This quarter, we have clocked about 0.9%.
- In line with our priority of increasing core income and decreasing DA income, our net income from DA has decreased to INR1 crores for the 9 months FY '26 compared to INR62 crores for the same period last year.

While we continue to implement corrective measures in our ST LAP business, we anticipate certain flows, which will persist as advised earlier and as guided earlier. Once we stabilize in the near-term, it will contribute to a more stable and predictable performance.

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Some of the key numbers are as follows:

- our business AUM reached INR17,500 crores, translating to a growth of 17% Y-o-Y. If you exclude the BL business, it will be about 32% Y-o-Y.
- Gold reached INR7,905 crores and AUM growth of about 52% Y-o-Y tonnage growth for the year came in at 5% Y-o-Y, reflecting -- touching 11.2 tons in totality.
- Our mortgage AUM reached INR9,084 crores, and AUM growth of 20% Y-o-Y.
- Our disbursements of INR8606 crores in Q3 FY '26, up 96% Y-o-Y.

On the profitability and asset quality ,

- Our net interest income grew 16.8% Y-o-Y to INR318.9 crores. Our operating profit grew 11.7% Y-o-Y to INR149.4 crores.
- Our credit cost for Q3 stands at 0.9%.
- Our net profit stood at INR87.9 crores in Q3 FY '26. Gross Stage III stands at 2.1% versus 1.9% last quarter.

I will now hand over to Mr. C.V. Ganesh to take you through the numbers in detail.

C.V. Ganesh: Thank you, Parvez, and thank you, everyone, for your participation on the call. Sharing a few points to aid in better interpretation of the results.

Firstly, from an asset growth perspective, our AUM ex business loans , which we divested has grown 32.5% year-on-year and 9% quarter-on-quarter. The gold loan originations have been the standout performer in this quarter. Our gold loan AUM had grown INR850 crores in the first 6 months of this fiscal. In the last 3 months alone, which is Q3, the gold AUM grew INR1,174 crores. Our 113 new branches for gold loans are hitting the ground running and giving us the confidence to continue this journey of branch addition.

Of the loan book of INR12,945 crores as of December 30 , unsecured business loans have gone down to under 0.6%, down from 10% at the beginning of the fiscal, resulting in 99.4% of the loan book now being fully secured, either against property or gold.

In this quarter, we have originated INR545 crores of Medium Ticket LAP and have done direct assignment/co-lending of INR313 cr

ores of the same. However, as guided earlier in the earlier calls with the NIM expansion aiding core income growth, we are consciously reducing our DA income.

I'm reiterating again, it is a choice we are exercising. Consequently, we have done lesser direct assignments in Q3 at INR313 crores compared to INR578 crores in the previous quarter. We may continue to do lesser direct assignments in Q4 and the medium-term and migrate to co-lending.

On the Opex side, our opex for the quarter is up 21 bps primarily due to an increase in employee costs due to new branch staffing in the 113 new branches, higher incentives on the gold loan originations and a onetime impact of the labor code regulations of INR3.9 crores.

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This impact is reflected both on the opex and the operating profit. Consequently, our cost-to-income has come off a little worse by about 10 bps.

Other expenses have also gone up due to new branch related rent and operational expenses, higher advertising and travel spend during the quarter and higher depreciation as we increase the branch infrastructure.

On the asset quality, our delinquencies in the 1+ have gone down from 7.5% to 7.1%, and the 30-plus has also gone down from 4.6% to 4.5%. However, we had higher forward flows from stage 2 to stage 3, resulting in our gross stage 3 going up to 2.1% from 1.9% last quarter. These are adequately provided for in the quarter. In spite of this, we have been able to keep credit costs flat at 0.9%.

On the PCR front, our PCR last quarter had dropped due to an ARC sale of deeper bucket NPA, which had a higher provision coverage. In this quarter, our PCR has marginally gone up to 32.3% from a little under 32%.

On the treasury side, total on the quarter-on-quarter basis, our weighted average interest cost of total borrowings has gone down 32 bps from 8.19% to 7.87%. This consistent decline in the weighted average cost has been facilitated by resets on the external benchmark linked borrowings and lower rates on new borrowings. Since our new gold loan originations carry shorter tenor than our LAP product, it has allowed us to borrow more at the shorter end with lower rates.

To lock-in spreads in a declining interest rate scenario, we have increased our fixed rate borrowings from 11% of total borrowings to 29% of total borrowings. This gives more visibility on the spread going forward. On the floating rate borrowings of 71%, 41% is external benchmark based and 30% is linked to MCLR.

Our incremental cost of borrowing in Q3 FY '26 was a little under 7.6%. Our debt equity ratio has increased from 3.78% in September '25 to 3.99% as of December '25.

In summary, over the last 4 quarters, we have sequentially continued on the journey of steady, consistent and a gradually growing ROA and ROE trajectory. The ROA over the last 4 quarters has grown from 2.2% to 2.5% and ROE has expanded 130 bps from 11.4% to 12.7% aiding in confidence on our new strategy and appetite to invest more in capacity addition.

With that, I hand it over to the operator for questions.

Moderator: The first question comes from the line of Digant Haria with GreenEdge Wealth.

Digant Haria: Sir, last quarter, I had asked that when will Lakshmi Ji shine on our gold loan portfolio. So good to see that the AUM growth was good. But I think the shine has still not fallen on our income and operating leverage. If I see our old branches would have probably reached an AUM of, say, INR15 crores, INR16 crores per branch, the older ones. But the income line item and the operating leverage is still not visible. Like do we see it coming in the next 1 or 2 quarters.

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Parvez Mulla: Yes, Digant. You will see it happening. See, normally, what happens is, when we do such kind of large originations, there is an

upfront cost of incentives and other spends which is incurred at the beginning, it was recognized upfront in the month of origination, and the earnings of these loans are back-ended. So it will play out gradually.

Parvez Mulla: Digant, thank you so much. I remember that question you had asked us that why we grew only 6% and when others were growing 10% quarter-on-quarter in the gold side, and I told you about the seasonality.

And you can see that seasonality playing out differently for different companies, although they are in the same gold business because geographically, we are in different sectors, which expand differently and behave differently. So that seasonality typically plays out for us in Q3, Q4.

Digant Haria: Right . Parvez, one more question I had was, let's see, the yields on the gold loan portfolio, like the reported ones in our presentation showed that we are down from, say, 19.1% to 18.3%. So is this like a competition effect or maybe we did some schemes because this was a good season for us. Generally, how should we expect this yield to move? Is it already that there's yield pressure in the market? Or we still have enough room to do our business at our terms and condition?

Parvez Mulla: At a portfolio level, when you do a substantial amount of disbursement in a particular quarter, and that has been an exceptional disbursement quarter, there will be a differential yield which we will play with, and we will play with a little bit , I mean . It's a line call when you look at certain states where we want to play that yield. So, I'm not so worried about it as the mix of the new business is slightly higher in this particular quarter, it shows in that fashion. Overall level at an entity level, I'm not so worried because it's not going to affect us in substantial basis points there. So it is a mix issue. If the disbursements would have been about INR300 crores, INR400 crores, you wouldn't have seen that kind of a depression.

Digant Haria: Okay. Got it. And one last question , we have grown very well, say, 16%, 17% Q -o-Q. A lot of competition would also be doing that. So, in our assessment, it just feels that next 3, 4 quarters will be the time when we have to really utilize our asset like we have such a brilliant gold loan asset, good processes, good number of branches, good employees. I just wanted to understand if this momentum for us continues in that particular fashion, and maybe we reach INR15 crores, INR16 crores of AUM per branch in the coming 2, 3 quarters because competition is really catching up and maybe we have a year's time where competition will really not be very high and we can just fortify our markets. So I just wanted to hear your thoughts on the next 12 months for this gold loan piece.

Parvez Mulla: Yes. In the start of the year , I had mentioned to you that the growth will be in line with the Fedfina strategy. We will be conscious of the price momentum. And I had mentioned to you that we will be focused on tonnage growth. Fedfina has a strategy , year-on-year over the last 5 years has shown tonnage growth. If you look at the last 5 years, we have shown a 10% to 12% CAGR on tonnage growth every year. This year also in the first 2 quarters, the tonnage growth you wouldn't have seen. But year -on-year, again, you will see a 10% tonnage growth. The focus is on tonnage growth. The focus is to take the price momentum, we are conscious of the fact that

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the price momentum is very high. So that is why you see the combination of LTV and price playing out. We've not capitalized on the LTV. The LTV has been allowed to go down. We are conscious of that. While the growth has to happen, we need to be conscious that, the growth has to be in line with our operational processes as well as the risk that we want to look at, the price fluctuations that we want to look at.

So all -in

-all, it has to fall in line with what we are expecting with the gold business to do. You will see that momentum continuing. We will capitalize on the momentum. What I am trying to essentially say is a single company, which is doing only gold loans is very different from a company which is doing a twin product . We will get the advantages of doing a twin product. That is how you will have to see the company.

Digant Haria: We'll not stop our gold loans to maintain that, right? Because if we continue this normal run rate also, we'll cross 50% in terms of gold loan AUM. So we won't stop it just because we want to cap gold at below 50 or anything, nothing like that, right?

Parvez Mulla: No. There is no thought in that side. It's only going to be the cautiousness on the price and LTV side. Otherwise, our actions over the past quarters have shown you that we've not been worried on that front.

C.V. Ganesh: I just want to add, Digant, our gold loan growth will be unconstrained, okay? The character of the product mix does not determine how much we grow our gold loan or otherwise. It will continue to grow on a faster momentum than the rest of the businesses.

Moderator: The next question comes from the line of Nischint Chawathe with Kotak.

Nischint Chawathe: Actually, 2 questions from my side. One was, if you could give some outlook or trajectory of stressed loans in mortgages, I think essentially the small ticket business. How do we see it trending up from here onwards in the fourth quarter and the next financial year? And the second is in terms of the sequential movement in yields over the last 3 quarters, it's kind of year-to-date update .

Parvez Mulla: Nischint, thank you for the question. On the small ticket LAP business, just to give a context, a year ago, we had mentioned about the stress in the small ticket LAP business, specifically for our company, and we had guided the team here about what we are doing in terms of action and why our portfolio saw that particular stress. We had said that there will be certain actions and the kind of GNPA that you could see over the next 3, 4 quarters, that is still FY '26. We had said

that the GNPA's would move up or down, but we will try and maintain the credit cost below 1% at an entity level. While the flows on the ST LAP continue from the old book, we have transitioned quite a bit of this old book. We had a manpower shortage on the collection side. Whenever you have a manpower shortage on the collection side, agencies handle these collections, and we've transitioned from that piece to in-house housing that collection. Whenever you do these transitions, there is that movement happens and which is what we have faced over the past 2, 3 quarters. That trajectory, you will see in Q 4 and you've seen in Q 2 and Q 3, it is the same vintage portfolio, which is giving us those flows.

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We are in complete control of those flows because there is a predictability which we had seen. We had seen the kind of the GNPA that is coming out now we had predicted that, that is the GNPA, which will flow in Q3 and Q4. So, we had guided you accordingly. And that is where we think that once we get this complete in-house, which would happen by Q4. The predictability should be much, much better on the stress loan side. This fresh sourcing, which is happening on ST LAP is giving us much better numbers on the 12 MOB and the 15 MOB as well as the 18 MOB.

That portfolio is looking much better. Obviously, it is coming off a new BRE. Obviously, it is with lesser seasonality, but we are confident of that number flowing completely differently. That is on the stress loan. On Yields, CVG, you want to give color?

C.V. Ganesh: Yes, Parvez. So thank you, Nischint, for asking that question. See, one thing I wanted to caution everybody is that our yields has appeared in the investor deck, are vi

tiated by the DA income

number. And that is precisely why we are focusing on core income and core yield. Optically, while it may appear that yields have dropped by 20 bps quarter-on-quarter between Q2 and Q3. That is merely because of the fact that in Q2, we had 20 bps of DA income, which is not there consciously in Q3. So eliminating for DA income, the core yield is the same. There has been no yield reduction. And our focus continues to be on core yield. We will continue to drive that. And I would request everybody to look at the yield, excluding the impact of DA.

Moderator: The next question comes from the line of Pavan with Edelweiss.

Pavan: Two questions on the small ticket LAP. One, you mentioned earlier that you were facing some issues in Tamil Nadu in terms of the personnel. Have those been resolved? That's one. So will that lead to growth in the coming quarters? Second question is on the yield compression bit that you have said. Maybe on the calculated yield side, definitely take your point. But on the origination yields also, the ones that are disclosed in the presentation, there seems to be 80 basis points reduction over the last 3 quarters in the small ticket LAP, vis-a-vis only 20 basis points reduction in the medium ticket LAP. Could you please explain that?

And going forward, how are you seeing the on-the-ground economy in terms of the people's willingness to borrow or ability to borrow? Yes, those are my questions.

Parvez Mulla: Yes, Pavan. Thank you so much for your question. On the yield front, apart from the one I explained on the gold side as well as the explanation, which CVG gave on yield, two additional colors. One on the small ticket LAP business, definitely, there is an environment which is behaving in a particular manner for lower ticket below INR5 lakhs. There have been companies which operate in this particular segment who have reported. There is that MFI piece, which was happening over the past few quarters, that has affected that particular segment, which is below INR5 lakhs. Some people who have looked at this business on the ST LAP side, also, I have seen a little bit of stress on the INR7 lakh to INR5 lakh segment, the spillover of the MFI on that particular segment. We've been conscious of that over the last 2 quarters, you've seen a slight movement of the ticket size for ST LAP for us. We've reduced the exposure for that INR5 lakh to INR7 lakh. That's why you see the ticket size moving up. As the ticket size has moved up,

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yield has dropped for the ST LAP business there. There is definitely a pressure on yield even on the MT LAP segment. Across the board in the industry, there is a pressure on MT LAP. We have not dropped the yield as much as other players in the market have dropped. We've continued to hold the yield on the medium ticket LAP. The ST LAP yield, as I said, is only being conscious of the environment. I think as the environment eases out, you will see the trajectory coming back there.

Your second question was on Tamil Nadu. We will still wait for Q4 for the business to pick up in Tamil Nadu. The Tamil Nadu business has picked up, but not to the expectation that we

wanted. As I had mentioned to you last quarter when specifically asked on one particular state, yes, our business had dropped in particular state of Tamil Nadu. We are picking it up. It has moved about 20%, 30%, but still some way to go. We expect Q4 and Q1 for it to come back to the disbursement normalcy. The delinquencies there are in control, but the disbursement normalcy for it to come back. We're still a little bit cautious there in Tamil Nadu. C.V. Ganesh: So I'll just add one more thing on the yield on the ST LAP. What you see in the deck, is the origination yield in the last 3 months. Now that is only INR200 crores. So, if you see on the book, it's gone down by less than

an 10 bps on the overall small ticket LAP book.

Moderator: The next question comes from the line of Shubhranshu Mishra with PhillipCapital.

Shubhranshu Mishra: So 2 quick questions. The first one is, we've seen a sharp spike in the gold loan AUM. If you can just have a split between what's been the contribution from our new branches here? And what's been the contribution from the increase in the ticket sizes?

Second, the rise in gold prices, do we still expect 10% to 12% CAGR in the tonnage growth because that seems unlikely because I will get lower amount of gold collateral for the same amount of gold loans.

The third is, because we are slightly heavier on the disbursements in gold loans, which will also reflect on the AUM in subsequent quarters. Are we going to change the borrowing metric, which is slightly heavier on the longer tenor. I understand during the rate cut cycle, we tend to borrow slightly longer tenor, but are you going to make it commensurate to the gold loan tenor in the AUM?

Parvez Mulla: Thank you, Shubhranshu. I will just request Jagadeesh to give you a flavor on the new branches and the old branches growth. Jagadeesh, are you there?

Jagadeesh Rao: Yes. I hope I am audible, right?

Parvez Mulla: Yes.

Shubhranshu Mishra: Yes, you are.

Jagadeesh Rao: So, Shubhranshu, we have opened 58 branches in the last quarter, and that has contributed to the growth. So, if you see the overall contribution of INR 8,000 odd crores that we recorded in this

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quarter, 30% of the growth is contributed by the new branches. And balance, 70% is still coming from the existing branches. That's on front on the contribution.

Secondly, your question was on the pure weight growth and its consistency. We see that happening because of where we stand today, because our average per branch looks like it is hovering around INR12.5 crores to INR13 crores, and we still see a big room to reach around INR20 crores over the years to come, that's what our aspiration. We see tonnage growth playing a key role precisely because there is opportunity in the market, that is one. Second, our incentive structures, our KRAs, we have a target-linked incentive, which is linked to the pure weight growth of the branch.

So every branch, every employee is driven and incentivized based on the tonnage growth that we do in the branch. So that's what our thrust is, from the day one, and that is resulting in such a growth.

while the price is increasing, there will be chances that customers will pledge lesser gold, but there is a new acquisition which is happening, which is an engine for us to substantiate and balance that trend. But we see consistency, and we are confident that we will be seeing 10% to 12% of tonnage growth year-on-year.

Parvez Mulla: CVG, do you want to give a flavor on the borrowing mix?

C.V. Ganesh: Yes. Shubhranshu, fully with you. We are going to do exactly what you have said. There is an opportunity there to have a skew towards the shorter end and that is exactly what we will do, which will aid in the NIM expansion going forward.

Shubhranshu Mishra: Just one question on the gold loan part for the tonnage growth, with rising prices or even the prices at similar levels that we see today, if we have a tonnage growth, which keeps going on, then we are infringing on the bank ticket size, which means that it will be yield pressures, right?

Is that a fair to understand?

Jagadeesh Rao: Sorry, I missed your last point. Can you please speak?

Shubhranshu Mishra: So if we keep doing -- if we are bent on doing tonnage growth for gold loans at similar prices or rising gold prices, we would infringe on the bank's turf, right, which generally do higher ticket size in gold loans, which means that it will be yield dilutive for our gold loan business. Is that a fair understanding?

Jagadeesh Rao: B

basically, the retail ticket size is actually growing. Probably a guy who was eligible for INR1.5 lakh, is today eligible for INR2 lakh -- INR2.2 lakhs with the same gold. But it doesn't seem to

be trending towards the bank's turf. If there is a trend, then the yield pressure will be managed through the CLM partnership, CLM models that persist, and we will try to encash on that. But otherwise, as an NBFC, as an AUM strategy, we still rely on the retail and retail is seeing traction. We see pure weight coming from the retail book.

Moderator: The next question comes from the line of Chintan Shah with ICICI Securities.

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Chintan Shah: Congratulations on a strong set of numbers. So just I had one thing on this labor code impact. So I think we already mentioned the impact is around INR3.9 crores for this quarter. But so is that a onetime impact? Or do we see any recurring impact as well going ahead due to that? So that's the first thing.

And secondly, on this gold loans or now almost we are 45% on the overall portfolio. So even if that exceeds say, around 50% or so. So that is not a challenge, right? And thirdly, on the borrowing cost, we have seen a steep decline of almost 60 bps Q -o-Q. So do we see any more - anything more to come on that or not?

C.V. Ganesh: Yes. So maybe I'll take the borrowing cost first, okay? No, I think the 60 bps fall Q -o-Q is not repeatable. It's a 2 -point average, so there may be a skew there. I would urge you to go by the quarterly borrowing cost sheets where we reported a 33 bps reduction from 8.17% to I think 7.87%. I think that's what you should look at.

There are opportunities there because, as I said, 41% of our borrowings are still external benchmark linked. The balance are MCLR -linked. So as of now, 71% of our borrowings continue to be floating rate. As and when the transmission continues to keep happening, there is an opportunity there, though we would be sanguine about it.

Now in terms of the labor code, see, the biggest impact has been baked in, okay . The biggest impact has been a onetime catch -up in terms of all the retiral benefits like gratuity, leave encashment, etc., due to the basic being -- needing to get hiked to 50% of the CTC. So that exercise has been done.

Now going forward, how does salaries get revisited, does it get passed on? Does it get adjusted is something which we will watch how the rest of the industry adjusts to it. We believe we have the wage cycle in April to look at that and have a little more information on how peers are handling it. What we do will be relative to what the peers do, right.

Now on the gold, as of now, there is no board limit or internal limit we have that it should not cross the lakshmanrekha of 50%. So we don't have any lakshmanrekha. Ultimately, we are a LAP first company, but gold is a very strong secondary product. Right now, it is doing very well. it would be perfectly acceptable and encouraged if it were to in the short -term or medium -term take the lead. And then -- but overall, as texture, we would remain a LAP company.

Moderator: The next question comes from the line of Sonal Minhas with Prescient cap Investment Advisors.

Sonal Minhas: My question is with regard to gold loan, sir. I have 2 questions. First of all, I just wanted to understand since your yields are around 18%, 19%, I'm presuming, and please correct me if I'm wrong, you competing with the likes of Muthoot, Manappuram and couple of other scaled up gold loan companies.

How are you seeing competition vis -a-vis the non -banking scaled up gold loan players. And we've seen commentary by these players where basically there is a directional indication that the yields are expected to come down given the competition? So that's on e.

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Second question was with

regard to your LTV. The LTV seems to be a bit higher compared to the non -banking players. So just wondered a subjective feedback from you on that sensitive observations? That's all from my side.

Parvez Mulla: Yes. See, as far as competition is concerned, these set of 8, 9 players have been operating in this market for past 10 years. There have been certain geographies where each predominates.

Obviously, there are 1 or 2 players who are very large and they operate at a different scale. But the other players tend to predominate in particular geographies.

We have seen growth in the western and northern geographies much more than what we have seen in southern geographies. You see that in our investor presentation also. Our growth essentially comes from those geographies. Our new branches also come from those geographies.

As far as yield pressure is concerned, whenever the price goes to the levels that it has gone, earlier also whenever the price has shot up, there will be new players coming in. And those competition and the yield pressures will happen for a short -term period. But typically, gold being

a vernacular business, it is dealt by each large player very, very locally.

That means in the state of Gujarat, you will deal with the Gujarat market, and you will play the yield there. And the Maharashtra market, you will deal very, very separately, depending on what the competition is there and who is the predominant player.

You don't match your yields with every player, you match it with the predominant player and how you are operating. Again, what tends to happen is gold being a very local business, geographically where you are located in that particular city and that particular town also matters. So the competition also is very, very localized in terms of yield. Banks operate a very different yield, but their location is also very, very different in that particular city itself. Jagadeesh, you want to add anything on the gold side or the LTV side?

Jagadeesh Rao: Yes, I wanted to address the second point on the LTV, concern that is raised by you is, on the LTV. Our LTV seems to be on a higher end. But I would like to correct you, it is not higher. It is much, much conservative compared to any other NBFC player. If you take our onboarding LTV, it is at the tune of around 70% to 71%.

Today, regulator has allowed us to go up to 85% for certain ticket size, 80% for another ticket size. But we are a little cautious because we don't want to take the advantage of the price or the LTV relaxation. We are more conscious and more conservative.

Our onboarding LTV has reduced. We are even onboarding customers at a much -- let's say, 1% or 2% lesser than the max cap. On the portfolio LTV, we are standing very comfortably at 59%, which is declared. So I don't think we are on higher end. We are conservative or max at par with the largest player.

Sonal Minhas: No, I understand that. I picked up a number from the deck.

Moderator: The next question comes from the line of Meghna Luthra with InCred Equities.

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Meghna Luthra: I just had 2 questions. One is what percentage of the LAP book is old vintage? And the second question I had is that you mentioned you wanted to move from DA to co-lending. Can you throw some more color on that, what proportion of the AUM would that be or anything else?

Parvez Mulla: Anything sourced before FY '24 is old vintage. So the sourcing, which has happened after FY '24, we track it separately and we put it as a new book and that is what is showing us good color. And this old vintage book will have its own play. But amongst the old vintage also, there will be 1 or 2 years, which we are tracking very closely. We've, over the past 2, 3 quarters, we have addressed those flows in the buckets that you have seen. So you've seen our Q1, Q2, Q3 movements and most of the flows are

coming from those 2, 3 years that we are tracking very closely. Plus there are certain geography mixes, which we are tracking. And as we go forward, the new mix will increase and the old mix will come down. As far as the DA to co-lending is concerned, CVG, this was something which you mentioned?

C.V. Ganesh: Yes. Sorry, Meghna, what was the question again on DA to co-lending?

Meghna Luthra: Sir, you mentioned that you want to cut down on DA and move to co-lending.

C.V. Ganesh: From 1st Jan, there are the new co-lending guidelines, which are applicable. Now there is an accounting change in which the co-lending one happens compared to the kind of accounting which used to happen for DA. That is all I was trying to signal. So, the moving of the lower-yield assets off book would continue to happen. It is just that the accounting might differ going forward, which is why I was pointing more for everybody to bear attention to the core yields and core interest income and maybe eliminate the impact of the DA income there from.

C.V. Ganesh: On the first question also, see there are very specific geographical cohorts of the back book, where the pain is lingering. I think it would be unfair to colour the entire back book with that

Meghna Luthra: So this would be a normalized level for the DA income or the, say, the co-lending income that we will see, right?

C.V. Ganesh: We will watch it, Meghna, I think -- I wouldn't want to say that statement.

Meghna Luthra: Okay. Okay, sir. And then lastly, can you highlight which geographies are throwing up pain right now?

Parvez Mulla: These cohorts that we had talked about, we had initially also mentioned in our first Q discussion that there are geographies of Maharashtra and Tamil Nadu, where we had seen that elevated stress, which was in Q3 FY '25. And those were the geographies we had focused on and within these geographies also, we had certain pockets.

Again, Meghna not to color it, these are not something which the other players had faced. So it was our specific problem for these 2 states. So it was not a state specific issue. It was a Fedfina state specific issue.

Moderator: The next question comes from the line of Prolin Nandu with Edelweiss.

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Prolin Nandu: A couple of questions from my end. One is, you talked about the drag on cost -to-income because of a higher intensity of disbursement, right? And that is specifically coming from gold side of things where you mentioned the AUM growth in the last 3 months.

My question is that, see, on cost -to-income, obviously, there is this drag because of this, but then we are co -locating the branches and at some point of time, operating leverage would also come into the picture. So where are we in that cycle of cost -to-income? Because we will continue to have a very high growth in gold loan going forward as well, right? So do we still continue to see that drag because of higher disbursement coming in gold loan? Or maybe this quarter might be something different and going forward, there could be a lesser of an impact on cost -to-income because of higher disbursement?

C.V. Ganesh: Prolin, thank you for that question. See, what I would urge is we want to retain flexibility in all the levers in the ROA tree. I think the guidance we would give is what I had outlined at the end of my narrative that we have delivered over the last 4 quarters a consistent, predictable and increasing ROA. I think that perhaps is the guidance you want to take that subsumes opex, that subsumes credit cost within those parameters where that subsumes a DA income or otherwise that subsumes core yield. Within all of that, I think that would be the objective we would continue on.

Parvez Mulla: Just to add to what CVG is saying, again, at the start of the year, when the guidance was asked, I had mentioned that this year, we

will be focusing on the credit cost. FY '25, we had returned a credit cost of 1.8%, and we were very conscious that this year, F Y '26, we wanted to keep it below 1%, and that is the 80 bps, which you will see reflecting in our ROA tree. And this is the guidance, which I had given a year ago.

Having said that, I had said that on the opex side, we will do a lot of work in this particular year, but it will only reflect in FY '27. FY '26 is an investment year because we are taking a challenging task of rebuilding the ST LAP business. There is going to be investment on the collection side. We went ahead and invested into the gold branches. We went ahead and did investment in areas of the small ticket LAP business. So, these 3 areas have moved the cost -to-income up so and the other elements on the cost -to-income, whatever we have reduced, so it is a, there is some reduction and some upside, and that is why it has remained flat. In fact, I had guided it in such a manner a year ago, that cost -to-income for FY '26 will remain flat because we are going to do these additional costs, and we will do the savings. As we go in FY '27, these will start reflecting. When we are merging the sma ll-ticket LAP business branches as well as definitely, there is a shaving off which is happening, but it is getting neutralized by the new branches that we are putting in.

And also the fact that the leases take time for it to fructify. So you only get a 3 -month effect or a 6-month effect in a particular year. Next year, you will see the full effect playing in. So that is why further, I had mentioned that you will see an eff ect next year on the cost -to-income side.

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So basically trying to say that FY '26, we wanted to address the credit cost, the cost -to-income and the opex to average assets we will address in FY '27, which is where you will see the upside on the ROA trajectory further than what we have delivered in FY '26.

Prolin Nandu: I get your point. The second question would be on this GNPA, right, in the mortgage division. while you have alluded to this, but just to summarize, is it fair that large part of the increase in GNPA. That we are seeing, is it because of the older book?

And could you just help us understand how is the performance on the asset quality side between newer and older book or some of the -- I mean, not the entire older book, as you highlighted in the previous answer as well, is where we were seeing an issue. Bu t if you can just help us understand how has been the performance on GNPA side on the newer book?

Parvez Mulla: Yes. So there is a substantial difference on the newer book and the older book. When we look at the 12 MOB and the 18 MOBs numbers, there is almost 100 bps difference to 150 bps difference between what we are seeing on these two books. Even in the older bo ok, there are certain pockets and certain vintages, which we have faced a challenging situation.

Again, those challenging situations, Rahul, I will repeat, was not necessarily an environment issue. It was our issue. Our collection team's inadequacy, we had not invested as much in the collection infrastructure, which we should have been doing a year ago or 2 years ago. But that caused that flow to happen ST LAP business is a heavily invested collections business, which we corrected over the past 1 year. So last 1 year has gone in this particular collection. Now we are also seeing whichever NPAs, which we had moved the buckets in Q1 and Q2, we are seeing

NPA recovery is happening here. Because you have to also understand that many times when the customer is in early buckets, when he moves into bucket 2 and bucket 3, recovery becomes difficult.

It is advantageous for the company to move it into NPA because then the legal process is much easier on the NPA side. And the recovery is much better after you drop the case

into NPA. That

is why we believe that we are getting certain good recoveries also which are happening now. So that is the color on the GNPA side on the old book and the new book.

C.V. Ganesh: Maybe I'll just add on to that, roughly the way to dissect the problem a little better is that, of the mortgage book roughly on the AUM side, it's a 60 -40 split between medium ticket LAP and small ticket LAP. So medium ticket LAP, it's pristine. There is no problem.

So out of that 40% of the mortgage book, there is a further split between old book and new book .

Now that is not public information. Now within that old book further, there is a geographical split. So actually, you are talking about not so large part of the bad book. That's the comfort we will give you.

Parvez Mulla: Yes. And Rahul , further to give you that comfort is when we had looked at 1 year ago and when we had seen the problem and when we had guided on the problem, that is why we said that we were able to give you a guidance on the credit cost. That is what is going to be the P&L charge of this.

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And in spite of the GNPA's being volatile, we'll be able to hold the credit cost below 1% because that time also 1 year ago, I got questions that if the GNP has moved up, the credit cost will also be unpredictable. We had said that we know the cohorts, which we are working on. We can understand what kind of recoveries will happen. We are also dealing with movement of the portfolio from the agency side to in-house.

It also has to be done in a structured manner because you understand that when you get an allocation, which has done to an outsource agency when you are moving it in-house, there are droppings which happen. And every quarter, you need to handle those.

So as you select the cohorts in particular states, when they move from the agency to inside, you can predict what is the expected numbers which are going to flow. So that is why we had guided accordingly, and what I can say is whatever is happening on the GNPA side is exactly the way we had predicted it and we had guided on the same.

Moderator: The next question comes from the line of Vedant Maheshwari with Intellivest Family Office .

Vedant Maheshwari: Just a couple of questions I have with regards to the way we calculate our businesses. So in regards to the gold, at what are the tonnage part, but is there a lag in the price at which we take for computation of our gold loan AUM growth?

Parvez Mulla: Did I lose a connection in between? I couldn't hear your question properly in continuous flow.

Jagadeesh, did you catch it?

Jagadeesh Rao: No, no, I didn't.

Vedant Maheshwari: Okay. So what I mean is as a whole with our tonnage growth and everything, I want to understand at what particular for our AUM computation what price of gold do we take? Is there a lag of the gold price which we take and due to which we see the growth? Or as a whole, we take it at the live prices at the moment?

Jagadeesh Rao: Yes. So to answer it, it is based on the regulatory lines. We take the 30 days average of the gold prices. See we have declared Q3 LTV. LTV is based on the 30 days average gold price as on 31st December.

Vedant Maheshwari: Okay. Got it, sir. And just 1 couple of things. You said the AUM is back ended, and we see that in -- because the gold ticket sizes, I suppose, like the gold loan, we see the revenue recognition a little bit back-ended, right, around 6 to 8 months is the average tenure. So given that we have been experiencing a large tonnage and AUM growth over the last 1 year and the gold price has also been quite high. As a whole, how does that translate into our revenue recognition policies?

I just want to understand that flavor. As we are seeing over the last 18 months of the AUM growth and all has been quite strong, but as all the translation doesn't seem that high co

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to just the top line. I just wanted to understand these policies are a little bit more?

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Jagadeesh Rao: I think the back-ended point was not on the revenue recognition, back-ended point was on the book that we are building. See, for the quarter it has grown around 10%. The majority of the book has happened in the month of November and December. So the results, the earnings of that will happen in the subsequent quarters.

Apart from that, the gold loan is structured in such a way that you on-board a customer at a rate and there are options available with the customers to pay interest at, say, after 6 months, 7 months at a higher rate. So, that's where the yield will play and we see that happening as a character of gold with any player. This is an industry fact.

C.V. Ganesh: I was referring to my point. So, the point I was -- I made earlier in the call is that see the origination costs, yes, the incentives, some of the other origination costs are recognized in the month of origination. So effectively, we do not amortize the origination cost over the life of the gold loan. So the cost getting recognized upfront. The revenue is ours over the next many months. That is all I was trying to say.

Moderator: The next question comes from the line of Sandeep Joshi with Unifi Capital.

Sandeep Joshi: I had a question on the credit cost. See, for this financial year, we have given a credit cost guidance of about 1% plus/minus 10 basis points. But I just want to understand from you what are you thinking for the next -- for the credit cost for FY '27 in the line that now the proportion of gold loan have actually increased, the unsecured book has almost run down and most of the collection infrastructure will be ready by Q4. So on this context, do you wish to give any guidance on credit cost for FY '27?

Parvez Mulla: Yes, Sandeep, see, we have at the start of the year, guided on a particular credit cost because that was the most important item on the agenda when we had seen an elevated GNPA and elevated credit cost on the ST LAP business. That is why we felt it was necessary to guide on the credit cost. I think next year, we want to keep it in a predictable zone. As we had mentioned in our strategy that we moved out of the BL unsecured business because we wanted to bring predictability to the credit cost and that is the objective, and we want to get into that zone. So, by Q4, once we see the numbers on Q4, we should be able to give you a guidance on the credit cost, and it should be very predictable for you. But I think what will be important for you next year for FY '27 will be our guidance on the opex to average assets because that will be a crucial number where we will show some numbers. So these two alternatively, we will definitely give you a guidance on Q4.

I think this year was an important year where we gave you a particular guidance, and we wanted to live up to that number. Next year, I think it will be more predictable or at your end itself the opex number will be more crucial, I think. But anyways, in Q4, I will give it to you.

Moderator: The next question comes from the line of Rahul Kumar with Vaikarya.

Rahul Kumar: Just 1 question on the slippages front, so going forward, do we expect the slippages to remain status quo or improve from here, especially in the mortgages?

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Parvez Mulla: As far as the slippages are concerned, FY '26, quarter 1 to quarter 4, we are handling the issue of small ticket LAP business, which affected us as a company. Environment might have been included inside it, but it was our issue. And we had said that it will take us a year. We will take that here, and that is where you will see these slippages.

We have as much as possible, try to keep it non-volatile. We have given

a prediction on the credit cost and we have sustained it and maintained it. On the slippages side, I think FY '27 should give you a more predictable line on the slippages based on whatever flows we have seen this year because, as I said, the characteristics of the old book and the certain vintages should play out, and we should have a better predictability to those slippages.

Plus, as I said, we will have a recovery team, which will neutralize some of those slippages for us. So there will be a predictability. So, FY '26 will get utilized in these slippages, '27 should be a predictable nature.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I now hand the conference over to the management for closing comments.

Parvez Mulla: Thank you so much for the call, really appreciate. With the closing comments, which we want to give is, last year we had given certain guidances and certain priorities. Over the last 4 quarters, we have stuck to those guidances. We have stuck to those numbers, which we had promised and Q1, Q2, Q3, we have moved the needle in terms of the parameters, which we had promised, especially on the ROA side, on the credit cost side.

We had promised that we will work on a complete secured construct. We have stuck to that. We had said we would double down on these 2, gold and mortgage business. We have stuck to that. Certainly, we have been helped by the price momentum on the gold side, but we have been very conservative in terms of focusing on tonnage growth as well as on the LTV side.

So keeping in mind the risk parameters, keeping in mind the processes, we have consciously grown these 2 businesses. And on the ST LAP side, also, we had said that we will rebuild this business. We've been doing it brick by brick. We are not in a hurry, but we are conscious of the growth that we want in this particular business.

We are focused on this business. We are investing into this business. We believe this is a business which we can do very well. Focusing on these 2 businesses and creating an expertise in these 2 businesses is the core DNA with which we want to move forward. Thank you so much.

Moderator: Thank you. On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Secretarial Department

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National Stock Exchange of India Limited

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Mumbai – 400 051

Symbol - FEDFINA BSE Limited

Phiroze Jeejeebhoy Towers,

Floor 25, Dalal Street, Mumbai - 400 001

Scrip code: 544027

Sub.: Transcript of Earnings Conference Call held on Tuesd ay, April 28, 2026

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the Earnings Conference Call which was held on Tuesday, April 28, 2026.

The transcript of the Earnings Conference Call shall be uploaded on the website of the Company at <https://www.fedfina.com/> under the section 'Investor Relations ' in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours faithfully,

For Fedbank Financial Services Limited

Parthasarathy Iyengar

Company Secretary & Compliance Officer

Membership No.: A21472

Encl.: As above

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"Fedbank Financial Services Limited
Q4 and FY '26 Earnings Conference Call "
April 28, 202 6

MANAGEMENT : MR. PARVEZ MULLA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER

MR. C.V. GANESH – CHIEF FINANCIAL OFFICER

MR. JAGADEESH RAO – CHIEF BUSINESS OFFICER , GOLD LOANS

MR. SHARDUL KADAM – CHIEF BUSINESS OFFICER , ST LAP

MR. K. SURESH – CHIEF BUSINESS OFFICER , MEDIUM TICKET LAP

MR. VIKRAM RATHI – CHIEF RISK OFFICER

MR. LOKESH PAREEK – HEAD OF INVESTMENT RELATIONS

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Fedbank Financial Services Q4 and FY '26 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Danish. Good evening, everyone. We welcome you to the Earnings Conference Call of Fedbank Financial Services to discuss the Q4 and FY '26 performance of the company. Today, we have the entire senior management of the company represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh, CFO; Mr. Jagadeesh Rao, CBO -Gold Loans; Mr. Shardul Kadam,

CBO -ST LAP; Mr. K. Suresh, CBO -Medium Ticket LAP; Mr. Vikram Rath, Chief Risk Officer; and Mr. Lokesh Pareek, Head IR.

I would now like to hand over the call to Mr. Lokesh. Over to you, Lokesh.

Lokesh Pareek : Thank you, Shreepal. Good evening, everyone. I would like to welcome all of you for joining our Q4 FY '26 results earnings call. Before we start, I would like to highlight that some of the statements made on this call may be forward-looking in nature, including those related to our financial performance, business strategy and growth plans. These are based on our current expectations and are subject to risks and uncertainties, including broader macroeconomic conditions. These statements reflect our views as of today and may evolve with changing business and market dynamics.

With this note, I now hand over the conference to our MD, Mr. Parvez Mulla, for his opening comments. Thank you, and over to you, sir.

Parvez Mulla: Thank you, Lokesh. Good evening, everyone. I would like to extend a warm welcome to all of you for joining the Q4 FY '26 post results earnings call.

At the beginning of the year, we had listed our priorities as follows :

1. Conserve and allocate capital to businesses with high ROA and ROE.
2. Focus on our Twin-Engine strategy of Gold and LAP businesses.
3. To move towards a fully secured lending portfolio.
4. Expand Gold business through branch expansion and increased door step coverage.
5. Continue to foster synergies between our Gold and LAP operations.
6. Within LAP, we will concentrate on a combination of high-yield STLAP and low-risk MTLAP.
7. Expand MT LAP, with minimal capital allocation.
8. Establish leadership in ST LAP team and build team for growth and quality.
9. Continue strengthening our collections infrastructure to effectively manage delinquencies.

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10. Aim for increased core income while reducing reliance on DA income. Use DA as capital allocation strategy

11. Move towards a frugal cost structure.

12. Ensure that credit costs remain 1% + -10bps.

These were our promises at the start of the year. And against that, our year as well as quarter has performed as follows :

✓ On the business front, we have experienced a good year, with disbursements increasing by 67% to 31,410 Cr from 18,788 Cr, primarily due to a rise in the Gold Business. When excluding BL, our disbursements have grown by 75%.

✓ On the AUM front, we have grown 27%, with our AUM touching 20,000 Cr in Q4 this year. This financial year, we have added 4,342 Cr to our AUM. When excluding BL, we have observed an increase in AUM of 41%.

✓ Gold disbursements for the quarter reached INR10,744 crores compared to INR7,853 crores in Q3 FY '26 and INR4,580 crores in Q4 of the previous year, indicating a growth of 37% and 135%, respectively.

We have added INR2,447 crores of growth to gold AUM this quarter.

✓ The gold business surpassed INR10,000 crores, increasing 70% Y-o-Y and tonnage has grown by 12% Y-o-Y to 12.6 tons.

✓ Our doorstep gold loan business continues to perform with an AUM increasing by 108% Y-o-Y to INR1,730 crores.

✓ As promised, we have opened 34 new gold branches this quarter, bringing our total to 148 new branches this year, and we will continue to expand our branches in FY27, too.

✓ Despite opening 148 new branches, our AUM per branch has reached INR16.5 crores, reflecting an increase of INR4.4 crores per branch during this year. Our LTVs on AUM stand at 60.9%, portfolio level LTVs.

✓ In our collaborative initiative involving gold and ST LAP business, we have successfully further merged additional 7 branches, taking the total to 70 branches this year. That means 70 branches of small ticket LAP business have relocated into the premises of 70 gold branches, thereby releasing the ST LAP premises. These Vyapar branches will provide both gold loan business as well as LAP business to our customers.

✓ At the beginning of the year, our capital adequacy ratio stood at 21.9%. Now it has increased to 22.4%. The measures we have implemented in FY26 to conserve and efficiently use capital are as follows:

➤ we 100% assigned our business loan portfolio of INR886 crores, which was executed

and derecognized from our AUM. In addition to improving capital efficiency, it also ring-fenced us from further deterioration in the unsecured lending market.

➤ A total of INR1,694 crores in direct assignment transactions were executed through the quarter, releasing capital.

➤ Gold co-lending book increased INR1,131 crores to INR2,127 crores and INR450 crores in subordinated debt was raised in this quarter.

These measures will enable us to continue our growth story in FY27.

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✓ As previously stated, the complete allocation of INR886 crores of business loan portfolio in the first and second quarters of FY26 this year now ensures that we maintain a secured on-book ratio exceeding 99.5%.

✓ In line with our priority of increasing core income and decreasing DA income, the net income from DA has decreased by 89% to INR7 crores for FY26 compared to INR66 crores for the same period last year. We had promised you that we will not rely on DA income for the PBT. Nevertheless, our operating profit has risen by 11%. If we had sustained a similar kind of DA income, the operating profit would have reflected a growth of 22% or 23%.

✓ The MT LAP business has demonstrated stability over the course of the year, disbursing a total of INR2,180 crores, while sustaining its yields. In Q4, the MT LAP business has disbursed INR632 crores, reflecting a 16% increase quarter-on-quarter.

✓ Throughout the last 2 years, the company has encountered rising credit costs in the ST LAP segment, prompting the OG to strengthen its credit policies and shift towards a system-driven BRE. The ST LAP business has disbursed INR904 crores during this financial year and INR289 crores in Q4, reflecting a 39% increase quarter-on-quarter.

✓ In Q3, in this business, we have moved Shardul Kadam, our CRO as the CBO in ST LAP business. Over FY26, we have hired senior leadership team and stabilized the product. We are seeing improvements in sourcing quality this year. We expect that to continue as we grow.

✓ Collections, senior leadership has been onboarded, field team has been strengthened, the collection framework has been verticalized. Additional personnel have been recruited, call center, legal and recovery teams at the end of '26, we have almost 2x the collection personnel that we started with.

✓ For shoring up collection within the ST LAP segment and increasing the PCR in Q3 FY25, along with exiting the deep bucket NPAs through that ARC sale in Q1. And the work that we

have done in

Q2 and Q3, we have limited our credit cost for the year at 0.8% and for Q4 at 0.7%.

✓ We have raised about \$250 million in ECB till date.

Finally, the key numbers are as follows.

➤ In business, the AUM reached INR20,153 crores, translating to a growth of 27%.

Excluding BL, it's about 41% Y-o-Y.

➤ Gold reached INR10,352 crores, an AUM growth of 76%, substantiated by a tonnage growth of 12%.

➤ Mortgage AUM reached INR9,362 crores, an AUM growth of 16%

➤ disbursements of INR11,664 crores in Q4 FY26, up 109%.

On the profitability and asset quality side,

➤ the net interest income for Q4 grew 23.1% and for FY26, it grew by 14.8%.

➤ Operating profit for Q4 grew 24% Y-o-Y to INR162 crores and for FY26 grew 10.8% Y-o-Y to INR576.3 crores.

➤ Our credit cost for Q4 stands at 0.7% and for FY26, it stands at 0.8%.

➤ Our net profit stood at INR100.5 crores in Q4 FY26. And for FY26, it is INR343.6 crores.

➤ The gross Stage 3 stands at 1.9% versus 2.1% Q-on-Q and 2% Y-o-Y.

With that, I will now hand over to our CFO, Mr. C.V. Ganesh, to take you through the numbers.

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C. V. Ganesh: Yes. Thank you, Parvez. Thanks, everyone, for your participation on the call. I will add to what has been covered this far. So, I will start with 6 numbers.

1. PAT of INR100 crores,

2. 750 plus branches,

3. INR10,000 crores plus of gold loan AUM,

4. INR20,000 crores plus of entity AUM,

5. 2.6% ROA -- 14% ROE.

So, these 6 numbers sum up the quarter.

First, on the AUM growth. We have had a strong AUM growth in Q4 ex -BL, our AUM grew 15.8% sequentially quarter -on-quarter. This was led by a 31% sequential growth quarter -on-quarter in the gold loans. Just to amplify that with numbers, in the first 9 months of the year, our AUM ex -unsecured business loans grew about INR3,000 crores. Against that, in the 3 month period of Q4, our AUM grew INR2,700 -odd crores. Now what this means is that if we exclude the roughly INR900 crores of the unsecured book we sold during the year, the secured book has grown a little under INR5,800 crores this year, a growth of approximately 41% year -on-year. Within this, our gold loan AUM has grown 76% year -on-year. While this has had tailwinds of gold price growth in FY26, but we have also been able to demonstrate a tonnage growth of 12.25% during the year. So while gold has been the primary driver, this underlines our twin -engine strategy in a year where MSME lending has had headwinds as well as this buttresses our conviction in investing in the 148 new branches, most of which have turned the corner on profitability within the year itself.

Second, on yields and cost of borrowing. Our yields reduced 12 bps year -on-year due to a never before growth in the gold loan book. When you grow so much, obviously, there is going to be some impact on yield. Also, the back -ended nature of the growth resulted in the average yield optically showing a drop of about 28 bps. Our weighted average cost of borrowing was marginally lower in the quarter by 4 bps. However, with the leverage increasing to 4.6% in Q4 , in the ROA tree, you will see interest expenses optically going up by 10 bps.

On the interest rate outlook, we saw cost of borrowing hardening post February as well as hedge rates on our foreign currency borrowing going up materially.

With the current geopolitical situation, we remain cautious in terms of outlook. What did we do? We tanked up on liquidity in the quarter to counter volatility caused by the geopolitical situation in the Gulf. While it has optically increased finance cost and optically reduced the net interest income for the quarter, it gives us a hedge against the uncertainty and interest rate volatility in Q1.

On asset quality , our Asset quality improved quarter -on-quarter with entity 1 + DPD improving to 6% from 7.1% in December and entity 30 + DPD improvi

ng by 70 bps and entity 60 + DPD

improving by 50 bps over the last quarter. This is driven primarily by an improvement in the mortgage delinquencies, which have improved materially.

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As we have executed moving away from agency -led collections to in -house collections. GNPA has also declined 20 bps quarter -on-quarter to 1.9% from 2.1% and the net NPA has declined 10 bps to 1.3% quarter -on-quarter. We have been able to hold our PCR flat at about 32.3%. Now on the profit and return metrics. PAT was up 14.4% sequentially quarter -on-quarter and 40% year -on-year, boosted by the incremental interest income from the asset growth and lower credit costs. We crossed the psychological milestone of INR 100 crores of PAT. This was an important base camp for us in our onward journey from a year of repair. We are cautiously optimistic of an upward journey from here.

Our PPOP for the quarter came in at INR 162 crores, an increase of 24% year -on-year and 9% quarter -on-quarter. P POP for the year came in at INR 576 crores, an increase of about 11% year -on-year. However, as articulated earlier, if you exclude the DA income of last year, which we have consciously dialed down. The core PPOP is up 22% year -on-year on a full year basis. The improved delinquencies resulted in credit cost decreasing 10% quarter -on-quarter, 14% year-on-year to 0.7% as a percentage of average total assets. On a full year basis, credit cost as a percentage of average total assets is down from 1.7% in FY25 to 0.8% in FY 26.

On our operating leverage is playing out slowly, but surely. O pex as a percentage of average total assets reduced to 5.5% from 5.9% a year ago and 5.7% in Q3, giving us some green shoots on economies of scale playing out on an expanding balance s heet. On a full year basis, FY26 has seen a 20 bps drop in ope x to average total assets over FY25 as a whole.

The ROA also continued its onward climb at 2.6%, up from 2.5% in Q3 and 2.2% a year ago.

Our ROE also broke into the teens at 14%.

Now on capital adequacy. A 40% growth in AUM depletes capital adequacy and has resulted in a leverage increasing to 4.6, up from 4 in December '25. In the beginning of the year, we had consciously divested our lower ROA unsecured business to release capital for the onward climb in the secured business. In Q4, we have raised a subordinated debt of INR 450 crores, which has supplemented our capital adequacy by 3%. Consequently, in spite of the healthy asset growth, our CRAR at 22.4% as of March is up from 20.5 % in Q3.

This gives us ample headroom for growth in the coming year. As the numbers over the last four quarters of this year show, we have attempted to build resilience and consistency in terms of

asset quality, credit cost and upward linear trajectory in return metrics. We are deeply grateful for your support in this exercise.

With that, I now hand it over to the floor for questions -and-answers.

Moderator: Thank you so much, sir. Ladies and gentlemen we will now begin with a question and answer session. Our first question comes from the line of Digant Haria from Green edge Wealth. Please go ahead.

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Digant Haria: Thank you for the opportunity and sir congratulations for the century. It's the first time you have crossed the INR 100 crore mark. And given that the back-end nature of growth and what Ganesh ji mentioned that we have built in some liquidity just for a rainy day in the coming quarter. So I think the century will probably remain our base. So congratulations on that.

My question, I have two questions only. One is on gold loans. Like, Parvez ji you mentioned that second half is generally heavy for us and it was exactly like that. The question here is that we have had such strong growth. But only one thing is that the yields have

probably been a little

softer in the last two quarters.

So I just wanted to know the growth strategy. Like is it in the new branches just to ensure that we reach breakeven, we are giving discount schemes in the initial days. And like what are we doing on the growth front, like the top-ups versus new customers versus other things? If you can just highlight the color of growth?

Parvez Mulla: Yes, Digant, thank you so much. Thank you for remembering that we had said that we will grow in Q3 and Q4 differently from what we did in Q1 and Q2 because that's the way our seasonality plays out. Also, if you remember, I had spoken about tonnage growth. You have seen the kind of tonnage growth that we have delivered Y-o-Y. It's a 12% tonnage growth. And we are very conscious of that tonnage growth. As far as yields are concerned, there are two factors which are playing in here. So if you take about 30 bps here and there, which you are comparing, I would break it into two parts. There could be a 5 to 10 bps, which we could have done on the yield front. But the balance is because of the back ending of the disbursements. When you have such a large number of disbursements, which are happening in the last quarter and there is a back end, that is the effect. So, the yield effect is hardly 10 bps and I think in Q1, that we will cover back. When you're playing in a market which is competitive and when you're pressing the pedal for Q4 and when you are trying to get the tonnage growth, 10 bps here and there is okay because we'll cover it in Q1.

Digant Haria: So it's only 10 bps. I just thought the yield at origination. I understand that optically the reported yields will not reflect because of the back-ended nature. But at origination, have we seen any meaningful pressure on the yield? And like is it because maybe you are doing slightly larger ticket sizes or there is absolutely nothing like that and the yield at origination still remain healthy?

Parvez Mulla: Yes. So in the quarter 4, there tends to be that tendency to play with the origination yield in the sense of different geographical markets, we do that. But overall level, it's steady. What we did in last quarter, that is exactly last Q4 FY 25, we did exactly the same thing in FY '26. It's a seasonality play. You will see us Q1 back to the same pockets.

The competition pressure that you are talking about is yet to play out is the way I would put it.

The competition yet to get those branches in the spaces that we are operating and we are yet to see that pressure play out, although it might, but it has not yet played out and that is not what has happened. This is unprecedented disbursements. And I think we are in the same zone where we wanted us to be.

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Digant Haria: Perfect. Okay. Great for that detail. Second question is that now we have this new guideline of 75% LTV across the life of the loan. So just internally, like what are the process level changes we have done? Because if we don't do any changes, then optically, the NPAs might go up because some customers may just go higher than 75%. And so there is no credit cost risk at all. But still optically the NPAs in the coming quarters for the industry may go up because of this guideline thing. So how have we decided to tackle this or any insight here?

Parvez Mulla: These guidelines have come effective this April. There are two sets of guidelines. The guideline that you are talking about that we have to maintain 75% across the loan that was an earlier guideline. The revision in guideline, which will happen from April '26. We are executing it. And

I will request Jagadeesh to elaborate it for you. He will give you all the details that we are doing and how we are derisking, what we need to do on the operations side.

Jagadeesh Rao: Yes. Hi, Digant.

Digant Haria: Hello, Jagadeesh.

Jagadeesh Rao : Yes, hi

. So, this margin breach has nothing to do with the delinquencies of the book. So, that is the first point. And on the margin breach regime, last year, we were following 75% regime. Now it has changed to 85% for exposure up to INR2.5 lakhs and 80% for exposure up to INR5 lakhs and anything above INR5 lakhs, it is 75%. So there is room given by the regulator for playing on the LTV.

While 90% of the book is less than 75% for FEDFINA, we don't see any impact coming out.

And like I said, margin breach, even if there is a margin breach, there is no need of any provisioning or no need of treating it as a delinquent book other than initiating for margin collections with the customer.

Digant Haria: Okay. So it won't impact the NPA recognition. That's good to know, sir.

Jagadeesh Rao: No impact.

Digant Haria: Perfect. That is very helpful, sir. Sir, and last question is on the small LAP piece. I see that we have recruited some really good people on the collection side. So maybe this year, we have built the collection team. So, like do we have a little more confidence than last year that in FY27, this portfolio may actually grow and deliver positive kind of ROAs also?

Parvez Mulla: Yes, Digant. Definitely, I am much more confident than what I was 1 year ago when we were giving you a guidance that there will be a GNPA number which will increase and we will hold the credit cost. Definitely, the collection efficiencies have improved. What we have also changed is the ST LAP business had a percentage of collections happening through agencies. We have now moved it to our own people. Our own people have joined us last year and now have spent about 3 to 6 months vintage and they have started giving us results.

So definitely, we are positive on the ST LAP business in terms of the past GNPA's also. And we are also confident about the new book that we've written in the last 1.5 years. So I think that piece, definitely, we are confident about. What we are now working on is picking up the growth

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story. You would see that last year, we were hovering around INR200 crores. March definitely is a good momentum quarter for everybody. So we did clock INR290 crores.

But definitely, that is where we are working on to pick up the business. And even on the business front, we have hired new people who come in last year and the productivity will start jumping up there, too, although we are taking it under the new credit BR E that we have done. So it will pick up steadily, and we are happy with that.

Digant Haria : Okay. Perfect. Thank you. Thank you everyone for this detailed answer. Thank you and all the best.

Management: Yes, thank you Digant.

Parvez Mulla: Thank you, Digant.

Moderator: Thank you. Our next question comes from the line of Meghna Luthra from Incred Equities. Please go ahead.

Meghna Luthra: Yes, hi, sir. Thank you for giving me the opportunity and congratulations on a good set of numbers. Sir, a few questions. One is, since our average ticket size in gold loan is around the INR2.7 lakhs mark, how has the new KYC rule impacted disbursements? Has it impacted disbursements at all?

Jagadeesh Rao: No, there is not any KYC rule as far as we know. Can you be more specific?

Meghna Luthra: Sir, from our understanding is that loans above INR2.5 lakhs have to go through a KYC and most likely the customers who are coming for a gold loan do not prefer going through KYC, say, on the CIBIL or based on the Aadhaar card and other details.

Jagadeesh Rao: This is actually with effect from 1st of April 2026, the new regime. So it is not about KYC, it is about the assessment. When the exposure increases INR2.5 lakhs, we need to do a basic assessment on the income and basically the cash flow of the customer to understand the profile a bit more in detail. So, we are prepared and after April 1, we are completely

on. We are live

with our systems, our integration with the credit bureau to understand the existing obligations not. And we don't see much of an impact. But yes, there is an impact on the practice of our branches, our staffs servicing because that's a new journey for them. But yes, over a period of a month or so, we expect stability there.

Meghna Luthra: Okay. Got it. And sir, another question was on the co-lending. What is the co-lending spread in the core loan book?

Jagadeesh Rao: Sure. So our overall book under CLM is 21%, which is around INR2,100 crores. And that gives an AUM level spread of around 4%.

Meghna Luthra: Okay. Got it. Another question, sir, on other income, we are seeing that the disbursement growth was very strong during the year. However, our fee and commission income declined on a year - on-year basis. Sir, would you like to highlight that how do we see that moving ahead?

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Parvez Mulla: The other income, Meghna, is actually coming from the LAP business. And the LAP business disbursements, they have not been as strong as the gold business disbursements. So that is where you are seeing that piece. And one more element, is also about business, you might be seeing if you're looking at FY25, there is business loans through which I had the fee income coming in, which is not there in the year now.

Meghna Luthra: So sir, how do we see this line going forward? Do you think we could see a reasonable amount of growth?

Parvez Mulla: Yes, it will because, as I said, I'm picking up the disbursements and the disbursements on the ST LAP business will pick up and on the medium ticket LAP business will pick up, and it's a direct correlation there. So on the ROTA tree also, we are expecting 0.8% to 1% coming from the fee income side. So this should pick up going forward. And also BL won't be in the base of FY26.

Meghna Luthra: Thanks, thanks. Okay. And sir, on AUM growth, you would be building in some sort of gold prices in the growth strategy. How do we see the gold loan book growing during the year and also the LAP book, the MT and ST LAP book?

Parvez Mulla: Yes, Meghna, so we've been giving an overall guidance last year also. And we said we will be a 20%, 25% AUM growth company, and we'll continue with that.

Meghna Luthra: And sir, lastly, what would be the incremental cost of funds during the quarter?

Parvez Mulla: CVG.

C.V. Ganesh : Yes. Meghna, right now, as I said, it's an uncertain environment. It would be hazardous to sort of have a guess around that. We are watchful. As I said, we have tanked up on liquidity. We do not foresee us needing too much of money in the market, at least till the geopolitical situation cools down. And then we are hoping Q2 is a new quarter.

Meghna Luthra: Okay.

Moderator: Thank you. Our next question comes from the line of Chintan from I-Securities. Please go ahead.

Chintan: Yes. Thank you for the opportunity and congratulations on the strong set of numbers. So sir, just diving deeper into this gold loan. So disbursements for gold loan, if I look at the number, they have almost doubled in FY26 versus FY25. So, what is the kind of key factors which would have contributed to this loan as in branch expansion plus I think we also have doorstep banking. So what would be kind of the mix? How much would be from those banking? Trying to understand what could be the run rate which could sustain going forward? That's the first question.

Jagadeesh Rao: So yes, there are multiple drivers. Obviously, the first driver is the new branch and the existing branches giving more productivity in the existing book. So, from INR12.5 crores, we have reached around INR16.5 crores average per branch book size. Another driver is the doorstep gold loan. Doorstep gold loan stands at around INR1,730 crores AUM, which is 17% on the overall AUM. So these are the two major drivers.

And as we always promised, we concentrated

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on the tonnage and the tonnage has grown around 12.5% for this financial year. These are the three major drivers.

Chintan: Sure. In terms of this AUM per branch, that is almost 16.5. So probably our peers could be somewhere around at my best peers, I think, like around INR18 crores to INR20 crores -odd. So, what is the maximum stretch, I think, which we believe could be stretched on AUM per branch?

And what is the branch expansion idea for the next year, particularly for gold loans?

Jagadeesh Rao: So just to detail there, we have opened 148 branches. Even after opening branches, our average -- overall average is 16.2. But when you see the branches which were there in FY25, we reached around INR20 crores of average AUM per branch there. So we are at par with the market as we speak.

So the capacity of every branch we have is to accommodate at least INR60 crores, INR65 crores of portfolio. And that's the size of the safe room. That depends on the locker, how much lockers we can keep it in the branch. So we are capacitized to reach around INR60 crores, INR65 crores per branch book.

Parvez Mulla: So Chintan, one way of looking at that also will be to look at each of the competition and look at what is the vintage of the branches you have. So you will have certain branches, which are in the range of INR20 crores, INR25 crores, they will grow at a particular rate. The INR15 crores to INR20 crores will grow at a particular rate, the INR5 crores to INR10 crores will grow and the new branches will grow at a particular rate.

And depending on the geography that you have these branches, you will have kind of growth because there will be wide spaces available in the Western and Northern geographies and the Southern geographies will be a little dense. And plus we add the doorstep. That's how we model our growth story.

Chintan: Sure. And so sir, hypothetically, assuming if there is a decline, say, 10%, 15% in the gold prices. So, in that kind of scenario, what could be the growth we should be targeting at overall AUM growth for gold loans?

Parvez Mulla: Yes. when we do our budgeting exercise with gold loan, we start with the tonnage growth irrespective of the price. So we will be budgeting for a 10%, 15% tonnage growth. Our branches are modeled for tonnage growth in terms of the KRAs as well as the drivers as well as the support that we give them. That is how we drive our branches. And we take price as a bonus. And there could be ups and downs, which could happen. But overall level, even if you have a flattish kind of a price play next year, we still should see a 20%, 22% growth on the AUM on the gold side for a flattish price.

Chintan: Sure, sure. And so, on gold loans now on the overall AUM front, so kind of what would be our guidance? So 20% -odd guidance remains, right, on the overall AUM growth?

Parvez Mulla: Yes, 20% to 25%.

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Chintan: Sure sir. And sir, lastly, on the margins front, I think if you could just help me with the breakup of the fixed and floating book on the asset and the liability base. So just wanted to understand if there is a rate hike kind of scenario, how are we placed on that front?

C.V. Ganesh : Yes. So, roughly about a quarter of the book is on fixed. And here, I'm excluding the commercial papers we take. Now commercial papers, we would have 6 months, 1 year also. So if you factor commercial paper of a longer duration also, roughly 30%, 35% would be fixed. So there is some insulation there.

Chintan: Yes. On the overall borrowings, it is kind of 30%, 35% is fixed, including CPs?

C.V. Ganesh : That is correct.

Chintan: Yes. And sir, on the asset side, the largely gold will be entirely fixed. And LAP portfolio?

C.V. Ganesh : I think the way

you will have to look at it is, that in gold because of the shorter tenure, right, we have the opportunity to reprice on maturity. So, I think we have the opportunity and we have the insulation.

Chintan: Understood. Fair enough. Okay, sir. Thank you. I think that is it from my side. Thank you. And I will come -- join back in the queue and all the very best for the future quarter.

Moderator: Thank you. Our next question comes from the line of Shreepal Doshi from Equirus Securities Private Limited. Please proceed.

Shreepal Doshi: Hi, sir. Good evening. My question was pertaining to the growth side. So as you said that even if the gold price remains steady, we would be growing at 20%, 22% on the gold side, which would be on the back of 10% to 15% gold tonnage growth. But if you look at next year, how are we looking at the mortgage segment growth coming back? Because next year, we might not see similar level of gold business growth. So, on the mortgage side, if you could give us some clarity on the small ticket LAP segment growth or how we are seeing the trends emerging there in terms of not only asset quality -related trends, but also how our newer framework is helping us on a better growth trajectory going ahead?

Parvez Mulla: Shreepal, whatever questions I've answered, I've answered the overall growth. I've answered the gold growth. Now the only thing remaining was the mortgage growth. It's a subtraction, right, arithmetic.

Shreepal Doshi: But sir, that ST LAP as a segment, I mean, it was a challenging segment for the industry at large as well. And then while the industry has started to showcase some signs of recovery, at least on the bounce rate as well as forward flow rates, are we also experiencing the same? Because on the disbursement side, when I look at the numbers, it still is broadly sticky on a quarterly run rate level of INR300 crores now?

Parvez Mulla: Yes. No, I understand your question. See, what I am saying is at a mortgage level, we'll look at that growth. Within the mortgage team, we have the medium ticket LAP and the small ticket

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LAP. So that, we will leave it for the year to play out. So at an overall mortgage level, we'll still do that growth.

Shreepal Doshi: Okay. So, if there is continued slowdown, you would try to cover up with MT LAP doing relatively better than ST LAP?

Parvez Mulla: Yes, that's how we will. As a strategy, the advantage of having multi-products is that. When you have an injured product, which has come out of an injury, I agree with you, it will take some time to get into the 20 growth story, although we will try it, but we will also be cautious of the quality that we want. But at an overall level, first, we'll get the mortgages to be at that growth. And if the gold supports then we deliver the AUM growth of 20%, 25%. And within the mortgage, we see how ST LAP plays out in Q1, Q2 and then pick up MT LAP accordingly.

Shreepal Doshi: Got it. Sir, why I was asking that question is because that ST LAP as a product also helps us on margin side given the relatively better yield versus the MT LAP. Got the answer for the same.

And sir, for next year, while I heard that you had alluded about it. But on the, let's say, credit cost and ROA/ROE front, what is the, let's say, FY27 and FY28 target that we have from a range bound perspective, if you could highlight?

Parvez Mulla: FY26 was a rebuild year for us. We had told you it will be a rebuild year, and we will work on the credit cost. And that was our single biggest promise that on FY26, you will see the credit cost being shaved off. And that's what we wanted it played out. In FY27, the credit cost should remain in a range bound, we should work on the opex. And between the opex and credit cost, we should get the upside to see an ROA better -- approximately about 20 to 30 bps betterment of R

OA from the average ROA that we have delivered this year. So the trajectory will be in that direction.

So if you're seeing a 20, 30 bps improvement on ROA, then at a PBT level, if I say 40 bps, that should come from credit cost or opex. And since it's a year after the rebuild year, we will toggle between these 2 and figure out where it has to come from with the rest of the ROTA tree remaining the same.

Shreepal Doshi: Got it, sir. Thank you, sir. Thank you so much for answering our questions and good luck for the next quarter.

Parvez Mulla: Thank you.

Moderator: Thank you. Our next question comes from the line of Devansh Dhruv from Equentis Wealth Advisory. Please go ahead.

Devansh Dhruv: Congratulations on a good set of numbers. My first question was where do we see our yield settling in FY '27? So, I'm talking about the origination yields. Where do we see them settling? Will they be at this levels or will they improve?

Parvez Mulla: See, as far as yields are concerned, I think the LAP yields have held. There could be a 10 bps here and there, but they have held the medium ticket LAP as well as the small ticket LAP business, and they will continue to hold in the next year also. The gold business is where you've

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seen some yield play out in Q3 and Q4. And by Q1, you should see some bit coming back. And if the competition is not active and there is a steady state, then the gold yield also should come back to the Q2 levels that we had seen in FY '26.

Devansh Dhruv: Okay. That is helpful. My second question is, I think we have not mentioned our active customer base in our new presentation this quarter. So what would that be? And if not that, I think we are doing a run rate of customer acquisition every month. What is that exactly right now?

Jagadeesh Rao: So on gold, last year, when we closed, we were at an average customer base of 2.56 lakh. This year, we are crossing 3 lakh active customer base, recording a growth of 17% on Y-o-Y basis.

Devansh Dhruv: Okay. 3 lakh active customer base. I think Q3, we were at 2.7, right?

Jagadeesh Rao: 2.67, yes, around 2.7.

Jagadeesh Rao: So, that means 12% active customer base increase in Q4.

Devansh Dhruv: In Q4. Okay. That is quite a healthy run. What could we attribute that to?

Jagadeesh Rao: Yes. New customer acquisition was around 60,000 in Q4.

Devansh Dhruv: 60,000. So we have actually doubled. So, we were adding around 30,000 customers per month, if I'm not wrong, and now we have added 60,000 this quarter, right?

Jagadeesh Rao: 60,000 per quarter, yes, that's right. That's the scenario in Q4, this is a result of around 148 new branches where new branches contribute to whatever disbursement that they do, that's new customers.

Devansh Dhruv: Okay. So we would attribute that to the new branches that we've added. Any other strategy change that we have?

Jagadeesh Rao: 50% of that will get attributed to the new branches. Rest of it is coming from the existing

branches.

Devansh Dhruv: Okay. Fair. And my other question was, are we seeing any asset quality stress in the month of April? How is April for us on the side of asset quality and on the side of growth?

Parvez Mulla : See, as far as quarter 1 is concerned across the industry, the collection efficiencies are very different in quarter 1 . The kind of collection efficiencies play out across the industry. But if you're asking me as far as the industry is concerned and if you're talking about the environment, whether it is affecting, the businesses that we are in, we get a lag effect.

So the banks will see that kind of effect first, then it will come to the larger players. And then we, in the affordable segment will see it because our customer s are in the supply chain slightly 2, 3 links away. So we will see it later. So right now, we are not seeing anything from the customer si

de.

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Devansh Dhruv: Okay, fair. And the average ticket size that we have right now, where do we see that go ing? Like I think we are at INR 2.7 lakhs. Do we keep on continuing to increase that for our tonnage growth? Or where do we see that going?

Jagadeesh Rao: No, we see it to flatten. It's actually depending on the gold prices. If you see the average ticket have grown from INR1.5 lakh to INR2.5 lak h, INR 2.6 lakh. This is basically a price growth scenario. We have seen similar kind of growth in the gold prices. If you compare the April '25 price of gold per gram and March '26 price similar kind of growth we have observed. So that is reflected in the averag e ticket size. So, if price stabilizes , the average ticket sizes will also stabilize.

Devansh Dhruv: Okay. So, if price stabilizes, ATS stabilize. Okay, fair.

Moderator: Our next question comes from the line of Aravind Ravichandran from Sundaram Alternates.

Please go ahead.

Aravind Ravichandran: Sir, 2 questions. One is, seeing delinquencies improving according to the presentation. So, like, can I safely assume that it is primarily because small ticket and medium ticket LAP segm ent?

That is my first question.

And second question, like we have built capacity in the mortgages segment over the last 5, 6 years. And especially your disbursements have obviously come down because of whatever reasons. Can we expect growth to come back without meaningfully increasing co st? That is my second question , yes, for next 2 year at least?

Parvez Mulla : So the delinquency question, it is at an entity level that you are seeing, but we also have our delinquencies on the mortgages level coming down. But that delinquency at a 1 + DPD , which has come down. But the entity level that you are seeing, it has all the 3 businesses, which is showing.

And as far as growth is concerned, yes, our growth had got stunted in the small ticket LAP business because of the issue which we faced 1.5 years ago, it was our issue and which we have resolved and are moving forward. So unless there is an environment challenge, we should continue on the same t rajectory that the market is operating at. So the disbursal should take the trajectory how the market takes.

Aravind Ravichandran: My question was also on like can we see revenue growth here because meaningful improvement in opex growth in this particular segment? And what kind of ROA expansion it could lead to, let's say, over next 2 to 3 years? That's what I was trying to understand?

Parvez Mulla : Yes. So the ROA expansion, which I guided was about 20, 30 bps on the FY '26 ROA. The FY '27 ROA, you will see a 20, 30 bps expansion. And that expansion, as I said, could come with the reduction in both the opex as well as the credit cost. So it could be a play between these 2. And that is how we will continue in FY '28 also.

C.V. Ganesh : So Aravind, I'll just add on to what Parvez said on that. See, the medium LAP for us is a variable cost business. So obviously, it is accretive as soon as we get the business . Also, we recover more

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fees than the origination cost. So all of that, obviously, the more medium LAP we do, the more profitable it is.

On the small LAP, if you see the volumes this year, our belief is it can only get better because the infrastructure is there, the people are there, they are gaining vintage. The leadership is there. It's a matter of the execution kicking in. It's not a mat ter of whether , it is a matter of when. And obviously, the reason we have invested so much is with the optimism that it will supplement our return ratios. So I think the answer to both is, of course, yes.

Moderator: Our next question comes from the line of Rahul Kumar from Vaikarya. Please go ahead.

Rahul Kumar: Can you help us the numbers

of write-off for the business and in the mortgage business?

CV Ganesh : You're talking about the quarter?

Rahul Kumar: Yes, this quarter and the previous quarter as well?

CV Ganesh : Yes. So previous quarter, I don't think we had anything. This quarter, we would have had about maybe INR14 crores, INR15 crores roughly.

Rahul Kumar: Okay.

CV Ganesh : But the credit cost line reflects the impact of all of these items .

Rahul Kumar: Yes. The second question would be, would it fair to say that now we are the past point of maximum slippage in the mortgage business and then -- I think the credit quality in this segment should improve from now onwards?

Parvez Mulla : Yes. See, the incremental slippages should show a declining trend if the environment remains steady because we went through our own challenging situation and our slippages were because of our own reasons. And once we put down those own reasons behind us, the rest of the things should fall in just the way it is operating for the market. So we should align ourselves with the market in terms of the slippages. So we should see a decent story going forward.

Rahul Kumar: Okay. So Ganesh, sir, can you help us with the figures of mortgage slippage in this quarter and the previous quarter?

C.V. Ganesh : We don't put it out by segment . But if you see, the delinquency metrics improving means that there has been a material improvement.

Moderator: Our next question comes from the line of Aditya from Securities Investment Management.

Please go ahead.

Aditya Khandelwal: Firstly, on the small ticket LAP, the book we have of INR3,800 crores. So are we making money currently on this considering the credit costs which we have incurred this year and the investment in collection and just on building the teams. So this INR3,800 crores book, are we making money on this currently?

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Parvez Mulla : See, as we said, we are reviving. We are very bullish on this particular business. And it will be unfair of us to answer that question right now when we have told you that we have gone through a tough period on that, and we've rebuilt that book. So maybe a year later, we should be in a better position to answer that question.

Aditya Khandelwal: Understood, sir. But sir, going forward now, this growth in small ticket lab, is it more dependent on how the external environment is for you or it is more on further internal restructuring, which we have to undertake? So the growth is going to be depende nt on which of these 2 factors?

Parvez Mulla : External environment will always play out for every company. As far as we are concerned, we are behind with our internal issues. We have already structured the ST LAP business. Our leadership team in each of the state is present. They have a vintage in those states, and they have started delivering decent productivity and that productivity needs to move up.

So we know the tracking that we are doing state -wise further disbursements to pick up on the ST LAP side. And we are monitoring our collections team. As you know, we had invested into the collection side for the ST LAP business, verticalized it, looked at the collection efficiency. So all those things are behind us now.

So we should align with whatever happens in the market because see, we are operating in a volatile environment as far as the world as well as India is concerned. And those kind of things, I can't give a guidance on. But our internal issues, I am telling you that it's behind us.

Aditya Khandelwal: Understood, sir. And lastly, sir, on fundraise our debt equity is now 4.6%. Any particular level beyond which we wouldn't be comfortable? And when would we be looking for a fundraise?

C.V. Ganesh : See, what you are talking about is an area of competitive advantage for us. So we have room there for expansion. We have comfortable covenants. I think I'll just

leave it there.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to the management for the closing remarks. Thank you, and over to your team.

Parvez Mulla : Thank you so much for joining in. Really appreciate, and thank you so much for supporting us.

Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of Equirus Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Thank you.

Call: Jul 2026

Secretarial Department

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National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex, Bandra (E) ,

Mumbai – 400 051

Symbol - FEDFINA BSE Limited

Phiroze Jeejeebhoy Towers,

Floor 25, Dalal Street, Mumbai - 400 001

Scrip code: 544027

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call held on Wednesday , July 15 , 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the Earnings Conference Call which was held on Wednesday , July 15, 2026 .

The transcript of the Earnings Conference Call shall be uploaded on the website of the Company at <https://www.fedfina.com/> under the section ' Investor Relations ' in due course.

The above is submitted for your kind information and appropriate dissemination.

Thanking you,

Yours faithfully,

For Fedbank Financial Services Limited

Parthasarathy Iyengar

Company Secretary & Compliance Officer

Membership No.: A21472

Encl.: As above

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"Fedbank Financial Services Limited

Q1 FY27 Earnings Conference Call "

July 15, 2026

MANAGEMENT : MR. PARVEZ MULLA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. C.V. GANESH – CHIEF FINANCIAL OFFICER

MR. JAGADEESH RAO – CHIEF BUSINESS OFFICER, GOLD LOANS & MORGAGES (SMALL TICKET)

MR. SHARDUL KADAM – CHIEF TRANSFORMATION OFFICER

MR. K. SURESH – CHIEF BUSINESS OFFICER, MEDIUM TICKET LAP

MR. VIKRAM RATHI – CHIEF RISK OFFICER

MR. LOKESH PAREEK – HEAD OF INVESTMENT RELATIONS

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY27 Earnings Call of Fedbank Financial Services, hosted by Equirus Securities. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, Mr. Shreepal.

Shreepal Doshi : Good afternoon, everyone. We welcome you all to the earnings conference call of Fedbank Financial Services to discuss the Q1 FY27 performance of the company. Today, we have the management of the company represented by Mr. Parvez Mulla, MD and CEO; Mr. C.V. Ganesh, CFO; and along with them, we have other senior members of the management as well.

I would now like to hand over the call to Mr. Lokesh Pareek, Head IR at Fedbank Financial Services. Over to you, Lokesh.

Lokesh Pareek : Thank you, Shreepal. Good afternoon, everyone. I would like to welcome all of you for joining our Q1 FY27 Results Earnings Call. Before we start, I would like to highlight that some of the statements made on this call may be forward-looking in nature, including those related to our financial performance, business strategy and growth plans. These statements reflect our views as of today and may evolve with changing business and market dynamics.

With this note, I now hand the conference over to our MD, Mr. Parvez Mulla for his opening remarks. Thank you, and over to you, sir.

Parvez Mulla : Thank you, Lokesh. Good afternoon, everyone. I would like to extend a warm welcome to all of you for joining the Q1 FY27 post results earnings call. I am accompanied by Mr. CV Ganesh; Mr. Shardul Kadam; Mr. Jagadeesh Rao; Mr. Suresh Kumar; Mr. Vikram Rathi; and Mr. Lokesh Pareek .

For the last five quarters, we have articulated the same set of priorities, and they remain unchanged. We continue to allocate capital to businesses that earn a strong and consistent return; to grow a fully secured book; to scale our twin engines of Gold Loans and LAP; to grow our core income even as we consciously reduce our reliance on direct assignment; to transition to an efficient cost structure; and to hold credit costs at around 1%. This consistency is the foundation on which we have rebuilt this business over the past one year. This consistency is the foundation on which we have built -- rebuilt this business over the past one year.

Against these priorities, Our Disbursements increased 14% YoY to ₹6,760 Cr, and our AUM grew 35% YoY to ₹21,136 Cr.

Our Gold Loan business continued to lead this growth, with disbursements rising 15% YoY to ₹6,087 Cr and AUM increasing 77% YoY to ₹11,191 Cr. Our Doorstep Gold Loan offering maintained strong momentum, with AUM growing 96.5% YoY to ₹1,787 Cr. AUM per branch stood at ₹17.7 Cr, while gold tonnage remained stable, and we continue to maintain a prudent risk profile, with the LTV on AUM at 67.9%.

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Our Mortgage business continued to demonstrate steady growth, with disbursements increasing 4% YoY to ₹673 Cr and AUM rising 14% YoY to ₹9,777 Cr. Our focus remains firmly on prudent portfolio expansion and disciplined underwriting.

This quarter there has been a regulatory transition for the gold lending industry, which I expect will be a common theme across the sector this season. Effective April 1, the RBI revised the LTV framework, requiring onboarding LTVs on bullet loans to be calculated on the total amount due at maturity — that is, principal and interest together — rather than on principal alone. In response, and to support our customers while maintaining prudent risk st

andards, we have adopted a periodic

interest -due structure, and we continue to operate at LTVs below the regulatory limits. As customer repayment behaviour is unlikely to change immediately, reported overdue levels are expected to remain elevated in the near term. We view it as customer behaviour in transition rather than an asset quality concern.

On the shareholding front, True North Fund LLP, a long-standing shareholder in the Company, has exited its entire holding of approximately 25.7 million equity shares, representing 6.86% of the Company's paid-up equity share capital, through a block deal executed on the stock exchange. The shares have been acquired by Nomura India Equity Fund, managed by Nomura Asset Management in its capacity as a Foreign Portfolio Investor. We remain deeply appreciative of True North's support and partnership over the years, and we warmly welcome Nomura India Equity Fund as a shareholder as we look forward to their participation in the Company's growth journey.

There have also been a few key leadership developments during the quarter. Considering our long-term vision, Mr. George Oommen has joined us as Business Head – Gold Loans, bringing over 30 years of experience across retail banking. He has held leadership roles across leading banks and financial institutions, with extensive experience in building and managing retail lending businesses. He will report to Mr. Jagadeesh Rao and lead our Gold Loan business. Mr. Shardul Kadam has steered our Small Ticket LAP business through a challenging period and played a pivotal role in stabilizing it. He will move into a new role of Chief Transformation Officer. Shardul will be responsible for driving end-to-end business transformation by identifying opportunities for improving collaborative growth, and driving efficiencies across products.

Mr. Jagadeesh Rao, who serves as Chief Business Officer – Gold Loans and Chief Marketing Officer, will assume the additional responsibility of CBO – Small Ticket LAP and Home Loans. Jagadeesh comes with a rich and successful experience of incubating and scaling business. He will be heavily invested in enhancing resource utilization across our distribution infrastructure. These two businesses share a complementary fit and near-similar target market customers, and under Jagadeesh's unified leadership, we are confident of unlocking greater synergies, scaling operations, and driving growth to new heights. Both these businesses are strong growth businesses and we wish to invest equally in these businesses.

Turning to profitability and asset quality. Despite a negative direct assignment income of ₹13 Cr during the quarter — a direct consequence of the deliberate choice we have made to reduce our reliance on direct assignment — the company continued to expand its core earnings, delivering a 33% Fedbank Financial Services Limited

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YoY increase in net income. Credit costs remained at 0.8%, well within our guided range of below 1%.

On asset quality, our GNPA moved to 1.6% from 1.9% in Q4, our provision coverage increased to 38%, and net NPA stood at 1.0%.

The quarter concluded with a profit after tax of ₹114.4 Cr, a YoY growth of 52.5%, an ROA of 2.6% and an ROE of 15.4%.

Taken together, the quarter reflects a business that is growing well, with improving asset quality and resilient core earnings. The foundation we have built over the past year — a fully secured book, a scaled gold franchise, a stabilized Small Ticket LAP, and a strengthened collections organization — is now in place, and we believe it positions us well for the quarters ahead.

I will now hand over to our CFO, Mr. CV Ganesh, to take you through the numbers in more detail.

C. V. Ganesh: Thank you, Parvez. Thanks everyone for your participation on the call.

We have started the year on a strong operational beat in spite of Q1 being episodically sluggish.

Details

Now on what has been covered so far,

On the AUM growth

- We had a modest AUM growth in Q1. AUM grew almost 5% sequentially QOQ, and 34.7% YOY.
- Gold loans remained the largest contributor to business growth, supported by branch expansion, customer acquisition initiatives and strong demand across our markets.
- Gold Loan AUM increased to ₹11,191 Cr, up nearly 77% year-on-year. Mortgage AUM also remained on a healthy trajectory and closed at ₹9,777 Cr, growing approximately 15% year-on-year.
- Consequently, total AUM crossed the ₹21,000 Cr milestone during the quarter coming in at ₹21,136 Cr
- Q1 has been a very different quarter from the four quarters of last year for our lead product viz. Gold Loans, with headwinds of declining domestic prices of 15% between Jan 31st to June 30th. Additionally, there were disruptions in the business model due to a change in gold loan related regulations w.e.f. April 1. In spite of these two headwinds of adverse price movement and regulatory changes, we delivered a 8.1 % QOQ sequential growth in Gold loan AUM.

- We have also been able to marginally grow gold tonnage by 1% sequentially QOQ in Q1.

Now on the operating income and profit

- Our operating performance in Q1 has been strong. Our Core Net Interest income grew 12.3% sequentially QOQ and 40.6% YOY.
- We consciously de-grew our DA income. NII (net of DA income) increased 6.6% sequentially QOQ and 38.7% YOY.
- So, while NII grew, Operating expenses declined 2.4% sequentially, resulting in a very strong PPOP growth of 50% YOY which I will cover separately.

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Now on the yields and cost of borrowing

- Yields (exc. DA) grew QOQ sequentially by 10 bps to 15.7% on Avg loan book and 15% on Avg total assets.
- We had advised in our last earnings call that we had conservatively tanked up on liquidity in the quarter to counter volatility caused by the geo-political situation in the Gulf. This has stood us in good stead and while incremental borrowing costs in Q1 remained heightened by 20/30 bps over Q4, we were able to bring in our Weighted average COB marginally lower QOQ by 3 bps.
- That being said we remain cautious in terms of outlook, but optimistic in terms of rates being benign with the FCNRR flows coming in Q2.
- Due to transition-related issues with the new regulatory guidelines across our co-lending partners, a large part of what would otherwise have been CLM business was booked in our own balance sheet in Q1 resulting in leverage going up from 4.6 to 4.89. This has resulted in the Interest expenses showing a rise by 10 bps in the ROA tree.
- We hope that most of these issues will get streamlined over the next few months and our co-lending business will normalise, helping us de-leverage in the next few quarters

Now on the asset quality

The new guidelines have made bullet loans less attractive for customers. While this has necessitated us to move to a periodic interest-due structure from the optional interest servicing structure earlier, customer repayment behaviour will take time to re-adjust, resulting in reported overdue levels being elevated in the near term.

Our increase in Stage II from 2.2 % to 2.7% is entirely due to this re-adjustment. We do not see any asset quality concerns due to this rise with the collateral remaining highly realizable. However, we see the new rules as setting a new normal in terms of reported delinquencies due to the new construct with the entire loan amount now getting reported as overdue even if the customer misses a single interest servicing.

On asset quality, our GNPA's reduced 30 bps to 1.6% in Q1 (from 1.9% in Q4) and net NPA also reduced 30 bps falling marginally below 1.0% for the first time. While flows have remained at similar levels to Q4, the reduction is due to write-offs we have taken on the deeper bucket & higher provisioned

NPA's as per our board-approved policy, which has resulted in this 30 bps drop in GNPA.

Without the write-offs the GNPA's would have stood at 1.87 %.

Our provision coverage increased to 38.36 % in Q1. This is because of the mortgage skew in the GNPA. Any gold loan flows would require a much lower provisioning, optically reducing the PCR going forward.

Our Credit costs are marginally up 6 bps QOQ due to the combined effect of the above, however we have been able to contain it at the 0.8% levels.

The increase in gold loan LTVs by 7% - is attributable primarily to the decline in gold prices. Our on-boarding LTVs remain at levels similar to last quarter.

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Now on the profit and return metrics

The strong core income growth, and controlled BAU Opex resulted in Pre-provisioning Operating Profit at Rs 187.5 Cr growing 15.2% sequentially and 50% YOY. Our PAT also grew 52.5% YOY. In the last quarter we reported that we had crossed the psychological milestone of a quarterly profit of 100 Cr. We have returned a PAT of 114.4 Cr in Q1. Our quarterly EPS on a non-annualised basis also crossed 3 Rs for the first time ever (up from 2 Rs in Q1 of last year). We are optimistic on the sustainability of this number.

Three months ago, we announced our ROE breaking into the teens. In Q1'27 - Our ROE also crossed the psychological milestone of 15% - coming in at 15.4 %. This represents an expansion of 380 bps YOY in ROE (from 11.6% in Q1'26)

We remain deeply grateful to the support of our investors and their faith in us, including a lot of new ones who have entered the capital table and are on the call today. Your support makes us stronger.

Now on the operating leverage

We have admittedly had a history of stubborn Opex. In our journey to create a different organisation from the past - We had in the last earnings call advised that our Operating leverage is playing out slowly, but surely and advised that Opex

As a %age of Average total assets had reduced to 5.5% (from 5.9% a year ago) giving some green shoots on economies of scale playing out. For Q1 – we came in with an Opex to Avg. total assets of 4.8% (an improvement of 70 bps) sequentially QoQ .

This creates space for us to invest in new branches in the current year – and still give head-room for some investment opex increase - while attempting to sustain the ROA.

Our Cost-to-income also showed an improvement of over 400 bps sequentially QOQ – coming in at 52.8% (from the annualised number of 57.2% in FY26). While we have kept a keen eye on costs, I

want to emphasize that the primary driver remains the core income expansion. The improvement in Costs seen during the quarter should also be viewed in the context of the seasonal nature of our business. Q1 is typically a relatively softer disbursement quarter compared to Q4, which results in lower sourcing and business acquisition expenses. As Originations pick up meaningfully in the next few quarters, we expect sourcing-related expenses and operating costs to increase corresponding to the business growth.

We are building the business for the long-run and while we continue to monitor and measure this metric, we only see this as a re-affirmation in terms of the investments we will seek to continue on new growth drivers.

Lastly on capital adequacy

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Our CRAR came in at 20.71 % (compared to 22.4% in q4). Some part of this reduction was attributable to the shrinkage in the CLM book – which came on balance sheet. We are working on enhancing the number of partners – and much of the incremental AUM growth would be done on a collaboration basis with CLM/DA partners to help us conserve capital and give us head-room for growth.

We believe that Q1 FY27 has set a strong foundation for the year.

As the numbers over the last 4 qu

arters show, we have attempted to build resilience and consistency

in terms of asset quality, credit cost and upward linear trajectory in return metrics. We are deeply grateful for your support in this exercise.

With that, we now hand it over to the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Digant Haria from Greenedge Wealth.

Digant Haria : Congratulations to Parvez, Ganesh ji and the entire team, including Jagadeesh, because it was great to see the what you have been talking for the last 5 quarters, play out quarter after quarter, so congratulations on that.

I have 3 questions this time. First is, with new guidelines setting in from April, where we have to ensure that LTVs are maintained across the life of the loan. How have we positioned ourselves? And how is this whole NBFC versus the banks' equation playing out? Because, I believe banks can now give those income-generating loans, so they can give slightly higher LTV. So just any color on this particular how Fedfina is positioning itself?

Parvez Mulla: Digant, thank you so much for the question, and thank you so much for being with us consistently.

You understand this gold business well. This regulation change is earlier, the industry was doing bullet loans, the regulator has permitted that you can go up to 85% on certain ticket sizes in certain categories. But, if you go 85% on bullet loans, then you have to subtract the interest upfront. That means you'll have to subtract 15% interest if you're charging, then the LTV at sourcing comes down. So, what has happened is, because of that, across the industry, most of the players will be looking at offering the customers quarterly products, which means that the quarterly dues will get created. So that is the change, which has happened.

As far as the IGL (Income Generating Loan) product is concerned and comparing with banks is concerned, we also have IGL, which is income-generating loan. We also do income-generating loans. So the NBFCs are well-positioned to do those similar loans. So as far as competition between banks and NBFCs are concerned, it remains same.

The new guidelines are only affecting in terms of how the quarterly dues are reflecting into the 1+ and 30+, which will optically show, but as you are aware, this is an auction-related product, it does not increase the asset risk. It is only an optical piece that this will happen and it is well managed by most of the gold loan companies as well as people who are doing gold as a primary business.

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And customer behavior also, if you see earlier also customers who were paying monthly or quarterly interest. Now, because of the dues getting created, there will be a little bit more push. So, there the behaviours will also change. So, the NBFCs will also come out with innovative products, which could be quarterly, half yearly and other products. And I think it's a game for innovation. We just have to be optically okay with this change.

Digant Haria : Okay. Got it. My second question is around this entire gold price correction, which happened. It seems like a large correction from the top, but I know that you guys lend on 30-day average rate. So, at the top, nobody would have lent anything significant at the top of the gold price. But just in terms of, let's say, the gold price stays where it is in this particular year, what kind of growth outlook do we

see for ourselves and especially this combination of income -generating product plus our regular gold loan product in the NBFC format. So just any thoughts there?

Parvez Mulla: Digant, our guidance remains the same, which we have been giving for the past quarter also, that if there is no price drop, and if the price remains flat also over the year, that means, let's say, let's lo

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at March to next March, the price would have remained flat, even then we would have given a gold AUM growth of about 25% to 30%. And that we are saying, first, it will come through tonnage growth. As we have shown in the past 5 years, our tonnage growth has been consistently about 10% to 12%. Last year also we gave a tonnage growth of 12%. The first quarter and second quarter are usually sluggish on tonnage growth, because there are festivities in the second quarter. There are withdrawals, which happened. But Q3 and Q4, we pick up the tonnage growth. So there will be tonnage growth, which will come in. And if the price remains flat, there will be a little bit of LTV expansion and LTV expansion will happen on the quarterly or the half yearly products. As you are aware, the half yearly and quarterly product is a less risky product. If you are giving a bullet loan, you will give a lower LTV. But if the loan is getting serviced quarterly or half yearly, you will give a little bit of a higher LTV.

That is how the industry is operating. So what you might see is that companies will have a different LTV this year, even if the price remains flat. And if you've taken our guidance last year, when the price was going up, we kept the LTV lower only when the price has been flat, there could be a little bit of LTV, which could move up. Also, if you noticed last quarter since January, the price has dropped considerably, and the gold loan industry has absorbed that.

Lastly, just to give a clarification. We lend on the last 30 -day average or the spot price, whichever is lower. So we do a conservative lending. So if this last 30 -day average price is INR134 and the spot price is INR129, then I will take INR129 into my calculation, and I will lend at a lower price.

Digant Haria : All right. That's very detailed. Thank you, Parvez. And last question is I just heard that Mr. Jagadeesh will look at small loans and home loans as well. So will these be like new products? Or are you referring to the mortgage piece that we have? That was one question.

Parvez Mulla: Mr. Jagadeesh already has earlier also along with Shardul, he is a veteran employee into Fedfina. He was driving the LAP business. He's done a LAP business. He's done gold business. So he will continue to spearhead our gold business. He successfully scaled it up.

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He successfully from the scratch scaled our gold business. He will take additional charge of our ST LAP business. That means our existing ST LAP branches, the 200 branches which were distributing the ST LAP product. Jagadeesh will take charge of that. He will have George Oommen under him to drive the gold business. Similarly, there we have Ashish Rajput, who is our NSM, he drives our small ticket LAP business.

And I think the unification of command will lead to a proposition, which we believe is a unique proposition, where our gold branches, we have almost 400, 500 gold branches where we don't do ST LAP. So that is a resource utilization, which we believe will be very strong. Plus the target market for both these products is same.

Thirdly, our penetration into either of the products has been less. We believe that penetration can increase. And fourth, we believe that the distribution for both these products is very similar and geographies we are operating in. So there can be a huge optimization plus scaling, which can be done there. And Jagadeesh, we felt is a person who comes in.

Shardul came in when we had a difficult situation, he batted on a tough pitch, and he corrected most of the things. Now we want the combined element of gold as well as a ST LAP to give us a different strike rate. And that is where we believe strategically it makes sense. And it also falls in line with the thought process that we have in the future of, say 3 to 4 years down the line making the branch, the epicenter of e

everything. So it falls in well with what we are thinking.

Digant Haria : Got it. Lastly, just a data point, did we have any auctions this quarter? and what is the quantum of auction if we would have done in?

Jagadeesh Rao : No, it's very less, less than INR1 crore s.

Moderator: The next question is from the line of Chetan Gindodia from Mahindra Manulife Mutual Fund.

Chetan Gindodia: Hi sir, many congratulations on very good quarter. Just had a few questions. Firstly, on the gold loan side, you've given how this has panned out. Similarly, on the medium ticket LAP and the small LAP, if the disbursements have been slightly weakish and also you have made a lot of business head changes also. Any outlook if you can share how you're looking at the disbursement growth or overall growth for this year? What would be your aspiration over, say, 1 to 2 years of how you want to grow this entire LAP?

Parvez Mulla: Chetan, thank you so much. The medium ticket LAP and the small ticket LAP are part of our twin

strategy. LAP and gold will be our segments, which are focus segments for us. And I have consistently said that we will continue to invest into these 2 segments and grow these 2 segments. The guidance that we have given for this year is that we will grow the entity at about 20% to 25%. So if gold without the price increase grows at 25% to 30%, the LAP segment will also grow at 20%. Within that, the medium ticket LAP or the small ticket LAP, one might grow faster than the other. And we are heavily invested in both these products.
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As you're aware, both these products operate in different target segment, the medium ticket LAP is a higher ticket size and operates and competes with different organizations, and it is more Tier 1, Tier 2 product, whereas a small ticket LAP is a Tier 2, Tier 3, Tier 4 product and a lower ticket size. The medium ticket LAP has been facing competitive intensity on the yield side. There is a huge pressure on the yield. So companies are playing with approval rates, yields and disbursements. We are maximizing on the yield so far, and that is how we've been operating in the first quarter, but it will be quarter-on-quarter play. There has been a substantial drop in yield by competition. We have not joined there yet. For us, the disbursement or the AUM growth is an outcome. We want to get good quality business there. On the small ticket LAP side, we've had a drop in approval rates, and we have not let go of the yield. These are the 2 elements, which have led to the disbursements showing what it is.

We have come on the back of a rebuild business. We are watching. We are sure to pick it up. As I said, it's a combination of approval rates and yield. And there is enough expertise in the organization for us to know when we want to pick it up, looking at how the market is playing and which vernacular market is playing. So, we will play it accordingly, but we will give your company the growth that we are expecting for the year in the LAP segment and the gold segment. But we are watchful in terms of what we are getting. There is a play of partners. There is a play of payouts. There is a play of yield, all these combinations. So each company will maximize 1 or 2.

We have chosen to get disbursement as an output. The others, we have held very, very closely. That's the outcome. And I think that the new change is more a strategic change, more a scale change, and that will benefit us in the longer term, and we've been taking decisions from a longer-term perspective.

Chetan Gindodia: Understood. Helpful. Sir, one thing is the credit cost margin has inched up on a sequential basis. Is this a function of the write-offs that I think you were alluding to? Is that the function of the write-offs you have taken? And what will be the quantum of that?

Parvez Mulla: Our regular credit cost has been around 0.7, s

o a little bit 10 basis points, it could be from there.

Thank you.

Moderator: The next question is from the line of Rajiv Mehta from YES Securities.

Rajiv Mehta : Congrats on good numbers. I just want to understand this gold loan disbursement impact, because of new regulations. I think there seems to be a very substantial impact at the operational level or at the volume level itself, because when I look at the disbursements, they have grown by 15%, 20% Y-on-Y, but the gold price itself is up 35%, 40% Y-o-Y, and there's a 20% capacity growth also from our standpoint. So just wanted to understand where this hit has been more?

On the more than INR2.5 lakh s loan segment, where the repayment assessment was also an additional friction or an eligibility filter, which RBI asked every entity to do. So, if you can just tell us how quickly can we normalize from a volume standpoint in terms of operations from where we are and whether the hit was more on the more than INR2.5 lakh s side?

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Parvez Mulla: Rajiv, 2 ways to look at it. The Disbursements on the gold translates to a growth in the gold loan book. And if you look at our gold loan AUM growth is about 8%, if I have to break that 8% for you, 1% has come from the tonnage side. And there has been a price drop. If you look at comparing between the quarters, there is a price drop. So of almost 4% to 5%. So, you will have a plus 1, minus 5% and about my LTV has moved up from 61% to 68%. So that is the 7%, that is 10%. So that's the math.

Rajiv Mehta : Sir, I was actually asking from a flow data point of view, from the new business activity, which is disbursement number and that number in this quarter versus the same number in the last year quarter is up 15%, 20%, but we had about 20% capacity growth and the gold prices are higher by 30%, 40%. So there seems to be a significant amount of volume hit in terms of operational hurdles, because of the new regulations. Would that be the right interpretation?

Parvez Mulla: No. If I just give you one number and I'll ask Jagadeesh to add there, if you look at my gold disbursement, last whichever quarter you are comparing, if you're comparing that with the quarter one of last year, you see quarter one of last year, whatever disbursement I did and look at the growth

in the AUM.

So, if I did about INR5,000 crores of disbursement, I got a INR400 crores of growth last year first quarter. And this time with the INR6,000 crores, I got a INR800 crores growth in AUM. So the growth is a correct number. I'll ask Jagadeesh to add to your thing. But if you do the math with growth, you will get it correct.

Jagadeesh Rao: Rajiv, it's the reverse, which has happened. If you look last financial year's Q1, we were actually degrowing in our tonnage and whatever growth that we had seen was purely the impact of the price movement. And to answer you about the ticket sizes, the trend after new regime, for this quarter, even after complete alignment to the new regime - The assessment methodologies, the purpose-based lending like consumption and income-generating loan etc., (I believe, even the industry is aligned), what we are seeing is - there is a skew towards loans getting disbursed at a ticket size more than INR2.5 lakhs.

Even though you have tightened your norms for lending, plus being in LTV controls at INR2.5 lakhs - anything above INR2.5 lakhs you can't give that 85% LTV range - that has played a lot. There is no impact on high ticket acquisition.

Rajiv Mehta: Okay. I'll just come back because I've got more questions, maybe. I'll just come back to you here.

Parvez Mulla: Thank you, Rajiv.

Moderator: The next question is from the line of Renish from ICICI Securities.

Renish: Congrats on a good set of numbers. Sir, just one thing on the credit cost part, right? So, with PCR now settling at historical high level of 3

8%, 40% and especially significant part of our AUM is now gold. So, I think PCR looks pretty decent at this scale. So now considering the marginal uptick in credit cost in Q1, despite 600 basis point increase in PCR. So for the remainder of FY27 quarter, logically, a credit cost should trend downwards, right, assuming there is no further increase in PCR. So what's your thought on that, sir?

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CV Ganesh: Renish, thank you for that question. So you're right. I think on the mortgage side, we do not perceive or expect any increase in credit cost. It is just that we remain watchful of this new structure. We have stopped doing bullet loans. Our entire loan book, which was predominantly bullet loans is now almost entirely on an interest due structure. Now effectively, it is a large book. And depending on the, if the customer misses the interest servicing, the overdue creation, while the provisioning on that is lesser, but there is a provisioning nevertheless, so that is an unknown. As I said, we are into a new normal. We are also calibrating and understanding how this works. Now clearly, the collateral is very liquid. There is no reason for any stress, we believe, in the asset book just because we miss our interest payment. And so we remain watchful. So, your hypothesis is correct. The only thing which may sort of affect it a little is, how the gold delinquencies trend over the next few quarters. But whatever happens to us, we believe will be on a relative basis, similar to what happens to the rest of the peer group. So we will watch it.

Renish: Got it. So just a follow-up on that, sir. So when we look at your Stage 2 numbers, right, from last quarter to this quarter, there is an increase of 50 basis points and I'm sure, as we also mentioned on the call that it is entirely because of the regulatory change in gold business, right? So in that sense, the impact is already there, right, in the numbers.

Jagadeesh Rao: Renish in the first quarter, the regime, we were all aligning I mean the bullet repayment structure, what we brought in is the monthly repayment structure, monthly interest due structure. So what happens is and now we have disbursed a set of numbers in Q1. And there is a skew towards monthly disbursements, because of the LTV-related benefits that customer gets. So what we have changed is we have changed it to our quarterly disbursement structure and even in the industry is innovating this. So moving from a bullet repayment to quarterly moving from bullet repayment to monthly. Monthly has given us scale too.

Parvez Mulla: Overall, Renish, the credit cost guidance remains same. At the start of the year itself, we said the credit cost guidance will be sub -1%. And as far as the mortgage GNPA's are concerned, they are tracking well. We're not seeing anything on the West Asia crisis hitting us as of now. I don't know how it will in Q2, the monsoon effect in Q2, Q3. So, we are well within the guidance. And this gold thing also, I think we managed it well in the first quarter with the regulatory change happening. It's only an optical thing that it is showing in the Stage 1 and Stage 2. The flow into the NPA also is going to be very less compared to the way you see it in other products.

And even if it does flow there, we have an effective auction mechanism. So, I'm not at all concerned about the asset quality risk on the gold loan side. And as far as mortgage is concerned, it is tracking well. So the guidance remains. All our guidances, which we had given at the start of the year continue to remain on the growth side, on the tonnage side, on the credit cost side and on the ROA side. So everything is same intact.

Renish: Okay. Sir, just a last clarification. So now since we are moving from higher tenure loan to a shorter

tenured loan, specifically a monthly repayment loan. So, will this

have any impact on blended yields
or broadly will maintain spreads?

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Parvez Mulla: The yields, if you remember, last year also, we had said not because of the mix., the yield pressure is coming more in the respective products, which is a LAP that is facing a yield pressure. I'm operating at a particular yield of about 12%, 12.5%. That is coming under pressure. And gold, we will try and see how the competition operates with a combination of LTV and yield. So individual products will have to behave particularly in those geographies. So I don't see a mix issue coming in, more of a product-related play, which will happen in Q1 and Q2. Q1, we have held it, as we had promised in Q4 that we will hold the yields. Q2, it will be the operating dynamics, which will play, and we'll have to see how each product behaves. But as a mix wise, there won't be any challenges what we feel.

Renish: Got it. So just a shift from, let's say, 3 months, 6 months loan to 1-month loan will not have a material impact on assets is what you're right?

Parvez Mulla: Correct. Thank you, Renish.

Moderator: The next question is from the line of Rahul Kumar from Vaikarya Fund.

Rahul Kumar : Just on the ST LAP segment or the mortgage actually, can you just help us understand the flow to stress for this quarter versus the previous quarter?

Parvez Mulla: After the slippages in this quarter also have been quite similar to the earlier quarter as a percentage of the old book. So we have an old book, which is behaving in a particular manner and that old book keeps shrinking on a quarter-on-quarter basis, and we monitor that percentage. And that percentage is similar or it is going in the expected trend. So we are not seeing any adverse movement in terms of the slippages quarter-on-quarter. Whenever there has been any adverse movement, we have been the first to call it out and tell you that there have been extra slippages on the small ticket LAP, but we have not observed it.

The old book is behaving in a particular manner, which we have guided you. And the new book is behaving much, much, much better and better delinquencies and as the composition of the new book improves, we should benefit from it. So answering your question, straightaway there is no adverse movement on as far as the ST LAP flows are concern.

Rahul Kumar : Okay. And if you can help us understand the guidance on the opex to assets or opex to income, which you guide for this FY '27?

Parvez Mulla: What we have guided, Rahul, for the year FY '27 start, I had guided that we will expand the ROA by about 20 to 30 bps over the average ROA, that we had given last year. Last year, FY '26, we had given an average ROA of about 2.4%. So we had guided that we will do average ROA much better. That is the 20 to 30 bps expansion. And that 20 to 30 bps expansion will happen with a combination of credit cost and cost to average assets. These are the two levers, which will play out. They might not play out quarter-to-quarter. There might be aberrations within the quarter. But on a yearly basis, that's how you will see it play out. So it could be a combination of 10 bps here and 20 bps into the other element, and that is where we are seeing and that is how our ROA has been moving.

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Moderator: Rahul Kumar, I will request you to rejoin the queue. The next question is from the line of Yash Dantewadia from Dante.

Yash Dantewadia : Congratulations on a great set of numbers. So, I brought this question last time also, on the AUM expansion in terms of segment. So for this financial year for the next 3 quarters, where are we seeing our gold AUM versus the rest of the AUM? Like where are we seeing ourselves grow and where are we seeing the AUM reach?

Parvez Mulla : So if the price doesn't move, then we are e

xpecting the gold AUM on a base of March '26, the gold AUM should grow by about 25% to 30%. And at an entity level, we are expecting to grow about 20% to 22%. And the mortgage AUM will grow between 15% to 20%.

Yash Dantewadia : No, I meant gold AUM as a percentage of your total book. That's what I meant.

Parvez Mulla : Okay. Yes. So that mix will arithmetic be slightly higher. If gold is growing higher, that mix will be higher.

Yash Dantewadia : If it stays stagnant then?

Parvez Mulla : No, the mix gold percentage will be higher.

Yash Dantewadia : Right. But can you quantify higher, just assume gold does not move from here?

Parvez Mulla : See, we track it as a percentage of our AUM, it is about 51.4%. I will just have to do the arithmetic.

If gold is growing at 2%, 3% higher than the other one, and that is 50% of the book. So maybe it will add another 2, 3 percentage point there.

Yash Dantewadia : Right. And there is some stress on small ticket size LAP, right, in this quarter? Could you tell me where our focus is in terms of mortgage loans or LAP loans? And what kind of loans are we focusing on? And what are our yields there exactly? And when you said 18% growth in LAP loans, I'm assuming we are focusing on particular segments within LAP, but could you just elaborate more on that and elaborate on the yields too?

Parvez Mulla : Yash. We are not seeing any stress on the LAP segment. We have not mentioned any stress on the LAP.

Yash Dantewadia : No, I'm seeing as a sector, on small LAP loans, there is some stress this quarter?

Parvez Mulla : See, you will have to look at the ticket size, which particular ticket size is being called small. We operate in a ticket size between 7 lakhs to 35 lakhs, as a small ticket LAP. There could have been stress at below 7 lakhs. The segment that we operate between 7 lakhs to 35 lakhs has not seen stress in this quarter. There is another segment, which is medium ticket LAP, we operate between 35 lakhs to 3 crores. That has also not seen stress. The small ticket LAP business, we operate at a yield of about 16%. And the medium ticket LAP, we operate at a yield of about 12% to 12.5%.

Yash Dantewadia : Right. So on the 18% growth, where is this going to come from? What's going to drive this growth? And are we looking to enter new segments?

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Parvez Mulla : The AUM growth, which I said at an entity level will be 50% of my gold book will grow at about 25% to 30%. And my LAP book, which comprises of my medium ticket LAP and small ticket LAP will grow by 15% to 20%.

Yash Dantewadia : Yes. And so in the LAP segment, what's going to drive your growth, whether it's small or medium and -- or you're saying both are going to be equally contributing and within LAP, are we looking to enter prime luxury and ultra luxury segment is obviously out performing, I'm pretty sure you're aware, the segment above 5 crores is going exceedingly well. So are we looking to enter that segment too?

Parvez Mulla : See, right now, no, because it operates at a different yield and we are operating the segments, and we are decently positioned to grow the segments that we are operating in. And the medium ticket LAP and the small ticket LAP, we will look at the quarter two and quarter three. Alternatively, we could grow either segment. I mean, it could depend on the market.

And as I have always said, growth is an outcome for us. We will look at the quality that is coming in and decide the growth where we want to push, which particular distribution. So it could be medium ticket LAP or small ticket LAP and depending on the yield combination and the overall portfolio yield that we want to maintain.

So it could be a combination, and it could be also in the vernacular markets that we operate. The small ticket LAP business operates in Tier 3 and Tier 4 locations and the medium ticket LAP operates between

the Tier 1 locations. So we also have to look at how these 2 locations are playing out when we look at distribution of these products. So it will play out. But overall level, I'm giving you a guidance that we'll grow both these segments together at an entity level. These two segments will grow at about 15% to 20%.

Moderator: The next question is from the line of Devansh Dhruv from Equentis .

Devansh Dhruv : Congratulations on a great set of numbers. My question was regarding our branch expansion strategy. So I think we have guided for opening around 200 -odd branches for the full year. And I think we haven't added any branch this quarter. So are we still sticking to our guidance? Or -- and what would be the reason why we haven't expanded our branches in Q1?

Parvez Mulla : So Devansh, thank you so much. That's a good question. Last year, we added about 150 branches. This year, we plan to add 200 branches. Our guidance remains, we have not changed our guidance. We will continue to add 200 branches Q1, we identified the premises. We did all the work, but we've not opened them.

So there are unfinished branches, which are across the country. There were new territories we were getting into. And those openings could not be done. That is why we couldn't disclose the number. So you will hear us disclosing the number in Q2, but that has happened in Q1. So, the opening has not happened, however, the investment and the identification and the work on the premises, everything has happened.

Devansh Dhruv : Okay. so, historically, we have on a maximum basis open around 50, 60 branches. So around the 70 branch run rate, can we do that? And the branches that you are saying that haven't been opened, but

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have been identified. And so how many that would be? So will that spillover effect be in Q2 or later on?

Parvez Mulla : Yes. It should be -- you should see the spillover effect in Q2, yes.

Devansh Dhruv : Okay. So our guidance remains for 200 branches, right?

Parvez Mulla : Yes, sir.

Devansh Dhruv : Okay, okay. And my second question would be what are our 1 plus DPD, 30 -plus DPD and 60 -plus DPD numbers for the quarter?

Parvez Mulla : See, the 1 -plus numbers right now are looking different, because of the gold loan this thing, the 1 plus and 30 plus for the mortgages is same as we had given last year -- last quarter. The 1 plus is right now for because of the gold piece is looking slightly higher. And it could be about 200 to 300 bps higher on the entity level.

CV Ganesh : I'll just maybe add to that. See, I think in the new construct, the delinquency numbers from a 1 plus, 30 plus may not be comparable because of the new structure in which gold loans will operate, which is why we would urge not to read too much into that number.

Moderator: Mr. Devansh Dhruv , I would request to please rejoin the queue for a follow -up questions. The next question is from the line of Mohit M from Manglani Investments Private Limited.

Mohit M: Firstly, many congratulations on this earnings. I just wanted some guidance broadly that, are there any pockets of stress emerging due to macroeconomic conditions?

Parvez Mulla : Mohit, right now we are not seeing anything. Maybe it will come in Q2 or Q3, maybe after the monsoon plays out. But as of now, we are not seeing anything and we have not declared any stress on, because of the macroeconomic environment.

Mohit M: All right. Thank you so much.

Moderator: Thank you. The next question is from the line of Dinesh Loni from SHPL .

Dinesh Loni: Many congratulation to the team. I just want to ask Mr. Parvez, where are we planning to do expansion in India, in new territories? And what are the growth plans for, let's say, 3 to 4 years?

Parvez Mulla : As far as expansion is concerned, we are present in about 18 states and so our penetration, our expansion is decent enough

h. We will continue with our extra penetration. That means if we have entered one particular territory with one or two branches, we might add more branches there. There is the territories of Orissa, which is a wide space for us. So, we might expand there this year. But there are other territories in the north where we could expand within the territory where we have already been there. The growth plans are definitely there. Last year, we put 150 branches. This year, we are putting 200 branches, and we'll continue to put more branches. We believe our distribution capabilities and our branch expansion is very, very important to our growth strategy, and we will continue to do that, sir.

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Moderator: Mr. Dinesh Lohani , I would request you to rejoin the queue for a follow -up question. The next question is from the line of Pawan Kumar from Edelweiss.

Pawan Kumar: Mostly around some of the numbers. Like the provisions have gone down by 40 crores on GS 3 assets, right? And it seems like there was a large write -off of 75 crores. That's one part of the question.

Second part is there's also fair value loss on loans, like 585 crores, which is mentioned in other comprehensive income. And again, from the financials, on the INR589 crores LAP assignment that you have done, there is a loss of 12 to 15 crores. Can you please explain these 3 like what led to this -- like what -- am I looking at the numbers correctly, what is it?

Parvez Mulla : Yes. So Pawan, first of all, the number that you have quoted on write -off is not the correct number. It is much lower than that. The write -off is somewhere close to about 51 crores and we request CVG to reconcile it for you.

C.V. Ganesh: Thank you, Parvez. Pawan, the credit cost during the year, it has provisioning across all stages. So I think the mathematics cannot be done that way. So, as I had explained in my commentary, our normative GNPA continued to be same as March, which is 1.87%.

We wrote off a little above 50 crores. which resulted in a 30-bps reduction in the GNPA. So that's where that is there. Now the FVOCI number you see, okay? There, what we have done is , in terms of the change of classification of certain assets from FVOCI to an amortized cost basis. When we do fair valuation, there is a derecognition of ECL on that. When we have classified it back into amortized cost, there is a re -recognition of the ECL provision. So which is what has also resulted in addition to the PCR and it has also resulted in the number you mentioned in the P&L. Okay. So it's a very normal thing. Now the last question was on some net DA gain. So just say that again, what was the last question, Pawan. I'm sorry, I missed that.

Pawan Kumar: So you have done INR589 crores of LAP DA, right? This is all in your book. You mentioned on the closure.

C.V. Ganesh: I got -- so basically, the DA numbers there now we have started doing DAs and gold also. Okay.

Pawan Kumar: Okay. But these are 37 months of outstanding maturity. So that means it is likely all LAP, right?

C.V. Ganesh: Just 1 second. I'm a little unsure, you're looking at the LODR, is it?

Pawan Kumar: I'm looking at Page 7 of the quarterly numbers? Not the presentation, sir, I mean the quarterly financial results. Details of transfer through assignment, 489 crores that you have transferred out, they have 37 months of outstanding maturity?

C.V. Ganesh: So that would be an average across the gold loan and the LAP . So the LAP would have an average tenure of about 10 to 15 years. And the gold loan would have a month. So it may not be indicative.

We had done -- out of the 500 and whatever number you mentioned of DA, we had done about a little over 300 crores of gold loan DA, right and which doesn't result in too much of an upfront gain, right.

Pawan Kumar: We had a loss on DA this quarter, right?

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C.V. Ganesh: That is correct. The way the accounting for DA works is that the unwinding effect of the DAs, we have done in the past. The negative number represents is that the income booked on the new DAs is lesser than the unwinding effect of the past years. And that is exactly why we are getting this and decelerating the DA, because this is something which results in a negative income going forward,

Pawan Kumar: Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Ghansham Joshi from GJ's Techno Funda . Please go ahead.

Ghansham Joshi: Yes. Am I audible?

Management: Yes.

Ghansham Joshi: Yes. Thank you for giving me the opportunity. Prime Facie numbers are very good. Congratulation for the good numbers. My question is related to mortgage ...

Moderator: Sorry to interrupt you, sir, your voice is breaking.

Ghansham Joshi: The next 3 percentage from mortgage.

Moderator: Mr. Ghansham Joshi your voice is breaking.

Ghansham Joshi: Hello.

Moderator: Hello. Sir, your voice is breaking can you please repeat your question?

Ghansham Joshi: Am I audible now?

Moderator: Yes, sir. It's better.

Ghansham Joshi : Yes. So, the net percentage -- net Stage 3 percentage of mortgage that is increasing quarter -on-quarter and year -on-year. How we are going to tackle this in future?

C.V. Ganesh: In the last call, the March call , we had mentioned that we have significantly beefed up the collections team. The intensity on the ground is very high in terms of collection effort. Now there are multiple conversations happening with some of our delinquent customers. Wherever there is a property involved and where the ability to enforce SARF AESI is a little limited. So it's a very lengthened process. So it takes time for resolution. We have a lot of people legal, technical. We have a lot of collection people on the ground working on that number. Now we are going for the long haul. And the idea is to successfully resolve all of these cases, keeping in mind the RBI regulations around collection and recovery efforts, the attempt will be to resolve all of these successfully over a period of time.

Ghansham Joshi: Okay. Thanks for the reply and ...

Moderator: Sorry to interrupt you, sir. Ghansham Joshi, sir your voice is breaking.

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Ghansham Joshi: While publishing the results while taking by when you are publishing that can it be possible you do convert the files in PDF and digital sign and the results?

C.V. Ganesh: Okay. Your suggestion is we converted into PDF and do a digital signature, okay, we'll examine that, noted.

Moderator: This was the last question of today. I now hand the conference over to the management for closing comments.

Parvez Mulla : Thank you so much. It was an interesting quarter. I repeat there is a regulation change and I think the industry will manoeuvre with this regulation change, there will be a new normal, which will come because of this regulation. We've had a very, very decent AUM growth. The operating profit has grown healthily. The PAT has grown healthily. The mortgage growth has shown about 15%, Y-o-Y. And we continue with our old guidances. So we have not changed any of our guidances. Our ROA guidance, our credit cost guidance, our growth guidance remains the same. Quarter -on-quarter, you will see us sticking to the number that we have promised and these businesses wherever things have not worked well. We are the first people to come and tell you. So thank you so much for joining us and thank you so much for supporting us in rebuilding your company. Thank you.

Moderator: On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.